

8. IMR REPORT

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Date: 21 May 2026

The Board of Directors

SRKK AI BERHAD

Unit 15-1, 15-2, 15-3, 15-3A, 15-5, 15-6, 15-7
 Port Tech Tower
 Jalan Tiara 3/KU01
 Bandar Baru Klang
 41150 Klang, Selangor Darul Ehsan, Malaysia.

Dear Sirs,

Independent Market Research ("IMR") Report on the Digital Transformation Solutions Industry in conjunction with the Listing of SRKK AI BERHAD on the ACE Market of Bursa Malaysia Securities Berhad

PROVIDENCE STRATEGIC PARTNERS SDN BHD ("**PROVIDENCE**") has prepared this IMR report on the Digital Transformation Solutions Industry for inclusion in the Prospectus of **SRKK AI BERHAD**.

PROVIDENCE has taken prudent measures to ensure reporting accuracy and completeness by adopting an independent and objective view of these industries within the confines of secondary statistics, primary research and evolving industry dynamics. We believe that this IMR report presents a balanced view of the industry within the limitations of, among others, secondary statistics and primary research, and does not purport to be exhaustive.

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For and on behalf of PROVIDENCE:

A handwritten signature in black ink, appearing to read 'Melissa Lim', with a stylized flourish at the end.

MELISSA LIM

EXECUTIVE DIRECTOR

About PROVIDENCE STRATEGIC PARTNERS SDN BHD:

PROVIDENCE is an independent research and consulting firm based in Petaling Jaya, Selangor, Malaysia. Since our inception in 2017, PROVIDENCE has been involved in the preparation of independent market research reports for capital market exercises. Our reports aim to provide an independent assessment of industry dynamics, encompassing aspects such as industry performance, demand and supply conditions and competitive landscape.

About MELISSA LIM:

Melissa Lim is the Executive Director of PROVIDENCE. She has more than 15 years of experience in market research for capital market exercises. Melissa Lim holds a Bachelor of Commerce (Double major in Marketing and Management) from Murdoch University, Australia.

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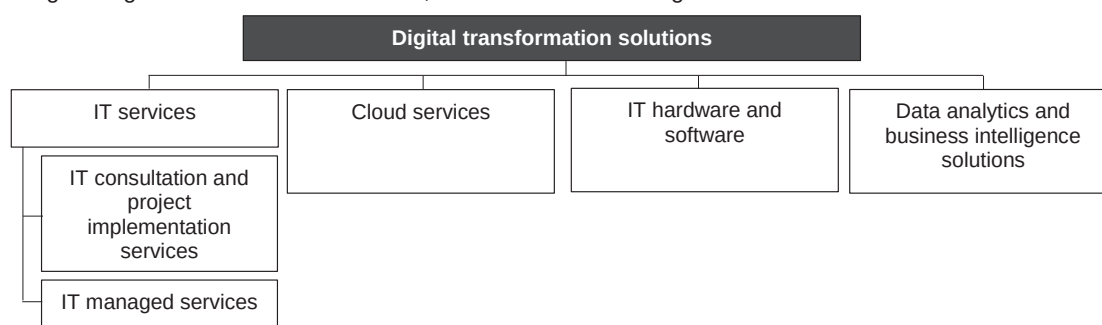
SRKK AI Berhad and its subsidiaries (collectively referred to as “**SRKK Group**” or “**the Group**”) is a digital transformation solution provider based in Malaysia and Singapore that provides information technology (“**IT**”) consultation and project implementation services for cybersecurity, business workflow automation and networking solutions, and IT advisory and consulting services, cloud services, IT managed services, sale and rental of IT hardware and software products as well as data analytics and business intelligence solutions. This IMR report covers the following:

- **The digital transformation solutions industry in Malaysia**, which is the main industry in which SRKK Group operates. A large proportion of the Group’s revenues was generated from its customers based in Malaysia, i.e. 78.19% to 87.51% of the Group’s revenues during the Financial Years Under Review;
- **Overview of the digital transformation solutions industry in Singapore**, as SRKK Group presently serves customers in Singapore. 11.41% to 20.83% of the Group’s revenue was generated from customers based in Singapore during the Financial Years Under Review; and
- **Overview of the digital transformation solutions industry in Indonesia**, as SRKK Group intends to expand into Indonesia.

1 THE DIGITAL TRANSFORMATION SOLUTIONS INDUSTRY IN MALAYSIA

INTRODUCTION

Digital transformation solutions refer to IT solutions that aim at digitalising and modernising operational processes in an organisation (including corporations, government-linked corporations and government agencies). There are a wide range of digital transformation solutions, as illustrated in the diagram below:



These digital transformation solutions include:

- IT services**, which include IT consultation and project implementation services for solutions such as cybersecurity, business workflow automation and networking solutions, and IT advisory and consulting services as well as IT managed services. IT consultation and project implementation services involve providing consultation, proposing suitable solution designs that meet the organisation’s IT environment, business requirements, needs and budget, as well as setting up, installing and configuring IT hardware, software and cloud subscriptions to form the proposed solutions. Meanwhile, IT managed services include managed network and cybersecurity services, as well as maintenance and technical support services. These services refer to the outsourcing of an organisation’s IT operations and responsibilities to a team of professionals so that IT systems, networks, security and infrastructure are managed and maintained to ensure optimal performance and security;
- Cloud services** refer to the services involved in the implementation of cloud solutions, which are computing resources that are delivered through the Internet (such as storage, network and applications), typically on a subscription or on-demand basis. These services include consultancy to propose suitable cloud solutions, cloud service implementation and support services, and change management services to facilitate smooth adoption within the organisation;
- IT hardware and software**, which refers to IT hardware (such as desktops, laptops, printers and projectors) and IT software (such as application software and operating systems and cloud subscriptions) that are either sold on an outright basis, rented or leased. These products form the infrastructure upon which other digital transformation solutions are deployed; and
- Data analytics and business intelligence solutions**, which enable organisations to derive actionable insights from their data and make informed decisions in order to drive business growth.

The digital transformation solutions industry value chain comprises:

- Principals** – companies which design and develop the IT hardware and software, and cloud subscriptions. These companies are typically established multinational companies;
- Principal’s distributors** – companies which are appointed by the Principal(s) to distribute and sell IT hardware, software and cloud subscriptions. Such companies typically sell to solution providers, resellers

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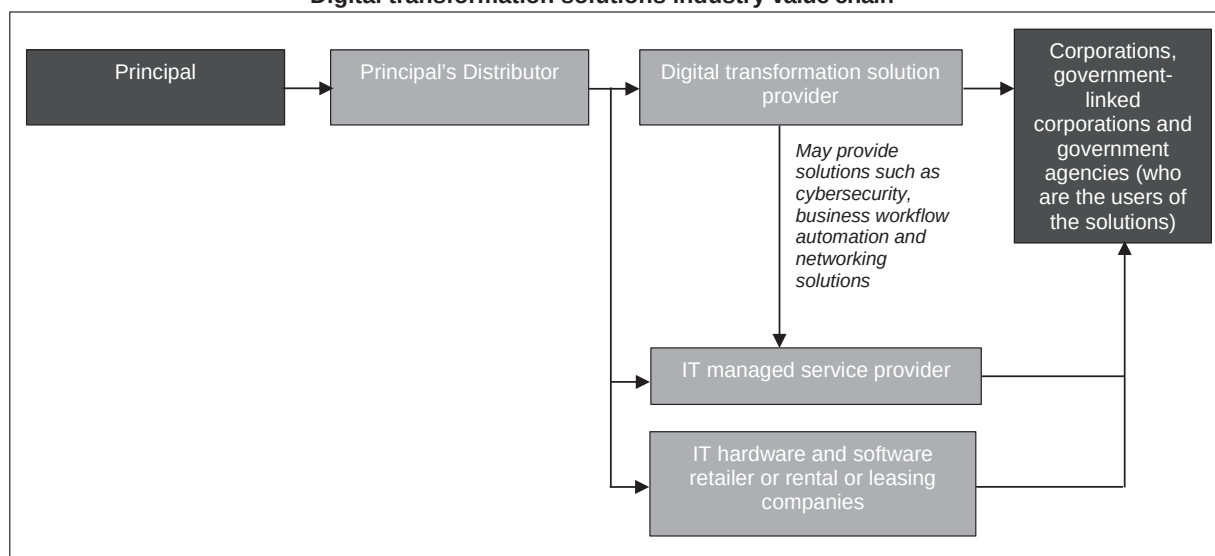


and/or IT managed service providers or companies involved in the sale, rental and/or leasing of IT hardware and software products;

- (iii) **Digital transformation solution providers** – companies which provide digital transformation solutions directly to end-customers (such as corporations, government-link corporations and government agencies), or to solution providers, resellers and/or IT managed service providers. These solutions include cybersecurity, business workflow automation and networking solutions, cloud services and data analytics and business intelligence solutions;
- (iv) **IT managed service providers** – companies which provide services such as managed cybersecurity and managed networking services, and maintenance and technical support; and
- (v) **IT hardware and software retailers, rental or leasing companies** – companies which sell, rent and/or lease IT hardware and software products.

A company can be involved in one or more of the abovementioned business segments.

Digital transformation solutions industry value chain



Notes:

- (i)  Denotes the segment(s) in which SRKK Group presently operates.
- (ii) This list is not exhaustive.

Source: PROVIDENCE

INDUSTRY PERFORMANCE, SIZE AND GROWTH

The performance of the digital transformation solutions industry in Malaysia can be measured by the following:

(i) IT services

The industry sizes for IT consultation and project implementation services as well as IT managed services in Malaysia can be depicted by the IT services industry revenue in the country, which grew from RM85.0 billion in 2019 to an estimated RM111.1 billion in 2025, recording a compound annual growth rate ("CAGR") of 4.6%. The industry is forecast to grow at a CAGR of 3.1% between 2026 and 2028, to reach RM121.8 billion in 2028.

(ii) Cloud services

The cloud services industry in Malaysia, as indicated by the expenditure on cloud, grew from RM3.6 billion in 2019 to an estimated RM13.0 billion in 2025 at a CAGR of 23.9%. Moving forward, the cloud services industry in Malaysia is forecast to grow at a CAGR of 20.3% between 2026 and 2028, to reach RM22.6 billion in 2028.

(iii) IT hardware and software products

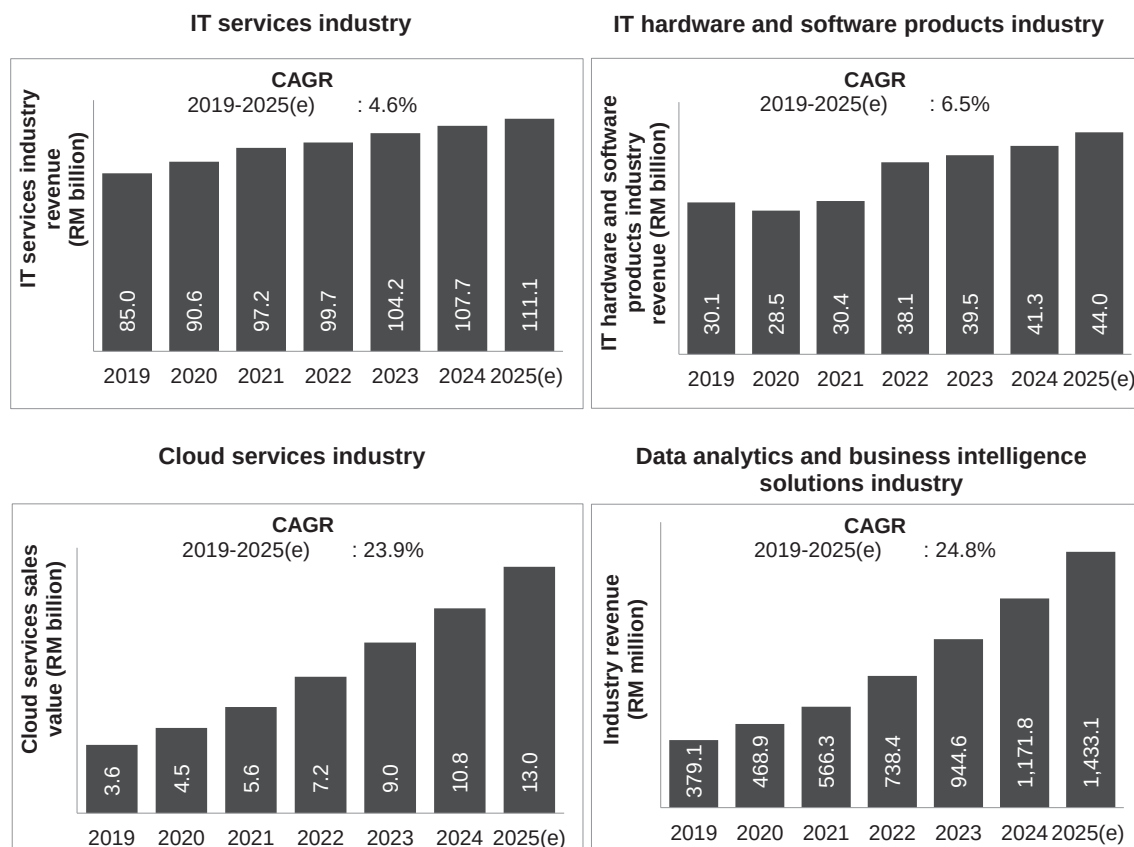
The demand for sale, rental and lease of IT hardware and software products in Malaysia can be depicted by the IT hardware and software products industry in the country, which grew from RM30.1 billion in 2019 to an estimated RM44.0 billion in 2025, registering a CAGR of 6.5% during the period. The IT hardware and software products industry in Malaysia is forecast to grow at a CAGR of 5.8% between 2026 and 2028, to reach RM52.4 billion in 2028.

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(iv) Data analytics and business intelligence solutions

The data analytics and business intelligence solutions industry in Malaysia, as indicated by the industry revenue, grew from RM379.1 million in 2019 to an estimated RM1.4 billion in 2025 at a CAGR of 24.8%. Moving forward, the data analytics and business intelligence solutions industry in Malaysia is forecast to grow at a CAGR of 20.9% between 2026 and 2028, to reach RM2.6 billion in 2028.



Note:

(i) (e) – Estimate

Source: Department of Statistics Malaysia, DataCube Research, Fortune Business Insights, PROVIDENCE analysis

KEY GROWTH DRIVERS

The rapid pace of technological evolution will drive demand for digital transformation solutions

The evolution of the digital transformation solutions industry, resulting from the introduction of technological concepts such as artificial intelligence (“AI”) as well as data analytics and business intelligence are reshaping the daily business operations of organisations today. Digital transformation solutions enable organisations to modernise infrastructure, streamline operations and unlock new business capabilities.

In particular, some of the recent trends in the digital transformation solutions industry include:

(i) The introduction of IT hardware, software and cloud subscriptions with AI capabilities

In recent years, Principals have been launching IT hardware, software and cloud subscriptions that are integrated with AI capabilities, enabling functions that can:

- perform predictive analytics based on historical data and through searching from readily available information;
- adapt to new data patterns from existing databases or historical information without being explicitly programmed to perform a task;
- make probabilistic and contextual decisions;
- process unstructured data, which are typically information such as text, audio, images that are hard to analyse; and
- deploy virtual assistants or chatbots that can interact or simulate human behaviours.

This enables faster operations, deeper insights and more informed decision-making.

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For example, Microsoft Corporation's latest operating system, Windows 11, comes in-built with Copilot, an AI-powered productivity tool with a chat assistant function to answer questions, assist with research and provide summaries. It is integrated into Microsoft applications to enhance productivity and efficiency. In addition, Google LLC's latest Google Pixel smartphones and Chromebook Plus laptops come in-built with Gemini, an AI-powered productivity tool with a chat assistant function, and is integrated with Google applications.

According to a study conducted by A.T. Kearney, AI is estimated to contribute approximately USD1.0 trillion (RM4.3 trillion¹) to Southeast Asia's gross domestic product ("GDP") by 2030, with Malaysia projected to capture around USD115.0 billion (RM492.4 billion¹). This indicates a growth potential for digital transformation solutions with AI capabilities in the country.

As Principals introduce more IT hardware, software and cloud subscriptions that are integrated with AI capabilities, this will create opportunities for digital transformation solution providers to propose and implement new and enhanced solutions for organisations.

(ii) Data analytics and business intelligence

Data analytics and business intelligence involve processing large data sets within a short time frame to enable organisations to derive actionable insights from the data and make informed decisions in order to drive business growth. This allows organisations to:

- detect trends and anomalies;
- understand customer behaviour and market dynamics;
- forecast demand and resource needs; and
- monitor and improve internal performance metrics.

In Malaysia, the adoption of data-driven tools is accelerating, driven by government initiatives (such as Malaysia Digital Economy Blueprint ("MyDIGITAL") and the National AI Office ("NAIO")) and increased digitalisation. This, in turn, will fuel demand for digital transformation solution providers who are capable of providing data analytics and business intelligence solutions that align with the strategic goals of organisations.

Globally, the amount of digital data generated in 2023 was estimated to be 123 zettabytes and is expected to reach 221 zettabytes by 2026², reflecting the rapid expansion of data creation worldwide. This surge in digital data is expected to boost demand for data analytics and business intelligence solutions, which involve processing large data sets within a short time frame to enable organisations to derive actionable insights and make informed decisions to support business growth.

Government initiatives to encourage digitalisation, which would boost the digital transformation solutions industry

The Digital Economy refers to the increasing adoption and utilisation of digital transformation solutions in carrying out day-to-day operational tasks in businesses across various economic sectors in order to improve efficiency and facilitate globalisation. The transformative impact of the Digital Economy can be observed throughout various economic sectors including the banking sector (where cash-based transactions have shifted to online-based transactions), manufacturing sector (where manual operations can now be automated or remotely controlled) and retail sector (where stores are not limited to physical outlets but also electronic commerce platforms). The Digital Economy is expected to expand in Malaysia and as such, digital transformation solutions will become increasingly essential in carrying out daily operational tasks. In Malaysia, the contribution of the Digital Economy to the country's GDP has grown from 19.2% in 2019 to 23.4% in 2024.³

In February 2021, the Government of Malaysia launched MyDIGITAL, a national initiative which aims to transform Malaysia into a digitally-driven, high-income nation and a regional leader in digital economy. MyDIGITAL maps out the strategies which will be undertaken in 3 phases (2021-2022, 2023-2025 and 2026-2030) to achieve its targeted outcomes. The key thrusts in MyDIGITAL pertaining to the digital transformation solutions industry are:

- (i) Build enabling digital infrastructure – providing access to extensive and high-quality digital infrastructure (such as broadband, data centres and cable landing stations) to better enable people, businesses and the Government of Malaysia to participate in the digital economy; and
- (ii) Build trusted, secure and ethical digital environment – creating a conducive environment for businesses and society to reap the benefits of digital services without compromising safety, data security, privacy, reliability and ethical standards.

In May 2024, Google LLC announced a USD2.0 billion (RM9.1 billion¹) investment in Malaysia, which included the development of its first data centre and Google Cloud region in the country. Subsequently, in August 2024, Amazon Web Services announced its plan to invest USD6.2 billion (RM28.3 billion¹) through 2038. Recently in May 2025, Microsoft Corporation announced the general availability of its first cloud region in Malaysia, named Microsoft

¹ Exchange rate from USD to RM was converted based on average annual exchange rates extracted from published information from Bank Negara Malaysia at:

2024: USD1 = RM4.5718

2025: USD1 = RM4.2815

2030: USD1 = RM4.2815

² Source: AVANT by Avison Young, International Data Corporation Global DataSphere Forecast (2022-2026)

³ Source: Department of Statistics, Malaysia. Latest publicly available data is as at 2024.

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West, a hyperscale cloud infrastructure with AI capabilities, which is part of its USD2.2 billion (RM9.4 billion¹) investment in the country. These investments reflect Malaysia's growing appeal as a regional hub for cloud services.

The Ministry of Investment, Trade and Industry (MITI) also launched the NIMP 2030, to drive technology adoption across the manufacturing sector. The initiative encourages manufacturers to integrate advanced technologies such as AI, Internet of Things ("IoT") and cloud computing to automate operations and facilitate data-driven decision-making as an effort to enhance Malaysia's industrial competitiveness and create a high-value, digitally-driven economy.

In addition, under Budget 2026, the Government of Malaysia has, amongst others:

- Allocated RM53.0 million for the Malaysia Digital Acceleration Grant, which will catalyse the growth and adoption of emerging technologies such as blockchain, AI and quantum computing;
- Allocated RM18.1 million for NAIO which aims to accelerate AI adoption and position Malaysia as a regional leader in AI;
- Allocated RM2.0 billion to invest in establishing a sovereign AI cloud to protect national data while enabling innovation and large-scale AI applications; and
- Announced a 50.0% tax deduction for micro-, small-, and medium-sized enterprises ("MSMEs") undertaking AI and cybersecurity training courses accredited by the MyMahir National AI Council for Industry (NAICI), TalentCorp and MyDIGITAL to support workforce readiness.

In addition, the Ministry of Digital launched the National Cloud Computing Policy ("NCCP") as an effort to accelerate Malaysia's digital transition through fostering a secure and sustainable cloud ecosystem. The NCCP focuses on a "Cloud-First" strategy which aims to modernise public service delivery as well as drive private sector innovation. The policy is expected to contribute up to RM10.5 billion to Malaysia's GDP by 2028.

Under the Thirteenth Malaysia Plan (2026-2030), the Government of Malaysia underscored its aim to strengthen the country's position as a digital innovation hub in Southeast Asia. Several measures will be undertaken, including integrating AI adoption across key sectors such as manufacturing, agriculture and healthcare to enhance productivity and competitiveness through technologies such as predictive analytics and robotics; as well as cultivating AI literacy through certification, upskilling and reskilling programmes.

These government initiatives to drive the Digital Economy in Malaysia will lead to demand for digital transformation solutions, thus benefiting digital transformation solution providers.

The move towards digitalisation of organisations, leading to an increased need for digital transformation solutions

Digitalisation has played a major role in allowing organisations, including government-linked corporations and government agencies, to stay up-to-date with the current business environment while continuing business operations.

During the Coronavirus Disease 2019 ("COVID-19") pandemic, lockdown measures were imposed globally to prevent the spread of the disease. This forced organisations to adapt to the situation with work-from-home arrangements for their employees. In order to ensure continued business productivity, organisations had to make use of technologies which could facilitate online collaboration, such as file sharing, messaging platforms, video conferencing and project management tools. The use of such technologies creates digital data, which require supporting digital transformation solutions such as servers, data storage space and cloud services.

Globalisation has created more opportunities for organisations as they are no longer restricted to operating within their own country. With digitalisation, business operations such as sourcing of raw materials, production, marketing, distribution and support services can be sourced from other countries, thereby allowing organisations to lower their costs and gain larger market share as they are able to explore new opportunities in other countries.

Organisations need to take advantage of digitalisation to maintain competitiveness and explore new opportunities in today's evolving business environment. As more organisations make the move towards digitalisation, they will require supporting digital transformation solutions.

Rising sophistication of cybersecurity threats and government initiatives will create demand for cybersecurity solutions

From 2019 to 2025, the number of reported cybersecurity incidents in Malaysia hovered between 5,917 incidents and 10,512 incidents.⁴ Furthermore, with the increasing number of devices, appliances and even vehicles which can be connected to the internet, this has increased the risk of exposure to cyber-attacks. As a result of these evolving threats, the sales of cybersecurity hardware, software and services in the country, grew from RM2.5 billion in 2019 to approximately RM6.3 billion in 2025, recording a CAGR of 16.7%.⁵

Malaysia has experienced several notable cybersecurity incidents in recent years. For example, in 2022, the personal information of 22.5 million Malaysians was leaked, allegedly stolen from the National Registration Department. In the same year, there was a data breach involving a major local payment gateway service provider

⁴ Source: Malaysia Computer Emergency Response Team

⁵ Source: International Data Corporation

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which led to a breach in card details used in online transactions. In October 2022, an online second-hand goods selling platform experienced a breach of its database, causing 2.6 million users' data to be compromised. In December 2024, a data breach involving the Malaysian Identity Card (MyKad) details of 17.0 million Malaysians was leaked and offered for sale online. Subsequently, in January 2026, Bank Negara Malaysia (BNM) fined Bank Rakyat RM1.0 million for failing to maintain safe cybersecurity levels, following unauthorised access to its internal infrastructure in late 2024.

In response to the growing cybersecurity challenges, the Government of Malaysia has introduced several measures. In June 2025, the Government of Malaysia announced its plan to establish a nationwide 24-hour response network aimed at enhancing cybercrime response capabilities. Further, under the Budget 2026, the Government of Malaysia has allocated RM30.0 million to strengthen cybersecurity within the country. This allocation is expected to drive demand for cybersecurity solutions to protect individuals, businesses and national infrastructure.

These developments are expected to create awareness of the need for cybersecurity measures and accelerate the adoption of cybersecurity solutions among organisations. This, in turn, could support the growth of digital transformation solution industry in Malaysia, as cybersecurity solutions is one of the service offerings.

Growing number of companies and businesses indicates an increase in demand for digital transformation solutions

Malaysia has seen a steady growth of newly registered companies at an average increase of 3.5% annually between 2019 and 2025. According to latest available data from the Companies Commission of Malaysia, the total number of companies in Malaysia grew from 1.3 million in 2019 to 1.7 million in 2025. In 2024, 25,496 companies were dissolved in Malaysia, which translated to 1.5% of the number of registered companies in the year.⁶ This indicates that there is a low percentage of companies that are dissolved of companies that are registered in Malaysia.

The steady growth trend of companies in Malaysia is expected to continue in light of the nation's developing economy over the long-term. The growing number of companies registered each year indicates growth potential for the digital transformation solutions industry in Malaysia, as companies may subscribe or purchase new solutions or upgrade their current solutions.

SUPPLY FACTORS

Availability of IT hardware and software, and cloud subscriptions

IT hardware and software, and cloud subscriptions are critical components of digital transformation solutions, and are typically purchased from third-parties such as Principals and their distributors. IT hardware and software, and cloud subscriptions are the basic components needed for industry players to customise, configure, implement and maintain digital transformation solutions. Thus, industry players are dependent on their network of Principals and distributors, and their ability to obtain a reliable supply of the IT hardware and software, and cloud subscriptions required for implementing their digital transformation solutions.

Availability of human resources

The availability of qualified and experienced talent is important in the provision of digital transformation solutions. As such, it is essential that a digital transformation solution provider is able to hire, train and retain talented, experienced and qualified employees. Generally, there is no shortage of skilled resources in the IT sector. According to the Department of Statistics Malaysia, the number of persons employed in the IT sector increased from approximately 236,000 in 2019 to approximately 285,000 in 2025, at a CAGR of 3.2%. The rise in the number of persons employed in the IT sector indicates that there is a sufficient pool of skilled resources to take on the IT jobs that are available in the country.

RISKS AND CHALLENGES

Competition from other industry players

The digital transformation solutions industry in Malaysia is fragmented, with numerous digital transformation solution providers that are capable of providing similar solutions, competing on the basis of price and solution design in terms of layout design of the infrastructure, quantity, and/or specifications, among others. Thus, the industry is highly competitive, and industry players have to leverage on their existing strengths and advantages in order to remain competitive and gain larger market share. Further, industry players also compete in terms of recruiting and retaining skilled and trained technical personnel, particularly personnel with suitable experience and appropriate skill set. As such, there is a challenge to retain trained technical personnel as they may be recruited by other industry players, and it may be difficult to identify and recruit suitable replacement(s) in a timely manner.

Lack of awareness on the need for cybersecurity solutions and services

Generally, there is a lack of awareness amongst organisations on the importance of cybersecurity solutions and services. As the effects of cybersecurity solutions are not immediately visible, organisations may view

⁶ Source: Companies Commission of Malaysia Annual Report 2024. Latest publicly available information is as at 2024

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cybersecurity solutions as an unnecessary additional business cost and may choose to redirect their resources to other areas which are deemed more profitable to their business operations. There are also organisations which continue to operate with legacy cybersecurity solutions, that have not been updated to keep up with increasingly sophisticated cyber threats and attacks.

Supply disruptions of IT hardware

Semiconductors are an integral component in the manufacturing of IT hardware, which is used in the facilitation and implementation of digital transformation solutions. Thus, any shortage of semiconductors will have an adverse impact on the manufacturing of IT hardware. There was a global shortage in semiconductors due to disruptions in fabrication activities of foundries contributed by the COVID-19 lockdowns, as well as due to the Russia-Ukraine war in 2022 which exacerbated the shortage in microchips globally. This is because Russia and Ukraine are key suppliers of palladium and neon, which are raw materials used in semiconductor manufacturing. While foundries have stocked up on these materials, the prolonged war affected the supply of semiconductors globally. Apart from the above, the imposition of tariff barriers between the United States and China to restrict companies from trading has also disrupted the supply of semiconductors.

There also has been a global shortage in memory chips since late 2025, primarily caused by the rapid surge in demand for AI infrastructure which requires large volumes of memory chips to support its workloads. The rapid surge in demand for AI infrastructure resulted in memory chip manufacturers shifting their production focus to cater to AI memory chips, causing a shortage in memory chips used in other IT hardware. This shortage has disrupted the supply of IT hardware, resulting in higher prices of IT hardware and longer procurement lead times for IT hardware.

Economic, social and political risks

Digital transformation solution providers are also subject to economic, social and political conditions affecting the markets they operate in. In particular, the on-going 2026 Iran war, which has resulted in an oil supply crisis and a significant rise in global oil prices. The significant increase in oil prices could adversely impact the economy which could lead to cutbacks by companies on digital transformation solution projects which may result in potential delays and/or cancellation of digital transformation solution projects. A rise in global oil prices could also increase freight costs which would increase the cost to purchase IT hardware. Should digital transformation solution providers pass on these costs to customers, the higher prices of digital transformation solutions may result in delays and/or cancellations of digital transformation solution projects. Conversely, if digital transformation solution providers are unable to pass on these costs to customers, this could adversely impact their profit margins. Meanwhile, the delay in delivery of IT hardware could also result in a delay in implementation of digital transformation solution projects.

COMPETITIVE OVERVIEW

PROVIDENCE estimates that there are over 200 companies involved in the provision of digital transformation solutions and as such, the competitive landscape in the digital transformation solutions industry is fragmented. These industry players may offer 1 or more types of digital transformation solutions including IT consultation and project implementation services, cloud services and IT managed services.

The barriers to entry to the digital transformation solutions industry is moderately low, as IT hardware, IT software and cloud subscriptions can easily be sourced and companies may be involved in the provision of digital transformation solutions on a small-scale basis. Specifically for the provision of managed cybersecurity services, a barrier to entry for new entrants is the need to obtain a licence to provide cybersecurity services from the National Cyber Security Agency. Nevertheless, the critical success factors for industry players in the digital transformation solutions industry include having the necessary track record and experience to provide solutions to secure and relationship with a network of Principals and their appointed distributors to source IT hardware, IT software and cloud subscriptions at competitive rates and credit terms.

PROVIDENCE has identified 19 industry players, including SRKK Group on the basis that:

- (i) They are involved in the provision of digital transformation solutions, including IT consultation and project implementation services for either business workflow automation, cybersecurity and/or networking solutions, cloud services and IT managed services;
- (ii) They are based in Malaysia; and
- (iii) They have a revenue of between RM20.0 million and RM450.0 million, based on their latest audited financial year end ("FYE").

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These industry players are^(a):

Company name	IT consultation and project implementation services ^(b)	Cloud services ^(b)	IT managed services ^(b)	Sale and rental of IT hardware and software ^(b)	Data analytics and business intelligence solutions ^(b)	Latest audited FYE	Revenue (RM '000)	Gross profit ("GP") (RM '000)	Profit/Loss After Tax ("PAT/ LAT") (RM '000)	GP margin ^(c) (%)	PAT margin ^(d) (%)
Bridgenet Solutions Sdn Bhd ^(e)	✓	✓	✓	✓	-	31 December 2025	221,255	30,846	7,458	13.9	3.4
CLL Systems Sdn Bhd	✓	✓	✓	-	-	31 December 2024	127,102	30,372	11,436	23.9	9.0
Cloudpoint Technology Berhad ^(f)	✓	✓	✓	✓	-	31 December 2025	183,887	52,220	23,991	28.4	13.0
CogDev Malaysia Sdn Bhd ^(g)	✓	✓	✓	-	✓	31 March 2025	280,917	N/A ^(h)	14,356	N/A ^(h)	5.1
CommVerge Solutions (M) Sdn Bhd	✓	✓	✓	-	-	31 December 2024	46,762	11,277	2,417	24.1	5.2
Dataprep Holdings Berhad ^(f)	✓	✓	✓	-	-	30 June 2025 ⁽ⁱ⁾	28,625	1,544	(22,393)	5.4	-
DXC Technology Malaysia Sdn Bhd ⁽ⁱ⁾	✓	✓	✓	-	-	31 March 2025	281,929	N/A ^(h)	29,677	N/A ^(h)	10.5
Enfrasys Consulting Sdn Bhd	✓	✓	✓	-	✓	31 December 2024	262,186	33,699	17,163	12.9	6.5
Ensign InfoSecurity (Malaysia) Sdn Bhd	✓	✓	✓	-	-	31 December 2024	106,330	N/A ^(h)	3,054	N/A ^(h)	2.9
Hitachi Sunway Information Systems Sdn Bhd ^(k)	✓	✓	✓	-	-	31 March 2025	209,245	81,065	6,160	38.7	2.9
Infoline Tec Group Berhad ^(f)	✓	✓	✓	✓	-	31 March 2025 ⁽ⁱ⁾	114,522	51,310	14,255	44.8	12.4
Integrated Global Solutions Sdn Bhd	✓	✓	✓	-	-	31 December 2024	108,511	21,349	8,178	19.7	7.5
JOS (Malaysia) Sdn Bhd	✓	✓	✓	-	-	31 December 2024	181,399	27,170	3,172	15.0	1.7
Microtree Sdn Bhd	✓	✓	✓	-	✓	31 December 2024	24,562	5,623	21	22.9	0.1
MM Computer Systems Berhad	✓	✓	✓	✓	-	31 December 2025	98,682	21,001	10,121	21.3	10.3
NEC Corporation of Malaysia Sdn Bhd ^(m)	✓	✓	✓	-	-	31 March 2025	143,441	62,676	24,287	43.7	16.9
Noventiq Solutions International Sdn Bhd	✓	✓	✓	-	-	31 December 2024	282,395	21,032	4,741	7.4	1.7
Sarawak Information Systems Sdn Bhd	✓	✓	✓	-	-	31 December 2024	351,788	86,348	121,959	24.5	34.7
SRKK Group	✓	✓	✓	✓	✓	31 December 2025	112,163	25,142	6,805	22.4	6.1

Notes:

- (i) ^a The list above is based on publicly available information and is not exhaustive. It does not include companies whose financial information have been private exempted and cannot be viewed by the public. The list has been arranged in alphabetical order.
- (ii) ^b Information is based on publicly available information. Company may provide other services than is listed in the table above.
- (iii) ^c GP margin was computed based on GP and revenue of the company.
- (iv) ^d PAT margin was computed based on PAT and revenue of the company.

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- (v) ^e Bridgenet Solutions Sdn Bhd has been acquired by Celcom Axiata Berhad in 2021, and is now part of CelcomDigi Berhad.
- (vi) ^f Public listed company on the Bursa Malaysia Stock Exchange.
- (vii) ^g Subsidiary of a company that is listed on the Nasdaq Stock Market.
- (viii) ^h Not publicly available as the audited financial statement / annual report does not disclose GP.
- (ix) ⁱ Financial period is from 1 January 2024 to 30 June 2025.
- (x) ^j Subsidiary of a company that is listed on the New York Stock Exchange.
- (xi) ^k Joint-venture company of a company that is listed on the Tokyo Stock Exchange.
- (xii) ^l Financial period is from 1 January 2024 to 31 March 2025.
- (xiii) ^m Subsidiary of a company listed on the Tokyo Stock Exchange.

Source: Various company websites, Companies Commission of Malaysia, PROVIDENCE

The GP and PAT margins for industry players may vary, despite offering similar digital transformation solutions, due to various factors, including the product mix, complexity of the solutions provided and end-user industry(ies) it serves. The actual reasons for the varying GP and PAT margins between industry players cannot be determined due to limited financial information which are publicly available.

MARKET SHARE

Based on the total industry sizes for the IT services, cloud services, IT hardware and software products, and data analytics and business intelligence solutions of RM161.0 billion in 2024, and SRKK Group's revenue of RM94.5 million in the FYE 31 December 2024, SRKK Group garnered an industry revenue share of 0.1% in 2024. In 2025, based on the total estimated industry sizes for the IT services, cloud services, IT hardware and software products, and data analytics and business intelligence solutions of RM169.5 billion in 2025, and SRKK Group's revenue of RM112.2 million in the FYE 31 December 2025, SRKK Group garnered an estimated industry revenue share of 0.1%.

2 OVERVIEW OF THE DIGITAL TRANSFORMATION SOLUTIONS INDUSTRY IN SINGAPORE

The digital transformation solutions industry in Singapore, as depicted by the contribution of the information and communications sector to the country's GDP, grew from SGD21.7 billion (RM65.9 billion⁷) in 2019 to SGD40.2 billion (RM131.7 billion⁷) in 2025, recording a CAGR of 10.8%⁸. Moving forward, the digital transformation solutions industry in Singapore is forecast to grow at a CAGR of 9.2%, from an estimated SGD43.8 billion (RM143.5 billion⁷) in 2026 to SGD52.2 billion (RM171.0 billion⁷) in 2028.

The growth of the digital transformation solutions industry in Singapore is expected to be driven by the following drivers:

- (i) Government initiatives to drive the adoption of technology, such as:
 - SMEs Go Digital Programme which was launched in 2017 to assist small and medium enterprises in capitalising on digital technologies to seize growth opportunities;
 - Singapore National AI Strategy 2.0 which was launched in 2023 and aims to continue harnessing AI throughout society, businesses and the economy through 15 targeted action plans;
 - The Government of Singapore has allocated SGD150.0 million (RM491.4 million⁷) under Budget 2025 for the Enterprise Compute Initiative, which aims to connect eligible enterprises with major cloud service providers to access AI solutions, computing tools and consultancy services; and
 - Allocation of SGD37.0 billion (RM121.2 billion⁷) for the implementation of the Research, Innovation and Enterprise 2030 (RIE2030) plan which was launched in December 2025. The plan aims to strengthen Singapore's position as an innovative nation through mission-oriented research and development up until 2030.
- (ii) The rapid pace of technological evolution has encouraged businesses to implement and/or upgrade their digital transformation solutions. Businesses will have to periodically upgrade their IT hardware and software, and cloud subscriptions such as in terms of speed, applications and memory space to operate more efficiently and effectively.
- (iii) The number of businesses registered in Singapore grew from 555,263 as at the end of 2021 to 623,015 as at the end of 2025.⁹ The growing number of businesses is expected to translate to greater demand for digital transformation solutions, which will lead to the growth of the digital transformation solutions industry.

⁷ Exchange rate from SGD to RM was converted based on average annual exchange rates extracted from published information from Bank Negara Malaysia at:

2019: SGD1 = RM3.0372

2025, 2026 and 2028: SGD1 = RM3.2762

⁸ Source: Singapore Department of Statistics

⁹ Source: Accounting and Corporate Regulatory Authority

8. IMR REPORT



3 OVERVIEW OF THE DIGITAL TRANSFORMATION SOLUTIONS INDUSTRY IN INDONESIA

The digital transformation solutions industry in Indonesia, as depicted by the contribution of the information and communication sector to the country's GDP, grew from IDR626.5 trillion (RM183.6 billion¹⁰) in 2019 to IDR1,048.7 trillion (RM272.7 billion¹⁰) in 2025, recording a CAGR of 9.0%.¹¹ Moving forward, the digital transformation solutions industry size in Indonesia is forecast to grow at a CAGR of 9.8%, from approximately IDR1,054.1 trillion (RM274.1 billion¹⁰) in 2026 to IDR1,270.7 trillion (RM330.4 billion¹⁰) in 2028.

The growth of the digital transformation solutions industry in Indonesia is expected to be driven by the following drivers:

- (i) Government initiatives to encourage technology adoption, such as:
 - Making Indonesia 4.0, an initiative which was launched in 2018 to drive digital transformation in the manufacturing sector by leveraging technologies such as IoT, AI, cloud computing and big data;
 - Digital Indonesia Vision 2045, a national strategy which was introduced in 2023 to guide and accelerate the country's digital transformation. It is built upon 4 key pillars, namely digital infrastructure, to expand the country's connectivity; digital governance, to enhance public service delivery through technology; digital economy, to boost digital transactions and drive digitalisation of MSMEs; and digital social, to strengthen digital literacy and inclusion; and
 - National MSME Digital Integration Initiative, which was launched in April 2026 by the Ministry of Micro, Small, and Medium Enterprises, is an initiative aimed at consolidating the fragmented "Single Data" system for MSMEs. By centralising business licensing, halal certification and financial services, the initiative incentivises digital participation by providing a seamless efficient method for businesses to access essential government services.
- (ii) The evolution of technology has increased demand for digital transformation solutions. In order to remain competitive, businesses are expected to implement and/or upgrade their digital transformation solutions to digitalise and modernise their operational processes. As such, this is anticipated to continue to drive demand for digital transformation solutions in Indonesia.
- (iii) The number of MSMEs registered in Indonesia stood at 59.5 million in 2024.¹² As the number of MSMEs continues to rise, the demand for digital transformation solutions is expected to increase, as businesses seek to enhance operational efficiency and competitiveness through digital adoption.

4 PROSPECTS AND OUTLOOK FOR SRKK GROUP

Moving forward, the IT services, cloud services, IT hardware and software products, as well as data analytics and business intelligence solutions industry sizes in Malaysia is forecast to grow at CAGRs of 3.1%, 20.3%, 5.8% and 20.9% between 2026 and 2028, respectively. As a digital transformation solution provider, SRKK Group stands to benefit from this growth which is driven by:

- The rapid pace of technological evolution and introduction of new trends, which would drive demand for digital transformation solutions;
- Government initiatives to encourage digitalisation, which would boost the digital transformation solutions industry;
- The move towards digitalisation of organisations, which has led to an increased need for digital transformation solutions;
- Rising sophistication of cybersecurity threats and government initiatives, which would create demand for cybersecurity solutions; and
- Growing number of companies and businesses, which indicates an increase in demand for digital transformation solutions.

Further, SRKK Group is expected to benefit from the growing digital transformation solutions industry in Indonesia, given that the Group intends to expand its market presence in Indonesia. Between 2019 and 2025, the digital transformation solutions industry in Indonesia has been growing at a CAGR of 9.0%. Moving forward, the industry in Indonesia is forecast to grow at a CAGR of 9.8% between 2026 and 2028.

¹⁰ Exchange rate from IDR to RM was converted based on average annual exchange rates extracted from published information from Bank Negara Malaysia at:

2019: IDR100 = RM0.0293

2025, 2026 and 2028: IDR100 = RM0.0260

¹¹ Source: Badan Pusat Statistik Indonesia

¹² Source: Indonesian Chamber of Commerce and Industry. Latest publicly available data is as at 2024.

9. RISK FACTORS

NOTWITHSTANDING THE PROSPECTS OF OUR GROUP AS OUTLINED IN THIS PROSPECTUS, YOU SHOULD CAREFULLY CONSIDER THE FOLLOWING RISK FACTORS THAT MAY HAVE A SIGNIFICANT IMPACT ON THE FUTURE PERFORMANCE OF OUR GROUP. YOU SHOULD CAREFULLY CONSIDER THE RISKS AND INVESTMENT CONSIDERATIONS SET OUT BELOW ALONG WITH OTHER INFORMATION CONTAINED IN THIS PROSPECTUS BEFORE YOU MAKE YOUR INVESTMENT DECISION.

IF YOU ARE IN ANY DOUBT AS TO THE INFORMATION CONTAINED IN THIS SECTION, YOU SHOULD CONSULT YOUR PROFESSIONAL ADVISER.

9.1 RISKS RELATING TO OUR BUSINESS AND OUR OPERATIONS

9.1.1 We depend on our ability to secure new projects and customers

Due to the nature of our business, our Group's profitability and financial performance depend on our ability to secure new projects and customers. Projects related to the provision of IT consultation and project implementation services for cybersecurity solutions, business workflow automation solutions, and networking solutions, are secured by our Group on a one-off income basis, which is inclusive of hardware costs, software subscription fees, project implementation fees as well as, franchise fees for the setting up of IT managed service business.

Meanwhile, we charge a recurring income for the provision of cloud services, IT hardware rental, software licences, IT managed services, and royalty fees.

Even so, save for our agreement with Enzo Plus Sdn Bhd, our Group does not have long-term contracts of more than 3 years, and this poses as a risk of losing our existing customers since they are not obliged to continue engaging us for our solutions and services. If we were to lose any of our customers and are unable to secure sales from new customers or additional sales from existing customers in a timely manner, or if we are unable to recognise our revenue for the financial year due to a delay or postponement of a project, our business and financial performance may be adversely affected as we would still need to incur our fixed operating costs.

Additionally, the number and scale of projects secured on a yearly basis are affected by a number of factors including but not limited to changes in our customers' businesses, economic downturn, as well as a slower growth in demand for our solutions. Thus, our revenue may vary significantly from period to period. This is also contributed by our pricing strategy. There is no assurance that we will be able to successfully secure a project for each quotation.

Depending on market conditions and competitive landscape, we may have to lower our pricing or adjust our quotation or undertake rental engagements involving IT hardware, software and cloud subscriptions of high value in order to maintain our Group's competitiveness. In the event that our Group fails to secure new projects with margins that are comparable to existing ones, our Group's profit margins may be materially and adversely impacted, consequently impacting our Group's business and financial performance. Our Group's profitability may also be adversely impacted in the event we have to incur high capital expenditure to purchase IT hardware, software and cloud subscriptions for rental purposes, as this could incur high depreciations costs.

In addition, in the event of lower revenue arising from our inability to secure new projects, our Group may be more exposed to fluctuations in profit margins as a higher proportion of revenue from lower margin projects without an overall increase in our Group's revenue could adversely affect our Group's financial performance.

9. RISK FACTORS

Further, our profit margins may also be compressed by factors that do not necessarily involve the loss of customers or any deterioration in our market position, including pricing adjustments by our principal vendors (such as changes in product list prices) which we may not be able to fully pass through to our customers within commercially acceptable timeframes, and a normalisation of demand for our solutions and services.

During Financial Years Under Review up to the LPD, our Group had not faced any issues securing new projects and customers that have materially and adversely impacted our financial performance.

9.1.2 We are dependent on our key senior management and skilled employees

Our Group's continued success depends on the efforts from our Directors and key senior management team who are responsible for the formulation of our Group's growth strategies, our daily operations, as well as sales and marketing activities. The inability to replace these key members with adequate substitutes or in a timely manner, may have an adverse impact on our business, financial condition and operational results.

Our continued success also depends upon our ability to attract and retain our skilled personnel, namely our operations team which comprises IT consultation and project implementation personnel, cloud services personnel, IT managed services personnel, and data analytics and business intelligence solutions personnel. The nature of our Group's business requires our employees to be proficient in technical IT skills in order to understand our digital transformation solutions.

Experienced operations personnel will have the technical knowledge to propose solutions that fulfil customers' requirements, needs and budget, as well as carry out the development and implementation of IT services and solutions. Further, we also require skilled personnel to maintain our in-house IT systems to support our operations.

Thus, we need to remain competitive to retain our operations team in this rapidly changing environment whereby competition for IT-proficient employees is intense. We need to employ, train, motivate, retain and manage employees who are skilled in the use and implementation of our Principals' hardware and software, in addition to proficiency in the solutions our Group offers. The inability to attract or retain qualified and competent technical personnel may affect our Group's ability to compete and grow our business.

Although we have not experienced any major disruption to our operations due to shortage of technical personnel, there can be no assurance that we will be able to recruit, develop and retain adequate number of qualified personnel in the future. The loss of our operations team within a short span of time without suitable and timely replacement, or our inability to attract or retain qualified and competent personnel could have an unfavourable and material impact on our Group's ability to compete effectively and this in turn may affect our business and operating results.

During Financial Years Under Review up to the LPD, our Group did not experience any loss in key senior management and skilled personnel that have led to material adverse impacts on our Group's business and financial performance.

9. RISK FACTORS

9.1.3 We may not be able to successfully implement our future plans and business strategies to grow our business which could limit our growth prospects

We intend to expand our operations in accordance with our future plans and business strategies set out in **Section 7.9** of this Prospectus. Whilst we believe that the business expansion strategies will be beneficial to the performance of our Group, the expected benefits may not materialise immediately or at all or may take a longer time to be realised and/or could reduce our profitability in the short term.

There is also no assurance that we will be able to recruit or attract a sufficient number of skilled employees required to support our future plans and business strategies. In addition, the implementation of our future plans and business strategies may also be influenced by various factors beyond our control, such as changes in economic conditions as well as the social and political environment in Malaysia which may affect the commercial viability of such strategies and plans.

In addition, we may also be affected by several business and operational challenges, including our ability to manage the scalability of operations as we expand our solution segments, and maintain consistent quality across multiple segments. As we grow our IT advisory and consulting service sub-segment through AI labs and AI academy, set up our own SOC to grow our managed cybersecurity service sub-segment, develop our own data analytics and business intelligence solutions and expand geographically into Southeast Asia, we may also face challenges relating to unfamiliar market dynamics, regulatory and compliance requirements, increased competition and localisation of our service offerings. Further, increased project volume and complexity may strain our management and financial resources. We are also subject to risks relating to customer adoption and market acceptance of our solutions, as well as our ability to successfully convert proof-of-concepts into revenue-generating contracts or recurring subscription arrangements, on which the commercial success of the above initiatives and our future growth is materially dependent. Any inability to effectively address these challenges may delay or hinder the successful execution of our future plans and adversely affect our business growth and financial performance. Further, our Group's profitability could also be materially and adversely affected should we have to lower our pricing or secure engagements with lower profit margins to penetrate new markets, expand our market share in our solution segments, or maintain our competitive position in response to intensified competition.

As such, we are not able to assure that we will be successful in executing our business strategies, nor can we be assured that we will be able to anticipate all the business and operational risks arising from our business strategies. Any failure or inefficiencies in managing our business growth may lead to a material adverse effect on our business operations and financial performance.

9. RISK FACTORS

9.1.4 We are subject to project inherent risks

Our Group is subject to, amongst others, the following project risks:

- (i) Delay and/or cancellation of projects due to unforeseen circumstances such as unexpected changes in project requirements or timeline. Any delay in customers' projects will accordingly affect the implementation of the systems and this would affect the recognition of revenues from the relevant projects;
- (ii) Project cost overruns due to unanticipated difficulties encountered during the project implementation stage or changes in project requirements. These project cost overruns could impact our Group's profitability;
- (iii) Disputes in scope of works performed between our Group and our customer which may arise due to differing interpretations of contractual obligations, changes in project requirements, or unclear deliverable definitions. These disputes in scope of works may expose us to litigation which will in turn incur costs to defend against such claims by third parties and a diversion of our resources. This could have a material adverse effect on our business, prospects and financial performance.

During Financial Years Under Review up to the LPD, our Group did not experience any of such incidences that have led to material adverse impacts on our Group's business and financial performance.

9.1.5 We may be impacted by quality of services performed or litigations brought upon us for the wrong-doings of our franchisees

As at the LPD, we have entered into 3 franchise agreements with 3 franchisees since 2024. Our franchisees are engaged to provide IT managed services to customers in accordance with our Group's standards, policies and operating procedures. While our in-house personnel maintains oversight of our franchisees and have internal capability to provide IT managed services, should our franchisees be unable to respond to the customers within a specified timeline and/or provide services that do not meet the customer's requirements, this could adversely impact our reputation.

Furthermore, our franchisees may experience financial, operational or compliance challenges, or disputes may arise between our Group and franchisees. Such circumstances could disrupt business relationships and, in certain cases, result in the termination or non-renewal of franchise agreements.

In addition, our Group may from time to time be exposed to claims, disputes, or litigation initiated by our franchisees or third parties, including matters relating to alleged breaches of franchise terms, brand use, or operational obligations, or as a result of disagreements between our Group and our franchisees which cannot be resolved amicably through negotiations. While our Group seeks to resolve such matters amicably and takes legal measures to protect its interests, there can be no assurance that such disputes will not arise or that any resulting proceedings would not have an adverse impact on our Group's reputation, operations, or financial results. As at the LPD, there has been no litigation brought by any of our franchisees, or any third parties, against our Group.

9. RISK FACTORS

9.1.6 Our Group may face risks of security attacks or breaches which could lead to interruption of our business operations

Our Group has the necessary facility and network system to support our Group's provision of managed networking and managed cybersecurity services. Furthermore, we plan to expand our cybersecurity services through setting up an in-house SOC, to carry out managed cybersecurity services for our customers, including monitoring, detecting, analysing and responding to cyber threats and attacks impacting our customer's IT infrastructure from our own new SOC. This is as detailed out in **Section 7.9 (ii)** of this Prospectus.

With our own NOC and future SOC, we are at risks of external and internal security threats or breaches. Typically, external security threats typically include malware attacks, hacking, espionage and cyber intrusion, internal security breaches including employee's unauthorised access to restricted information, or cyber-attacks which originated from employee's malware-infected devices. Any security attacks and breaches can compromise the security of our data and privacy of customer information, and this would materially disrupt our business operations. There can be no assurance that our IT facilities and network system can be protected against all cyber threats and attacks despite having cybersecurity solutions to protect our network infrastructure against security breaches.

Since our commencement of business till the LPD, there have been no incidents of security attacks and breaches that have materially or adversely affected our Group's business operations.

There can also be no assurance that we will not face any system failures or malfunctions in the future that may materially impact our ability to carry out our managed IT services. During Financial Years Under Review up to the LPD, there were no such incidents that materially impacted our Group's business and financial performance.

9. RISK FACTORS

9.1.7 We are subject to foreign exchange fluctuation risks which may impact the profitability of our Group

Transactions by our subsidiary, SRKK Singapore, are denominated in SGD and its financial statements are prepared in SGD, being the country's currency and thereafter translated from SGD and presented in RM. In view of such translation, our financial results presented in RM may be impacted by fluctuations in the SGD:RM exchange rates, and any adverse movements in the foreign exchange markets may have an adverse impact on our business, financial conditions and results of operations. During the Financial Years Under Review, our revenues from SRKK Singapore constituted between 11.43% and 19.40% of our Group's revenues.

The loss in foreign exchange had a minimal impact on our Group's financial statements during the Financial Years Under Review, having recorded a loss in foreign exchange of RM41,000, RM85,000, RM14,000 and RM44,000 for the FYE 2022, FYE 2023, FYE 2024 and FYE 2025, respectively. Further details on the impact of foreign currency exchange is set out in **Section 12.7 (i)** of this Prospectus. Despite this, there is no assurance that any fluctuations in foreign exchange rates would not have a material impact on our financial performance.

Although purchases of IT hardware, software and cloud subscriptions from foreign suppliers are minimal during the Financial Years Under Review, we expect our purchase contribution from foreign suppliers to grow in the future as we are a direct bill partner under the Microsoft Cloud Solution Provider program, enabling us to directly purchase Microsoft cloud solutions and resell these solutions to other solution providers. We are expected to directly purchase a minimum of USD1.00 million from Microsoft over a trailing 12-month period. As these purchases are made in USD, any depreciation of the RM against the USD will increase costs of purchases. If we are unable to pass on the increase in costs to our customers in a timely manner, our financial performance may be adversely affected.

9.1.8 We may be affected by the quality of hardware or software from our Principals or their distributors

The IT hardware or software that we provide to our customers, either through an outright sale or rent, or part of our solutions, have product warranties directly from the Principals. Generally, Principals provide a 1 to 3-year warranty period for IT hardware. During the warranty period, we are responsible for dealing with the Principals or their distributors, on behalf of our customers, should our customers experience any product defects or issues. As the risk of product defects is dependent on the quality of IT hardware or software manufactured or supplied by the Principals or their distributors, we have limited or no ability to control the quality of our Principals' products. As such, any product defects that are not resolved to our customers' satisfaction may adversely affect our Group's relationship with the Principals and reputation with our customers.

In particular, the Microsoft brand of software and cloud solutions is commonly embedded in IT hardware such as computers and laptops. For example, Microsoft operating systems, particularly Windows, and Microsoft application tools, particularly Microsoft 365, are commonly integrated with computers and laptops. By virtue of this, our Group generally adopts the use of Microsoft products in implementing our IT consultation and project implementation services and cloud services for customers, or uses Microsoft products in carrying out services such as IT managed services and data analytics and business intelligence solutions. As such, we are dependent on the performance and quality of Microsoft brand of IT software and cloud subscriptions and any product defects that are not resolved to our customers' satisfaction may adversely affect our Group's relationship with Principals and reputation with our customers.

During Financial Years Under Review up to the LPD, there were no such incidents that materially impacted our Group's business and financial performance.

9. RISK FACTORS

9.1.9 Our intellectual property rights may be infringed

Our Group relies on a combination of trademarks and common law copyright protection to establish and protect our intellectual property. We retain the ownership rights of SRKK and FatNinjas in Malaysia, Singapore, Australia, Thailand, Indonesia, the Philippines, the United Kingdom and New Zealand. However, there can be no assurance that our intellectual property rights will adequately protect our Group against any external infringement of our trademark and products/solutions by third parties.

There is no assurance that any of the above incidents will not occur, or if occur will be resolved in our favour. In the event that we are unsuccessful in pursuing any action against third party infringers, we may suffer material loss arising from financial penalties and/or legal costs. We may also be exposed to other risks such as negative brand reputation, which may adversely impact our financial performance.

During Financial Years Under Review up to the LPD, there were no such incidents that materially impacted our Group's business and financial performance.

9.1.10 Our digital transformation solutions may be affected by system failures

As part of our Group's IT managed service offering, we offer managed networking and managed cybersecurity services. These services involve real-time 24-hour monitoring and management of our customers' IT infrastructure for 7 days a week, including but not limited to, any network performance issues related to network connection fault, cloud performance issues, as well as customer's device and endpoint security threats. We presently undertake the provision of networking services from our NOC, while the provision of managed cybersecurity services are from outsourced teams in SOCs in Malaysia and USA.

Thus, we rely on software systems and internet connection as well as rely on public cloud infrastructure and services to operate our IT system and facilities in order to provide our solutions services. As such, should there be any system failures caused by events that may be beyond our control, such as power failures, internet downtime, equipment failure or natural disasters, may materially adversely impact our Group's ability to provide our services to our customers. This may consequently result in an adverse impact to our Group's industry reputation and relationship with our customer.

Since our commencement of business up to the LPD, our Group has not faced any system failure which materially affected our business operations. However, there can be no assurance that we will not face any system failures or malfunctions in the future that may materially impact our ability to carry out our digital transformation solutions.

During Financial Years Under Review up to the LPD, there were no such incidents that materially impacted our Group's business and financial performance.

9. RISK FACTORS

9.1.11 Inadequate insurance coverage may cause significant loss and damage

We maintain insurance coverage for our business operations. As at the LPD, the insurance policies taken out by our Group are limited to fire, group health, burglary and public liability. All of these insurance coverages are subject to exclusions and limitations of liability both in amount and with respect to the insured events.

During the Financial Years Under Review, there were no insurance claims that have materially impacted our financial performance and position.

We believe our current insurance coverage undertaken is adequate for our business and level of operations. Nonetheless, there can be no assurance that our insurance coverage would be adequate to cover the losses, damages or liabilities or to compensate the claims, which we may incur in the course of our business operations. To the extent that any such risks not covered under our insurance policies, or where the insurance protection is insufficient to cover such risks, we may have to bear the extent of such losses, damages or liabilities and consequently our business and financial performance may be materially and adversely affected. Further, there can be no assurance that such insurance policies will continue to be renewed on terms acceptable to us.

During Financial Years Under Review up to the LPD, there were no such incidents that materially impacted our Group's business and financial performance.

9.1.12 We are exposed to risks of product liability claims from the distribution of IT hardware as part of our products or solutions

We are exposed to inherent risk from claims arising from product liabilities for the IT hardware that we distribute as part of our products or solutions and may face legal actions arising from alleged injuries to users caused by any alleged defects in the hardware distributed by us. A product liability legal action, whether or not meritorious, could result in unexpected cost, diversion of our Group's management's attention and our Group's resources, as well as our brand reputation. This could have an adverse impact on our business, operating results and financial conditions. In addition, a legal action alleging a defect or breach of warranty, if successful, may also have adverse precedent effect on other or future legal actions as well as our Group's or our Principal's reputation.

In most cases, the hardware distributed by our Group typically carry limited manufacturer's warranties from the Principals for a certain period of time. Most product liability legal actions will be redirected to our Principals who granted the manufacturers' warranty.

During Financial Years Under Review up to the LPD, there were no such incidents that materially impacted our Group's business and financial performance.

9. RISK FACTORS

9.2 RISKS RELATING TO OUR INDUSTRY**9.2.1 The digital transformation solutions industry is competitive**

Our Group continues to face competition from existing digital transformation solutions providers as well as potential new entrants in Malaysia. The competition in this industry has been and will continue to pose an impact on our ability to retain our existing customers and secure new customers, and this may lead to an adverse effect to our Group's business operations and financial performance.

Whilst we strive to remain competitive, there can be no assurance that any change in the competitive environment would not have any material or adverse impact on our business and financial performance.

9.2.2 We may not be able to keep up with rapid technological changes which may lead to product obsolescence

The IT industry is characterised by rapidly evolving technology, changing market trends or industry standards, introductions of new or enhancements to existing IT hardware and software as well as services offered, and quick shift in customer demands. The introduction of new technology and the emergence of new industry standards may render our services obsolete and uncompetitive.

There is no guarantee that we will be able to anticipate the introduction of a new IT hardware or software with more advanced specifications, or respond to the introduction in a timely manner.

Thus, our Group faces risks of product obsolescence. Furthermore, we may not have immediate access to the new IT hardware or software being introduced by our Principals. In such circumstances, we may not be able to rapidly and successfully introduce newly developed IT hardware or software on time with the change in market demand.

Although we are not tied to a single Principal, we will need to send our personnel to undergo training in order to be qualified by the Principal to implement solutions using their IT hardware and software. As such, we might experience business interruptions while waiting for our personnel to be qualified, which may adversely impact our Group's financial performance.

Further, we may not be able to obtain similar or more attractive pricing rates and rebates from new Principals, which may impair our competitiveness as a digital transformation solution provider. If we are not able to pass on this increase in costs to customers, our profitability may also be impacted and this could adversely affect our Group's financial performance.

During Financial Years Under Review up to the LPD, there were no such incidents that materially impacted our Group's business and financial performance.

9. RISK FACTORS

9.2.3 We are exposed to the risk of supply disruption of IT hardware resulting from global shortages of semiconductors

Semiconductors are an integral component in the manufacturing of IT hardware, which is an important product used in the facilitation and implementation of our IT solutions. Between 2020 and 2023, there was a global shortage in semiconductors due to disruptions in fabrication activities of foundries contributed by the COVID-19 lockdowns, as well as due to the Russia-Ukraine war in 2022 which exacerbated the shortage in microchips globally. This is because Russia and Ukraine are key suppliers of palladium and neon, which are raw materials used in semiconductor manufacturing. While foundries have stocked up on these materials, the prolonged war affected the supply of semiconductors globally. Recently, the imposition of tariff barriers between the United States and China to restrict companies from trading has also disrupted the supply of semiconductors.

Since late 2025, the global supply of memory chips has been constrained, primarily due to a significant increase in demand driven by AI infrastructure, which requires substantial memory capacity. In response to such demand, memory chip manufacturers have prioritised the production of AI-related memory chips, resulting in reduced availability of memory components for other IT hardware. This has led to disruptions in the supply of IT hardware, as well as increased procurement costs and extended lead times. Consequently, any delay in the procurement of IT hardware may adversely affect our Group's ability to complete projects in a timely manner, which in turn may result in delays in revenue recognition for the relevant financial period and negatively impact our Group's financial performance.

In addition, if our Group is unable to pass on such increased costs to our customers, our Group's profit margins may be adversely affected. The increase in IT hardware prices may also reduce demand for IT solutions, which could have a material adverse effect on our Group's business, financial condition, and results of operations.

The shortages of semiconductors had an adverse impact on the manufacturing of IT hardware. During the Financial Years Under Review and up to the LPD, while our Group has experienced delays in receiving supplies of IT hardware, we have not experienced any material adverse impact on our financial performance due to such disruptions in supplies of IT hardware. However, there can be no assurance that any future disruption in the supply of IT hardware will not have a negative impact on our Group's financial performance.

9.2.4 We are subject to changes in Government, economic, fiscal or monetary policies

As an IT managed service provider that provides managed cybersecurity services, we are required to obtain and hold valid licenses to provide managed cybersecurity services by the National Cyber Security Agency. Please refer to **Section 7.16.1** of this Prospectus for further details of the major licenses, permits and approvals.

Thus, we must comply with any regulations, terms and conditions imposed by the relevant authorities to retain such licenses. Failure to comply with the regulations, terms and conditions may result in the imposition of fines and penalties, suspension, cancellation or non-renewal of our registrations and licenses. The failure to keep or renew promptly the requisite licenses could result in the suspension or restrictions in our business operations including our ability to participate in tenders and to carry out managed cybersecurity services which would adversely affect our business operations and financial performance.

As at the LPD, we have obtained all required licenses to carry out our business and we have not encountered any suspension or non-renewal of licenses.

9. RISK FACTORS

Further, if there are changes in the regulations in relation to our business which result in stricter operating standards and/or compliance requirements, our digital transformation solution business may need to incur additional operating costs to put in place the necessary processes to comply with the new standards/ requirements. In the event that such additional costs cannot be passed on to our customers, we will have to absorb the additional costs incurred, which in turn, would adversely impact the profitability of our business.

Apart from the above, we are also susceptible to events relating to any changes in the political and economic conditions in Malaysia and other countries we market our solutions to. These events could include, but are not limited to, changes in political leaderships, occurrence of civil war or disorder, and changes in import tariffs and related duties. For instance, the recent on-going 2026 Iran war has resulted in a blockade being placed on the Strait of Hormuz, a major shipping channel for oil, which has led to an oil supply crisis and a significant rise in global oil prices. The oil supply crisis and significant increase in oil prices could result in higher freight rates which would consequently result in higher costs in purchasing IT hardware, and delays in delivery of IT hardware.

If we were to pass on the increase in costs of purchasing IT hardware to our customers, this would increase the rates charged for IT solution projects which may lead to these customers delaying and/or cancelling IT solution projects. Conversely, if we are unable to fully pass on the increase in costs of purchasing IT hardware to our customers, this could adversely impact our profit margins. Meanwhile, the delay in delivery of IT hardware could also result in a delay in implementation of IT solution projects.

In addition, the businesses of GLCs, enterprises and corporations may also be adversely impacted, resulting in cutbacks in expenses in relation to IT solution projects which in turn would also result in potential delays and/or cancellation of IT solution projects. Any delays or cancellations of our Group's IT solution projects could impact our Group's revenue recognition for the financial year, thus adversely impacting our Group's financial performance.

9. RISK FACTORS

9.3 RISKS RELATING TO OUR SHARES

9.3.1 There has been no prior market for our Shares

Prior to our Listing, there has been no public market for our Shares. Hence, there is no assurance that upon Listing, an active market for our Shares will develop, or, if developed, that such market can be sustained. The IPO Price was determined after taking into consideration a number of factors including, but not limited to, our historical earnings, prospects and future plans and our financial and operating history.

There can be no assurance that the IPO Price will correspond to the price at which our Shares will trade on the ACE Market upon our Listing or that an active market for our Shares will develop.

9.3.2 Our Share price and trading volume may be volatile

The market price of our Shares may be highly volatile and could be subject to wide fluctuations in response to, among others, the following factors, some of which are beyond our control:

- (i) variation in our operating results. Although we do not expect our Group's GP margins to vary significantly, there can be no assurance that our GP margins will not change in the future due to various factors, including changes in product mix, pricing strategies, competitive pressures, supplier pricing and other market conditions beyond our control. In addition, our future expansion into new geographical markets may expose us to different competitive environments and customer preferences, which may require us to adopt different pricing strategies or accept lower margins and could adversely affect our GP margins.

In general, the market price of our Shares may also be influenced by investors' expectations regarding our future financial performance and growth prospects. As a result, even if our Group remains profitable, any slowdown in revenue growth, earnings growth or overall business performance relative to market expectations may adversely affect investor sentiment and result in increased volatility or a decline in the market price of our Shares;
- (ii) success or failure of our management in implementing business and growth strategies;
- (iii) changes in securities analysts' recommendations, perceptions or estimates of our financial performance;
- (iv) changes in conditions affecting the industry, general economic conditions or stock market sentiments or other events or factors;
- (v) changes in market valuations and share prices of companies with similar businesses to our Company that may be listed in Malaysia or anywhere else in the world;
- (vi) additions or departures of key management;
- (vii) fluctuations in stock market prices and volume;
- (viii) involvement in litigation;
- (ix) changes in government policy, legislation or regulation; or
- (x) natural disasters, health epidemics and outbreaks of contagious diseases.

9. RISK FACTORS

The performance of Bursa Securities is also affected by external factors such as the performance of the regional and global stock exchanges, inflow or outflow of foreign funds. Sentiment is also largely driven by internal factors such as economic and political conditions of the country as well as the growth potential of the various sectors of the economy. These factors invariably contribute to the volatility of trading volumes on Bursa Securities, thus adding risks to the market price of our Shares.

9.3.3 There may be a potential delay to or cancellation of our Listing

The occurrence of any one or more of the following events, which is not exhaustive, may cause a delay in or cancellation of our Listing:

- (i) our Underwriter exercising its rights under the Underwriting Agreement to discharge itself from its obligations;
- (ii) the revocation of approvals from relevant authorities for our Listing and/or admission for whatever reason; or
- (iii) we are unable to meet the public shareholding spread requirement of the Listing Requirements, i.e. at least 25% of our number of issued Shares for which listing is sought must be held by a minimum number of 200 public shareholders holding not less than 100 Shares each at the point of our Listing.

Where prior to the issuance and allotment of our IPO Shares:

- (i) the SC issues a stop order pursuant to Section 245(1) of the CMSA, the applications shall be deemed to be withdrawn and cancelled. Our Company and Selling Shareholders, shall repay all monies paid in respect of the applications for our IPO Shares within 14 days of the stop order, failing which our Company and Selling Shareholders shall be liable to return such monies with interest at the rate of 10% per annum or at such other rate specified by the SC pursuant to Section 245(7)(a) of the CMSA; or
- (ii) our Listing is aborted, investors will not receive any of our IPO Shares and all monies paid in respect of applications for our IPO Shares will be refunded free of interest.

Where subsequent to the issuance and allotment of our IPO Shares:

- (i) the SC issues a stop order pursuant to Section 245(1) of the CMSA, any issue of our IPO Shares shall be deemed to be void and all monies received from the applicants shall be forthwith repaid and if any such money is not repaid within 14 days of the date of service of the stop order, our Company and Selling Shareholders shall be liable to return such monies with interest at the rate of 10% per annum or at such other rate specified by the SC pursuant to Section 245(7)(b) of the CMSA; or
- (ii) our Listing is aborted other than pursuant to a stop order by the SC under Section 245(1) of the CMSA, a return of monies to our shareholders could only be achieved by way of a cancellation of share capital as provided under the Act and its related rules. Such cancellation can be implemented by either:
 - (a) the sanction of our shareholders by special resolution in a general meeting, consent by our creditors (unless dispensation with such consent has been granted by the High Court of Malaya) and the confirmation of the High Court of Malaya, in which case, there can be no assurance that such monies can be returned within a short period of time or at all under such circumstances; or

9. RISK FACTORS

- (b) the sanction of our shareholders by special resolution in a general meeting supported by a solvency statement from the directors.

Nonetheless, our Board will endeavour to ensure compliance with the various requirements for our Listing.

9.3.4 Future sale or issuance of our Shares could adversely affect our Share price

Any future sale, issuance or availability of our Shares can have an adverse effect on our Share price. The sale of a significant amount of our Shares in the public market after our IPO, or the perception that such sales may occur, could adversely affect the market price of our Shares. These factors also affect our ability to raise funds from the issue of additional equity securities.

If our Promoters sell, or are perceived to sell, substantial amounts of Shares in the public market following the expiry of the moratorium period, this may result in a dampening effect on our Share price.

9.3.5 We are a holding company and, as a result, are dependent on the flow of dividends from our subsidiaries to provide funds for payment of dividends on our Shares

Our ability to pay dividends or make other distributions to our shareholders is not guaranteed. Our Company is a holding company and we conduct, substantially, all of our operations through our subsidiaries. Accordingly, an important source of our income is the amount of dividends and other distributions that our Company receives from our subsidiaries. Consequently, our ability to declare and pay dividends are dependent on the financial performance of our subsidiaries.

Please refer to **Section 12.15** of this Prospectus for further discussion on our dividend policy and **Section 15.5** of this Prospectus for detailed information on the repatriation of capital, remittance of profit and taxation by or to our Group.

9.3.6 Our future fund-raising exercise may result in dilution of your shareholdings

Our capital requirements are dependent on, amongst others, our business, the availability of our resources for attracting, maintaining and enlarging our client base and the need to maintain and expand our service offering. Thus, we may need additional capital expenditure for future expansions and/or investments. An issue of new shares or other securities to raise funds will dilute shareholders' equity interest and may, in case of a rights issue, require additional investments by shareholders.

9.4 OTHER RISKS

9.4.1 Our Promoters will be able to exert significant influence over our Company as they will continue to hold majority of our Shares after the IPO

As disclosed in **Section 5.1.1** of this Prospectus, our Promoters will directly and collectively hold, in aggregate, 73.84% of our enlarged issued share capital upon Listing. As a result, they will be able to, in the foreseeable future, effectively control the business direction and management of our Group. They may also be able to influence the outcome of certain matters requiring the vote of our shareholders, unless they are required to abstain from voting either by law and/or by the relevant guidelines or regulations.

For instance, due to the Promoters' collective shareholding, unless the Promoters are required to abstain from voting either by law and/or by the relevant guidelines or regulations, where the Promoters vote in favour of ordinary resolutions which require a simple majority approval, their voting in favour will result in the ordinary resolutions being passed. Conversely, if the Promoters vote against such resolutions, such resolutions will not be able to be passed.

10. RELATED PARTY TRANSACTIONS

Pursuant to the Listing Requirements, subject to the exemptions, generally a “related party transaction” is a transaction entered into by a listed corporation or its subsidiary which involves the interest, direct or indirect, of a related party. A “related party” is defined as a director, major shareholder or person connected with such director or major shareholder (including, a director or major shareholder within the preceding 6 months before the transaction was entered into) as per Rule 10.02 of the Listing Requirements. “Major shareholder” means a shareholder with a shareholding of 10% or more (or 5% or more where such person is the largest shareholder in the company) of all the voting shares in the company as per Rule 1.01 of the Listing Requirements.

Upon our Listing, we may be required to seek our shareholders’ approval each time we enter into a material related party transaction in accordance with Rule 10.08 of the Listing Requirements. However, if the related party transactions are deemed as recurrent related party transactions, we may seek a general mandate from our shareholders to enter into these transactions without having to seek separate shareholders’ approval each time we wish to enter into such related party transactions during the validity period of the mandate and the interested person shall abstain from voting on resolution(s) pertaining to the respective transaction.

Under the Listing Requirements, related party transactions may be aggregated to determine its materiality if the transactions occurred within a 12 month period, are entered into with the same party or with parties related to one another or if the transactions involved the acquisition or disposal of securities or interests in one corporation/ asset or of various parcels of land contiguous to each other.

10.1 RELATED PARTY TRANSACTIONS

Save for the Internal Reorganisation Exercise as set out in **Section 6.6** of this Prospectus and as disclosed below, there are no material related party transactions, existing or proposed, entered or to be entered into by our Group which involved the interests, direct or indirect, of our Directors, major shareholders and/ or persons connected with them for the Financial Years Under Review and up to the LPD:

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2022 (RM'000)	FYE 2023 (RM'000)	FYE 2024 (RM'000)	FYE 2025 (RM'000)	1 January 2026 up to the LPD (RM'000)
1.	SRKK and Joel Holdings ⁽¹⁾	<u>Joel Resources</u> Joel Resources is the major shareholder of SRKK and Joel Holdings. Accordingly, SRKK and Joel Holdings are related corporations.	Rental of the Klang Office (Level 15) by SRKK ⁽³⁾ This is a recurrent transaction and will subsist after the Listing.	222 (4.20% of our Group's PAT)	222 (5.11% of our Group's PAT)	222 (4.43% of our Group's PAT)	222 (3.26% of our Group's PAT)	93

10. RELATED PARTY TRANSACTIONS

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2022	FYE 2023	FYE 2024	FYE 2025	1 January 2026 up to the LPD
				(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
2.		<u>Yew Lip Sin</u> Yew Lip Sin is the Executive Director and a major shareholder ⁽²⁾ of SRKK. He was a director of Joel Holdings up to 30 October 2023. He is an indirect major shareholder of Joel Holdings (via his direct holdings in Joel Resources).	Rental of the Klang Office (Level 13A) by SRKK ⁽⁴⁾ This is a recurrent transaction and will subsist after the Listing.	-	-	13 (0.26% of our Group's PAT)	77 (1.13% of our Group's PAT)	32
3.		<u>Yew Peng Fong</u> Yew Peng Fong is the sister of Yew Lip Sin. She was a director of Joel Holdings up to 30 October 2023.	Rental of Unit 13A-13, 13A-13A, Port Tech Tower, Jalan Tiara 3/KU01, Bandar Baru Klang, 41150 Klang, Selangor by SRKK ⁽⁵⁾ This is a recurrent transaction and will subsist after the Listing.	-	-	-	-	36
4.		<u>Gan Siew Mei</u> Gan Siew Mei is the spouse of Yew Lip Sin and a major shareholder ⁽²⁾ of SRKK. She is also the director of Joel Holdings from 30 October 2023 up to the LPD.	Rental of the Johor Office by SRKK ⁽⁶⁾ This is a recurrent transaction and will subsist after the Listing.	32 (0.60% of our Group's PAT)	32 (0.74% of our Group's PAT)	32 (0.64% of our Group's PAT)	32 (0.47% of our Group's PAT)	13
5.		<u>Tew Guat Bit</u> Tew Guat Bit is the spouse of Yeoh Kai Hearn, the Executive Director of SRKK. She is also the director of Joel Holdings from 30 October 2023 up to the LPD.	Repayment by SRKK to Joel Holdings for rental and/or payments on behalf of operating expenses ⁽⁷⁾ This is a recurrent transaction and will subsist after the Listing.	-	454 (7.51% of our Group's NA)	371 (4.21% of our Group's NA)	409 (2.76% of our Group's NA)	198

10. RELATED PARTY TRANSACTIONS

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2022	FYE 2023	FYE 2024	FYE 2025	1 January 2026 up to the LPD
				(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
6.	SRKK and Joel Resources	<u>Joel Resources</u> Joel Resources is the major shareholder of SRKK. <u>Yew Lip Sin</u> Yew Lip Sin is the Executive Director and a major shareholder⁽²⁾ of SRKK. He was a director of Joel Resources up to 30 October 2023 and he is a direct and indirect major shareholder of Joel Resources. <u>Yeoh Kai Hearn</u> Yeoh Kai Hearn is the Executive Director of SRKK. He was a director of Joel Resources up to 30 October 2023. <u>Yew Peng Fong</u> Yew Peng Fong is the sister of Yew Lip Sin. She was a director of Joel Resources up to 30 October 2023. She is a direct major shareholder of Joel Resources.	Repayment by SRKK to Joel Resources for payments on behalf of operating expenses	-	261 (4.32% of our Group's NA)	-	-	-

10. RELATED PARTY TRANSACTIONS

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2022	FYE 2023	FYE 2024	FYE 2025	1 January 2026 up to the LPD
				(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
		<u>Gan Siew Mei</u> Gan Siew Mei is the spouse of Yew Lip Sin and major shareholder⁽²⁾ of SRKK. She is the director of Joel Resources from 30 October 2023 up to the LPD, and she is also a direct major shareholder of Joel Resources. <u>Tew Guat Bit</u> Tew Guat Bit is the spouse of Yeoh Kai Hearn. She is the director of Joel Resources from 30 October 2023 up to the LPD.						

10. RELATED PARTY TRANSACTIONS

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2022	FYE 2023	FYE 2024	FYE 2025	1 January 2026 up to the LPD
				(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
7.	SRKK Consulting, Joel Holdings and Joel Resources	Joel Resources Joel Resources is the major shareholder of SRKK and Joel Holdings. Accordingly, SRKK Consulting, wholly owned subsidiary of SRKK, Joel Holdings and Joel Resources are related corporations. Yew Lip Sin Yew Lip Sin is the Executive Director and a major shareholder⁽²⁾ of SRKK. He is also the director of SRKK Consulting. He was a director of Joel Holdings and Joel Resources up to 30 October 2023. He is an indirect shareholder of Joel Holdings (via his direct holdings in Joel Resources). He is a direct and indirect major shareholder of Joel Resources. Gan Siew Mei Gan Siew Mei is the spouse of Yew Lip Sin and major shareholder⁽²⁾ of SRKK.	Contra settlement in relation to balances between SRKK Consulting, Joel Holdings and Joel Resources. The arrangement was undertaken to streamline the settlement of outstanding receivables and payables amongst the parties. Under this arrangement, the respective amounts owed by and due to each entity were netted off against one another, resulting in a reduction of the outstanding balances without cash movement.	3,657 (72.04% of our Group's NA)	-	-	-	-

10. RELATED PARTY TRANSACTIONS

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2022	FYE 2023	FYE 2024	FYE 2025	1 January 2026 up to the LPD
				(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
		She is the director of Joel Holdings and Joel Resources from 30 October 2023 up to the LPD. She is also a direct major shareholder of Joel Resources. <u>Yew Peng Fong</u> Yew Peng Fong is the sister of Yew Lip Sin. She is also the director of SRKK Consulting. She was the director of Joel Resources and Joel Holdings up to 30 October 2023. She is a direct major shareholder of Joel Resources. <u>Yeoh Kai Hearn</u> Yeoh Kai Hearn is the Executive Director SRKK. He is also the director of SRKK Consulting. He was a director of Joel Resources up to 30 October 2023.						

10. RELATED PARTY TRANSACTIONS

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2022	FYE 2023	FYE 2024	FYE 2025	1 January 2026 up to the LPD
				(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
		<u>Tew Guat Bit</u> Tew Guat Bit is the spouse of Yeoh Kai Hearn. She is the director of Joel Resources and Joel Holdings from 30 October 2023 up to the LPD.						
8.	SRKK Computer, Joel Holdings and Joel Resources	<u>Joel Resources</u> Joel Resources is the major shareholder of SRKK and Joel Holdings. Accordingly, SRKK Computer, wholly owned subsidiary of SRKK, Joel Holdings and Joel Resources are related corporations. <u>Yew Lip Sin</u> Yew Lip Sin is the Executive Director and a major shareholder⁽²⁾ of SRKK. He is also the director of SRKK Computer. He was a director of Joel Holdings and Joel Resources up to 30 October 2023.	Contra settlement in relation to balances between SRKK Computer, Joel Holdings and Joel Resources. The arrangement was undertaken to streamline the settlement of outstanding receivables and payables amongst the parties. Under this arrangement, the respective amounts owed by and due to each entity were netted off against one another, resulting in a reduction of the outstanding balances without cash movement.	480 (9.46% of our Group's NA)	-	-	-	-

10. RELATED PARTY TRANSACTIONS

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2022	FYE 2023	FYE 2024	FYE 2025	1 January 2026 up to the LPD
				(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
		He is an indirect shareholder of Joel Holdings (via his direct holdings in Joel Resources). He is a direct and indirect major shareholder of Joel Resources. <u>Gan Siew Mei</u> Gan Siew Mei is the spouse of Yew Lip Sin and major shareholder⁽²⁾ of SRKK. She is the director of Joel Holdings and Joel Resources from 30 October 2023 up to the LPD. She is also a direct major shareholder of Joel Resources. <u>Yew Peng Fong</u> Yew Peng Fong is the sister of Yew Lip Sin. She is also the director of SRKK Computer.						

10. RELATED PARTY TRANSACTIONS

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2022	FYE 2023	FYE 2024	FYE 2025	1 January 2026 up to the LPD
				(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
		She was the director of Joel Resources and Joel Holdings up to 30 October 2023. She is a direct major shareholder of Joel Resources. <u>Yeoh Kai Hearn</u> Yeoh Kai Hearn is the Executive Director of SRKK. He is also the director of SRKK Computer. He was a director of Joel Resources up to 30 October 2023. <u>Tew Guat Bit</u> Tew Guat Bit is the spouse of Yeoh Kai Hearn. She is the director of Joel Resources and Joel Holdings from 30 October 2023 up to the LPD.						

10. RELATED PARTY TRANSACTIONS

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2022	FYE 2023	FYE 2024	FYE 2025	1 January 2026 up to the LPD
				(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
9.	Integrity and Alex Lam	Alex Lam Alex Lam is the Executive Director and a major shareholder ⁽⁸⁾ of SRKK. He is also the director of Integrity.	Payment on behalf by Alex Lam for administrative expenses	848 (16.71% of our Group's NA)	-	-	-	-
			Repayment by Integrity to Alex Lam	-	848 (14.03% of our Group's NA)	-	-	-
10.	Integrity and Two Fish PLT	Two Fish PLT Two Fish PLT is the major shareholder of SRKK. The major shareholders and partners of Two Fish PLT are Alex Lam and Grace Tan. Alex Lam Alex Lam is the Executive Director and a major shareholder ⁽⁸⁾ of SRKK. He is also the director of Integrity. Grace Tan Grace Tan is the spouse of Alex Lam and major shareholder of SRKK.	Provision of cloud storage for domain management ⁽⁹⁾ This transaction will not subsist after the Listing.	-	-	218 (0.23% of our Group's Revenue)	-	-

10. RELATED PARTY TRANSACTIONSNotes:

- (1) Joel Holdings is principally involved in investment holdings in properties and shares of listed companies in Malaysia and Singapore.
- (2) Deemed interested by virtue of their direct shareholding in Joel Resources pursuant to Section 8(4) of the Act.
- (3) Our Company is renting 7 units of office space located at Unit 15-1, 15-2, 15-3, 15-3A, 15-5, 15-6, 15-7, Port Tech Tower, Jalan Tiara 3/KU01, Bandar Baru Klang, 41150 Klang, Selangor from Joel Holdings. The tenancy period is from 2 July 2024 to 1 July 2027, with an option to renew at the discretion of the landlord for a further term of 3 years at the prevailing market rental rate. The rental is at RM222,192.24 per annum. In the event our Company breaches the terms of such tenancy agreement, the landlord is entitled to terminate the tenancy.
- (4) Our Company is renting 3 units of office space located at Unit 13A-5, 13A-6 & 13A-7, Port Tech Tower, Jalan Tiara 3/KU01, Bandar Baru Klang, 41150 Klang, Selangor from Joel Holdings. The tenancy period is from 1 November 2024 to 31 October 2027, with an option to renew at the discretion of the landlord for a further term of 3 years at the prevailing market rental rate. The rental is at RM77,064 per annum. In the event our Company breaches the terms of such tenancy agreement, the landlord is entitled to terminate the tenancy.
- (5) Our Company is renting 2 units of office space located at Unit 13A-13, 13A-13A, Port Tech Tower, Jalan Tiara 3/KU01, Bandar Baru Klang, 41150 Klang, Selangor from Joel Holdings. The tenancy period is from 1 January 2026 to 31 December 2028, with an option to renew at the discretion of the landlord for a further term of 3 years at the prevailing market rental rate. The rental is at RM85,599.36 per annum. In the event our Company breaches the terms of such tenancy agreement, the landlord is entitled to terminate the tenancy.
- (6) Our Company is renting a unit of office space located at Suite 1702, Level 17, City Plaza, 21 Jalan Tebrau, 80300 Johor Bahru, Johor from Joel Holdings. The tenancy period is from 2 July 2024 to 1 July 2027, with an option to renew at the discretion of the landlord for a further term of 3 years at the prevailing market rental rate. The rental is at RM31,775.04 per annum. In the event our Company breaches the terms of such tenancy agreement, the landlord is entitled to terminate the tenancy.
- (7) The payments represent rental and reimbursement of electricity charges, where Joel Holdings is the landlord of the premises occupied by SRKK and the registered utility account holder.
- (8) Deemed interested by virtue of their involvement as a Partner in Two Fish PLT pursuant to Section 8(4) of the Act.
- (9) Two Fish PLT had purchased cloud storage from Integricity for domain management.

10. RELATED PARTY TRANSACTIONS

Our Directors, having considered all aspects of the related party transactions, are of the opinion that, save for the Transaction 9, all the aforementioned related party transactions were conducted on an arm's length basis as the respective considerations were fixed at prevailing market rates and on normal commercial terms that are not more favourable to the related parties than those generally available to the public and are not to the detriment of the minority shareholders.

For Transaction 9, the payment on behalf provided by the related party to our Group was not conducted on an arm's length basis, as it was interest free. However, it was not detrimental to our Group. As at the LPD, such payment on behalf have been fully settled by our Group.

Save for the following transactions ("**Continuing RPTs**"), there are no subsisting transactions with the related parties after our Listing.

- (i) For Transaction 1 above, the monthly rate of RM18,516 represented a rental rate of RM2.00 per sq. ft. Based on publicly available rental listings where the comparable rentals were ranged from RM1.80 and RM2.00 per sq. ft., the rental rate for the Transaction 1 is within the prevailing market rates and are on normal commercial terms which are not more favourable to the related party i.e. Joel Holdings;
- (ii) For Transaction 2 above, the monthly rate of RM6,422 represented a rental rate of RM2.00 per sq. ft. Based on publicly available rental listings where the comparable rentals were ranged from RM1.80 and RM2.00 per sq. ft., the rental rate for the Transaction 2 is within the prevailing market rates and are on normal commercial terms which are not more favourable to the related party i.e. Joel Holdings;
- (iii) For Transaction 3 above, the monthly rate of RM7,133.28 represented a rental rate of RM2.16 per sq. ft. Based on publicly available rental listings where the comparable rentals were ranged from RM1.95 and RM2.50 per sq. ft., the rental rate for the Transaction 3 is within the prevailing market rates and are on normal commercial terms which are not more favourable to the related party i.e. Joel Holdings;
- (iv) For Transaction 4 above, the monthly rate of RM2,648 represented a rental rate of RM2.00 per sq. ft. Based on publicly available rental listings where the comparable rentals were ranged from RM1.92 and RM2.00 per sq. ft., the rental rate for the Transaction 4 is within the prevailing market rates and are on normal commercial terms which are not more favourable to the related party i.e. Joel Holdings; and
- (v) For Transaction 5, the repayment by SRKK to Joel Holdings for rental and/or payments on behalf of operating expenses. The payment relating to operating expenses are reimbursements made on a pass-through basis.

After our Listing, the terms of the Continuing RPTs will be reviewed by our Audit and Risk Management Committee and our Board shall seek the relevant approvals from our shareholders to enter into such recurrent related party transactions at a general meeting, if required under the Listing Requirements. As at the date of this Prospectus, our Board has confirmed that there are no other related party transactions entered into but not yet effected.

Upon our Listing, our Audit and Risk Management Committee will review the terms of any related party transactions and ensure that any related party transactions (including any recurrent related party transactions) are conducted on an arm's length basis and on terms not more favourable to the related parties than those generally available to the public and are not detrimental to our minority shareholders. We will make disclosures in our annual report of the aggregate value of recurrent related party transactions entered into by us based on the nature of transactions made, names of the related parties involved and their relationship with our Group during the financial year and in the annual reports for the subsequent financial years.

10. RELATED PARTY TRANSACTIONS

10.2 TRANSACTIONS THAT ARE UNUSUAL IN NATURE OR CONDITION

There is no transaction that is unusual in its nature or condition, involving goods, services, tangible or intangible assets, to which our Group was a party during the Financial Years Under Review and up to the LPD.

10.3 OUTSTANDING LOANS AND/ OR FINANCIAL ASSISTANCE MADE TO OR FOR THE BENEFIT OF THE RELATED PARTIES

There are no outstanding loans and/ or financial assistance (including guarantees of any kind) made by our Group to or for the benefit of the related parties for the Financial Years Under Review and up to the LPD.

10. RELATED PARTY TRANSACTIONS**10.4 LOANS AND/ OR FINANCIAL ASSISTANCE FROM RELATED PARTIES TO OUR GROUP**

There are no outstanding loans received by our Group from any related parties during the Financial Years Under Review and up to the LPD.

Notwithstanding the above, Chui Joo Seng and the following Directors, Promoters and substantial shareholders of our Group have extended guarantees for our Group's banking and leasing/hire purchase facilities:

Financiers	Type of facilities	Outstanding balance as at LPD (RM'000)	Facility limit (RM'000)	Type of Third-party Securities	Guarantors
Malayan Banking Berhad ("MBB")	1. Term Loan ⁽¹⁾ 2. Trade Facilities	2,390	5,000	1 property owned by Joel Holdings ("Third-party Security")	• Yew Lip Sin • Yeoh Kai Hearn • Yew Peng Fong • Joel Resources
Maybank Islamic Berhad ("MIB")	Trade and Overdraft Facility	-	425	Nil	• Alex Lam • Chui Joo Seng⁽²⁾
Public Bank Berhad ("PBB")	Term Loan ⁽³⁾	1,700	1,700	Nil	• Yew Lip Sin • Yeoh Kai Hearn • Yew Peng Fong • Alex Lam • Joel Resources • SRKK Consulting

Notes:

- (1) The term loan was extended to our Group for working capital purposes, which was subsequently drawn down for purchase of equipment.
- (2) Chui Joo Seng was a director and shareholder of Integricity. He subsequently resigned as a director on 13 April 2021 and disposed his entire equity interest in Integricity on 28 December 2021 to Alex Lam. We have received conditional approvals from MIB to discharge the existing personal guarantees and for such guarantees to be replaced with a corporate guarantee by SRKK upon Listing.

10. RELATED PARTY TRANSACTIONS

- (3) The term loan was obtained in August 2025, which was extended to our Group for the acquisition of Unit 10-1, 10-2, 10-3, 10-3A, 10-5, 10-6, 10-7 and 10-8 in Port Tech Tower.

In conjunction with our Listing, we have written to MBB, MIB and PBB ("**Financiers**") to obtain a release and/or discharge of the third party personal and corporate guarantees provided or to be provided (excluding the corporate guarantee to be provided by SRKK Consulting in favour of PBB, as it is an entity within our Group) as well as the Third-Party Security provided by replacing/substituting the same with a corporate guarantee from SRKK after our Listing. Until such release and/or discharge are obtained from the respective Financiers, our Directors will continue to provide the personal guarantees and the Third-Party Security will remain intact as securities for the banking facilities extended to our Group.

As at the LPD, we have received approvals from MBB, MIB and PBB to discharge the existing personal guarantees and Third-Party Security and for such guarantees to be replaced with a corporate guarantee by SRKK upon Listing, as the case may be. The approvals are subject to, amongst others, the following conditions:

- (a) the success of our Listing; and
- (b) replacement of the personal guarantees with corporate guarantees from our Company.

In addition, the Directors, Promoters and substantial shareholders of our Group have also jointly and severally provided personal guarantees pursuant to the guarantee agreements entered into in favour of 2 suppliers, namely Tec D Distribution (Malaysia) Sdn Bhd and Vstecs Astar Sdn Bhd (collectively, the "**Suppliers**"). Our Group has applied to the Suppliers to obtain a release and/or discharge of the guarantees by substituting the same with a corporate guarantee from our Company.

As at the LPD, our Group has received approvals from all the Suppliers to discharge the existing personal guarantees and for such guarantees to be replaced with a corporate guarantee by SRKK upon Listing, as the case may be. The approvals from the Suppliers are subject to, amongst others, the following conditions:

- (a) the success of the Listing; and
- (b) replacement of the personal guarantees with corporate guarantees from our Company.

10. RELATED PARTY TRANSACTIONS

Until such release and/or discharge are obtained from the respective Suppliers, the Directors, Promoters and substantial shareholder will continue to guarantee the obligations pursuant to such guarantee agreements.

Further, we have put in place internal control and compliance procedures in relation to loans and/or financial assistance to be provided to related parties and/or third parties, and no further loans or financial assistance will be provided to any related parties by our Group unless such loans are permitted under the applicable laws and the Listing Requirements and brought to our Audit and Risk Management Committee and our Board for deliberation and approval.

10. RELATED PARTY TRANSACTIONS**10.5 MONITORING AND OVERSIGHT OF RELATED PARTY TRANSACTIONS****10.5.1 Audit and Risk Management Committee review**

Our Audit and Risk Management Committee reviews related party transactions and conflict of interest situations that may arise within our Group including any transaction, procedures or course of conduct that raises questions of management integrity. It also maintains and periodically reviews the adequacy of the procedures and processes established by our Company to monitor related party transactions and conflicts of interest. It also sets the procedures and processes to ensure that transactions are carried out in the best interest of our Company on normal commercial terms that are industry norms and not more favourable to the related party than those generally available to third parties dealing at arm's length, and are not to the detriment of the interest of our Company's minority shareholders. Among others, the related parties and parties who are in a position of conflict with the interest of our Group will be required to abstain from deliberations on the transactions.

All reviews by our Audit and Risk Management Committee will be reported to our Board for its further action.

10.5.2 Our Group's policy on related party transactions

Related party transactions by their nature, involve conflict of interest between our Group and the related parties with whom our Group has entered into such transactions. Some of the Directors and/or major shareholders of our Group are also directors and/or shareholders of the related parties of our Group, as disclosed in this Prospectus. Any such related party transactions may, individually and in aggregate, give rise to potential conflicts of interest.

Any related party transactions shall be reviewed by our Audit and Risk Management Committee to ensure that they are carried out on normal commercial terms which are not more favourable to the related party than those available to the public and these terms which are not more favourable to the related parties than those generally available to the public dealing at arm's length with our Group and are not detrimental to our minority shareholders. The related parties and parties who are in a position of conflict with the interest of our Group will be required to abstain from deliberations and voting on resolutions pertaining to the matters and/or transactions where a conflict of interest may arise.

In addition, we have adopted a comprehensive corporate governance framework that meets best practice principles to mitigate any potential conflict of interest situation, to comply with the Listing Requirements and adhere to the best extent possible with the guidance principles as set out in the MCCG. The procedures which may form part of the framework include, amongst other things, the following:

- (a) our Board shall ensure that half of our Board members are independent directors and will undertake an annual assessment on our independent directors;
- (b) our Directors will be required to immediately make full disclosure of any direct/indirect interest that they may have in any business enterprise that is engaged in or proposed to be engaged in a transaction with our Group, whether or not they believe it is a material transaction. Upon such disclosure, the interested director shall be required to abstain from deliberation and voting on any resolution related to the related party transaction; and
- (c) all existing or potential related party transactions would have to be disclosed by the interested party for management reporting. Our management will propose the transaction to our Audit and Risk Management Committee for evaluation and assessment who would in turn, make a recommendation to our Board for deliberation and approval.

11. CONFLICT OF INTEREST**11.1 INTEREST IN SIMILAR BUSINESS AND IN BUSINESSES OF OUR CUSTOMERS AND SUPPLIERS**

As at the LPD, our Directors and substantial shareholders do not have any interest, direct or indirect, in businesses or corporations carrying on a similar trade as our Group, or which are the customers or suppliers of our Group.

Our Audit and Risk Management Committee will review any conflict of interest situation and review our Group's current and future RPTs and ensure that any such transactions are conducted on an arm's length basis and on terms not more favourable to the related parties than those generally available to the public and are not detrimental to our minority shareholders.

11.2 DECLARATION BY ADVISERS ON CONFLICT OF INTEREST**11.2.1 Declaration by Principal Adviser, Sponsor, Placement Agent and Underwriter**

TA Securities confirms that there is no existing or potential conflict of interest in its capacity as the Principal Adviser, Sponsor, Placement Agent and Underwriter for our IPO.

11.2.2 Declaration by Crowe Malaysia PLT

Crowe Malaysia PLT confirms that there is no existing or potential conflict of interest in its capacity as the Auditors and Reporting Accountants for our IPO.

11.2.3 Declaration by Ong Eu Jin Partnership

Ong Eu Jin Partnership confirms that there is no existing or potential conflict of interest in its capacity as the Solicitors as to laws of Malaysia in respect of our IPO.

11.2.4 Declaration by Providence Strategic Partners

Providence Strategic Partners confirms that there is no existing or potential conflict of interest in its capacity as the IMR for our IPO.

12. FINANCIAL INFORMATION

12.1 HISTORICAL FINANCIAL INFORMATION

Our audited financial statements were prepared in accordance with the Malaysian Financial Reporting Standards (“**MFRS**”) and International Financial Reporting Standards (“**IFRS**”). There has been no audit qualification on our audited financial statements for the FYE 2022 to FYE 2025.

As our Group has not been in place as at 31 December 2023, our historical financial information is presented based on the audited combined financial statements of our Group for the FYE 2022 and FYE 2023, and the audited consolidated financial statements of our Group for the FYE 2024 and FYE 2025. Please refer to **Section 6.6** of this Prospectus for further details of our internal reorganisation exercises.

The following historical financial information for the FYE 2022 to FYE 2025 should be read in conjunction with the “Management Discussion and Analysis of Financial Condition and Results of Operations” as set out in **Section 12.3** of this Prospectus and the Accountants’ Report as set out in **Section 13** of this Prospectus.

12.1.1 Statements of Profit or Loss and Other Comprehensive Income

The table below sets out the statements of profit or loss and other comprehensive income of our Group for the Financial Years Under Review:

	Audited			
	FYE 2022 RM'000	FYE 2023 RM'000	FYE 2024 RM'000	FYE 2025 RM'000
Revenue	77,687	75,213	94,540	112,163
Cost of sales	(60,417)	(56,598)	(73,801)	(87,021)
GP	17,270	18,615	20,739	25,142
Other income	1,691	375	1,115	616
Selling and marketing expenses	(627)	(817)	(950)	(1,229)
Administrative expenses	(10,943)	(11,864)	(14,391)	(15,754)
Other expenses	(462)	(589)	(746)	(854)
Finance costs	(59)	(103)	(162)	(156)
Net (impairment losses)/reversal of impairment loss on financial assets ⁽¹⁾	(352)	(170)	216	161
PBT	6,518	5,447	5,821	7,926
Income tax expense	(1,228)	(1,105)	(813)	(1,121)
PAT	5,290	4,342	5,008	6,805
Other comprehensive income/(expenses)	106	112	(64)	(77)
Total comprehensive income for the financial year	5,396	4,454	4,944	6,728
<u>PAT attributable to:</u>				
Owners of the Company	5,329	4,356	5,008	6,805
Non-controlling interest ⁽²⁾	(39)	(14)	-	-
	5,290	4,342	5,008	6,805
<u>Total comprehensive income attributable to:</u>				
Owners of the Company	5,435	4,468	4,944	6,728
Non-controlling interest ⁽²⁾	(39)	(14)	-	-
	5,396	4,454	4,944	6,728

12. FINANCIAL INFORMATION

	Audited			
	FYE 2022 RM'000	FYE 2023 RM'000	FYE 2024 RM'000	FYE 2025 RM'000
EBITDA ⁽³⁾	7,364	6,673	7,834	10,434
GP margin (%)	22.23	24.75	21.94	22.42
PBT margin (%)	8.39	7.24	6.16	7.07
PAT margin (%)	6.81	5.77	5.30	6.07
Number of Shares assumed in issue ⁽⁴⁾ (‘000)	284,000	284,000	284,000	284,000
Basic/Diluted EPS ⁽⁵⁾ (sen)	1.88	1.53	1.76	2.40

Notes:

- (1) Being impairment losses/reversal of impairment losses on trade and other receivables. The impairment losses for the FYE 2022 and FYE 2023 mainly arose from trade receivables that were past due. The reversal of impairment losses for the FYE 2024 and FYE 2025 was due to an improvement in the credit risk of our trade receivables after reassessment of expected credit losses in accordance with MFRS 9: Financial Instruments and taking into consideration amongst others, the ageing and payment profiles of the receivables.
- (2) The non-controlling interest represents the 20% equity interests in Integricity Philippines held by an individual shareholder, Adnil Puente.
- (3) The table below sets out the computation in arriving at our EBITDA:

	Audited			
	FYE 2022 RM'000	FYE 2023 RM'000	FYE 2024 RM'000	FYE 2025 RM'000
PBT	6,518	5,447	5,821	7,926
Interest income	(30)	(33)	(35)	(149)
Interest expense	141	107	163	156
Depreciation and amortisation	735	1,152	1,885	2,501
EBITDA	7,364	6,673	7,834	10,434

- (4) Assumed number of ordinary shares in issue in SRKK after our IPO.
- (5) Computed based on our PAT attributable to owners of the Company over our enlarged number of Shares in issue upon our Listing. The diluted EPS is equal to the basic EPS as our Company does not have any outstanding convertible securities.

12. FINANCIAL INFORMATION**12.1.2 Statements of Financial Position**

The table below sets out the statements of financial position of our Group as at 31 December 2022, 2023, 2024 and 2025:

	Audited			
	As at 31 December			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
ASSETS				
Non-current assets				
Property, plant and equipment ⁽¹⁾	3,052	3,992	5,803	5,554
Right-of-use assets	1,313	970	⁽²⁾ 1,523	1,250
Finance lease receivable	72	35	48	775
Intangible asset ⁽³⁾	62	60	53	45
Development cost ⁽⁴⁾	191	529	431	333
Deferred tax assets	-	-	-	169
	4,690	5,586	7,858	8,126
Current assets				
Inventories	436	985	268	645
Finance lease receivable	32	37	67	471
Trade receivables	11,612	12,778	15,327	20,338
Other receivables, deposits and prepayments	897	605	623	1,248
Contract assets ⁽⁵⁾	593	960	1,785	2,489
Amount owing by holding company	217	2	-	-
Amount owing by related companies	271	150	-	-
Amount owing by related parties ⁽⁶⁾	42	-	36	-
Amount owing by a shareholder ⁽⁷⁾	*	*	-	-
Short-term investment with a financial institution	1,304	816	372	1,022
Current tax asset	44	90	388	609
Fixed deposit with a licensed bank	276	276	276	299
Cash and bank balances	6,791	2,444	4,983	4,608
	22,515	19,143	24,125	31,729
TOTAL ASSETS	27,205	24,729	31,983	39,855
EQUITY AND LIABILITIES				
Equity				
Share capital	*	*	*	100
Invested equity ⁽⁸⁾	10	10	-	-
Reserves	85	197	(25)	(103)
Retained profits	4,981	5,837	8,845	14,801
NA / Equity attributable to owners of the Company	5,076	6,044	8,820	14,798
Non-controlling interest	(38)	(53)	-	-
TOTAL EQUITY	5,038	5,991	8,820	14,798
NON-CURRENT LIABILITIES				
Lease liabilities	1,041	734	⁽²⁾ 1,307	1,055
Term loan	450	240	-	-
Deferred tax liabilities	17	17	17	36
	1,508	991	1,324	1,091

12. FINANCIAL INFORMATION

	Audited			
	As at 31 December			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
CURRENT LIABILITIES				
Trade payables	14,969	13,851	16,621	17,341
Other payables and accruals	2,437	2,286	2,920	⁽⁹⁾ 3,498
Contract liabilities ⁽¹⁰⁾	345	237	180	222
Amount owing to holding company	260	1	⁽¹¹⁾ 160	-
Amount owing to related companies	262	21	⁽¹²⁾ 5	-
Amount owing to related parties ⁽⁶⁾	4	-	-	-
Amount owing to a shareholder ⁽⁷⁾	25	5	-	-
Amount owing to directors	881	13	-	-
Lease liabilities	324	307	236	252
Term loan	203	210	240	23
Bankers' acceptance	347	-	384	2,120
Invoice financing	-	-	473	-
Bank overdraft	3	185	210	-
Current tax liabilities	599	631	410	510
	20,659	17,747	21,839	23,966
TOTAL LIABILITIES	22,167	18,738	23,163	25,057
TOTAL EQUITY AND LIABILITIES	27,205	24,729	31,983	39,855

Notes:

* Less than RM1,000.

- (1) The increase in property, plant and equipment in the FYE 2023 and FYE 2024 was mainly in relation to the purchase of office equipment following our business expansion and increase in headcount as well as for our rental of IT hardware and software products business.

The decrease in property, plant and equipment in the FYE 2025 was due to higher depreciation charges during the year mainly as a result of office equipment purchased during the FYE 2023 and FYE 2024 as mentioned above.

- (2) The increase in our Group's right-of-use assets and non-current lease liabilities for the FYE 2024 was mainly attributable to the lease of a new office premise and the reassessment of lease liabilities for 2 existing tenancy agreements in accordance with MFRS 16, as detailed in **Section 7.15.2** of this Prospectus.
- (3) Intangible asset relates to costs incurred for our Group's trademarks.
- (4) Development cost relates to costs incurred for development of some of our Group's software for our administrative operations and IT managed services business segment.
- (5) Contract assets relates to products and services delivered but yet to be billed, which consist of the services performed and delivery of certain IT hardware and software products. The contract assets relates to our IT consultation and implementation services segment and cloud services business segment.
- (6) Amount owing by/to companies in which our Directors have interests. The amount owing by a related party, Joel Holdings, of RM0.04 million as at 31 December 2024 was fully settled in February 2025.
- (7) Amount owing by/to Five Loaves, a shareholder of our Company.

12. FINANCIAL INFORMATION

- (8) Invested equity relates to the issued share capital of SRKK Data. The invested equity was reversed in the FYE 2024 upon completion of the acquisition of the company on 17 January 2024.
- (9) The increase in our Group's other payables and accruals from the FYE 2023 to the FYE 2025 was mainly attributable to higher sales and service tax ("**SST**") collected by our Group on behalf of the Government from our customers, following the increase in our revenue during the relevant periods, which SST is subsequently remitted to the Royal Malaysian Customs Department.
- (10) Contract liabilities relates to advances received from customers for sales yet to be delivered and/or services yet to be rendered.
- (11) The amount owing to holding company as at 31 December 2024 was mainly in relation to the balance consideration payable to the vendor, Joel Resources in relation to the acquisition of SRKK Data, which was completed on 17 January 2024, further details of which are set out in **Section 6.6.6** of this Prospectus. This amount was fully settled by March 2025.
- (12) The amount owing to related companies of RM5,379 as at 31 December 2024 was fully settled in January 2025.

12. FINANCIAL INFORMATION**12.1.3 Statements of Cash Flows**

The table below sets out the statements of cash flows of our Group for the Financial Years Under Review:

	Audited			
	FYE 2022 RM'000	FYE 2023 RM'000	FYE 2024 RM'000	FYE 2025 RM'000
CASH FLOWS FROM OPERATING ACTIVITIES				
PBT	6,518	5,447	5,821	7,926
Adjustments for:				
Allowance for impairment losses	352	186	-	92
Amortisation of intangible asset	7	7	7	8
Amortisation of development cost	23	25	98	98
Bad debt written off	18	1	27	96
Depreciation of:				
- property, plant and equipment	320	776	1,497	2,122
- right-of-use assets	385	344	283	273
Interest expense on lease liabilities	87	65	71	95
Interest expenses	54	42	92	61
Inventories written off	-	-	*	-
Loss on deemed disposal on deconsolidation of a subsidiary	-	-	50	-
Loss on disposal of property, plant and equipment	-	*	1	-
Bargain purchase on acquisition of a subsidiary	(119)	-	-	-
Gain on disposal of right-of-use assets	(80)	-	-	-
Gain on modification of lease	-	-	(13)	-
Gain on reassessment of lease term	-	-	(54)	-
Interest income	(30)	(33)	(35)	(149)
Reversal of impairment losses:				
- trade receivables	-	(1)	(216)	(253)
- other receivables	-	(14)	-	-
Unrealised gain on foreign exchange	(14)	-	-	-
Operating profit before working capital changes	7,521	6,845	7,629	10,369
(Increase)/Decrease in inventories	208	(548)	717	(377)
Increase in trade and other receivables	(633)	(919)	(2,519)	(5,571)
Increase/(Decrease) in trade and other payables	5,053	(1,426)	3,687	1,299
(Decrease)/Increase in contract liabilities	(1,228)	(114)	(53)	42
Increase in contract assets	(462)	(366)	(847)	(720)
Decrease in amount owing by holding company	1,171	215	2	-
Decrease in amount owing to holding company	(2,586)	(259)	(9)	(160)
Decrease in amount owing by related companies	4,012	121	150	-
Increase/(Decrease) in amount owing to related companies	262	(243)	(16)	(5)
(Increase)/Decrease in amount owing by related parties	(2)	42	(36)	36
Decrease in amount owing to related parties	(1)	(4)	-	-
Increase/(Decrease) in amount owing to directors	848	(868)	(13)	-

12. FINANCIAL INFORMATION

	Audited			
	FYE 2022 RM'000	FYE 2023 RM'000	FYE 2024 RM'000	FYE 2025 RM'000
(Increase)/Decrease in amount owing by a shareholder	*	-	*	-
Increase/(Decrease) in amount owing to a shareholder	25	(20)	(5)	-
Cash flows from operations	14,188	2,456	8,687	4,913
Income tax refunded	-	74	36	56
Income tax paid	(952)	(1,206)	(1,347)	(1,447)
Net cash from operating activities	13,236	1,324	7,376	3,522
CASH FLOWS FOR INVESTING ACTIVITIES				
Development cost paid	(23)	(364)	-	-
Interest income received	30	33	35	149
Net cash outflows from:				
- acquisition of a subsidiary	(81)	-	-	-
- deconsolidation of a subsidiary	-	-	(50)	-
Proceeds from disposal of property, plant and equipment	-	1	1	-
Proceeds from disposal of intangible assets	-	-	1	-
Proceeds from disposal of other investment	1	-	-	-
Purchase of property, plant and equipment	(1,537)	(1,626)	(3,493)	(1,928)
Purchase of intangible asset	(4)	(5)	(1)	-
Repayment from finance lease receivables	18	32	57	269
Addition of finance lease receivables	-	-	-	(1,401)
Addition to fixed deposit pledged with tenure more than 3 months	(276)	-	-	(23)
Net cash for investing activities	(1,872)	(1,929)	(3,450)	(2,934)
CASH FLOWS FOR FINANCING ACTIVITIES				
Proceeds from issuance of shares	-	-	-	100
Dividends paid:				
- by the Company	(300)	(3,500)	(2,000)	(850)
- by the subsidiaries to the holding company of the Group	(4,705)	-	-	-
Net (repayment of)/drawdown of bankers' acceptance	(834)	(347)	384	1,736
Net repayment of term loan	(196)	(203)	(210)	(217)
Net drawdown of invoice financing	-	-	474	(474)
Repayment of lease liabilities	(391)	(324)	(267)	(236)
Interest expense on lease liabilities	(87)	(65)	(71)	(95)
Interest paid	(54)	(42)	(92)	(61)
Net cash for financing activities	(6,567)	(4,481)	(1,782)	(97)
Net increase/(decrease) in cash and cash equivalents	4,797	(5,086)	2,144	491
Effects of foreign exchange translation	33	69	(74)	(6)
Cash and cash equivalents at beginning of the financial year	3,262	8,092	3,075	5,145
Cash and cash equivalents at end of the financial year	8,092	3,075	5,145	5,630

Note:

* Less than RM1,000.

12. FINANCIAL INFORMATION**12.2 CAPITALISATION AND INDEBTEDNESS**

The following table set out our Group's capitalisation and indebtedness based on our latest unaudited financial statements as at 30 April 2026, and after taking into account our Public Issue and the utilisation of proceeds therefrom:

	Unaudited as at 30 April 2026 RM'000	After our Public Issue and utilisation of proceeds RM'000
Indebtedness		
<u>Current</u>		
Secured and/or guaranteed:		
Lease liabilities	344	344
Term loan	27	27
Bankers' acceptance	931	931
Invoice financing	1,112	1,112
	2,414	2,414
<u>Non-current</u>		
Secured and guaranteed:		
Lease liabilities	1,285	1,285
Term loan	820	820
	2,105	2,105
Total indebtedness	4,519	4,519
Capitalisation		
Share capital	100	19,049
Reserves	(102)	(102)
Retained profits	16,473	15,718
Total capitalisation	16,471	34,665
Total capitalisation and indebtedness	20,990	39,184
Gearing ratio⁽¹⁾ (times)	0.27	0.13

Note:

(1) Computed based on total indebtedness divided by total capitalisation.

As at the LPD, there is no indirect and/or material contingent liabilities incurred by our Group which may have a substantial impact on the financial position of our Group.

12. FINANCIAL INFORMATION

12.3 MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

The following management's discussion and analysis should be read together with the Accountants' Report as set out in **Section 13** of this Prospectus.

The management's discussion and analysis contain data derived from forward-looking statements that involve risks and uncertainties. Future results may differ significantly from those projected in these forward-looking statements. Factors that may cause future results to differ significantly from those included in the forward-looking statements include, but are not limited to, those discussed below and elsewhere in this Prospectus, particularly the risk factors as set out in **Section 9** of this Prospectus.

12.3.1 Overview of Our Operations

We are a digital transformation solution provider based in Malaysia. During the Financial Years Under Review, we mainly provided our digital transformation solutions to corporations, government-linked corporations and managed service providers which are mainly based in Malaysia and Singapore.

Please refer to **Section 7** of this Prospectus for a detailed overview of our business.

(i) Revenue

During the Financial Years Under Review, our revenue segments are as follows:

- (a) provision of IT consultation and project implementation services for:
 - business workflow automation solutions;
 - cybersecurity solutions;
 - networking solutions;
- (b) provision of cloud services;
- (c) provision of IT managed services;
- (d) sale and rental of IT hardware and software products; and
- (e) provision of data analytics and business intelligence solutions

We generate revenue from our IT consultation and project implementation services, and sale of IT hardware and software products on project basis upon achievement of the relevant milestones of the project. The duration of these projects typically ranges from 1 to 12 months.

After the completion of our IT consultation and project implementation service projects, we also provide support to our customers through the provision of IT managed services, whereby we generate recurring revenue over the duration of the service contracts which typically ranges from 1 to 3 years, and are renewable.

12. FINANCIAL INFORMATION

During the FYE 2024 and FYE 2025, we have also entered into 3 franchise agreements where our Group grants the rights to our franchisees to use our trade name, trade mark, business operating system and purchase IT solutions required in carrying out IT managed services. We generate revenue through this franchising model from a one-off franchise fee charged for setting up the IT managed services business, and a recurring royalty fee and/or marketing fund contribution for the continuous use of our trade name, "FatNinjas" in carrying out the IT managed service business. Please refer to **Section 7.14(iv)** of this Prospectus for further information on our franchising model.

In addition, we also generate recurring revenue through the provision of cloud services, and data analytics and business intelligence solutions as well as the rental of IT hardware and software products over the duration of the service/rental contracts which typically ranges from 1 to 5 years, and are renewable.

(ii) Cost of sales

Our cost of sales mainly comprises the following:

- (a) Hardware and software** – being the cost of purchase of hardware and software that we require in order for us to provide our solutions and products.

For avoidance of doubt, there were no subscriptions fees paid to cloud providers for hosting / storage services or cloud-based software / applications for the Financial Years Under Review as our Group utilises Microsoft solutions for our cloud and software requirements in the provision of our digital transformation solutions, where our Group, being a licensed Microsoft provider, has free subscriptions to these Microsoft solutions.

- (b) Direct labour costs** – being the salaries and other related staff costs of our technical personnel directly attributable to the provision of our solutions and products.

- (c) Other direct costs** – being incidental expenses incurred for the implementation of our solutions and services such as depreciation and lease interest charges for IT equipment.

(iii) Other income

Our other income mainly comprises sponsorships and incentives from our Principals and suppliers, government grant and subsidies, interest income, and gain on foreign exchange.

(iv) Selling and marketing expenses

Our selling and marketing expenses mainly comprise marketing expenses and sales commission for our sales personnel.

(v) Administrative expenses

Our administrative expenses mainly comprise staff costs, training, development and recruitment expenses, medical and insurance charges, travelling expenses, maintenance charges, professional fees, and utilities.

12. FINANCIAL INFORMATION**(vi) Other expenses**

Our other expenses mainly comprise depreciation charges, loss on foreign exchange and loss on disposal of equipment.

(vii) Finance costs

Our finance costs mainly comprise interest expense on our credit facilities and lease liabilities.

12.3.2 Revenue

We mainly provide our solutions and products locally in Malaysia. In addition, we also operate in Singapore through our subsidiary in the country, i.e. SRKK Singapore. Our products and services sold locally are denominated in RM, whilst products and services sold overseas are denominated in the respective countries' currencies.

Revenue by business segments and revenue model

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Non-recurring income model								
IT consultation and project implementation services	16,289	20.97	16,506	21.94	19,166	20.27	19,678	17.54
Sale of IT hardware and software products	30,316	39.02	21,182	28.16	27,748	29.35	33,205	29.60
IT managed services ⁽¹⁾	-	-	-	-	-	-	75	0.07
	46,605	59.99	37,688	50.10	46,914	49.62	52,958	47.21
Recurring income model								
Cloud services	26,862	34.58	32,504	43.22	39,324	41.59	49,010	43.70
IT managed services	3,103	3.99	3,254	4.33	3,788	4.01	3,714	3.31
Rental of IT hardware and software products	447	0.58	848	1.13	1,806	1.91	2,509	2.24
Data analytics and business intelligence solutions	629	0.81	893	1.19	2,703	2.86	3,972	3.54
	31,041	39.96	37,499	49.87	47,621	50.37	59,205	52.79
Others ⁽²⁾	41	0.05	26	0.03	5	0.01	-	-
Total	77,687	100.00	75,213	100.00	94,540	100.00	112,163	100.00

12. FINANCIAL INFORMATION**Revenue by geographical location**

Our Group's revenue based on principal market are as follows:

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Malaysia	67,982	87.51	60,904	80.97	75,246	79.59	87,702	78.19
Singapore	8,866	11.41	13,498	17.95	18,337	19.40	23,364	20.83
The Philippines ⁽³⁾	43	0.06	-	-	-	-	-	-
Others ⁽⁴⁾	796	1.02	811	1.08	957	1.01	1,097	0.98
Total	77,687	100.00	75,213	100.00	94,540	100.00	112,163	100.00

Notes:

- (1) Being franchise fee charged to our franchisees in relation to our IT managed services business segment.
- (2) Being management fee charged to our related companies in relation to shared services provided, which has ceased in the FYE 2025.
- (3) Being revenue generated by Integricity Philippines, a former subsidiary of Integricity. Integricity Philippines was incorporated in August 2022 to undertake IT and computer service activities. The company has been dormant since January 2023 and was dissolved on 10 January 2024.
- (4) Others include Brunei, Denmark, Korea, India, Indonesia, Canada, Czech Republic, Australia, Hong Kong, France, Thailand, Pakistan, the United States of America, Japan and the United Kingdom. For clarity purposes, although our Group issued invoices to companies based in Brunei, Denmark, Korea, India, Canada, Czech Republic, Australia, Hong Kong, France, Thailand, Pakistan, United States and the United Kingdom, these sales were generated through our customers' related company based in Malaysia and our Group does not actively market our products and services to these countries. Our Group also generated revenue from a customer based in Canada through a referral from Malaysia. Apart from the above, we have also collaborated with an IT company based in Indonesia to promote our IT managed services in Indonesia.

12. FINANCIAL INFORMATION

The breakdown of the Group's revenue by location of subsidiaries for the Financial Years Under Review is as follows:

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Malaysia	68,765	88.52	61,712	82.05	76,201	80.60	92,784	82.72
Singapore	8,879	11.43	13,501	17.95	18,339	19.40	19,379	17.28
Philippines ^	43	0.05	-	-	-	-	-	-
Total	77,687	100.00	75,213	100.00	94,540	100.00	112,163	100.00

Note:

^ Being revenue generated by Integricity Philippines, a former subsidiary of Integricity. Integricity Philippines was incorporated in August 2022 to undertake IT and computer service activities. The company has been dormant since January 2023 and was dissolved on 10 January 2024.

FYE 2022 vs FYE 2023

Our Group's revenue decreased by RM2.47 million or 3.18% to RM75.21 million in the FYE 2023, which was mainly attributable to lower sales of IT hardware and software products in the FYE 2023 mainly as a result of some of our customers which did a major update and/or replacement of their computer equipment in the FYE 2022. This decrease was mostly offset by the higher revenue generated from our cloud services business segment.

Whilst revenue generated from our IT consultation and project implementation services business segment was relatively constant at RM16.51 million for the FYE 2023, the contribution of revenue generated from networking solutions in this segment decreased from approximately 75.16% in the FYE 2022 to 67.34% in the FYE 2023. At the same time, the contribution of revenue generated from cybersecurity solutions and business workflow automation solutions in this segment increased from approximately 6.64% and 18.21% respectively in the FYE 2022 to 10.32% and 22.34% respectively in the FYE 2023. Such increase in contribution of revenue was mainly driven by the increasing adoption of cloud-based solutions as our customers prioritise robust cybersecurity as well as automation of business processes, tasks and workflows in order to improve efficiency.

Cloud services

Our Group's revenue derived from cloud services increased by RM5.64 million from RM26.86 million in the FYE 2022 to RM32.50 million in the FYE 2023, which was due to amongst others, the following:

- (i) renewal of our cloud services by a beverage manufacturer to whom we sold IT hardware and software products in the FYE 2022 as part of its major computer equipment update and/or replacement programme in the FYE 2022. The renewal generated a revenue of RM0.48 million in the FYE 2023; and

12. FINANCIAL INFORMATION

- (ii) renewal and additional subscription of cloud services by an IT company principally for the oil and gas industry, 2 property development and management companies, a food and beverage chain, a food manufacturer group, a tile manufacturer group, a solicitors firm, an industrial automation solutions company, a global urban solutions engineering group, and a global fintech company, which generated an additional revenue of RM4.27 million in the FYE 2023. The additional subscriptions were mainly in relation to subscriptions of additional cloud-based applications, premium versions of the cloud-based applications and/or additional users.

Sale and rental of IT hardware and software products

Our Group's revenue derived from the sale of IT hardware and software products decreased by RM9.13 million from RM30.31 million in the FYE 2022 to RM21.18 million in the FYE 2023. This decrease was mainly due to higher sales of IT hardware and software products to existing customers, a fashion company group, a beverage manufacturer group, a global marketing research firm, a construction and property development group, an audit, tax and advisory firm, a global tech headhunting company, a wellness technology and lifestyle product manufacturer, an IT managed services company, a global electronic components and devices manufacturer, a Malaysian government loan provider, and a global entity governance solutions provider, amounting to RM7.61 million in the FYE 2022, mainly as a result of more upgrades, replacements and/or additional purchases of computer equipment by these customers in the FYE 2022. Part of this higher sales in the FYE 2022, i.e. RM3.54 million, was in relation to the sale of IT hardware and software products on an outright sale basis to third party equipment rental/leasing companies, who then leased or rented the IT hardware and software products to our customers.

Notwithstanding this, we recorded an increase in rental of IT hardware and software products by RM0.40 million to RM0.85 million in the FYE 2023 following the recognition of revenue from rental (i.e. rent-to-use) contracts secured in the prior years, as well as new contracts secured during the year, with revenue recognised over the rental period of 3 to 5 years. The total number of active contracts increased from 18 in the FYE 2022 to 63 in the FYE 2023.

FYE 2023 vs FYE 2024

Our Group's revenue increased by RM19.33 million or 25.70% to RM94.54 million in the FYE 2024, which was mainly attributable to the revenue growth of our sale and rental of IT hardware and software products, cloud services, IT consultation and project implementation services, as well as data analytics and business intelligence solutions business segments.

Cloud services

Our Group's revenue derived from cloud services increased by RM6.82 million from RM32.50 million in the FYE 2023 to RM39.32 million in the FYE 2024 as we continue to focus on growing our cloud services business segment. This increase was mainly attributable to the following:

- (i) subscription of our cloud services by new customers, an operation and maintenance solutions service provider for the oil and gas industry, a web platform provider for higher education, and a hotel operator, during or after the completion of our IT consultation and project implementation service project for the customers. These subscriptions generated revenue of RM1.13 million in the FYE 2024;
- (ii) subscription of our cloud services by new customers, a related company of a real estate group, a Singapore government agency championing enterprise development, a global environmental engineering company, and a business chamber which generated revenue of RM1.26 million in the FYE 2024; and

12. FINANCIAL INFORMATION

- (iii) renewal and additional subscription of our cloud services by existing customers, an IT company principally for the oil and gas industry, a beverage manufacturer, an IT group principally for wealth and corporate service providers, a social service agency, and a premium and luxury automotive distributor and dealer, which generated an additional revenue of RM2.66 million in the FYE 2024. The additional subscriptions were mainly in relation to subscriptions of additional cloud-based applications, premium versions of the cloud-based applications and/or additional users.

Sale and rental of IT hardware and software products

Our Group's revenue derived from sale and rental of IT hardware and software increased by RM7.52 million from RM22.03 million in the FYE 2023 to RM29.55 million in the FYE 2024, which was mainly attributable to the following:

- (i) higher rental of IT hardware and software products by RM0.96 million to RM1.81 million in the FYE 2024, as we continue to recognise revenue from rental contracts secured in the prior years, as well as new contracts secured during the year, with revenue recognised over the rental period of 3 to 5 years. The total number of active contracts increased from 63 in the FYE 2023 to 85 in the FYE 2024;
- (ii) sale of IT hardware and software products to a new customer, a food and beverage manufacturer, which generated a revenue of RM0.32 million in the FYE 2024;
- (iii) higher sale of IT hardware and software products to an existing customer, a global medical device company, after the completion of our IT consultation and project implementation service project for the customer, which generated a higher revenue of RM0.22 million in the FYE 2024; and
- (iv) higher sale of IT hardware and software products to existing customers, mainly comprising a food seasoning manufacturer, a car dealer, a property valuation company, a heart specialist centre, a global edible oil refiner and food manufacturer group, a formwork solutions manufacturer, a property developer group, a telecommunications group, a plastic packaging manufacturer and property developer group, and a logistic company by RM3.44 million in the FYE 2024 mainly as a result of more upgrades, replacements and/or additional purchases of computer equipment by these customers during the year. Part of this higher revenue, i.e. RM0.76 million, was in relation to sale of IT hardware and software products on an outright sale basis to third party equipment rental/leasing companies who then leased or rented the IT hardware and software products to our customers.

12. FINANCIAL INFORMATION***IT consultation and project implementation services***

Our Group's revenue derived from IT consultation and project implementation services increased by RM2.66 million from RM16.51 million in the FYE 2023 to RM19.17 million in the FYE 2024, which was mainly attributable to us securing and implementing projects involving amongst others, business workflow automation solutions, networking solutions, cybersecurity solutions, and/or training for the following customers:

- (i) new customers, a hospital, an oil and gas production company, and an operation and maintenance solutions service provider for the oil and gas industry, which generated a revenue of RM1.14 million in the FYE 2024; and
- (ii) existing customers, a steel manufacturer, and a global medical device company, which generated a revenue of RM0.77 million in the FYE 2024.

Data analytics and business intelligence solutions

Our Group's revenue derived from data analytics and business intelligence solutions increased by RM1.81 million from RM0.89 million in the FYE 2023 to RM2.70 million in the FYE 2024. This increase was mainly due to our focus on growing our recurring income model businesses, which led to an increase in marketing activities and an increase in our headcount for this business segment from 7 staff in the FYE 2023 to 16 staff in the FYE 2024 and thereby enabled us to undertake more data analytics and business intelligence solutions functions following an increase in the number of customers from 29 in the FYE 2023 to 34 in the FYE 2024. This increase in headcount is pursuant to amongst others, a deployment from other business segments as well as the recruitment of 2 additional staff during the year.

FYE 2024 vs FYE 2025

Our Group's revenue increased by RM17.62 million or 18.64% to RM112.16 million in the FYE 2025, which was mainly attributable to higher revenue generated from our recurring income businesses, that is mainly from our cloud services, and data analytics and business intelligence solutions business segments, as we continued growing our recurring income model businesses. In addition, we also grew our sale and rental of IT hardware and software products business segment during the FYE 2025.

This continued focus on our recurring income model businesses is complementary to our future plans to grow our IT advisory and consulting service sub-segment, which typically serves as the entry point for acquiring new customers who are subsequently converted into recurring revenue customers.

Cloud services

Our Group's revenue derived from cloud services increased by RM9.69 million from RM39.32 million in the FYE 2024 to RM49.01 million in the FYE 2025, which was due to amongst others, the following:

- (i) subscription of our cloud services by new customers, an energy services and digital solution company, a dairy products group, a Malaysian sovereign wealth fund, an insurance company, an Islamic bank, a Singapore-based digital wholesale bank, a shared services solutions provider, and an integrated engineering and construction company, which generated a revenue of RM4.89 million in the FYE 2025;
- (ii) additional subscription of our cloud services by a new customer, a logistics company whom our Group also sold IT hardware and software products in the FYE 2025, which generated a revenue of RM0.43 million in the FYE 2025;

12. FINANCIAL INFORMATION

- (iii) renewal and additional subscription of our cloud services by existing customers, an operation and maintenance solutions service provider for the oil and gas industry, and a self storage operator, which generated an additional revenue of RM1.50 million in the FYE 2025. The additional subscriptions were mainly in relation to subscriptions of additional cloud-based applications, premium versions of the cloud-based applications and/or additional users; and
- (iv) renewal of our cloud services by a rental customer, a corporate social responsibility arm of a State development institution, which generated a revenue of RM0.35 million in the FYE 2025.

Sale and rental of IT hardware and software products

Our Group's revenue derived from sale and rental of IT hardware and software products increased by RM6.16 million from RM29.55 million in the FYE 2024 to RM35.71 million in the FYE 2025, which was mainly attributable to the following:

- (i) sale of IT hardware and software products to an IT consultation and project implementation services customer, a national sewerage company, which generated a revenue of RM2.98 million in the FYE 2025;
- (ii) sale of IT hardware and software products to a new customer, a global trading and investment company, which generated a higher revenue of RM1.02 million in the FYE 2025; and
- (iii) higher rental of IT hardware and software products by RM0.70 million to RM2.51 million in the FYE 2025, as we continued to recognise revenue from rental contracts secured in the prior years, as well as new contracts secured during the year, with revenue recognised over the rental period of 3 to 5 years. The total number of active contracts increased from 85 in the FYE 2024 to 100 in the FYE 2025.

Data analytics and business intelligence solutions

Our Group's revenue derived from data analytics and business intelligence solutions increased by RM1.27 million from RM2.70 million in the FYE 2024 to RM3.97 million in the FYE 2025. This increase was mainly due to our continuous marketing activities and referrals from our Principals as well as our strategy to grow this business segment through additional headcount. During the FYE 2024, we deployed 7 existing staff from other business segments and recruited 2 additional staff for this segment, bringing the total headcount to 16 staff. During the FYE 2025, a further 10 additional staff were recruited. The increased manpower capacity thereby enabled our Group to secure and undertake more data analytics and business intelligence solutions functions following an increase in the number of customers from 34 in the FYE 2024 to 70 in the FYE 2025.

12. FINANCIAL INFORMATION**12.3.3 Cost of Sales****Cost of sales by components**

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
IT hardware and software	57,952	95.92	53,239	94.06	68,796	93.22	79,954	91.88
Direct labour costs	2,135	3.53	2,682	4.74	3,736	5.06	5,177	5.95
Other direct costs ⁽¹⁾	330	0.55	677	1.20	1,269	1.72	1,890	2.17
Total	60,417	100.00	56,598	100.00	73,801	100.00	87,021	100.00

Note:

(1) Mainly comprise depreciation charges.

12. FINANCIAL INFORMATION**Cost of sales by business segments**

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
IT consultation and project implementation services	9,367	15.50	10,083	17.81	10,561	14.31	9,960	11.45
Cloud services	21,989	36.40	26,434	46.71	35,346	47.89	41,603	47.81
IT managed services	668	1.11	521	0.92	706	0.96	823	0.94
Sale and rental of IT hardware and software products	28,023	46.38	19,125	33.79	26,515	35.93	33,303	38.27
Data analytics and business intelligence solutions	370	0.61	435	0.77	673	0.91	1,332	1.53
Total	60,417	100.00	56,598	100.00	73,801	100.00	87,021	100.00

FYE 2022 vs FYE 2023

Our Group's cost of sales decreased by RM3.82 million or 6.32% to RM56.60 million in the FYE 2023, which was attributable to lower purchases of IT hardware and software products by RM4.71 million from RM57.95 million in the FYE 2022 to RM53.24 million in the FYE 2023. The lower purchases were in line with the decline in revenue of our sale of IT hardware and software products business during the financial year as mentioned in **Section 12.3.2** of this Prospectus.

This decrease was partially offset by an increase in our direct labour costs by RM0.55 million or 25.62% to RM2.68 million in the FYE 2023, which was mainly attributable to an increase in the total monthly remuneration by approximately RM0.07 million following amongst others, the recruitment of 23 additional technical operations personnel to amongst others, support the growth of our IT consultation and project implementation services, cloud services, IT managed services, and data analytics and business intelligence solutions business segments. The increase in our direct labour costs was also attributable to the annual salary increment for our technical operations personnel.

12. FINANCIAL INFORMATION

FYE 2023 vs FYE 2024

Our Group's cost of sales increased by RM17.20 million or 30.40% to RM73.80 million in the FYE 2024, which was mainly attributable to higher purchases of IT hardware and software products by RM15.56 million from RM53.24 million in the FYE 2023 to RM68.80 million in the FYE 2024. The higher purchases were in line with the revenue growth of our sale and rental of IT hardware and software products, and cloud services as an increased amount of IT hardware and software products are required to facilitate the provision of our services and products.

Our direct labour costs also increased by RM1.05 million or 39.32% to RM3.74 million in the FYE 2024, which was mainly attributable to an increase in the total monthly remuneration by approximately RM0.04 million following amongst others, the recruitment of 5 additional technical operations personnel to support the growth of our business activities. The increase in our direct labour costs was also attributable to the annual salary increment for our employees as well as an increase in incentives to our technical staff of RM0.14 million following an expansion in our incentive plans to also include technical executives in the FYE 2024.

FYE 2024 vs FYE 2025

Our Group's cost of sales increased by RM13.22 million or 17.91% to RM87.02 million in the FYE 2025, which was mainly attributable to higher purchases of IT hardware and software products by RM11.15 million from RM68.80 million in the FYE 2024 to RM79.95 million in the FYE 2025. The higher purchases were in line with the revenue growth of our sale and rental of IT hardware and software products business, and cloud services business segments as an increased amount of IT hardware and software products are required to facilitate the provision of our services and products.

Our direct labour costs also increased by RM1.44 million or 38.57% to RM5.18 million in the FYE 2025, which was mainly attributable to the recruitment of 23 additional technical personnel to support the growth of our business activities as well as annual salary increment for our employees.

12. FINANCIAL INFORMATION**12.3.4 GP and GP Margin**

The following table summarises the breakdown of our GP and GP margin by business segments and revenue model:

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	GP RM'000	GP margin %	GP RM'000	GP margin %	GP RM'000	GP margin %	GP RM'000	GP margin %
Non-recurring income model								
IT consultation and project implementation services	6,922	42.49	6,423	38.91	8,605	44.90	9,718	49.39
Sale of IT hardware and software products	2,634	8.69	2,747	12.97	2,689	9.69	1,960	5.90
IT managed services	-	-	-	-	-	-	75	100.00
	9,556	20.51	9,170	24.33	11,294	24.07	11,753	22.19
Recurring income model								
Cloud services	4,873	18.14	6,070	18.67	3,978	10.12	7,407	15.11
IT managed services	2,435	78.47	2,733	83.99	3,082	81.36	2,891	77.84
Rental of IT hardware and software products	106	23.71	158	18.63	350	19.38	451	17.98
Data analytics and business intelligence solutions	259	41.18	458	51.29	2,030	75.10	2,640	66.47
	7,673	24.72	9,419	25.12	9,440	19.82	13,389	22.61
Others*	41	100.00	26	100.00	5	100.00	-	-
Total GP / Overall GP margin	17,270	22.23	18,615	24.75	20,739	21.94	25,142	22.42

Note:

* Relates to shared services provided to our related companies.

12. FINANCIAL INFORMATION**FYE 2022 vs FYE 2023**

Notwithstanding the decrease in revenue by RM2.47 million or 3.18% in the FYE 2023, our Group's GP increased by RM1.35 million or 7.79% to RM18.62 million in the FYE 2023, which was mainly attributable to an increase in GP from our cloud services business segment by RM1.20 million from RM4.87 million in the FYE 2022 to RM6.07 million in the FYE 2023, following the higher revenue generated from this business segment as mentioned in **Section 12.3.2** of this Prospectus, as well as an improvement in our Group's GP margin from 22.23% in the FYE 2022 to 24.75% in the FYE 2023 as mentioned below.

These increases in GP was partially offset by a lower GP from our IT consultation and project implementation services business segment of RM0.50 million during the year, which was mainly due to lower GP margin of 38.91% generated in the FYE 2023 (FYE 2022: 42.49%). The higher GP margin generated by this business segment in the FYE 2022 was mainly due to the implementation of more technical projects for our customers in the banking industry.

Our Group's GP margin improvement to 24.75% in the FYE 2023 (FYE 2022: 22.23%) was mainly attributable to a higher GP margin of 12.97% in the FYE 2023 (FYE 2022: 8.69%) from our sale of IT hardware and software products segment. This was mainly due to higher incentives received from a Principal in the FYE 2023 following amongst others, additional product categories included for the incentive payments. These incentives are recorded as a reduction in our cost of IT hardware and software.

FYE 2023 vs FYE 2024

Our Group's GP increased by RM2.12 million or 11.41% to RM20.74 million in the FYE 2024, which was mainly attributable to an increase in GP from our IT consultation and project implementation services business segment by RM2.18 million from RM6.42 million in the FYE 2023 to RM8.60 million in the FYE 2024. The higher GP generated by this business segment in the FYE 2024 was mainly due to the implementation of more technical projects as well as the provision of training related to these projects for a hospital, and an oil and gas production company in the FYE 2024, which resulted in amongst others, a higher GP margin of 44.90% (FYE 2023: 38.91%) and higher revenue as mentioned in **Section 12.3.2** of this Prospectus. We generated a higher margin from the provision of the above training services as we only incurred labour costs in the provision of these services.

In addition, our Group also recorded a higher GP from our data analytics and business intelligence solutions business segment of RM1.57 million during the year. The higher GP was mainly due to higher revenue generated from this business segment as mentioned in **Section 12.3.2** of this Prospectus. Accordingly, our GP margin also improved to 75.10% in the FYE 2024 (FYE 2023: 51.29%) as a result of amongst others, economies of scale, whereby each operations personnel undertook more data analytics and business intelligence functions following amongst others, 5 new customers secured during the year as well as higher margins earned from the orders received from 3 of these new customers.

The above increase in GP were partially offset by a lower GP from our cloud services business segment of RM2.09 million during the year as well as a lower GP margin of 10.12% (FYE 2023: 18.67%). The decline in GP and GP margin from this business segment in the FYE 2024 was mainly due to a lower proportion of sales from 2 major customers of our Group, of a cloud-based application which typically commands a higher margin, i.e. approximately 11% of our cloud solutions revenue in the FYE 2023 as compared to approximately 5% in the FYE 2024, as these 2 customers ceased the provision of the cloud-based application to a government ministry in the FYE 2024. Additionally, it was our decision to absorb part of the software purchase costs involved to maintain competitiveness in the market.

12. FINANCIAL INFORMATION

Notwithstanding the increase in revenue and GP by RM19.33 million and RM2.12 million respectively in the FYE 2024, our Group's GP margin declined to 21.94% in the FYE 2024 from 24.75% in the FYE 2023, which was mainly attributable to the lower GP margin from our cloud services business segment as mentioned above. In addition, our Group also generated a lower GP margin of 9.69% in the FYE 2024 (FYE 2023: 12.97%) from our sale of IT hardware and software products segment, which was mainly due to lower incentives received from a Principal in the FYE 2024 following amongst others, a reduction in the product categories included for the incentive payments.

FYE 2024 vs FYE 2025

Our Group's GP increased by RM4.40 million or 21.23% to RM25.14 million in the FYE 2025, which was mainly attributable to an increase in GP from our cloud services and data analytics and business intelligence solutions business segments by RM4.04 million from RM6.01 million in the FYE 2024 to RM10.05 million in the FYE 2025, following the higher revenue generated from these business segments as mentioned in **Section 12.3.2** of this Prospectus.

In addition, the GP margin for our cloud services business segment in the FYE 2025 also improved to 15.11% (FYE 2024: 10.12%) as a result of amongst others, our Group securing higher margins for our cloud services subscribed by 6 new customers during the FYE 2025 as well as higher subscriptions of a cloud-based AI-enabled productivity software which typically commands a higher margin. The subscriptions by the 6 new customers are expected to recur as those subscriptions which expired prior to the LPD have been renewed by the relevant companies or their related companies.

In conjunction with the increase in revenue and GP by RM17.62 million and RM4.40 million respectively in the FYE 2025, our Group's GP margin improved to 22.42% in the FYE 2025 from 21.94% in the FYE 2024. It was mainly due to the higher GP margin for our cloud services business segment as mentioned above was partially offset by a lower GP margin of 66.47% in the FYE 2025 (FYE 2024: 75.10%) generated from our data analytics and business intelligence solutions business segment. The lower margin was as a result of amongst others, our strategy of offering competitive pricing for 3 new customers to secure the orders.

In addition, the GP margin for our sale of IT hardware and software products business segment declined to 5.90% in the FYE 2025 (FYE 2024: 9.69%). This was mainly due to the sale of IT hardware and software products of RM2.98 million to a national sewerage company during the FYE 2025, which carried a lower margin reflecting the commercial terms agreed for the sale in conjunction with IT consultation and project implementation services provided to the said customer.

Further, the GP margin of our rental of IT hardware and software products business declined to 17.98% in the FYE 2025 (FYE 2024: 19.38%). This was affected by higher depreciation charges during the year on IT hardware and software products held for rental which were acquired during the FYE 2023 and FYE 2024.

12. FINANCIAL INFORMATION**12.3.5 Other Income**

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Marketing income and incentives ⁽¹⁾	571	33.77	95	25.33	291	26.10	314	50.97
MATRADE reimbursement ⁽²⁾	119	7.04	20	5.33	-	-	-	-
MDEC grant ⁽³⁾	134	7.92	162	43.20	628	56.32	-	-
Singapore government grant ⁽⁴⁾	-	-	-	-	-	-	99	16.07
Gain on disposal of assets	80	4.73	-	-	-	-	-	-
Interest income	30	1.77	33	8.80	35	3.14	149	24.19
Realised and unrealised foreign exchange gain	25	1.48	23	6.13	36	3.23	49	7.96
Bargain purchase on acquisition of a subsidiary ⁽⁵⁾	119	7.04	-	-	-	-	-	-
Waiver of debt ⁽⁶⁾	500	29.57	-	-	-	-	-	-
Gain on modification and reassessment of lease	-	-	-	-	66	5.92	-	-
Others ⁽⁷⁾	113	6.68	42	11.21	59	5.29	5	0.81
Total	1,691	100.00	375	100.00	1,115	100.00	616	100.00

Notes:

- (1) Income for marketing events organised by our Group and/or incentives received from our Principals and suppliers.

The marketing events organised by our Group during the Financial Years Under Review include “TRANSFORM 2023” in October 2022, “TRANSFORM 2025” in November 2024, “TRANSFORM SG 2026” in July 2025, and “TRANSFORM 2026 Malaysia” in October 2025, as set out in **Section 7.14(iii)** of this Prospectus. These 4 events are our digital transformation conferences tailored for businesses of all sizes and served as gateways for business leaders to explore emerging technology trends and innovations shaping the future of work. To facilitate these events, we had secured sponsorships from our Principals and suppliers by offering them exposure opportunities during the events.

- (2) Reimbursement received from MATRADE for our Group’s advertising and promotional activities.

12. FINANCIAL INFORMATION

- (3) Grant received from MDEC for our Group's development activities. The grant was mainly received pursuant to MDEC's Global Technology Grant ("GTG") Programme for a period of 24 months, from 15 September 2022 to 14 September 2024. The GTG grant was disbursed by MDEC based on the project milestones stated in its letter of offer of the GTG grant, and has been fully received by us during the Financial Years Under Review.
- (4) Grant received from the Singapore government mainly in relation to its e-invoicing initiatives.
- (5) Being bargain purchase recognised on acquisition of Integricity.
- (6) Waiver of debt in relation to the consideration payable to the vendor, Alex Lam in relation to the acquisition of Integricity, which was completed on 10 January 2022.
- (7) Mainly comprise long outstanding amounts written off in relation to a newly acquired subsidiary, Integricity in the FYE 2022, and other miscellaneous income.

FYE 2022 vs FYE 2023

Our other income decreased by RM1.32 million or 77.82% to RM0.38 million in the FYE 2023, which was mainly due to the absence of bargain purchase and waiver of debt in relation to the acquisition of Integricity totalling RM0.62 million which were recognised in the FYE 2022.

The lower supplier sponsorships and incentives recognised in the FYE 2023 was mainly due to supplier sponsorships and incentives for prior years which were only received and thus, recognised in the FYE 2022, whilst the lower MATRADE reimbursement in the FYE 2023 was due to the reimbursement being no longer available since the FYE 2023.

FYE 2023 vs FYE 2024

Our other income increased by RM0.74 million or 197.33% to RM1.12 million in the FYE 2024, which was mainly contributed by higher grants received from MDEC for our development activities as well as higher sponsorships and incentives received from our suppliers following our increased marketing activities and our higher revenue.

FYE 2024 vs FYE 2025

Our other income decreased by RM0.50 million or 44.75% to RM0.62 million in the FYE 2025, which was mainly due to the expiry of the MDEC grant in the FYE 2024. This was partially offset by an increase in interest income, which was mainly in relation to interest income from finance lease arrangements for certain of our computer equipment.

12. FINANCIAL INFORMATION**12.3.6 Selling and Marketing Expenses**

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Sales commission	461	73.52	647	79.19	532	56.00	595	48.45
Marketing expenses	166	26.48	170	20.81	418	44.00	634	51.55
Total	627	100.00	817	100.00	950	100.00	1,229	100.00

FYE 2022 vs FYE 2023

Our selling and marketing expenses increased by RM0.19 million or 30.30% to RM0.82 million in the FYE 2023, which was mainly due to an increase in sales commissions to our sales staff in line with the increase in revenue of our recurring income model businesses.

FYE 2023 vs FYE 2024

Our selling and marketing expenses increased by RM0.13 million or 16.28% to RM0.95 million in the FYE 2024, which was mainly due to an increase in marketing expenses to improve our brand exposure and increase traffic to our corporate website. This increase was partially offset by a decrease in sales commission to our sales staff following a revision in our sales commission plans during the FYE 2024.

FYE 2024 vs FYE 2025

Our selling and marketing expenses increased by RM0.28 million or 29.37% to RM1.23 million in the FYE 2025, which was mainly due to increased marketing activities to improve our brand exposure and increase traffic to our corporate websites, and thereby increase our sales.

12. FINANCIAL INFORMATION**12.3.7 Administrative Expenses**

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Staff costs (including directors' remuneration)	8,273	75.60	8,943	75.38	10,438	72.53	11,199	71.09
Staff training, development and recruitment expenses	427	3.90	578	4.87	608	4.23	721	4.58
Medical and insurance charges	121	1.10	286	2.41	223	1.55	553	3.51
Travelling expenses	361	3.30	411	3.46	543	3.77	755	4.79
Maintenance charges	306	2.80	268	2.26	308	2.14	441	2.80
Professional fees ⁽¹⁾	527	4.82	758	6.39	1,566	10.88	1,292	8.20
Utilities	91	0.83	131	1.10	210	1.46	358	2.27
Software costs ⁽²⁾	271	2.48	130	1.10	6	0.04	-	-
Others ⁽³⁾	566	5.17	359	3.03	489	3.40	435	2.76
Total	10,943	100.00	11,864	100.00	14,391	100.00	15,754	100.00

Notes:

- (1) Mainly comprise audit, tax, secretarial and legal fees as well as professional fees for our IPO.
- (2) Mainly comprise costs of software utilised for our administrative operations.
- (3) Mainly comprise bank charges, corporate social responsibility (CSR) expenses, office expenses, postage, license fee, newspaper and periodicals.

FYE 2022 vs FYE 2023

Our administrative expenses increased by RM0.92 million or 8.42% to RM11.86 million in the FYE 2023, which was mainly attributable to an increase in staff costs by RM0.67 million mainly due to higher bonus payments to our directors in recognition of their efforts.

FYE 2023 vs FYE 2024

Our administrative expenses increased by RM2.53 million or 21.30% to RM14.39 million in the FYE 2024, which was mainly attributable to the following:

- (i) increase in staff costs by RM1.50 million mainly due to additional headcount by 14 staffs; and
- (ii) increase in professional fees by RM0.81 million mainly due to appointments of various professionals for our IPO exercise.

12. FINANCIAL INFORMATION

FYE 2024 vs FYE 2025

Our administrative expenses increased by RM1.36 million or 9.47% to RM15.75 million in the FYE 2025, which was mainly attributable to the following:

- (i) increase in staff costs by RM0.76 million mainly due to additional headcount by 7 personnel; and
- (ii) increase in medical and insurance charges by RM0.33 million mainly due to group medical insurance purchased for our staff, of which premiums amounting to RM0.19 million were paid during the FYE 2025.

12. FINANCIAL INFORMATION**12.3.8 Other Expenses**

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Depreciation and amortisation	411	88.96	480	81.49	618	82.84	665	77.87
Realised loss on foreign exchange	45	9.74	108	18.34	52	6.97	93	10.89
Others ⁽¹⁾	6	1.30	1	0.17	76	10.19	96	11.24
Total	462	100.00	589	100.00	746	100.00	854	100.00

Note:

(1) Mainly comprise bad debts written off, and other miscellaneous expenses.

FYE 2022 vs FYE 2023

Our other expenses increased by RM0.13 million to RM0.59 million in the FYE 2023, which was mainly due to higher depreciation of property, plant and equipment, and right-of-use assets. The higher depreciation was mainly due to the purchase of additional office equipment during the year following our business expansion and increase in headcount.

FYE 2023 vs FYE 2024

Our other expenses increased by RM0.16 million to RM0.75 million in the FYE 2024, which was mainly due to higher depreciation of property, plant and equipment. The higher depreciation was mainly due to the purchase of additional office equipment during the year following our business expansion and increase in headcount.

FYE 2024 vs FYE 2025

Our other expenses increased by RM0.10 million to RM0.85 million in the FYE 2025, which was mainly due to higher depreciation of property, plant and equipment. The higher depreciation was mainly due to the purchase of additional office equipment during the year following our business expansion.

12. FINANCIAL INFORMATION**12.3.9 Finance Costs**

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Bankers' acceptance and invoice financing interest	24	40.68	18	17.48	59	36.42	52	33.33
Term loan interest	27	45.76	20	19.42	12	7.41	5	3.21
Lease interest	5	8.47	61	59.22	71	43.82	95	60.90
Bank overdraft interest	3	5.09	4	3.88	20	12.35	4	2.56
Total	59	100.00	103	100.00	162	100.00	156	100.00

FYE 2022 vs FYE 2023

Our total finance costs increased by RM0.04 million to RM0.10 million in the FYE 2023, which was mainly due to higher interest expense on lease liabilities.

FYE 2023 vs FYE 2024

Our total finance costs increased by RM0.06 million to RM0.16 million in the FYE 2024, which was mainly due to higher utilisation of our bankers' acceptance and invoice financing facilities during the year for our business operations, resulting in higher bankers' acceptance and invoice financing interests.

FYE 2024 vs FYE 2025

Our total finance costs were fairly constant at RM0.16 million in the FYE 2024 and FYE 2025.

12. FINANCIAL INFORMATION**12.3.10 PBT and PAT**

	Audited			
	FYE 2022	FYE 2023	FYE 2024	FYE 2025
PBT (RM'000)	6,518	5,447	5,821	7,926
PBT margin (%)	8.39	7.24	6.16	7.07
PAT (RM'000)	5,290	4,342	5,008	6,805
PAT margin (%)	6.81	5.77	5.30	6.07

FYE 2022 vs FYE 2023

Our Group's PBT and PAT decreased by RM1.07 million and RM0.95 million respectively in the FYE 2023. Despite our Group recording a higher GP, which was mainly contributed by an increase in revenue from our cloud services business segment, the decrease in PBT and PAT was mainly attributable to the following:

- (i) decrease in other income by RM1.32 million, mainly due to the absence of bargain purchase and waiver of debt in relation to the acquisition of Integricity totalling RM0.62 million which was recognised in the FYE 2022; and
- (ii) increase in staff costs by RM0.61 million, mainly due to higher bonus payments to our directors in recognition of their efforts, as set out in **Section 12.3.7** of this Prospectus.

Accordingly, our Group's PBT margin and PAT margin also decreased to 7.24% and 5.77% respectively in the FYE 2023.

FYE 2023 vs FYE 2024

Our Group's PBT and PAT increased by RM0.37 million and RM0.67 million respectively in the FYE 2024, which was mainly attributable to the following:

- (i) higher GP mainly as a result of our Group's increase in revenue as mentioned in **Section 12.3.4** of this Prospectus; and
- (ii) increase in other income by RM0.74 million mainly due to higher grants received from MDEC for our development activities as well as higher sponsorships and incentives received from our suppliers following our increased marketing activities and our higher revenue.

This was partially offset by an increase in administrative expenses mainly due to an increase in our headcount in the FYE 2024 as well as additional professional fees incurred in relation to our IPO exercise.

Notwithstanding the above, our Group's PBT margin and PAT margin decreased to 6.16% and 5.30% respectively in the FYE 2024, which was mainly due to the lower GP margin generated by our cloud services business segment as mentioned in **Section 12.3.4** of this Prospectus.

FYE 2024 vs FYE 2025

Our Group's PBT and PAT increased by RM2.10 million and RM1.80 million respectively in the FYE 2025, which was mainly attributable to the higher GP generated during the FYE 2025 following the increase in our Group's revenue as mentioned in **Section 12.3.4** of this Prospectus.

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This was partially offset by the following:

- (i) a decrease in other income by RM0.50 million mainly due to the absence of grant from MDEC for our development activities in the FYE 2025, following the expiry of the grant on 14 September 2024 as mentioned in **Section 12.3.5** of this Prospectus; and
- (ii) an increase in administrative expenses mainly due to an increase in our headcount in the FYE 2025.

Accordingly, our Group's PBT margin and PAT margin also increased to 7.07% and 6.07% respectively in the FYE 2025.

12. FINANCIAL INFORMATION**12.3.11 Income Tax Expense**

	Audited			
	FYE 2022	FYE 2023	FYE 2024	FYE 2025
Income tax expense (RM'000)	1,228	1,105	813	1,121
Effective tax rate (%)	18.84	20.29	13.97	14.14
Malaysia statutory tax rate (%)	17.00-24.00	15.00-24.00	15.00-24.00	15.00-24.00
Singapore statutory rate (%)	17.00	17.00	17.00	17.00

Our Group's effective tax rate is within the range of Malaysia and Singapore statutory tax rates applicable during the FYE 2022 and FYE 2023 as set out above. The lower effective tax rates for the FYE 2024 and FYE 2025 are explained below.

FYE 2022 vs FYE 2023

Our Group's effective tax rate increased from 18.84% in the FYE 2022 to 20.29% in the FYE 2023, which was mainly attributable to higher deferred tax assets by RM0.03 million not recognised during the year.

FYE 2023 vs FYE 2024

Our Group's effective tax rate decreased from 20.29% in the FYE 2023 to 13.97% in the FYE 2024, which was mainly attributable to a 50% corporate income tax ("CIT") rebate granted under Singapore Budget 2025*, which was applicable to SRKK Singapore in the FYE 2024 for the Year of Assessment ("YA") 2025. The said rebate to SRKK Singapore for the FYE 2024 amounted to SGD0.04 million (or equivalent to RM0.14 million).

* *Based on the Singapore Budget 2025, the Singapore government has announced a rebate of 50% on the CIT payable, subject to a prescribed cap of SGD40,000 which is applicable for all tax paying companies for YA 2025. Such CIT rebates have been announced by the Singapore government as part of the Singapore Budget from time to time. For information purposes, the same CIT rebate of 50% on the CIT payable, subject to the prescribed cap of SGD40,000, has also been announced and is applicable for all tax paying companies for YA 2026.*

(Source: Corporate Income Tax Rate, Rebates & Tax Exemption Schemes, Inland Revenue Authority of Singapore).

FYE 2024 vs FYE 2025

Our Group's effective tax rate increased from 13.97% in the FYE 2024 to 14.14% in the FYE 2025, which was mainly attributable to the higher deferred tax assets by RM0.10 million not recognised during the year.

12. FINANCIAL INFORMATION**12.4 LIQUIDITY AND CAPITAL RESOURCES****12.4.1 Working Capital**

Our business is financed by a combination of internal and external sources of funds. Our internal sources of funds comprise shareholders' equity and cash generated from our business operations while our external sources of funds mainly comprise banking facilities from financial institutions.

Our Board is confident that our working capital will be sufficient for our existing and foreseeable requirements for a period of at least 12 months from the date of this Prospectus after taking into consideration, amongst others, the following:

- (i) our cash and cash equivalents (which excludes fixed deposits pledged as collateral for credit facilities obtained) of approximately RM5.63 million as at 31 December 2025;
- (ii) our positive operating cash flows for the past 4 financial years;
- (iii) our total credit facilities of RM4.42 million, of which RM2.28 million were unutilised as at 31 December 2025; and
- (iv) the expected proceeds from our Public Issue.

12.4.2 Review of Cash Flows

The table below sets out the summary of the statements of cash flows of our Group for the Financial Years Under Review:

	Audited			
	FYE 2022 RM'000	FYE 2023 RM'000	FYE 2024 RM'000	FYE 2025 RM'000
Net cash from operating activities	13,236	1,324	7,376	3,522
Net cash for investing activities	(1,872)	(1,929)	(3,450)	(2,934)
Net cash for financing activities	(6,567)	(4,481)	(1,782)	(97)
Net increase in cash and cash equivalents	4,797	(5,086)	2,144	491
Effect of foreign exchange translation	33	69	(74)	(6)
Cash and cash equivalents at beginning of the financial year	3,262	8,092	3,075	5,145
Cash and cash equivalents at end of the financial year	8,092	3,075	5,145	5,630

FYE 2022***Net cash from operating activities***

For the FYE 2022, our operating profit before working capital changes was RM7.52 million. Our net cash from operating activities was RM13.24 million after adjusting for, amongst others, the following items:

- (i) increase in trade and other payables by RM5.05 million mainly due to higher purchases of IT hardware and software products which was in line with the growth of our revenue; and

12. FINANCIAL INFORMATION

- (ii) net decrease in amount owing by holding and related companies by RM2.86 million as a result of contra settlement between our holding and related companies as detailed in **Section 10.1** of this Prospectus.

However, we paid income tax amounting to RM0.95 million in the FYE 2022.

Net cash for investing activities

For the FYE 2022, we recorded net cash used in investing activities of RM1.87 million, which was mainly attributable to purchase of property, plant and equipment of RM1.54 million for our Group's operations as well as for our rental of IT hardware and software products business.

Net cash for financing activities

For the FYE 2022, we recorded net cash used in financing activities of RM6.57 million mainly comprising:

- (i) payment of dividend of RM5.00 million; and
- (ii) repayments of bankers' acceptance, term loan and lease liabilities of RM1.42 million.

FYE 2023***Net cash for operating activities***

For the FYE 2023, our operating profit before working capital changes was RM6.84 million. Our net cash from operating activities was RM1.32 million after adjusting for, amongst others, the following items:

- (i) increase in trade and other receivables by RM0.92 million mainly due to slower collections from some of our customers pending the completion of implementation of the relevant projects;
- (ii) decrease in trade and other payables by RM1.43 million mainly due to lower purchases of IT hardware and software products as we experienced lower sale of IT hardware and software products during the year as mentioned in **Section 12.3.2** of this Prospectus; and
- (iii) net decrease in amount owing to directors by RM0.87 million as a result of repayment of the advances extended by our directors.

In addition, we also paid income tax amounting to RM1.21 million in the FYE 2023.

Net cash for investing activities

For the FYE 2023, we recorded net cash used in investing activities of RM1.93 million, which was mainly attributable to purchase of property, plant and equipment of RM1.63 million for our Group's operations as well as for our rental of IT hardware and software products business.

Net cash for financing activities

For the FYE 2023, we recorded net cash used in financing activities of RM4.48 million mainly comprising:

- (i) payment of dividend of RM3.50 million; and
- (ii) repayments of bankers' acceptance, term loan and lease liabilities of RM0.87 million.

12. FINANCIAL INFORMATION**FYE 2024*****Net cash from operating activities***

For the FYE 2024, our operating profit before working capital changes was RM7.63 million. Our net cash from operating activities was RM7.38 million after adjusting for the following key items:

- (i) increase in trade and other receivables by RM2.52 million mainly due to the increase in revenue generated during the year; and
- (ii) payment of income tax amounting to RM1.35 million in the FYE 2024,

which were partially offset by an increase in trade and other payables by RM3.69 million mainly due to higher purchases of IT hardware and software products which was in line with the growth of our revenue.

Net cash for investing activities

For the FYE 2024, we recorded net cash used in investing activities of RM3.45 million, which was mainly attributable to purchase of property, plant and equipment of RM3.49 million for our Group's operations as well as for our rental of IT hardware and software products business.

Net cash for financing activities

For the FYE 2024, we recorded net cash used in financing activities of RM1.78 million mainly comprising payment of dividend of RM2.00 million. This was partially offset by net drawdown of banker's acceptance and invoice financing of RM0.86 million.

FYE 2025***Net cash from operating activities***

For the FYE 2025, our operating profit before working capital changes was RM10.37 million. Our net cash from operating activities was RM3.52 million after adjusting for, amongst others, the following items:

- (i) increase in trade and other receivables, and contract assets by RM6.29 million mainly due to the increase in revenue generated during the year; and
- (ii) payment of income tax amounting to RM1.45 million in the FYE 2025,

which were partially offset by an increase in trade and other payables by RM1.30 million mainly due to higher purchases of IT hardware and software products which was in line with the growth of our revenue.

Net cash for investing activities

For the FYE 2025, we recorded net cash used in investing activities of RM2.93 million, which was mainly attributable to the following:

- (i) purchase of property, plant and equipment of RM1.93 million for our Group's operations as well as for our rental of IT hardware and software products business; and
- (ii) increase in finance lease receivables of RM1.40 million which was mainly due to the growth of our rental of IT hardware and software products business.

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Net cash for financing activities

For the FYE 2025, we recorded net cash used in financing activities of RM0.10 million, which was mainly attributable to the following:

- (i) payment of dividend of RM0.85 million; and
- (ii) repayments of invoice financing, term loan and lease liabilities (including interest expense) of RM1.08 million,

which were mostly offset by a net drawdown of banker's acceptance of RM1.74 million during the year.

12. FINANCIAL INFORMATION**12.5 BORROWINGS**

All of our borrowings are secured, interest-bearing and denominated in RM. Our total outstanding borrowings as at 31 December 2025 stood at RM3.45 million, details of which are set out below:

Type	Purpose	Tenure Year	Interest rate %	Less than 1 year RM'000	More than 1 year RM'000	Total RM'000
Term loan	Purchase of equipment	5	3.50	23	-	23
Bankers' acceptance	Working capital	1	4.71 - 5.21	2,120	-	2,120
Lease liabilities	Lease of building, and equipment	1 to 5	6.77	252	1,055	1,307
Total				2,395	1,055	3,450
Gearing ratio (times)						0.23

Our borrowings mainly consist of bankers' acceptance for working capital purposes as well as lease liabilities in relation to lease of building, and equipment. We have not defaulted on payments on principal sums and/or interests in respect of any of our borrowings for the FYE 2022 to FYE 2025 and up to the LPD.

As at the LPD, neither our Company nor any of our subsidiaries is in breach of any terms and conditions or covenants associated with the credit arrangements or bank borrowings which can materially affect our financial position and results or business operations or the investments by the holders of our Shares.

Our pro forma gearing ratio is expected to decrease from 0.35 times (after taking into account the acquisition of Port Tech Tower Units subsequent to the FYE 2025 as mentioned in **Section 12.9** of this Prospectus and before our Public Issue) to 0.15 times (after our Public Issue) due to the increase in shareholders' funds arising from the issuance of new Shares pursuant to our Public Issue. Our gearing ratio will increase to 0.16 times (after the utilisation of proceeds).

As at the LPD, we do not have any borrowings which are non-interest bearing and/or in foreign currencies.

We do not encounter any seasonality in our borrowings trend and there is no restriction on our committed facilities.

During the Financial Years Under Review, we did not experience any claw back or reduction in the facilities limit granted to us by our lenders.

12. FINANCIAL INFORMATION**12.6 KEY FINANCIAL RATIOS**

Our key financial ratios are as follows:

	Audited			
	FYE 2022	FYE 2023	FYE 2024	FYE 2025
Trade receivables turnover (days) ⁽¹⁾	50	59	54	58
Trade payables turnover (days) ⁽²⁾	77	93	75	71
Inventories turnover (days) ⁽³⁾	3	5	3	2
Current ratio (times) ⁽⁴⁾	1.09	1.08	1.10	1.32
Gearing ratio (times) ⁽⁵⁾	0.47	0.28	0.32	0.23

Notes:

- (1) Computed based on the average between the opening and closing of trade receivables over our Group's revenue multiplied by 365 days.
- (2) Computed based on the average between the opening and closing of trade payables over our Group's cost of sales multiplied by 365 days.
- (3) Computed based on the average between the opening and closing of inventories over our Group's cost of sales (IT hardware and software) multiplied by 365 days.
- (4) Computed based on current assets over current liabilities.
- (5) Computed based on total borrowings over total equity.

12.6.1 Trade Receivables Turnover

The normal credit period granted to our customers ranges from 30 to 60 days. Our credit terms to customers are assessed and approved on a case-by-case basis taking into consideration various factors such as relationships with customers, customers' payment history, creditworthiness, transaction volume, financial background, market reputation as well as customers' ability to pay.

Our Group's trade receivables turnover period ranged between 50 to 59 days during the Financial Years Under Review which was generally within the credit period granted to our customers.

12. FINANCIAL INFORMATION

The ageing analysis of our Group's trade receivables as at 31 December 2025 is as follows:

	Not past due RM'000	Past due				Total RM'000
		1-30 days RM'000	31-90 days RM'000	91-150 days RM'000	More than 150 days RM'000	
Trade receivables ⁽¹⁾	10,426	4,144	4,874	886	558	20,888
Allowance for impairment losses	(139)	(83)	(149)	(164)	(204)	(739)
Net trade receivables	10,287	4,061	4,725	722	354	20,149
% of total net trade receivables	51.06	20.15	23.45	3.58	1.76	100.00
Subsequent collections as at the LPD	(9,864)	(3,816)	(4,725)	(722)	(354)	(19,480)
Outstanding net trade receivables	423	245	-	-	-	669

Note:

(1) Exclude unbilled receivable amounting to RM0.19 million as at 31 December 2025.

As at 31 December 2025, our billed trade receivables stood at RM20.15 million, of which RM9.86 million or 48.95% of our trade receivables exceeded the normal credit period. As at the LPD, we have collected 96.68% of our trade receivables as at 31 December 2025.

12.6.2 Trade Payables Turnover

The normal credit period granted by our suppliers ranges from 30 to 90 days. To maintain good relationships with our suppliers, we will make payments to our suppliers when the invoices are due. Our trade payables turnover period for the FYE 2022 to FYE 2025 were between 71 days and 93 days. Save for FYE 2023, the trade payables turnover period were generally within the credit period granted by our suppliers.

The higher trade payables turnover period of 93 days in the FYE 2023 was mainly as a result of a higher proportion of amount outstanding to one of our major suppliers. As part of our cash flow management strategy, payments to this supplier were scheduled within 130 days from the invoice date. Despite the extended repayment period, we did not experience any disruption or termination of services from this supplier.

The ageing analysis of our Group's trade payables as at 31 December 2025 is as follows:

	Not past due RM'000	Past due				Total RM'000
		1-30 days RM'000	31-90 days RM'000	91-150 days RM'000	More than 150 days RM'000	
Trade payables ⁽¹⁾	7,180	4,879	2,460	289	-	14,808
% of total net trade payables	48.49	32.95	16.61	1.95	-	100.00
Subsequent payments as at the LPD	(7,019)	(4,879)	(2,460)	(289)	-	(14,647)
Outstanding net trade payables	161	-	-	-	-	161

12. FINANCIAL INFORMATIONNotes:

* Less than RM1,000 or 0.01%.

(1) Exclude accrual purchases amounting to RM2.53 million as at 31 December 2025.

As at the LPD, we have settled 98.91% of our trade payables as at 31 December 2025.

As part of our internal cash flow management, we closely monitor the payment deadline of our trade payables and maximise the usage of the credit terms granted by our suppliers.

As at the LPD, there are no disputes in respect of our trade payables and no legal action has been initiated by our suppliers to demand for payment.

12.6.3 Inventories Turnover

Our inventories mainly comprise computers that we supply to our customers. We only maintain a minimal amount of inventories for our sale and rental of IT hardware and software business. Thus, our Group's inventory turnover period was low during the Financial Years Under Review, i.e. ranging between 2 days to 5 days.

12.6.4 Current Ratio

	Audited			
	FYE 2022 RM'000	FYE 2023 RM'000	FYE 2024 RM'000	FYE 2025 RM'000
Current assets	22,515	19,143	24,125	31,729
Current liabilities	20,659	17,747	21,839	23,966
Current ratio (times)	1.09	1.08	1.10	1.32

Our current ratio maintained between 1.08 times to 1.32 times for the Financial Years Under Review. This indicates that our Group is capable of meeting our current obligations as our current assets such as trade receivables and short-term investment with a financial institution, which can be readily converted to cash, together with our cash and bank balances are sufficient to meet our immediate current liabilities.

12.6.5 Gearing Ratio

	Audited			
	FYE 2022 RM'000	FYE 2023 RM'000	FYE 2024 RM'000	FYE 2025 RM'000
Total borrowings	2,368	1,676	2,850	3,450
Total equity	5,038	5,991	8,820	14,798
Gearing ratio (times)	0.47	0.28	0.32	0.23

Our gearing ratio decreased from 0.47 times in the FYE 2022 to 0.28 times in the FYE 2023, mainly as a result of the increase in our Group's total equity following the PAT of RM4.34 million recorded in the FYE 2023 as well as repayments of bankers' acceptance, term loan and lease liabilities during the year.

12. FINANCIAL INFORMATION

Our gearing ratio increased from 0.28 times in the FYE 2023 to 0.32 times in the FYE 2024, mainly as a result of an increase in our Group's lease liabilities during the year.

Our gearing ratio decreased from 0.32 times in the FYE 2024 to 0.23 times in the FYE 2025, mainly as a result of the increase in our Group's total equity following the PAT of RM6.81 million recorded in the FYE 2025.

12.7 SIGNIFICANT FACTORS AFFECTING OUR OPERATIONS AND FINANCIAL PERFORMANCE

Our operations and financial performance have been and will continue to be affected by factors including, but not limited to, the following:

(i) Foreign currency exchange rate fluctuations

Our financial results for the Financial Years Under Review were not materially affected by fluctuations in foreign exchange rates as our transactions are mostly denominated in RM. Notwithstanding, transactions by our subsidiary, SRKK Singapore and our former subsidiary, Integricity Philippines are mostly denominated in their respective countries' currencies, i.e. SGD and PHP respectively. During the Financial Years Under Review, SRKK Singapore generated between 11.43% to 19.40% of our Group's revenue.

The impact of foreign currency exchange on our results for the Financial Years Under Review are summarised as follows:

	Audited			
	FYE 2022 RM'000	FYE 2023 RM'000	FYE 2024 RM'000	FYE 2025 RM'000
(Loss)/Gain on foreign exchange	(20)	(85)	(16)	(44)
- realised	(34)	(85)	(16)	(44)
- unrealised	14	-	-	-

Notwithstanding the above, there is no assurance that any fluctuation in foreign exchange rates would not have a material impact on our financial performance.

(ii) Interest rates

Our Group's financial performance for the Financial Years Under Review were not materially affected by fluctuations in interest rates. However, major increase in interest rates would raise the cost of borrowings and our finance costs, which may have an adverse impact on our Group's financial performance.

Please refer to Note 43.1(a)(ii) of the Accountants' Report as set out in **Section 13** of this Prospectus for further details of the interest rate risk on our PAT for the Financial Years Under Review.

(iii) Inflation

Inflation has not had a material impact on our business, financial condition or results of operations for the Financial Years Under Review. Nevertheless, there can be no assurance that future inflation would not have a material impact on our business and performance insofar as we are unable to pass on the higher costs to our customers through increase in prices of our solutions.

12. FINANCIAL INFORMATION**(iv) Government, economic, fiscal or monetary policies**

Save for the Singapore Budget 2025 CIT Rebate disclosed in **Section 12.3.11** of this Prospectus, there were no government, economic, fiscal or monetary policies which have affected our financial performance for the Financial Years Under Review. There is no assurance that our financial performance will not be adversely affected by the impact of changes in government, economic, fiscal or monetary policies moving forward.

Please refer to **Section 9.2.4** of this Prospectus for risks relating to economic, social, political and regulatory policies which may materially affect our business operations.

12.8 FINANCIAL INSTRUMENTS, TREASURY POLICIES AND OBJECTIVES

As at the LPD, save for our bank borrowings as disclosed in **Section 12.5** of this Prospectus, we do not utilise any other financial instruments.

Our main treasury policy is to maintain sufficient working capital to finance our operations, coupled with adequate credit facilities to meet estimated commitments arising from our operational expenditure and financial liabilities. Our combination of internal and external sources of funds include cash generated from operations and bank borrowings. The primary objective is to have sustainable shareholders' equity to ensure we have the ability to continue as a going-concern and grow our business in order to maximise shareholders' value. We review and manage our capital structure to maintain our debt-to-equity ratio at an optimal level based on our business requirements and prevailing economic conditions.

12.9 MATERIAL INVESTMENT AND DIVESTITURES

Save as disclosed below, we do not have any other material investments and divestitures for the Financial Years Under Review and up to the LPD:

	FYE 2022 RM'000	FYE 2023 RM'000	FYE 2024 RM'000	FYE 2025 RM'000	1 January 2026 and up to the LPD RM'000
Material investments					
Computer equipment ⁽¹⁾	111	-	-	-	-
Office equipment ⁽²⁾	1,237	1,419	3,396	1,814	1,295
Property	-	-	-	-	⁽³⁾ 2,000
Total	1,348	1,419	3,396	1,814	3,295

Notes:

- (1) Mainly for the purchase of IT equipment for our operations in Malaysia.
- (2) Mainly for the purchase of IT equipment for our operations and for our IT hardware and software products rental business in Malaysia.
- (3) For the purchase of Unit 10-1, 10-2, 10-3, 10-3A, 10-5, 10-6, 10-7 and 10-8 in Port Tech Tower ("**Port Tech Tower Units**") for our future business expansion, which was completed on 4 May 2026.

12. FINANCIAL INFORMATION

The purchase consideration was satisfied by a combination of bank borrowings and internally generated funds. We are the beneficial owner of the Port Tech Tower Units. As the property is currently held under a master title registered in the name of the vendor, the registration of the transfer of legal title and ownership in our favour is pending the issuance of the individual title for the property, which is expected to be completed by the 4th quarter of 2026.

12.10 MATERIAL CAPITAL COMMITMENTS, MATERIAL LITIGATION, CLAIMS OR ARBITRATION AND CONTINGENT LIABILITIES**12.10.1 Material Capital Commitments**

As at the LPD, there are no material capital commitments incurred or known to be incurred by us that have not been provided for which, upon becoming enforceable, may have a material impact on our financial results or financial position.

12.10.2 Material Litigation, Claims or Arbitration

As at the LPD, our Group is not engaged in any material litigation, claims and/or arbitration, whether as plaintiff or defendant, which might adversely affect our business or financial position, and our Directors confirm that there are no legal proceedings, pending or threatened, or of any fact to give rise to any legal proceeding which may materially and adversely affect our business or financial position, in the 12 months immediately preceding the date of this Prospectus.

12.10.3 Contingent Liabilities

As at the LPD, there are no contingent liabilities incurred by us or our subsidiary, which upon becoming enforceable, may have a material effect on our financial position or our subsidiary.

12.11 ORDER BOOK

Our revenue is generated by way of purchase orders from our customers on an ongoing basis under our non-recurring income model as well as contracts with our customers for a contract tenure of between 1 to 5 years under our recurring income model. Our unbilled orders and contracts as at the LPD amounted to RM26.12 million, which is expected to be recognised over the next 4 financial years as follows:

	FYE 2026 RM'000	FYE 2027 RM'000	FYE 2028 to FYE 2029 RM'000	Total RM'000
Non-recurring income model	8,087	241	135	8,463
Recurring income model	12,825	3,638	1,199	17,662
Total	20,912	3,879	1,334	26,125

Our GP margin ranged between 21.94% and 24.75% during the Financial Years Under Review. The movements within the aforesaid range were primarily attributable to changes in our revenue mix between business segments and income models as well as competitive pricing strategies.

Of this RM26.12 million unbilled order book as at the LPD, 55.06% is attributable to our cloud services and rental of IT hardware and software products business segments, which form the core of our recurring income model. The aforesaid orders are expected to be recognised as revenue over the FYE 2026 to FYE 2029. We intend to grow these segments by increasing subscriptions of cloud-based AI-enabled productivity software and by securing additional rental contracts, depending on customer take-up and prevailing market conditions.

12. FINANCIAL INFORMATION

In addition, we also intend to grow our IT consultation and project implementation services, IT managed services, and data analytics and business intelligence solutions business segments through the future plans as set out in **Section 7.9** of this Prospectus, including the setting up of AI labs, AI academy and our own SOC as well as developing our own data analytics and business intelligence solutions. The contribution of these initiatives to our revenue and profitability will depend on, among others, the timing and successful implementation of these plans and market acceptance.

12.12 TREND INFORMATION

As at the LPD, after all reasonable enquiries, our Board confirms that our business operations have not been and are not expected to be affected by any of the following:

- (i) known trends, demands, commitments, events or uncertainties that have had or that we reasonably expect to have, a material favourable or unfavourable impact on our financial performance, position, operations, liquidity and capital resources, save as disclosed in this section, and **Sections 7 and 9** of this Prospectus;
- (ii) material capital commitments as set out in **Section 12.10.1** of this Prospectus;
- (iii) unusual, infrequent events or transactions or any significant economic changes that have materially affected the financial performance, position and operations of our Group, save as disclosed in this section and **Section 9** of this Prospectus;
- (iv) known trends, demands, commitments, events or uncertainties that have resulted in a material impact on our Group's revenue, save as disclosed in this section and **Sections 7 and 9** of this Prospectus; and
- (v) known trends, demands, commitments, events or uncertainties that are reasonably likely to make our Group's historical financial statements not indicative of the future financial performance and position, save as disclosed in this section, and **Sections 7 and 9** of this Prospectus.

Our Board is optimistic about the future prospects of our Group given our Group's competitive strengths as set out in **Section 7.8** of this Prospectus as well as our commitment to implement our future plans and strategies as set out in **Section 7.9** of this Prospectus.

12.13 SIGNIFICANT CHANGES

Save for the acquisition of the Port Tech Tower Units as set out in **Section 12.9** of this Prospectus, there are no significant changes have occurred which may have a material effect on the financial position and results of our Group subsequent to the FYE 2025 up to the LPD.

12.14 ACCOUNTING POLICIES AND AUDIT QUALIFICATION

There are no accounting policies which are peculiar to our Group because of the nature of the business and industry which we are involved in. For further details on the material accounting policies of our Group, see Note 4 of the Accountants' Report as set out in Section 13 of this Prospectus. The Accountants' Report does not contain any audit qualification for the Financial Years Under Review.

12. FINANCIAL INFORMATION**12.15 DIVIDEND POLICY**

It is our Board's policy to recommend dividends to allow our shareholders to participate in the profits of our Group. Our ability to declare and pay dividends or make other distributions to our shareholders in the future years is subject to various factors such as having profits and excess funds, which are not required to be retained to fund our business.

Our Board will consider the following factors (which may not be exhaustive) when recommending dividends for approval by our shareholders or when declaring any interim dividends:

- (i) the level of cash and level of indebtedness;
- (ii) required and expected interest expense, cash flows, profits, return on equity and retained earnings;
- (iii) our expected results of operations and future level of operations; and
- (iv) our projected levels of capital expenditure and other investment plans.

We have a policy to target a payout ratio of at least 20% of our consolidated PAT attributable to the owners of our Group in each financial year after taking into account our working capital and maintenance of capital requirements, subject to any applicable law, license conditions, contractual obligations and provided that such distribution will not be detrimental to our Group's cash requirements or any plans approved by our Board.

Our Board may from time to time approve or recommend a dividend or other distribution. However, no dividend or distribution shall be declared in excess of the amount recommended by our Board. Further, under the Act, our Company may not declare or pay dividend, or make a distribution out of contributed surplus, if there are reasonable grounds for believing that:

- (i) our Company is, or would after the payment, be unable to pay our liabilities as they become due; or
- (ii) the realisable value of our Company's assets would thereby be less than our liabilities.

Dividends declared and paid by our Company, during the Financial Years Under Review and up to the LPD were as follows:

	FYE 2022 RM'000	FYE 2023 RM'000	FYE 2024 RM'000	FYE 2025 RM'000	1 January 2026 and up to the LPD RM'000
Dividends declared and paid	300	3,500	2,000	850	-
Dividend payout ratio ⁽¹⁾ (%)	5.63	80.35	39.94	12.49	-

Note:

- (1) Computed as dividends paid by our Company divided by PAT attributable to owners of our Company for the respective financial years.

The dividends above were satisfied via internal funds sourced from the cash and bank balances of the respective subsidiaries. The dividends will not affect the execution and implementation of our future plans or business strategies. Together with our IPO proceeds, we believe that we have sufficient funding of cash from operations and bank borrowings for the funding requirement for our operations and our expansion plans.

Our Company does not intend to declare any further dividends prior to our Listing.

13. ACCOUNTANTS' REPORT

Crowe Malaysia PLT
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 Chartered Accountants
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 12, Jalan Yap Kwan Seng
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 Malaysia
 Main +6 03 2788 9999
 www.crowe.my

Date: 3 June 2026

The Board of Directors
SRKK AI Berhad
 Unit 15-1, 15-2, 15-3, 15-3A, 15-5, 15-6, 15-7,
 Port Tech Tower
 Jalan Tiara 3/KU 01
 Bandar Baru Klang
 41150 Klang
 Selangor Darul Ehsan

Dear Sirs/Madam,

**REPORTING ACCOUNTANTS' OPINION ON THE FINANCIAL INFORMATION CONTAINED
 IN THE ACCOUNTANTS' REPORT OF SRKK AI BERHAD ("SRKK AI" OR COMPANY)**

OPINION

We have audited the following financial information contained in the Accountants' Report of SRKK AI Berhad ("SRKK AI"):-

- (i) For the financial years ended ("FYE") 31 December 2022 and 2023
 The combined financial statements of SRKK AI and its subsidiaries ("SRKK Group") and its combining entity, SRKK Data Sdn. Bhd. (collectively known as "the Group"), which comprise the combined statements of financial position as at 31 December 2022 and 2023 of the Group and the combined statements of profit or loss and other comprehensive income, combined statements of changes in equity and combined statements of cash flows of the Group for the financial years ended 31 December 2022 and 2023.
- (ii) For the financial years ended 31 December 2024 and 2025
 The consolidated financial statements of SRKK AI, which comprise the consolidated statements of financial position as at 31 December 2024 and 2025 of the Group and the consolidated statements of profit or loss and other comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows of the Group for the financial years ended 31 December 2024 and 2025; and
- (iii) notes to the combined and consolidated financial statements, including material accounting policy information, as set out on pages 4 to 105.

This historical financial information has been prepared for inclusion in the prospectus of SRKK AI. This report is required by the Prospectus Guidelines issued by the Securities Commission Malaysia ("SC") (the "Prospectus Guidelines") and is given for the purpose of complying with Chapter 10, Part II Division 1: Equity of the Prospectus Guidelines and for no other purpose.

In our opinion, the combined and consolidated financial information gives a true and fair view of the financial position of the Group as at 31 December 2022, 31 December 2023, 31 December 2024 and 31 December 2025 and of its combined and consolidated financial performance and its combined and consolidated cash flows for each of the FYE 31 December 2022, 31 December 2023, 31 December 2024 and 31 December 2025 in accordance with the Malaysian Financial Reporting Standards and the IFRS Accounting Standards.

13. ACCOUNTANTS' REPORT**BASIS FOR OPINION**

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Reporting Accountants' Responsibilities for the Audit of the Financial Information* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group in accordance with the By-Laws (*on Professional Ethics, Conduct and Practice*) of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

DIRECTORS' RESPONSIBILITY FOR THE FINANCIAL INFORMATION

The Directors of the Group are responsible for the preparation of financial information of the Group that give a true and fair view in accordance with Malaysian Financial Reporting Standards and IFRS Accounting Standards. The Directors are also responsible for such internal control as the Directors determine is necessary to enable the preparation of financial information of the Group that are free from material misstatement, whether due to fraud or error.

In preparing the financial information of the Group, the Directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

REPORTING ACCOUNTANTS' RESPONSIBILITY FOR THE AUDIT OF FINANCIAL INFORMATION

Our objectives are to obtain reasonable assurance about whether the financial information of the Group as a whole are free from material misstatement, whether due to fraud or error, and to issue a report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial information.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:-

- Identify and assess the risks of material misstatement of the financial information of the Group, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

13. ACCOUNTANTS' REPORT**REPORTING ACCOUNTANTS' RESPONSIBILITY FOR THE AUDIT OF FINANCIAL INFORMATION (CONT'D)**

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.
- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our report to the related disclosures in the financial information of the Group or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of this report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial information of the Group, including the disclosures, and whether the financial information of the Group represents the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

RESTRICTION ON DISTRIBUTION AND USE

This report is made solely to comply with the Prospectus Guidelines and for inclusion in the prospectus of SRKK AI in connection with the listing and quotation of the entire enlarged issued share capital of SRKK AI on the ACE Market of Bursa Malaysia Securities Berhad and should not be relied upon for any other purposes. We do not assume responsibility to any other person for the content of this report.

Crowe Malaysia PLT
201906000005 (LLP0018817-LCA) & AF 1018
Chartered Accountants

Kuala Lumpur

03 JUN 2026

Chua Wai Hong
02974/09/2027 J
Chartered Accountant

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
COMBINED AND CONSOLIDATED STATEMENTS OF FINANCIAL POSITION**

		Audited			
		At 31 December			
Note		2022 RM	2023 RM	2024 RM	2025 RM
ASSETS					
NON-CURRENT ASSETS					
Property, plant and equipment	5	3,051,751	3,991,895	5,802,768	5,553,516
Right-of-use assets	6	1,313,378	969,867	1,522,665	1,249,669
Finance lease receivable	7	71,644	34,999	48,026	775,265
Intangible asset	8	62,185	59,606	52,802	45,166
Development cost	9	190,515	529,283	431,189	333,095
Deferred tax assets	10	-	-	-	169,378
		4,689,473	5,585,650	7,857,450	8,126,089
CURRENT ASSETS					
Inventories	11	436,222	984,728	267,850	644,732
Finance lease receivable	7	31,570	36,645	66,665	471,191
Trade receivables	12	11,611,796	12,777,485	15,327,045	20,338,249
Other receivables, deposits and prepayments	13	897,534	605,357	623,480	1,247,932
Contract assets	14	593,194	959,718	1,784,835	2,488,556
Amount owing by holding company	15	217,277	2,396	-	-
Amount owing by related companies	16	270,863	150,145	-	-
Amount owing by related parties	17	42,313	-	36,283	-
Amount owing by a shareholder	18	25	25	-	-
Short-term investment with a financial institution	19	1,303,841	815,826	371,526	1,021,667
Current tax assets		43,580	90,404	387,927	608,545
Fixed deposit with a licensed bank	20	276,333	276,333	276,333	299,471
Cash and bank balances		6,790,851	2,444,321	4,983,453	4,608,408
		22,515,399	19,143,383	24,125,397	31,728,751
TOTAL ASSETS		27,204,872	24,729,033	31,982,847	39,854,840

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
COMBINED AND CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (CONT'D)**

		Audited At 31 December			
	Note	2022 RM	2023 RM	2024 RM	2025 RM
EQUITY AND LIABILITIES					
EQUITY					
Share capital	21(a)	100	100	100	100,000
Invested equity	21(b)	10,000	10,000	-	-
Reserves	22	85,207	197,192	(25,079)	(102,602)
Retained profits		4,980,779	5,836,584	8,845,070	14,800,561
Equity attributable to owners of the Company		5,076,086	6,043,876	8,820,091	14,797,959
Non-controlling interest		(38,590)	(52,545)	-	-
TOTAL EQUITY		5,037,496	5,991,331	8,820,091	14,797,959
NON-CURRENT LIABILITIES					
Lease liabilities	23	1,041,125	733,700	1,307,198	1,055,009
Term loan	24	449,647	239,935	-	-
Deferred tax liabilities	10	17,021	17,021	17,021	36,083
		1,507,793	990,656	1,324,219	1,091,092
CURRENT LIABILITIES					
Trade payables	25	14,968,998	13,851,056	16,620,916	17,341,320
Other payables and accruals	26	2,436,895	2,286,087	2,919,907	3,498,462
Contract liabilities	14	345,470	236,650	180,240	221,976
Amount owing to holding company	15	260,515	1,115	159,745	-
Amount owing to related companies	16	261,757	21,165	5,379	-
Amount owing to related parties	17	4,260	-	-	-
Amount owing to a shareholder	18	24,775	4,955	-	-
Amount owing to directors	27	880,838	13,102	-	-
Lease liabilities	23	324,370	307,425	235,739	252,190
Term loan	24	202,551	209,712	239,900	22,685
Bankers' acceptance	28	347,000	-	384,000	2,119,642
Invoice financing	29	-	-	473,499	-
Bank overdraft	30	2,801	185,155	209,755	-
Current tax liabilities		599,353	630,624	409,457	509,514
		20,659,583	17,747,046	21,838,537	23,965,789
TOTAL LIABILITIES		22,167,376	18,737,702	23,162,756	25,056,881
TOTAL EQUITY AND LIABILITIES		27,204,872	24,729,033	31,982,847	39,854,840

The annexed notes form an integral part of these financial statements.

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13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
COMBINED AND CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER
COMPREHENSIVE INCOME**

		Audited FYE 31 December			
	Note	2022 RM	2023 RM	2024 RM	2025 RM
REVENUE	31	77,687,365	75,212,660	94,539,714	112,163,480
COST OF SALES		(60,417,452)	(56,597,678)	(73,800,852)	(87,021,757)
GROSS PROFIT		17,269,913	18,614,982	20,738,862	25,141,723
OTHER INCOME		1,690,724	375,342	1,115,324	616,119
SELLING AND MARKETING EXPENSES		(627,381)	(816,749)	(950,468)	(1,228,823)
ADMINISTRATIVE EXPENSES		(10,943,112)	(11,863,561)	(14,390,469)	(15,753,691)
OTHER EXPENSES		(460,899)	(589,368)	(745,986)	(853,935)
FINANCE COSTS		(59,051)	(103,206)	(161,915)	(156,121)
NET (IMPAIRMENT LOSSES) /REVERSAL OF IMPAIRMENT LOSS ON FINANCIAL ASSETS	32	(351,709)	(170,066)	215,586	161,050
PROFIT BEFORE TAXATION	33	6,518,485	5,447,374	5,820,934	7,926,322
INCOME TAX EXPENSE	34	(1,228,106)	(1,105,524)	(812,448)	(1,120,831)
PROFIT AFTER TAXATION		5,290,379	4,341,850	5,008,486	6,805,491
OTHER COMPREHENSIVE INCOME/(EXPENSES)					
<u>Items that Will be Reclassified</u> <u>Subsequently to</u> <u>Profit or Loss</u>					
Foreign currency translation differences		105,915	111,985	(64,271)	(77,523)
TOTAL COMPREHENSIVE INCOME FOR THE FINANCIAL YEAR		5,396,294	4,453,835	4,944,215	6,727,968

13. ACCOUNTANTS' REPORT
SRKK AI BERHAD
COMBINED AND CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER
COMPREHENSIVE INCOME (CONT'D)

		Audited			
		FYE 31 December			
	Note	2022 RM	2023 RM	2024 RM	2025 RM
PROFIT AFTER TAXATION					
ATTRIBUTABLE TO:-					
Owners of the Company		5,328,969	4,355,805	5,008,486	6,805,491
Non-controlling interests		(38,590)	(13,955)	-	-
		<u>5,290,379</u>	<u>4,341,850</u>	<u>5,008,486</u>	<u>6,805,491</u>
TOTAL COMPREHENSIVE					
INCOME ATTRIBUTABLE					
TO:-					
Owners of the Company		5,434,884	4,467,790	4,944,215	6,727,968
Non-controlling interests		(38,590)	(13,955)	-	-
		<u>5,396,294</u>	<u>4,453,835</u>	<u>4,944,215</u>	<u>6,727,968</u>
EARNINGS PER SHARE (RM)					
Basic	35	<u>532.90</u>	<u>435.58</u>	<u>500.85</u>	<u>0.68</u>

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
COMBINED AND CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY**

	Note	← Non-Distributable →				Distributable		Total Equity RM
		Share Capital RM	Invested Equity RM	Restructuring Deficit RM	Foreign Exchange Translation Reserve RM	Retained Profits RM	Attributable To Owners of the Company RM	
Balance at 1.1.2022		100	2,665,314	-	(20,708)	(48,190)	2,596,516	2,596,516
Profit after taxation for the financial year		-	-	-	-	5,328,969	5,328,969	5,290,379
Other comprehensive income for the financial year:								
- Foreign currency translation differences		-	-	-	105,915	-	105,915	105,915
Total comprehensive income for the financial year		-	-	-	105,915	5,328,969	5,434,884	5,396,294
Restructuring exercise	21(b)	-	(2,655,314)	-	-	-	(2,655,314)	(2,655,314)
Dividends:								
- by the Company	37	-	-	-	-	(300,000)	(300,000)	(300,000)
Total contributions by and distributions to owners		-	(2,655,314)	-	-	(300,000)	(2,955,314)	(2,955,314)
Balance at 31.12.2022		100	10,000	-	85,207	4,980,779	5,076,086	5,037,496

The annexed notes form an integral part of these financial statements.

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13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
COMBINED AND CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY (CONT'D)**

	Note	← Non-Distributable →				Distributable		Total Equity RM
		Share Capital RM	Invested Equity RM	Restructuring Deficit RM	Foreign Exchange Translation Reserve RM	Retained Profits RM	Attributable To Owners of the Company RM	
Balance at 1.1.2023		100	10,000	-	85,207	4,980,779	5,076,086	(38,590) 5,037,496
Profit after taxation for the financial year		-	-	-	-	4,355,805	4,355,805	(13,955) 4,341,850
Other comprehensive income for the financial year:								
- Foreign currency translation differences		-	-	-	111,985	-	111,985	- 111,985
Total comprehensive income for the financial year		-	-	-	111,985	4,355,805	4,467,790	(13,955) 4,453,835
Contribution by and distribution to owners of the Company:								
- Dividends	37	-	-	-	-	(3,500,000)	(3,500,000)	- (3,500,000)
Balance at 31.12.2023		100	10,000	-	197,192	5,836,584	6,043,876	(52,545) 5,991,331

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
COMBINED AND CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY (CONT'D)**

	Note	← Non-Distributable →				Distributable		Total Equity RM
		Share Capital RM	Invested Equity RM	Restructuring Deficit RM	Foreign Exchange Translation Reserve RM	Retained Profits RM	Attributable To Owners of the Company RM	
Balance at 1.1.2024		100	10,000	-	197,192	5,836,584	6,043,876	5,991,331
Profit after taxation for the financial year		-	-	-	-	5,008,486	5,008,486	5,008,486
Other comprehensive (expense)/income for the financial year:								
- Foreign currency translation differences		-	-	-	(64,271)	-	(64,271)	(64,271)
Total comprehensive (expense)/income for the financial year		-	-	-	(64,271)	5,008,486	4,944,215	4,944,215
Restructuring exercise	21(b)	-	(10,000)	(158,000)	-	-	(168,000)	(168,000)
Dividends:								
- by the Company	37	-	-	-	-	(2,000,000)	(2,000,000)	(2,000,000)
Total contributions by and distributions to owners		-	(10,000)	(158,000)	-	(2,000,000)	(2,168,000)	(2,168,000)
Deconsolidation of a subsidiary		-	-	-	-	-	52,545	52,545
Balance at 31.12.2024		100	-	(158,000)	132,921	8,845,070	8,820,091	8,820,091

The annexed notes form an integral part of these financial statements.

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13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
COMBINED AND CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY (CONT'D)**

	Note			← Non-Distributable		→ Distributable		Attributable To Owners of the Company RM	Non- controlling interest RM	Total Equity RM
		Share Capital RM	Invested Equity RM	Restructuring Deficit RM	Foreign Exchange Translation Reserve RM	Retained Profits RM				
Balance at 1.1.2025		100	-	(158,000)	132,921	8,845,070		8,820,091	-	8,820,091
Profit after taxation for the financial year		-	-	-	-	6,805,491		6,805,491	-	6,805,491
Other comprehensive (expense)/income for the financial year:										
- Foreign currency translation differences		-	-	-	(77,523)	-		(77,523)	-	(77,523)
Total comprehensive (expense)/income for the financial year		-	-	-	(77,523)	6,805,491		6,727,968	-	6,727,968
Issuance of shares	21(a)	99,900	-	-	-	-		99,900	-	99,900
Dividends:										
- by the Company	37	-	-	-	-	(850,000)		(850,000)	-	(850,000)
Total contributions by and distributions to owners		99,900	-	-	-	(850,000)		(750,100)	-	(750,100)
Balance at 31.12.2025		100,000	-	(158,000)	55,398	14,800,561		14,797,959	-	14,797,959

The annexed notes form an integral part of these financial statements.

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13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
COMBINED AND CONSOLIDATED STATEMENTS OF CASH FLOWS**

Note	Audited FYE 31 December			
	2022 RM	2023 RM	2024 RM	2025 RM
CASH FLOWS FROM OPERATING ACTIVITIES				
Profit before taxation	6,518,485	5,447,374	5,820,934	7,926,322
Adjustments for:-				
Allowance for impairment losses on trade receivables	351,709	185,537	-	92,279
Amortisation of:				
- intangible asset	6,794	7,499	7,584	7,636
- development cost	23,036	25,284	98,094	98,094
Bad debt written off	18,421	959	26,753	95,958
Depreciation of:				
- property, plant and equipment	320,253	776,281	1,497,292	2,121,806
- right-of-use assets	384,471	343,511	282,627	272,996
Interest expense on lease liabilities	87,039	64,977	70,659	95,293
Interest expenses	53,519	41,720	91,753	60,828
Inventories written off	-	-	214	-
Loss on deemed disposal on deconsolidation of a subsidiary	-	-	49,519	-
Loss on disposal of property, plant and equipment	-	401	968	-
Bargain purchase on acquisition of a subsidiary	(119,317)	-	-	-
Gain on disposal of right-of-use assets	(80,006)	-	-	-
Gain on modification of lease	-	-	(12,548)	-
Gain on reassessment of lease term	-	-	(53,599)	-
Interest income	(29,551)	(33,101)	(35,226)	(148,613)
Reversal of impairment losses:				
- trade receivables	-	(959)	(215,586)	(253,329)
- other receivables	-	(14,512)	-	-
Unrealised gain on foreign exchange	(13,849)	-	-	-
Operating profit before working capital changes	7,521,004	6,844,971	7,629,438	10,369,270

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
COMBINED AND CONSOLIDATED STATEMENTS OF CASH FLOWS (CONT'D)**

	Note	Audited FYE 31 December			
		2022 RM	2023 RM	2024 RM	2025 RM
Operating profit before working capital changes		7,521,004	6,844,971	7,629,438	10,369,270
Decrease/(Increase) in inventories		208,070	(548,506)	716,664	(376,882)
Increase in trade and other receivables		(632,756)	(919,082)	(2,518,509)	(5,570,564)
Increase/(Decrease) in trade and other payables		5,052,926	(1,425,970)	3,687,046	1,298,959
(Decrease)/Increase in contract liabilities		(1,228,226)	(114,192)	(52,893)	41,904
Increase in contract assets		(461,762)	(365,926)	(846,691)	(719,906)
Decrease in amount owing by holding company		1,171,294	214,891	2,396	-
Decrease in amount owing to holding company		(2,585,861)	(259,400)	(9,370)	(159,745)
Decrease in amount owing by related companies		4,012,017	121,491	150,145	-
Increase/(Decrease) in amount owing to related companies		261,757	(242,756)	(15,786)	(5,379)
(Increase)/Decrease in amount owing by related parties		(1,506)	42,313	(36,283)	36,283
Decrease in amount owing to related parties		(1,300)	(4,260)	-	-
Increase/(Decrease) in amount owing to directors		848,403	(868,254)	(13,102)	-
(Increase)/Decrease in amount owing by a shareholder		(25)	-	25	-
Increase/(Decrease) in amount owing to a shareholder		24,775	(19,820)	(4,955)	-
CASH FLOWS FROM OPERATIONS		14,188,810	2,455,500	8,688,125	4,913,940
Income tax refunded		-	74,047	35,869	55,596
Income tax paid		(952,164)	(1,205,949)	(1,347,072)	(1,447,304)
NET CASH FROM OPERATING ACTIVITIES		13,236,646	1,323,598	7,376,922	3,522,232

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
COMBINED AND CONSOLIDATED STATEMENTS OF CASH FLOWS (CONT'D)**

		Audited			
		FYE 31 December			
	Note	2022 RM	2023 RM	2024 RM	2025 RM
CASH FLOWS FOR					
INVESTING ACTIVITIES					
Development cost paid		(22,475)	(364,052)	-	-
Interest income received		29,551	33,101	35,226	148,613
Net cash outflows from:					
- acquisition of a subsidiary		36	(80,609)	-	-
- deconsolidation of a subsidiary			-	(49,519)	-
Proceeds from disposal of property, plant and equipment		-	1,000	1,005	-
Proceeds from disposal of intangible assets		-	-	698	-
Proceeds from disposal of other investment		1,000	-	-	-
Purchase of property, plant and equipment		38(a)	(1,537,176)	(3,492,982)	(1,927,689)
Purchase of intangible asset			(3,762)	(1,478)	-
Repayment from finance lease receivables			17,762	56,562	268,754
Addition of finance lease receivables			-	-	(1,400,519)
Addition to fixed deposit pledged with tenure more than 3 months			(276,333)	-	(23,138)
NET CASH FOR INVESTING ACTIVITIES			(1,872,042)	(3,450,488)	(2,933,979)

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
COMBINED AND CONSOLIDATED STATEMENTS OF CASH FLOWS (CONT'D)**

		Audited			
		FYE 31 December			
Note		2022 RM	2023 RM	2024 RM	2025 RM
CASH FLOWS FOR FINANCING ACTIVITIES					
Proceeds from issuance of ordinary shares		-	-	-	99,900
Dividends paid:					
- by the Company		(300,000)	(3,500,000)	(2,000,000)	(850,000)
- by the subsidiaries to Holding Company of the Group		(4,705,000)	-	-	-
Net (repayment of)/ drawdown of banker's acceptance	38(b)	(835,000)	(347,000)	384,000	1,735,642
Net drawdown of/ (repayment of) invoice financing	38(b)				
		-	-	473,499	(473,499)
Net repayment of term loan	38(b)	(195,594)	(202,551)	(209,747)	(217,215)
Repayment of lease liabilities	38(b)	(391,057)	(324,370)	(267,466)	(235,738)
Interest expense on lease liabilities	38(b)	(87,039)	(64,977)	(70,659)	(95,293)
Interest paid	38(b)	(53,519)	(41,720)	(91,753)	(60,828)
NET CASH FOR FINANCING ACTIVITIES		(6,567,209)	(4,480,618)	(1,782,126)	(97,031)
NET INCREASE/ (DECREASE) IN CASH AND CASH EQUIVALENTS		4,797,395	(5,085,827)	2,144,308	491,222
EFFECTS OF FOREIGN EXCHANGE TRANSLATION		32,988	68,928	(74,076)	(6,371)
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE FINANCIAL YEAR		3,261,508	8,091,891	3,074,992	5,145,224
CASH AND CASH EQUIVALENTS AT END OF THE FINANCIAL YEAR		38(d) 8,091,891	3,074,992	5,145,224	5,630,075

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****1. ABBREVIATIONS**

Unless the context otherwise requires, the following information shall apply throughout this report:-

FYE	:	Financial Year Ended
FYE 2022	:	FYE 31 December 2022
FYE 2023	:	FYE 31 December 2023
FYE 2024	:	FYE 31 December 2024
FYE 2025	:	FYE 31 December 2025
NA	:	Net assets
SSA	:	Share Sale Agreement
RM and Sen	:	Ringgit Malaysia and sen, respectively
SRKK AI or the Company	:	SRKK AI Berhad (formerly known as SRKK Technology Sdn. Bhd.) Registration No: 202101023109 (1423409 - A)
SRKK Group	:	SRKK AI and its subsidiaries, collectively
SRKK Consulting	:	SRKK Consulting Sdn. Bhd. Registration No: 199901007821 (482721 - K)
SRKK Consulting Group	:	SRKK Consulting and its subsidiary, collectively
SRKK Computer	:	SRKK Computer Sdn. Bhd. Registration No: 201001016343 (900045 - X)
SRKK Selatan	:	SRKK Selatan Sdn. Bhd. Registration No: 201601011170 (1182101 - M)
SRKK Singapore	:	SRKK Consulting Pte. Ltd. Registration No: 200811888G
SRKK Data	:	SRKK Data Sdn. Bhd. Registration No: 202001018160 (1374480 - W)
Integricity Technology	:	Integricity Technology Sdn. Bhd. Registration No: 201501024393 (1149722 - K)
Integricity Philippines	:	Integricity Technology, INC Registration No: 2022080062285-00
FatNinjas	:	FatNinjas Sdn. Bhd. Registration No: 202301021507 (1515430 - P)
Joel Resources or the Holding Company	:	Joel Resources Sdn. Bhd. (formerly known as SRKK Group Sdn. Bhd.) Registration No: 201901002706 (1312032 - U)
The Group	:	SRKK Group and its combining entity, collectively

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****2. GENERAL INFORMATION****2.1 Background**

On 2 July 2021, the Company was incorporated in Malaysia under the Companies Act, 2016 as a private limited company under the name of SRKK Sdn. Bhd. The Company changed its name to SRKK Technology Sdn. Bhd. on 29 November 2023, and to SRKK AI Sdn. Bhd. on 22 May 2025. Subsequently on 9 June 2025, the Company was converted to a public limited company under the name of SRKK AI Berhad.

The registered office and principal place of business are as follows:-

Registered office	: Third Floor, No. 77, 79 & 81, Jalan SS 21/60, Damansara Utama, 47400 Petaling Jaya, Selangor Darul Ehsan
Principal place of business	: 15-1, 15-2, 15-3, 15-3A, 15-5, 15-6, 15-7, Port Tech Tower, Jalan Tiara 3/KU 01, Bandar Baru Klang, 41150 Klang, Selangor Darul Ehsan

The holding company is Joel Resources while the related companies represent the other direct subsidiaries of Joel Resources. All the aforesaid companies are incorporated in Malaysia.

For the purpose of listing the Company on the ACE Market of Bursa Malaysia Securities Berhad, the Company entered into three separates SSA to undertake the following acquisitions:-

- 2.1.1 First SSA entered into and completed on 10 January 2022 as part of a restructuring exercise together with its holding Company, Joel Resources, to acquire the entire equity interest of SRKK Consulting Group, SRKK Computer and SRKK Selatan as disclosed in Note 44(a) to the combined and consolidated financial statements; and
- 2.1.2 Second SSA entered into and completed on 10 January 2022 to acquire the entire equity interest of Integricity Technology as disclosed in Note 44(b) to the combined and consolidated financial statements; and
- 2.1.3 Third SSA entered into on 21 December 2023 and completed on 17 January 2024 as part of a restructuring exercise together with its holding Company, Joel Resources, to acquire the entire equity interest of SRKK Data as disclosed in Note 44(c) to the combined and consolidated financial statements.

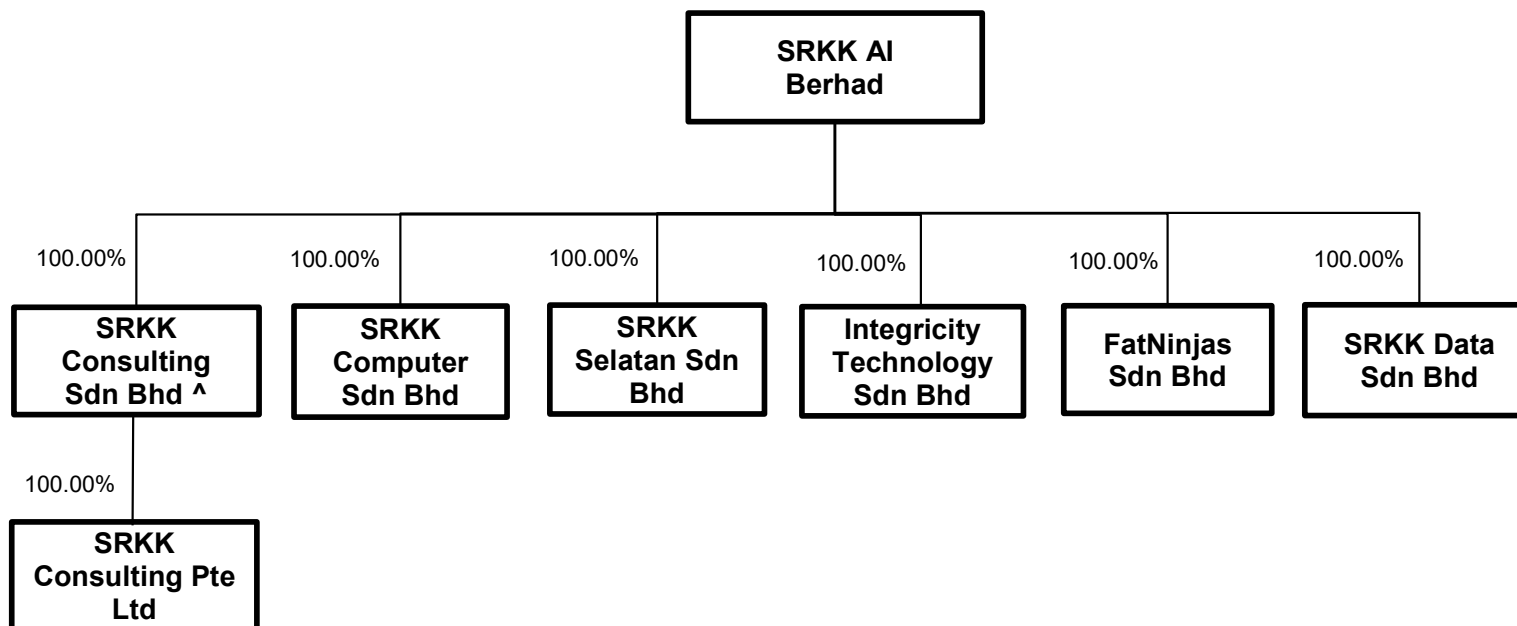
13. ACCOUNTANTS' REPORT

SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS

2. GENERAL INFORMATION (CONT'D)

2.1 Background (Cont'd)

Following the completion of the acquisition, the group structure of SRKK AI is as follows:-



The combined and consolidated financial statements are presented in Ringgit Malaysia ("RM"), which is the Group's functional and presentation currency.

13. ACCOUNTANTS' REPORT
SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS
2. GENERAL INFORMATION (CONT'D)**2.1 Background (Cont'd)**

The principal activity of SRKK AI is investment holding. The details of the combining entity/subsidiaries are disclosed as follows:-

Name of Combining Entities/Subsidiaries	Principal Place of Business and Country of Incorporation	Percentage of Issued Share Capital Held by Combining Entity				Principal Activities
		As at 31 December				
		2022	2023	2024	2025	
		%	%	%	%	
SRKK Consulting #	Malaysia	100	100	100	100	Providing AI-enabled and digital transformation solutions including IT consultation, project implementation, cloud and IT managed services, sales and rental of IT hardware and software, data analytics and business intelligence solutions.
SRKK Computer	Malaysia	100	100	100	100	Providing sales and rental of IT hardware and software products.
SRKK Selatan	Malaysia	100	100	100	100	Providing AI-enabled and digital transformation solutions including IT consultation, project implementation, cloud and IT managed services and sales and rental of IT hardware and software.
SRKK Singapore ^	Singapore	100	100	100	100	Providing AI-enabled and digital transformation solutions including IT consultation, project implementation, cloud and IT managed services, sales and rental of IT hardware and software, data analytics and business intelligence solutions.
SRKK Data	Malaysia	100*	100*	100	100	Providing AI-enabled and digital transformation solutions including data analytics and business intelligence solutions.

13. ACCOUNTANTS' REPORT
SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS
2. GENERAL INFORMATION (CONT'D)**2.1 Background (Cont'd)**

The principal activity of SRKK AI is investment holding. The details of the combining entity/subsidiaries are disclosed as follows (Cont'd):-

Name of Combining Entities/Subsidiaries	Principal Place of Business and Country of Incorporation	Percentage of Issued Share Capital Held by Combining Entity				Principal Activities
		← As at 31 December →				
		2022	2023	2024	2025	
		%	%	%	%	
Integrity Technology	Malaysia	100	100	100	100	Providing AI-enabled and digital transformation solutions including IT consultation, project implementation, cloud and IT managed services.
Integrity Philippines ^@	Philippines	80	80	-	-	Computer programming, consultancy and related activities, other information technology and computer service activities.
FatNinjas	Malaysia	-	100	100	100	Providing AI-enabled digital transformation solutions including IT consultation and project implementation and IT managed services.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****2. GENERAL INFORMATION (CONT'D)****2.1 Background (Cont'd)**

The principal activity of SRKK AI is investment holding. The details of the combining entity/subsidiaries are disclosed as follows (Cont'd):-

Notes:-

- * Refer to equity interest of the combining entity.
- ^ These combining entities/subsidiaries are audited by other firms of chartered accountants.
- @ The subsidiary has been dissolved on 10 January 2024.
- # SRKK Consulting has an 89.99%-owned subsidiary, Abas Business Solutions (M) Sdn. Bhd. ("Abas Business"). In January 2013, the Shah Alam High Court granted a winding-up order on Abas Business pursuant to a winding-up petition filed against Abas Business in October 2012. Subsequently, an official receiver has been appointed in April 2013.

The official receiver had on 11 July 2025 confirmed to the Solicitors of the IPO that they are in the process of dissolving Abas Business. The official receiver had initially informed that the dissolution process is expected to take approximately 7 months (i.e. by first half of 2026), including the official receiver's internal approval, issuance of a 21 days notice to its creditor, and an application to the court for a dissolution order under Sections 490 and 491 of the Act ("First Indication"). If no objections are received from the public, the court will proceed to dissolve Abas Business.

Additionally, Yew Lip Sin, on his own accord, had on 16 July 2025 provided a letter of undertaking to remit or procure the remittance of any payment(s) to the official receiver (if any), in order to facilitate the completion of the winding-up process of Abas Business. Accordingly, such payment(s), if required, shall not have any recourse to our Group.

The shareholders of Abas Business received a Notice of General Meeting of Contributories dated 17 April 2026, convening the first meeting of contributories on 4 May 2026 to, among others, obtain the views of creditors and contributories and to consider matters relating to the winding-up of Abas Business. Concurrently, the general meeting of the creditors was scheduled on the same date. Further to the first meeting attended by the contributories, the official receiver confirmed that the general meeting of the creditors has been adjourned in their absence, to 22 May 2026. Following the first meeting of contributories and the absence of the creditors in the adjourned meeting scheduled 22 May 2026, there were no objections received for the dissolution of Abas Business. As such, the official receiver will proceed to realise the assets of Abas Business, if any, adjudicate creditor claims, settle debts, and upon completion, apply to the court for a dissolution order under Sections 490 and 491 of the Act.

Although a proof of debt was filed by the creditors on 7 August 2015 for an amount of RM197,799.00, the official receiver had on 8 May 2026 confirmed to the Solicitors for the IPO that the absence of the creditors in the adjourned creditors meeting shall be treated as no-objection by the creditors to proceed with the dissolution of Abas Business.

Further to the First Indication and due to the time taken in progressing the requisite steps by the official receiver, the official receiver had on 22 May 2026 confirmed to the Solicitors for the IPO that the process for dissolution is expected to take an additional 3 months to be completed (i.e. by the third quarter of 2026).

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****3. BASIS OF PREPARATION**

For the FYE 31 December 2022 and 31 December 2023

As the Group has not been in place as at 31 December 2023, there are no consolidated financial statements of the Group for FYE 31 December 2022 and 2023.

For the purpose of inclusion in the prospectus of SRKK AI in connection with the listing and quotation of the entire enlarged issued share capital of SRKK AI on the ACE Market of Bursa Malaysia Securities Berhad, the Group prepared the combined financial statements comprise the combined statements of financial position as at 31 December 2022 and 2023 of the Group and the combined statements of profit or loss and other comprehensive income, combined statements of changes in equity and combined statements of cash flows of the Group for the FYE 31 December 2022 and 2023.

The combined financial statements is a continuation of the acquired entity and the assets and liabilities of the acquired entity are stated at their existing carrying value amounts. No amount is recognised in respect of goodwill or bargain purchase at the time of common control combination. The components of equity of the acquired entity are added to the same components within the Group equity and any difference in share capital is recognised as an adjustment to equity.

The financial information as prepared in the combined financial statements may not correspond with the consolidated financial statements of the Group after incorporating or effecting the relevant acquisitions, as the combined financial statements reflect business combinations under common control for the purpose of listing and quotation of the entire enlarged issued share capital of SRKK AI on the ACE Market of Bursa Malaysia Securities Berhad. Such financial information from the combined financial statements does not purport to predict the financial positions, results of operation and cash flows of the Group.

The combined financial statements of the Group are the combination or aggregation of all of the financial statements of the entities of the Group and have been prepared based on the financial statements for the relevant financial years as follows:-

Entities Under Common Control	FYE 2022	FYE 2023
SRKK Group	✓, ^, σ, β	✓, ^, β, μ
SRKK Data	✓, @	✓, ^

✓ *The combined financial statements of the Group include the financial statements of these combining entities for the respective financial years.*

σ *SRKK AI acquired the entire equity interest in SRKK Consulting Group, SRKK Computer and SRKK Selatan as part of a restructuring exercise. Following the completion of the restructuring exercise, SRKK Consulting Group, SRKK Computer and SRKK Selatan became a wholly-owned subsidiary of SRKK AI. Hence, the consolidated financial statements of SRKK Group are prepared for FYE 2022 and 2023 using merger method.*

β *During FYE 2022, SRKK AI acquired the entire equity interest of Integrity Technology. Following the completion of the acquisition, Integrity Technology became a wholly-owned subsidiary of SRKK AI. Integrity Philippines was incorporated by Integrity Technology on 23 August 2022. Hence, the financial statements of Integrity Technology and Integrity Philippines are consolidated as part of SRKK Group for FYE 2022 and FYE 2023 using the acquisition method.*

μ *FatNinjas was incorporated by SRKK AI on 8 June 2023. Hence, the financial statements of FatNinjas is consolidated as part of SRKK Group for FYE 2023.*

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****3. BASIS OF PREPARATION (CONT'D)**

For the FYE 31 December 2022 and 31 December 2023 (Cont'd)

[^] *The combined financial statements of the Group for the financial year have been prepared based on the audited financial statements which were audited by Crowe Malaysia PLT and in compliance with Malaysian Financial Reporting Standards and IFRS Accounting Standards, for the purpose of inclusion into the combined financial statements of the Group.*

[@] *The combined financial statements of the Group for the respective financial years have been prepared based on the financial statements which were re-audited by Crowe Malaysia PLT and in compliance with Malaysian Financial Reporting Standards and IFRS Accounting Standards, for the purpose of inclusion into the combined financial statements of the Group.*

The audited financial statements of all the combining entities were not subject to any modified audit opinions.

For the FYE 31 December 2024 and FYE 31 December 2025

On 21 December 2023, SRKK AI entered into a SSA with its holding Company, Joel Resources, to acquire the entire equity interest of SRKK Data for a total purchase consideration of RM168,000.

The total purchase consideration of RM168,000 for the acquisition of SRKK Data was arrived at after taking into consideration the unaudited net assets of the SRKK Data as at 31 October 2023 amounting to RM168,000 and shall be satisfied by cash.

The acquisition of SRKK Data was completed on 17 January 2024 and consolidated using merger method of accounting for the FYE 31 December 2024.

The combined and consolidated financial statements of the Group is prepared under the historical cost convention and modified to include other bases of valuation as disclosed in other sections under material accounting policy information, and in compliance with Malaysian Financial Reporting Standards ("MFRSs"), IFRS Accounting Standards and the requirements of the Companies Act 2016 in Malaysia.

3.1 During the current financial year, the Group has adopted the following new accounting standards and/or interpretations (including the consequential amendments, if any):-

MFRSs and/or IC Interpretations (Including The Consequential Amendments)

Amendments to MFRS 121: Lack of Exchangeability

The adoption of the above accounting standards and/or interpretations (including the consequential amendments, if any) did not have any material impact on the financial statements of the combined and consolidated financial statements of the Group.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****3. BASIS OF PREPARATION (CONT'D)**

- 3.2 The Group has not applied in advance the following accounting standards and/or interpretations (including the consequential amendments, if any) that have been issued by the Malaysian Accounting Standards Board ("MASB") but are not yet effective for the financial years under review:-

MFRSs and/or IC Interpretations (Including The Consequential Amendments)	Effective Date
MFRS 18 Presentation and Disclosure in Financial Statements	1 January 2027
MFRS 19 Subsidiaries without Public Accountability: Disclosures	1 January 2027
Amendments to MFRS 9 and MFRS 7: Amendments to the Classification and Measurement of Financial Instruments	1 January 2026
Amendments to MFRS 9 and MFRS 7: Contracts Referencing Nature-dependent Electricity	1 January 2026
Amendments to MFRS 10 and MFRS 128: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	Deferred
Amendments to MFRS 19: Subsidiaries without Public Accountability: Disclosures	1 January 2027
Amendments to MFRS 121: Translation to a Hyperinflationary Presentation Currency	1 January 2027
Annual Improvements to MFRS Accounting Standards - Volume 11	1 January 2026

- 3.2 The adoption above accounting standards and/or interpretations (including the consequential amendments, if any) is expected to have no material impact on the financial statements of the Group upon their initial application except as follows:-

MFRS 18 Presentation and Disclosure of Financial Statements

MFRS 18 'Presentation and Disclosure in Financial Statements' will replace MFRS 101 'Presentation of Financial Statements' upon its adoption. This new standard aims to enhance the transparency and comparability of financial information by introducing new disclosure requirements. Specifically, it requires that income and expenses be classified into 3 defined categories: "operating", "investing" and "financing" and introduces 2 new subtotals: "operating profit or loss" and "profit or loss before financing and income tax". In addition, MFRS 18 requires the disclosure of management-defined performance measures and sets out principles for the aggregation and disaggregation of information, which will apply to all primary financial statements and the accompanying notes. The statement of financial position and the statement of cash flows will also be affected. The potential impact of the new standard on the combined and consolidated financial statements of the Group has yet to be assessed.

4. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)**4.1 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS*****Key Sources of Estimation Uncertainty***

Management believes that there are no key assumptions made concerning the future, and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year other than as disclosed below:-

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****4. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)****4.1 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS (CONT'D)***Key Sources of Estimation Uncertainty (Cont'd)***(a) Depreciation of Property, Plant and Equipment**

The estimates for the residual values, useful lives and related depreciation charges for the property, plant and equipment are based on commercial factors that could change significantly due to technical innovations and competitors' actions in response to the market conditions. The Group anticipates that the residual values of its property, plant and equipment will be insignificant. As a result, residual values are not being taken into consideration for the computation of the depreciable amount. Changes in the expected usage levels and technological development could affect the economic useful lives and residual values of these assets; therefore future depreciation charges may be revised.

(b) Impairment of Property, Plant and Equipment

The Group determines whether an item of its property, plant and equipment is impaired by evaluating the extent to which the recoverable amount of the asset is less than its carrying amount. This evaluation is subject to changes such as market performance, economic and political situation of the country. A variety of methods is used to determine the recoverable amount, such as valuation reports and discounted cash flows.

(c) Write-down of Inventories

Management periodically reviews damaged, obsolete and slow-moving inventory. These reviews require judgement and estimates. Possible changes in these estimates could result in revisions to the valuation of inventories.

(d) Impairment of Trade Receivables and Contract Assets

The Group uses the simplified approach to estimate a lifetime expected credit loss allowance for all trade receivables and contract assets. The contract assets are grouped with trade receivables for impairment assessment because they have substantially the same risk characteristics as the trade receivables for the same types of contracts. The Group develops the expected loss rates based on the payment profiles of past sales and the corresponding historical credit losses, and adjusts them for qualitative and quantitative reasonable and supportable forward-looking information, where applicable. If the expectation is different from the estimation, such a difference will impact the carrying values of trade receivables and contract assets.

(e) Income Taxes

There are certain transactions and computations for which the ultimate tax determination may be different from the initial estimate. The Group recognises tax liabilities based on its understanding of the prevailing tax laws and estimates of whether such taxes will be due in the ordinary course of business. Where the final outcome of these matters is different from the amounts that were initially recognised, such difference will impact the income tax expense and deferred tax balances in the period in which such determination is made.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****4. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)****4.1 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS (CONT'D)***Key Sources of Estimation Uncertainty (Cont'd)***(f) Discount Rates used in Leases**

Where the interest rate implicit in the lease cannot be readily determined, the Group uses the incremental borrowing rate to measure the lease liabilities. The incremental borrowing rate is the interest rate that the Group would have to pay to borrow over a similar term, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. Therefore, the incremental borrowing rate requires estimation particularly when no observable rates are available or when they need to be adjusted to reflect the terms and conditions of the lease. The Group estimates the incremental borrowing rate using observable inputs when available and is required to make certain entity-specific estimates.

Critical Judgements Made in Applying Accounting Policies

Management believes that there are no instances of application of critical judgement in applying the accounting policies of the Group which will have a significant effect on the amounts recognised in the financial statements other than as disclosed below:-

Lease Terms

Some leases contain extension options exercisable by the Group before the end of the non-cancellable contract period. In determining the lease term, management considers all facts and circumstances including the past practice and any costs that will be incurred to change the asset if an option to extend is not taken. An extension option is only included in the lease term if the lease is reasonably certain to be extended (or not terminated).

4.2 FINANCIAL INSTRUMENTS**(a) Financial Assets**Financial Assets Through Profit or Loss

The financial assets are initially measured at fair value. Subsequent to the initial recognition, the financial assets are remeasured to their fair values at the reporting date with any fair value changes recognised in profit or loss. The fair value changes do not include interest and dividend income.

Financial Assets at Amortised Cost

The financial assets are initially measured at fair value plus transaction costs except for trade receivables without a significant financing component which are measured at transaction price only. Subsequent to the initial recognition, all financial assets are measured at amortised cost less any impairment losses.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****4. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)****4.2 FINANCIAL INSTRUMENTS (CONT'D)****(b) Financial Liabilities**Financial Liabilities at Amortised Cost

The financial liabilities are initially measured at fair value less transaction costs. Subsequent to the initial recognition, the financial liabilities are measured at amortised cost.

(c) EquityOrdinary Shares

Ordinary shares are recorded on initial recognition at the proceeds received less directly attributable transaction costs incurred. The ordinary shares are not remeasured subsequently.

(d) Financial Guarantee Contracts

Financial guarantee contracts are recognised initially as liabilities at fair value, net of transaction costs. Subsequent to the initial recognition, the financial guarantee contracts are recognised as income in profit or loss over the period of the guarantee or, when there is no specific contractual period, recognised in profit or loss upon discharge of the guarantee. If the debtor fails to make payment relating to a financial guarantee contract when it is due and the Group, as the issuer, is required to reimburse the holder for the associated loss, the reimbursement is recognised as a liability and measured at the higher of the amount of loss allowance determined using the expected credit loss model and the amount of financial guarantee initially recognised less cumulative amortisation.

4.3 BASIS OF CONSOLIDATION

The Group applies the acquisition method of accounting for all business combinations except for those involving entities under common control which are accounted for by applying the merger method of accounting.

Under the merger method of accounting, the assets and liabilities of the merger entities are reflected in the financial statements of the Group at their carrying amounts reported in the individual financial statements. The consolidated statement of profit or loss and other comprehensive income reflects the results of the merger entities for the full reporting period (irrespective of when the combination takes place) and comparatives are presented as if the entities had always been combined since the date for which the entities had come under common control.

The difference between the cost of the merger and the share capital of the merger entities is reflected within equity as merger reserve or merger deficit, as appropriate. The merger deficit is adjusted against suitable reserves of the merger entities to the extent that laws or statutes do not prohibit the use of such reserves.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****4. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)****4.4 PROPERTY, PLANT AND EQUIPMENT**

All items of property, plant and equipment are initially measured at cost.

Subsequent to initial recognition, all property, plant and equipment are stated at cost less accumulated depreciation and any accumulated impairment losses.

Depreciation on property, plant and equipment is calculated using the straight-line method to allocate their depreciable amounts over the estimated useful lives. The principal annual depreciation rates are:-

Building	54 years
Computer equipment	20% - 33%
Furniture and fittings	10% - 20%
Motor vehicle	20%
Office equipment	20% - 30%
Renovation	20%
Signboard	10%

4.5 RIGHT-OF-USE ASSETS AND LEASE LIABILITIES**(a) Short-term Leases and Leases of Low-value Assets**

The Group applies the "short-term lease" and "lease of low-value assets" recognition exemption. For these leases, the Group recognises the lease payments as an operating expense on a straight-line method over the term of the lease unless another systematic basis is more appropriate.

(b) Right-of-use Assets

Right-of-use assets are initially measured at cost. Subsequent to the initial recognition, the right-of-use assets are stated at cost less accumulated depreciation and any accumulated impairment losses, and adjusted for any remeasurement of lease liabilities.

The right-of-use assets are depreciated using the straight-line method from the commencement date to the earlier of the end of the estimated useful lives of the right-of-use assets or the end of the lease term.

(c) Lease Liabilities

Lease liabilities are initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the entity's incremental borrowing rate. Subsequent to initial recognition, lease liabilities are measured at amortised cost and are adjusted for any lease reassessments or modifications.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****4. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)****4.6 RESEARCH AND DEVELOPMENT COSTS**

Research and development costs that do not meet the criteria for capitalisation are recognised as an expense when they are incurred.

Capitalised development costs are initially measured at cost. Subsequent to the initial recognition, the development costs are stated at cost less accumulated amortisation and any accumulated impairment losses. Development costs previously recognised as an expense are not recognised as an asset in the subsequent period.

Capitalised development costs are amortised from the point at which the asset is available for use using the straight-line method over periods ranging from 5 to 10 years. Prior to that, the capitalised development costs are tested for impairment annually and whenever there is an indication that they may be impaired.

4.7 INTANGIBLE ASSETS

Intangible assets are initially measured at cost. Subsequent to the initial recognition, the intangible assets are measured at cost less accumulated amortisation and any accumulated impairment losses.

Intangible Assets with Definite Useful Lives

The intangible assets are amortised using the straight-line method to allocate their depreciable amounts over a period of 10 years.

4.8 INVENTORIES

Inventories are stated at the lower of cost and net realisable value. Cost is determined on the first-in, first-out method and comprises all costs of purchase plus other costs incurred in bringing the inventories to their present location and condition.

4.9 GOVERNMENT GRANTS

The Group presents government grants related to an asset by setting up the grants as deferred income and are amortised to profit or loss on a systematic basis over the expected useful life of the relevant asset.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****5. PROPERTY, PLANT AND EQUIPMENT**

	At 1.1.2022 RM	Acquisition of A Subsidiary (Note 36) RM	Additions (Note 38(a)) RM	Reclassification To Finance Lease RM	Depreciation Charges (Note 33) RM	Foreign Exchange Differences RM	At 31.12.2022 RM
FYE 31 December 2022							
<i>Carrying Amount</i>							
Building	1,456,216	-	-	-	(29,255)	85,152	1,512,113
Computer equipment	-	6,192	111,333	(108,033)	(6,128)	-	3,364
Furniture and fittings	15,148	-	98,408	-	(9,288)	75	104,343
Office equipment	360,673	2,080	1,236,717	-	(253,711)	400	1,346,159
Renovation	13,759	3,166	83,548	-	(21,273)	-	79,200
Signboard	-	-	7,170	-	(598)	-	6,572
	1,845,796	11,438	1,537,176	(108,033)	(320,253)	85,627	3,051,751

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****5. PROPERTY, PLANT AND EQUIPMENT (CONT'D)**

	At 1.1.2023 RM	Additions (Note 38(a)) RM	Disposal RM	Depreciation Charges (Note 33) RM	Foreign Exchange Differences RM	At 31.12.2023 RM
FYE 31 December 2023						
<i>Carrying Amount</i>						
Building	1,512,113	-	-	(31,148)	90,581	1,571,546
Computer equipment	3,364	-	-	(1,879)	-	1,485
Furniture and fittings	104,343	1,190	-	(12,417)	69	93,185
Office equipment	1,346,159	1,419,121	(1,401)	(685,403)	1,670	2,080,146
Renovation	79,200	205,195	-	(44,717)	-	239,678
Signboard	6,572	-	-	(717)	-	5,855
	3,051,751	1,625,506	(1,401)	(776,281)	92,320	3,991,895

13. ACCOUNTANTS' REPORT
SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS
5. PROPERTY, PLANT AND EQUIPMENT (CONT'D)

	At 1.1.2024 RM	Additions (Note 38(a)) RM	Disposal RM	Reclassification To Finance Lease RM	Depreciation Charges (Note 33) RM	Foreign Exchange Differences RM	At 31.12.2024 RM
FYE 31 December 2024							
<i>Carrying Amount</i>							
Building	1,571,546	-	-	-	(31,358)	(82,197)	1,457,991
Computer equipment	1,485	-	-	-	(1,089)	-	396
Furniture and fittings	93,185	49,062	-	-	(14,187)	(42)	128,018
Office equipment	2,080,146	3,396,702	(1,973)	(99,609)	(1,386,537)	(996)	3,987,733
Renovation	239,678	47,218	-	-	(63,404)	-	223,492
Signboard	5,855	-	-	-	(717)	-	5,138
	3,991,895	3,492,982	(1,973)	(99,609)	(1,497,292)	(83,235)	5,802,768

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****5. PROPERTY, PLANT AND EQUIPMENT (CONT'D)**

	At 1.1.2025 RM	Additions (Note 38(a)) RM	Depreciation Charges (Note 33) RM	Foreign Exchange Differences RM	At 31.12.2025 RM
FYE 31 December 2025					
<i>Carrying Amount</i>					
Building	1,457,991	-	(30,032)	(54,777)	1,373,182
Computer equipment	396	6,349	(1,137)	-	5,608
Furniture and fittings	128,018	62,455	(20,352)	(19)	170,102
Office equipment	3,987,733	1,814,267	(2,000,840)	(339)	3,800,821
Renovation	223,492	44,618	(68,728)	-	199,382
Signboard	5,138	-	(717)	-	4,421
	5,802,768	1,927,689	(2,121,806)	(55,135)	5,553,516

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****5. PROPERTY, PLANT AND EQUIPMENT (CONT'D)**

	At Cost RM	Accumulated Depreciation RM	Carrying Amount RM
At 31 December 2022			
Building	1,672,180	(160,067)	1,512,113
Computer equipment	70,095	(66,731)	3,364
Furniture and fittings	132,429	(28,086)	104,343
Motor vehicle	3,696	(3,696)	-
Office equipment	1,738,843	(392,684)	1,346,159
Renovation	433,941	(354,741)	79,200
Signboard	7,170	(598)	6,572
	4,058,354	(1,006,603)	3,051,751
At 31 December 2023			
Building	1,773,507	(201,961)	1,571,546
Computer equipment	70,095	(68,610)	1,485
Furniture and fittings	133,766	(40,581)	93,185
Motor vehicle	3,696	(3,696)	-
Office equipment	3,158,425	(1,078,279)	2,080,146
Renovation	650,520	(410,842)	239,678
Signboard	7,170	(1,315)	5,855
	5,797,179	(1,805,284)	3,991,895
At 31 December 2024			
Building	1,679,011	(221,020)	1,457,991
Computer equipment	70,095	(69,699)	396
Furniture and fittings	182,691	(54,673)	128,018
Motor vehicle	3,696	(3,696)	-
Office equipment	6,444,196	(2,456,463)	3,987,733
Renovation	687,121	(463,629)	223,492
Signboard	7,170	(2,032)	5,138
	9,073,980	(3,271,212)	5,802,768
At 31 December 2025			
Building	1,614,365	(241,183)	1,373,182
Computer equipment	76,444	(70,836)	5,608
Furniture and fittings	245,053	(74,951)	170,102
Motor vehicle	3,696	(3,696)	-
Office equipment	8,256,109	(4,455,288)	3,800,821
Renovation	724,476	(525,094)	199,382
Signboard	7,170	(2,749)	4,421
	10,927,313	(5,373,797)	5,553,516

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****6. RIGHT-OF-USE ASSET**

	At 1.1.2022 RM	Depreciation Charges (Note 33) RM	At 31.12.2022 RM
FYE 31 December 2022			
<i>Carrying Amount</i>			
Office buildings	1,471,349	(267,518)	1,203,831
Office equipment	226,500	(116,953)	109,547
	<u>1,697,849</u>	<u>(384,471)</u>	<u>1,313,378</u>
	At 1.1.2023 RM	Depreciation Charges (Note 33) RM	At 31.12.2023 RM
FYE 31 December 2023			
<i>Carrying Amount</i>			
Office buildings	1,203,831	(267,519)	936,312
Office equipment	109,547	(75,992)	33,555
	<u>1,313,378</u>	<u>(343,511)</u>	<u>969,867</u>

13. ACCOUNTANTS' REPORT

SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS

6. RIGHT-OF-USE ASSET (CONT'D)

	At 1.1.2024 RM	Addition (Note 38(a)) RM	Depreciation Charges (Note 33) RM	Reassessment of Lease Liabilities RM	Derecognition due to Lease Modification RM	At 31.12.2024 RM
FYE 31 December 2024						
<i>Carrying Amount</i>						
Office buildings	936,312	381,321	(249,072)	606,356	(152,252)	1,522,665
Office equipment	33,555	-	(33,555)	-	-	-
	<u>969,867</u>	<u>381,321</u>	<u>(282,627)</u>	<u>606,356</u>	<u>(152,252)</u>	<u>1,522,665</u>

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****6. RIGHT-OF-USE ASSET (CONT'D)**

	At 1.1.2025 RM	Depreciation Charges (Note 33) RM	At 31.12.2025 RM
FYE 31 December 2025			
<i>Carrying Amount</i>			
Office buildings	1,522,665	(272,996)	1,249,669
	<u>1,522,665</u>	<u>(272,996)</u>	<u>1,249,669</u>

- (a) The Group leases certain office equipment and office building of which the leasing activity are summarised below:-

- (i) Office buildings The Company entered into separate operating lease agreements to lease office buildings for a period of 3 (2024 - 3, 2023 - 3, 2022 - 3) years, with an option to renew the lease.
- (ii) Office equipment The Group has entered into 3 (2024 - 3, 2023 - 3, 2022 - 3) non-cancellable operating lease agreement for the use of office equipment. The leases are for a period of 3 (2024 - 3, 2023 - 3, 2022 - 3) years with return or renewal option. The equipment is allowed to be subleased to third parties.

- (b) The Group also has leases with lease terms of 12 months or less and leases of office equipment with low value. The Group has applied the 'short-term lease' and 'lease of low-value assets' recognition exemptions for these leases.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****7. FINANCE LEASE RECEIVABLE**

	Audited			
	At 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
Gross Receivable from finance lease:				
- not later than 1 year	89,880	44,940	78,658	614,097
- later than 1 year and not later than 5 years	37,450	37,450	53,008	862,440
	127,330	82,390	131,666	1,476,537
Less: Unearned future finance income	(24,116)	(10,746)	(16,975)	(230,081)
	103,214	71,644	114,691	1,246,456
Analysed by:-				
Current assets	31,570	36,645	66,665	471,191
Non-current assets	71,644	34,999	48,026	775,265
	103,214	71,644	114,691	1,246,456

- (a) The Group entered into finance lease arrangements for certain of its computer equipment. The average terms of finance lease entered into is 3 (2024 - 3, 2023 - 3, 2022 - 3) years.
- (b) The interest rate inherent in the leases is fixed at the contract date for the entire lease term. The effective interest rate contracted is 8.24% to 16.63% (2024 - 8.30% to 16.63%, 2023 - 8.30%, 2022 - 8.30%) per annum for the Group.
- (c) The finance lease receivable at the end of the reporting period are neither past due nor impaired.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD**
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS**8. INTANGIBLE ASSET**

	Audited At 31 December			
	2022 RM	2023 RM	2024 RM	2025 RM
Trademark, at cost:-				
At 1 January	66,889	70,651	75,571	76,351
Addition during the financial year	3,762	4,920	1,478	-
Disposal during the financial year	-	-	(698)	-
At 31 December	70,651	75,571	76,351	76,351
Amortisation of intangible asset	(8,466)	(15,965)	(23,549)	(31,185)
	62,185	59,606	52,802	45,166
Amortisation of intangible asset:-				
At 1 January	(1,672)	(8,466)	(15,965)	(23,549)
Amortisation during the financial year (Note 33)	(6,794)	(7,499)	(7,584)	(7,636)
At 31 December	(8,466)	(15,965)	(23,549)	(31,185)

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****9. DEVELOPMENT COST**

	Audited			
	At 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
Cost:-				
At 1 January	230,363	252,838	616,890	616,890
Addition during the financial year	22,475	364,052	-	-
At 31 December	<u>252,838</u>	<u>616,890</u>	<u>616,890</u>	<u>616,890</u>
Accumulated amortisation:-				
At 1 January	(39,287)	(62,323)	(87,607)	(185,701)
Amortisation during the financial year (Note 33)	(23,036)	(25,284)	(98,094)	(98,094)
At 31 December	<u>(62,323)</u>	<u>(87,607)</u>	<u>(185,701)</u>	<u>(283,795)</u>
	<u>190,515</u>	<u>529,283</u>	<u>431,189</u>	<u>333,095</u>
Included in additions during the financial year are:-				
Staff costs	22,475	364,052	-	-

The development cost is in respect of the development of some of the Group's software for its administrative operations and IT managed services business segment. The amortisation charges are recognised in profit or loss under the "Other Expenses" line item.

10. DEFERRED TAX (ASSET)/LIABILITY

	Audited			
	At 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
At 1 January	17,021	17,021	17,021	17,021
Recognised in Profit or Loss (Note 34)	-	-	-	(150,316)
At 31 December	<u>17,021</u>	<u>17,021</u>	<u>17,021</u>	<u>(133,295)</u>

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****10. DEFERRED TAX (ASSET)/LIABILITY (CONT'D)**

	Audited			
	At 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
<i>Deferred Tax Asset</i>				
Provision	-	-	-	(169,378)
<i>Deferred Tax Liability</i>				
Property, plant and equipment	17,021	17,021	17,021	36,083
	<u>17,021</u>	<u>17,021</u>	<u>17,021</u>	<u>(133,295)</u>

The deferred tax asset has been recognised by the Group on the basis of previous history of recording profits and to the extent that it is probable that future profits will be available against which the temporary differences can be utilised.

11. INVENTORIES

	Audited			
	At 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
Trading merchandise	436,222	984,728	267,850	644,732
Recognised in profit or loss:-				
Inventories recognised as cost of sales	31,132,336	20,806,715	21,095,165	23,400,496
Inventories written off (Note 33)	-	-	214	-

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****12. TRADE RECEIVABLES**

	Audited			
	At 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
Third parties	12,542,252	13,893,478	16,123,043	20,888,156
Unbilled receivables	-	-	104,409	189,450
	<u>12,542,252</u>	<u>13,893,478</u>	<u>16,227,452</u>	<u>21,077,606</u>
Allowance for impairment losses (Note 43.1(b)(iii))	(930,456)	(1,115,993)	(900,407)	(739,357)
	<u>11,611,796</u>	<u>12,777,485</u>	<u>15,327,045</u>	<u>20,338,249</u>

The normal trade credit term granted by the Group ranges from 30 to 60 (2024 - 30 to 60, 2023 - 30 to 60, 2022 - 30 to 60) days during the financial years under review. Other credit terms are assessed and approved on case-by-case basis.

13. OTHER RECEIVABLES, DEPOSITS AND PREPAYMENTS

	Audited			
	At 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
Other receivables:-				
Third parties	739,680	362,925	144,752	160,387
Allowance for impairment losses (Note 43.1(b)(iii))	(14,512)	-	-	-
	<u>725,168</u>	<u>362,925</u>	<u>144,752</u>	<u>160,387</u>
Sales and services tax recoverable	645	678	268,357	342,344
Deposits	73,793	84,482	85,979	454,432
Prepayments	97,928	157,272	124,392	290,769
	<u>897,534</u>	<u>605,357</u>	<u>623,480</u>	<u>1,247,932</u>

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****14. CONTRACT ASSETS/(LIABILITIES)****Contract Assets**

	Audited			
	At 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
At 1 January	126,903	593,194	959,718	1,784,835
Performance obligations performed	593,194	959,120	1,805,979	1,872,979
Transfer to trade receivables	(131,432)	(593,194)	(959,718)	(1,153,073)
Foreign translation difference	4,529	598	(21,144)	(16,185)
At 31 December	593,194	959,718	1,784,835	2,488,556

The contract assets primarily relate to the Group's right to consideration for sales of hardware and software license but not yet billed as at the reporting date. The amount will be transferred to trade receivables when the Group issues billing in the manner as established in the contracts with customers.

Contract Liabilities

	Audited			
	At 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
At 1 January	270,799	345,470	236,650	180,240
Contract liabilities at the beginning of financial year recognised as revenue	(1,501,991)	(341,494)	(236,650)	(180,240)
Acquisition of a subsidiary (Note 36)	1,302,897	-	-	-
Amounts billed for unfulfilled performance obligations	273,765	232,674	180,240	221,976
At 31 December	345,470	236,650	180,240	221,976

- (a) The contract liabilities primarily relate to advances received from customers for the sale of hardware and software license yet to be delivered as well as maintenance services yet to be rendered. The amount will be recognised as revenue when the performance obligations are satisfied.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****14. CONTRACT ASSETS/(LIABILITIES) (CONT'D)****Contract Liabilities (Cont'd)**

- (b) The transaction price allocated to unsatisfied and/or partially unsatisfied performance obligations as at the reporting date are as below:-

	Audited			
	At 31 December			
	2022 RM	2023 RM	2024 RM	2025 RM
<u>Sale of hardware and software license</u>				
Within 1 year	129,721	3,976	41,760	-
<u>Maintenance services</u>				
Within 1 year	192,124	232,674	138,480	221,976
More than 1 year	23,625	-	-	-
	215,749	232,674	138,480	221,976
	345,470	236,650	180,240	221,976

The amounts disclosed above do not have variable consideration.

15. AMOUNTS OWING BY/(TO) HOLDING COMPANY

	Audited			
	At 31 December			
	2022 RM	2023 RM	2024 RM	2025 RM
Amount owing by:-				
Trade balance	18,000	500	-	-
Non-trade balance	199,277	1,896	-	-
	217,277	2,396	-	-
Amount owing to:-				
Non-trade balance	(260,515)	(1,115)	(159,745)	-

- (a) The trade balance is subject to credit term of Nil (2024 - Nil, 2023 - 30, 2022 - 30) days.
- (b) The non-trade balances are unsecured, interest-free and repayable on demand.
- (c) The amounts owing are to be settled in cash.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****16. AMOUNTS OWING BY/(TO) RELATED COMPANIES**

	Audited At 31 December			
	2022 RM	2023 RM	2024 RM	2025 RM
Amount owing by:-				
Trade balance	16,906	-	-	-
Non-trade balance	253,957	150,145	-	-
	<u>270,863</u>	<u>150,145</u>	<u>-</u>	<u>-</u>
Amount owing to:-				
Trade balance	(180,465)	(20,817)	(5,031)	-
Non-trade balance	(81,292)	(348)	(348)	-
	<u>(261,757)</u>	<u>(21,165)</u>	<u>(5,379)</u>	<u>-</u>

- (a) The trade balances are subject to credit terms of Nil (2024 - Nil, 2023 - 30, 2022 - 30) days.
- (b) The non-trade balances are unsecured, interest-free and repayable on demand.
- (c) The amounts owing are to be settled in cash.

17. AMOUNTS OWING BY/(TO) RELATED PARTIES

	Audited At 31 December			
	2022 RM	2023 RM	2024 RM	2025 RM
Amount owing by:-				
Trade balance	21,512	-	36,283	-
Non-trade balance	20,801	-	-	-
	<u>42,313</u>	<u>-</u>	<u>36,283</u>	<u>-</u>
Amount owing to:-				
Trade balance	<u>(4,260)</u>	<u>-</u>	<u>-</u>	<u>-</u>

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****17. AMOUNTS OWING BY/(TO) RELATED PARTIES (CONT'D)**

- (a) The related parties are related corporations which the director has a substantial financial interest in, or is a member of the entity.
- (b) The trade balances are subject to credit terms of Nil (2024 - 30, 2023 - Nil, 2022 - 30) days.
- (c) The non-trade balance is unsecured, interest-free and repayable on demand.
- (d) The amounts owing are to be settled in cash.
- (e) During FYE 2023, the trade and non-trade balances were transferred to trade receivables and other receivables respectively, upon the disposal of equity interest in the related party by the Holding Company.

18. AMOUNTS OWING BY/(TO) A SHAREHOLDER

	Audited			
	At 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
Amount owing by:-				
Non-trade balance	25	25	-	-
Amount owing to:-				
Trade balance	(24,775)	(4,955)	-	-

- (a) The balances are represented by amount owing by/(to) Five Loaves Sdn. Bhd., a shareholder of the Company.
- (b) The trade balance is subject to credit terms of Nil (2024 - Nil, 2023 - 30, 2022 - 30) days.
- (c) The non-trade balance is unsecured, interest-free and repayable on demand.
- (d) The amounts owing are settled in cash.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****19. SHORT-TERM INVESTMENTS WITH A FINANCIAL INSTITUTION**

	Audited At 31 December			
	← 2022 RM	2023 RM	2024 RM	2025 RM →
Money market fund, at fair value	1,303,841	815,826	371,526	1,021,667

- (a) The short-term investments are designated as financial asset at fair value through profit or loss and are measured at fair value.
- (b) The money market fund represents an investment in deposits with financial institutions in Malaysia which are redeemable with one (1) day notice at known amounts of cash, and are subject to an insignificant risk of changes in value.

20. FIXED DEPOSIT WITH A LICENSED BANK

- (a) The fixed deposit with a licensed bank of the Group at the end of the reporting period bore an effective interest rate of 2.50% (2024 - 2.50%, 2023 - 2.80%, 2022 - 2.85%) per annum. The fixed deposit has a maturity period of 12 (2024 - 12, 2023 - 12, 2022 - 12) months.
- (b) Included in the fixed deposit with a licensed bank of the Group at the end of the reporting period was an amount of RM299,471 (2024 - RM276,333, 2023 - RM276,333, 2022 - RM276,333) which has been pledged to a licensed bank as security for banking facilities granted to the Group as disclosed in Note 30 to the financial statements.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****21. SHARE CAPITAL AND INVESTED EQUITY****(a) Share Capital**

	Audited At 31 December							
	2022	2023	2024	2025	2022	2023	2024	2025
	Number of Shares				RM			
Issued and Fully Paid-Up								
Ordinary shares								
At 1 January	10,000	10,000	10,000	10,000	100	100	100	100
Issuance of shares	-	-	-	9,990,000	-	-	-	99,900
At 31 December	10,000	10,000	10,000	10,000,000	100	100	100	100,000

During FYE 2025, the Company increased its issued and paid-up share capital from RM100 to RM100,000 by way of issuance of 9,990,000 new ordinary shares at RM0.01 each for a cash consideration of RM99,900.

The holders of ordinary shares are entitled to receive dividends as and when declared by the Company, and are entitled to one vote per ordinary share at meetings of the Company. The ordinary shares have no par value.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****21. SHARE CAPITAL AND INVESTED EQUITY (CONT'D)****(b) Invested Equity**

	Audited At 31 December							
	2022	2023	2024	2025	2022	2023	2024	2025
	Number of Shares				RM			
Issued and Fully Paid-Up								
Ordinary shares								
At 1 January	2,665,314	10,000	10,000	-	2,665,314	10,000	10,000	-
Restructuring exercise	(2,655,314)	-	(10,000)	-	(2,655,314)	-	(10,000)	-
At 31 December	10,000	10,000	-	-	10,000	10,000	-	-

- (i) During FYE 31 December 2022, the invested equity for SRKK Consulting Group, SRKK Computer and SRKK Selatan has been reversed pursuant to the completion of restructuring exercise by the Company.
- (ii) During FYE 31 December 2024, the invested equity for SRKK Data has been reversed pursuant to the completion of restructuring exercise by the Company.
- (iii) The holders of ordinary shares of SRKK Consulting Group, SRKK Computer, SRKK Selatan and SRKK Data were entitled to receive dividends as and when declared by SRKK Consulting Group, SRKK Computer, SRKK Selatan and SRKK Data respectively, and are entitled to one vote per ordinary share at meetings of SRKK Consulting Group, SRKK Computer, SRKK Selatan and SRKK Data respectively. The ordinary shares have no par value.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****22. RESERVES**

		Audited			
		At 31 December			
Note		2022 RM	2023 RM	2024 RM	2025 RM
Foreign exchange translation reserve	22.1	85,207	197,192	132,921	55,398
Restructuring deficit	22.2	-	-	(158,000)	(158,000)
		85,207	197,192	(25,079)	(102,602)

22.1 FOREIGN EXCHANGE TRANSLATION RESERVE

The foreign exchange translation reserve arose from the translation of the financial statements of foreign subsidiary whose functional currency is different from the Group's presentation currency.

22.2 RESTRUCTURING DEFICIT

During the FYE 2024, the restructuring deficit was resulted from the excess of the carrying value of the investment in SRKK Data over the share capital of SRKK Data upon consolidation under the merger accounting principle.

The restructuring deficit arising from the acquisition of SRKK Data at the acquisition date was derived as follows:-

		Audited			
		At 31 December			
		2022 RM	2023 RM	2024 RM	2025 RM
At 1 January		-	-	-	158,000
Consideration for the acquisition of SRKK Data		-	-	168,000	-
Less: Share capital of SRKK Data		-	-	(10,000)	-
At 31 December		-	-	158,000	158,000

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****23. LEASE LIABILITIES**

	Audited			
	At 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
At 1 January	1,756,284	1,365,495	1,041,125	1,542,937
Additions (Notes 6 and 38(b))	-	-	381,321	-
Interest expense recognised in profit or loss (Note 33)	87,039	64,977	70,659	95,293
Changes due to reassessment of lease term (Note 38(b))	-	-	552,757	-
Derecognition due to lease modification (Note 38(b))	-	-	(164,800)	-
Repayment of principal	(391,057)	(324,370)	(267,466)	(235,738)
Repayment of interest expense	(87,039)	(64,977)	(70,659)	(95,293)
Foreign translation difference	268	-	-	-
At 31 December	1,365,495	1,041,125	1,542,937	1,307,199
Analysed by:-				
Current liabilities	324,370	307,425	235,739	252,190
Non-current liabilities	1,041,125	733,700	1,307,198	1,055,009
	1,365,495	1,041,125	1,542,937	1,307,199

24. TERM LOAN (SECURED)

	Audited			
	At 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
Current liabilities	202,551	209,712	239,900	22,685
Non-current liabilities	449,647	239,935	-	-
	652,198	449,647	239,900	22,685

The term loan bore an effective interest rate of 3.50% (2024 - 3.50%, 2023 - 3.50%, 2022 - 3.50%) per annum at the end of the reporting period and is repayable by monthly installment of RM18,511 over five years commencing from 1 February 2021.

The term loan is secured by:-

- (a) a joint and several guarantee by certain directors of the Group;
- (b) corporate guarantee for RM1,000,000 issued by the Holding Company; and
- (c) guarantee by Credit Guarantee Corporation (CGC) for RM800,000.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****25. TRADE PAYABLES**

The normal trade credit terms granted to the Group range from 30 to 90 (2024 - 30 to 90, 2023 - 30 to 90, 2022 - 30 to 90) days.

26. OTHER PAYABLES AND ACCRUALS

	Audited At 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
Other payables:-				
Third parties	13,471	336,593	267,862	312,810
Goods and services tax payable	53,451	150,207	101,357	81,863
Sales and services tax payable	624,244	599,731	983,020	1,331,972
	691,166	1,086,531	1,352,239	1,726,645
Accruals	1,745,305	1,182,743	1,560,671	1,669,468
Deposit received	424	16,813	6,997	102,349
	2,436,895	2,286,087	2,919,907	3,498,462

27. AMOUNT OWING TO DIRECTORS

The amount owing to represent unsecured payments made on behalf. The amount owing is repayable on demand and settled in cash.

28. BANKERS' ACCEPTANCE

- (a) The bankers' acceptance is secured by:-
- (i) a joint and several guarantee by certain directors of the Group; and
 - (ii) third party first legal charge over an agricultural land in Jenjarom, Kuala Langat Selangor with title known as GRN 49173, Lot 12230, Mukim Tanjong Duabelas, Daerah Kuala Langat, Negeri Selangor.
- (b) The bankers' acceptance of the Group at the end of the reporting period bore an interest rates ranging from 4.71% to 5.21% (2024 - 5.21%, 2023 - Nil, 2022 - 5.08%) per annum.

13. ACCOUNTANTS' REPORT

SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS

29. INVOICE FINANCING

- (a) The invoice financing is secured by:-
 - (i) a joint and several guarantee by certain directors of the Group; and
 - (ii) corporate guarantee for RM3,000,000 issued by the Holding Company.
- (b) The invoice financing of the Group at the end of the reporting period bore interest rates ranging from Nil (2024 - 5.08% to 5.09%, 2023 - Nil, 2022 - Nil) per annum.

30. BANK OVERDRAFT

- (a) The bank overdraft is secured by:-
 - (i) joint and several guarantee by certain directors of the Group;
 - (ii) fixed deposit with a licensed bank as disclosed in Note 20 to the financial statements; and
 - (iii) Letter of Guarantee from Syarikat Jaminan Pembiayaan Perniagaan Berhad under Working Capital Guarantee Scheme-i.
- (b) The bank overdraft of the Group at the end of the reporting period bore floating interest rate of Nil (2024 - 10.65%, 2023 - 10.65% and 2022 - 10.42%) per annum.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****31. REVENUE**

		Audited At 31 December			
		2022	2023	2024	2025
		RM	RM	RM	RM
Revenue from Contracts with Customers					
<u>Revenue recognised over time</u>					
Rendering of maintenance service	6,418,424	6,783,614	8,779,245	11,756,556	
Rendering of software consultancy service	3,621,490	4,415,745	6,968,162	4,751,535	
	10,039,914	11,199,359	15,747,407	16,508,091	
<u>Revenue recognised at a point in time</u>					
Sales of hardware and software license and rendering of installation service	59,637,362	57,850,637	72,513,060	91,515,025	
License renewal and domain renewal services	7,507,314	5,010,176	4,082,556	1,334,828	
Training service	7,500	659	-	-	
	67,152,176	62,861,472	76,595,616	92,849,853	
	77,192,090	74,060,831	92,343,023	109,357,944	
Revenue from Other Sources					
Rental income from leasing equipment	454,774	1,125,829	2,191,569	2,805,536	
Management service	40,501	26,000	5,122	-	
	495,275	1,151,829	2,196,691	2,805,536	
	77,687,365	75,212,660	94,539,714	112,163,480	

- (a) The information on the disaggregation of revenue by business segments and geographical market is disclosed in Note 41 to the financial statements.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****31. REVENUE (CONT'D)**

- (b) The information on transaction price allocated to unsatisfied and/or partially unsatisfied performance obligations as at the reporting date is disclosed in Note 14(b) to the financial statements.

The information about the performance obligations in contracts with customers are summarised below:-

(i) Rendering of maintenance service

Maintenance services income is recognised over time in the period in when services are rendered. As a practical expedient, the Group recognises revenue on a straight-line method over the period of maintenance service.

There is no significant financing component in the selling price as the sales are made on the normal credit terms not exceeding 12 months.

There is no warranty provided to the customers on the rendering of maintenance service.

(ii) Rendering of software consultancy service

Software consultancy services income is recognised over time in the period in when services are rendered. The rendering of software consultancy service is either sold separately or in bundled packages with the sale of hardware and software license. For bundled packages, the Group accounts for the sale of hardware and software license, and rendering of software consultancy service separately. The transaction price is allocated to the sale of hardware and software license and software consultancy service based on their relative standalone selling prices of the goods and software consultancy service and interdependent or inter-related to each other.

There is no significant financing component in the selling price as the sales are made on the normal credit terms not exceeding 12 months.

There is no warranty provided to the customers on the rendering of software consultancy service.

(iii) Sales of hardware and software license

Revenue from sale of hardware and software license is recognised when the Group has transferred control of the goods to the customer, being when the goods have been delivered to the customer and upon its acceptance.

There is no significant financing component in the selling price as the sales are made on the normal credit terms not exceeding 12 months.

There is no warranty provided to the customers on the sales of hardware and software.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****31. REVENUE (CONT'D)**

- (c) The information about the performance obligations in contracts with customers are summarised below (Cont'd):-

(iv) Rendering of installation service

Installation service income is recognised at a point in time when service are rendered to the customers and coincides with the delivery of service and acceptance by customers.

There is no significant financing component in the selling price as the sales are made on the normal credit terms not exceeding 12 months.

There is no warranty provided to the customers on the rendering of installation service.

(v) Rendering of license renewal and domain renewal services

Revenue from providing license renewal and domain renewal services related to information technology is recognised at a point in time in which the services are rendered to the customer and upon its acceptance.

There is no significant financing component in the selling price as the sales are made on the normal credit terms not exceeding 12 months.

There is no warranty provided to the customers on the rendering of license renewal and domain renewal services.

- (d) The information of the revenue from other sources are summarised below:-

(i) Rental income from leasing equipment

Rental income from leasing equipment is recognised on a straight-line basis over the lease term.

(ii) Management fees

Management fees are recognised in the period in which the services are rendered.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****32. NET IMPAIRMENT LOSSES/(REVERSAL OF IMPAIRMENT LOSSES) ON FINANCIAL ASSETS**

	Audited At 31 December			
	2022 RM	2023 RM	2024 RM	2025 RM
Impairment losses on trade receivables (Note 43 (b)(iii))	351,709	185,537	-	92,279
Reversal of impairment losses (Note 43 (b)(iii)):				
- trade receivables	-	(959)	(215,586)	(253,329)
- other receivables	-	(14,512)	-	-
	351,709	170,066	(215,586)	(161,050)

33. PROFIT BEFORE TAXATION

	Audited At 31 December			
	2022 RM	2023 RM	2024 RM	2025 RM
Profit before taxation is arrived at after charging/(crediting):-				
Auditors' remuneration:				
- current financial year	117,050	172,226	189,432	195,866
- under/(over)provision in the previous financial year	8,604	16,490	10,000	(5,000)
Amortisation of:				
- intangible asset	6,794	7,499	7,584	7,636
- development cost	23,036	25,284	98,094	98,094
Bad debts written off	18,421	959	26,753	95,958
Depreciation:				
- property, plant and equipment	320,253	776,281	1,497,292	2,121,806
- right-of-use assets	384,471	343,511	282,627	272,996
Directors' remuneration (Note 39(c))	2,154,888	2,972,845	3,386,957	3,450,660
Interest expense on financial liabilities that are not at fair value through profit or loss:				
- bankers' acceptance	24,362	17,803	28,629	48,613
- invoice financing	-	-	30,991	3,693
- bank overdraft	2,619	4,336	19,748	3,605
- term loan	26,538	19,581	12,385	4,917

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****33. PROFIT BEFORE TAXATION (CONT'D)**

	Audited			
	At 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
Profit before taxation is arrived at				
arrived at after charging/				
(crediting) (Cont'd):-				
Interest expense on				
lease liabilities	87,039	64,977	70,659	95,293
Inventories written off	-	-	214	-
Listing expenses	-	397,775	994,205	822,025
Loss on deemed disposal on				
deconsolidation of a				
subsidiary	-	-	49,519	-
Loss on disposal of property,				
plant and equipment	-	401	968	-
Loss/(Gain) on foreign exchange:				
- realised	34,267	85,364	16,013	44,089
- unrealised	(13,849)	-	-	-
Staff costs (including other				
key management personnel				
as disclosed in Note 39(c)):				
- short-term employee				
benefits	7,474,660	7,631,081	9,614,670	11,932,540
- defined contribution benefits	844,579	1,016,431	1,183,110	1,466,647
- others	460,773	544,975	635,683	599,302
Bargain purchase on				
acquisition of a subsidiary	(119,317)	-	-	-
Gain on disposal of				
right-of-use assets	(80,006)	-	-	-
Gain on modification of lease	-	-	(12,548)	-
Gain on reassessment of				
lease term	-	-	(53,599)	-
Income received from grant	(134,056)	(162,185)	(627,694)	-
Interest income on				
financial assets measured				
at amortised cost	(29,551)	(33,101)	(35,226)	(148,613)
Marketing income received				
from supplier	-	-	(291,254)	(314,114)
Waiver of debt	(500,000)	-	-	-

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****34. INCOME TAX EXPENSE**

	Audited FYE 31 December			
	2022 RM	2023 RM	2024 RM	2025 RM
Current tax expense:				
- for the financial year	1,132,141	1,062,478	793,451	1,234,011
- underprovision in previous financial year	95,479	43,046	18,997	37,136
	<u>1,227,620</u>	<u>1,105,524</u>	<u>812,448</u>	<u>1,271,147</u>
Deferred tax (Note 10):				
- origination of temporary differences	486	-	-	(9,620)
- overprovision in previous financial year	-	-	-	(140,696)
	<u>486</u>	<u>-</u>	<u>-</u>	<u>(150,316)</u>
Total income tax expense	<u>1,228,106</u>	<u>1,105,524</u>	<u>812,448</u>	<u>1,120,831</u>

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****34. INCOME TAX EXPENSE (CONT'D)**

A reconciliation of income tax expense applicable to the profit before taxation at the statutory tax rate to income tax expense at the effective tax rate of the Group is as follows:-

	Audited ← FYE 31 December →			
	2022 RM	2023 RM	2024 RM	2025 RM
Profit before taxation	6,518,485	5,447,374	5,820,934	7,926,322
Tax at the statutory tax rate of 24% (2024 - 24%, 2023 - 24%, 2022 - 24%)	1,564,436	1,307,370	1,397,024	1,902,316
Tax effects of:-				
Non-taxable income	(183,782)	(25,133)	(7,010)	(1,114)
Non-deductible expenses	16,364	90,146	35,577	47,671
Deferred tax asset not recognised during the financial year	134,696	169,022	3,641	100,079
Utilisation of deferred tax asset previously not recognised	(98,147)	(10,350)	(99,629)	(76,251)
Reduction in tax rates arising from incremental taxable income for Malaysian subsidiaries	(210,505)	(243,257)	(155,051)	(300,533)
Differential in tax rates of a foreign subsidiary	(92,193)	(232,004)	(299,369)	(367,282)
Others	1,758	6,684	(81,732)	(80,495)
Under/(Over)provision of current tax in the previous financial year:				
- current tax	95,479	43,046	18,997	37,136
- deferred tax	-	-	-	(140,696)
Income tax expense for the financial year	1,228,106	1,105,524	812,448	1,120,831

The Group is subject to the Malaysian income tax rates of 15% for the first RM150,000 of chargeable income, 17% for the first chargeable income ranging between RM150,001 up to RM600,000 and 24% on the remaining chargeable income for FYE 2023, FYE 2024 and FYE2025. In FYE 2022, the income tax rates were 17% on the first RM600,000 of chargeable income and 24% on the remaining chargeable income.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****34. INCOME TAX EXPENSE (CONT'D)**

At the end of the reporting period, the amounts of deferred tax assets not recognised (stated at gross) due to uncertainty of their realisation are as follows:-

	Audited			
	FYE 31 December			
	2022	2023	2024*	2025
	RM	RM	RM	RM
Unused tax losses:				
- expires year of assessment 2032	31,545	31,545	31,545	-
- expires year of assessment 2033	-	132,354	-	-
- expires year of assessment 2034	-	-	76,823	76,823
- expires year of assessment 2035	-	-	-	386,727
Unabsorbed capital allowance	72,178	147,232	181,831	6,820
Other deductible temporary differences	373,654	827,377	295,941	215,048
	<u>477,377</u>	<u>1,138,508</u>	<u>586,140</u>	<u>685,418</u>

* - Certain comparative figures have been restated to reflect the revised tax losses carry-forward and other temporary differences available to the Group.

Based on the current legislation, the unused tax losses up to the year of assessment 2018 can be carried forward until the year of assessment 2028 and the unused tax losses for 2019 onwards are allowed to be utilised for 10 consecutive years of assessment immediately following that year of assessment; whereas, the unabsorbed capital allowances are allowed to be carried forward indefinitely.

35. EARNINGS PER SHARE

	Audited			
	FYE 31 December			
	2022	2023	2024	2025
Profit after tax attributable to owners of the Company (RM)	5,328,969	4,355,805	5,008,486	6,805,491
Number of ordinary shares	10,000	10,000	10,000	10,000,000
Basic earnings per share (RM)	532.90	435.58	500.85	0.68

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****36. ACQUISITION OF A SUBSIDIARY**

On 10 January 2022, the Group acquired 100% equity interests in Integrity Technology Sdn. Bhd. The acquisition of this subsidiary is to enable the Group to expand its business.

The following summarises the consideration transferred:-

	2022 RM
Property, plant and equipment	11,438
Trade receivables	1,933,476
Other receivables, deposits and prepayments	209,745
Amount owing by related parties	20,836
Fixed deposit with a licensed bank	266,388
Cash and bank balances	214,207
Trade payables	(315,422)
Contract liabilities	(1,302,897)
Other payables, deposits received and accruals	(313,285)
Amount owing to related parties	(5,560)
Amount owing to directors	(18,776)
Bank overdraft	(61,204)
Current tax liabilities	(14,040)
Deferred tax liabilities	(5,589)
Net identifiable assets acquired	619,317
Less: Bargain purchase on acquisition	(119,317)
Total purchase consideration, to be settled by cash	500,000
Less: Bank balances of a subsidiary acquired	(419,391)
Net cash outflow from the acquisition of a subsidiary	80,609

During FYE 31 December 2022, the subsidiary has contributed revenue of RM7,962,788 and profit after taxation of RM1,367,777 to the Group since the date of acquisition. There is no additional impact of contributed revenue and profit after tax to the Group had the acquisition taken place at the beginning of the current financial year.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****37. DIVIDENDS**

	Audited FYE 31 December			
	2022 RM	2023 RM	2024 RM	2025 RM
<u>In respect of the financial year 31 December 2025</u>				
First interim dividend of RM50 per ordinary share	-	-	-	500,000
Second interim dividend of RM35 per ordinary share	-	-	-	350,000
	-	-	-	850,000
<u>In respect of the financial year 31 December 2024</u>				
First interim dividend of RM100 per ordinary share	-	-	1,000,000	-
Second interim dividend of RM100 per ordinary share	-	-	1,000,000	-
	-	-	2,000,000	-
<u>In respect of the financial year 31 December 2023</u>				
First interim dividend of RM160 per ordinary share	-	1,600,000	-	-
Second interim dividend of RM50 per ordinary share	-	500,000	-	-
Third interim dividend of RM40 per ordinary share	-	400,000	-	-
Fourth interim dividend of RM40 per ordinary share	-	400,000	-	-
Fifth interim dividend of RM10 per ordinary share	-	100,000	-	-
Sixth interim dividend of RM50 per ordinary share	-	500,000	-	-
	-	3,500,000	-	-
<u>In respect of the financial year 31 December 2022</u>				
First interim dividend of RM30 per ordinary share	300,000	-	-	-
	<u>300,000</u>	<u>3,500,000</u>	<u>2,000,000</u>	<u>850,000</u>

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****38. CASH FLOW INFORMATION**

- (a) The cash disbursed for the purchase of property, plant and equipment and the addition of right-of-use assets are as follows:-

	Audited			
	FYE 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
Property, Plant and Equipment				
Cost of property, plant and equipment purchased (Note 5)	1,537,176	1,625,506	3,492,982	1,927,689
Right-of-use Assets				
Cost of right-of-use assets acquired	-	-	381,321	-
Less: Addition of new lease liabilities (Note 38(b))	-	-	(381,321)	-
	-	-	-	-

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****38. CASH FLOW INFORMATION (CONT'D)**

(b) The reconciliations of liabilities arising from financing activities are as follows:-

	Lease Liabilities RM	Term Loan RM	Bankers' Acceptance RM	Total RM
FYE 31 December 2022				
At 1 January	1,756,284	847,792	1,182,000	3,786,076
<u>Changes in Financing Cash Flows</u>				
Proceeds from drawdown	-	-	5,351,000	5,351,000
Repayment of principal	(391,057)	(195,594)	(6,186,000)	(6,772,651)
Repayment of interest	(87,039)	(26,538)	(24,362)	(137,939)
	(478,096)	(222,132)	(859,362)	(1,559,590)
<u>Other Changes</u>				
Foreign exchange adjustment	268	-	-	268
Interest expense recognised in profit or loss (Note 33)	87,039	26,538	24,362	137,939
	87,307	26,538	24,362	138,207
At 31 December	1,365,495	652,198	347,000	2,364,693

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****38. CASH FLOW INFORMATION (CONT'D)**

(b) The reconciliations of liabilities arising from financing activities are as follows (Cont'd):-

	Lease Liabilities RM	Term Loan RM	Bankers' Acceptance RM	Total RM
FYE 31 December 2023				
At 1 January	1,365,495	652,198	347,000	2,364,693
<u>Changes in Financing Cash Flows</u>				
Proceeds from drawdown	-	-	2,111,000	2,111,000
Repayment of principal	(324,370)	(202,551)	(2,458,000)	(2,984,921)
Repayment of interest	(64,977)	(19,581)	(17,803)	(102,361)
	(389,347)	(222,132)	(364,803)	(976,282)
<u>Other Change</u>				
Interest expense recognised in profit or loss (Note 33)	64,977	19,581	17,803	102,361
At 31 December	1,041,125	449,647	-	1,490,772

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****38. CASH FLOW INFORMATION (CONT'D)**

(b) The reconciliations of liabilities arising from financing activities are as follows (Cont'd):-

	Lease Liabilities RM	Term Loan RM	Bankers' Acceptance RM	Invoice Financing RM	Total RM
FYE 31 December 2024					
At 1 January	1,041,125	449,647	-	-	1,490,772
<u>Changes in Financing Cash Flows</u>					
Proceeds from drawdown	-	-	2,697,000	4,219,922	6,916,922
Repayment of principal	(267,466)	(209,747)	(2,313,000)	(3,746,423)	(6,536,636)
Repayment of interest	(70,659)	(12,385)	(28,629)	(30,991)	(142,664)
	(338,125)	(222,132)	355,371	442,508	237,622
<u>Other Changes</u>					
Acquisition of new lease (Note 23)	381,321	-	-	-	381,321
Derecognition due to lease modification (Note 23)	(164,800)	-	-	-	(164,800)
Changes due to reassessment of lease term (Note 23)	552,757	-	-	-	552,757
Interest expense recognised in profit or loss (Note 33)	70,659	12,385	28,629	30,991	142,664
	839,937	12,385	28,629	30,991	911,942
At 31 December	1,542,937	239,900	384,000	473,499	2,640,336

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****38. CASH FLOW INFORMATION (CONT'D)**

(b) The reconciliations of liabilities arising from financing activities are as follows (Cont'd):-

	Lease Liabilities RM	Term Loan RM	Bankers' Acceptance RM	Invoice Financing RM	Total RM
FYE 31 December 2025					
At 1 January	1,542,937	239,900	384,000	473,499	2,640,336
<u>Changes in Financing Cash Flows</u>					
Proceeds from drawdown	-	-	4,663,642	1,610,000	6,273,642
Repayment of principal	(235,738)	(217,215)	(2,928,000)	(2,083,499)	(5,464,452)
Repayment of interest	(95,293)	(4,917)	(48,613)	(3,693)	(152,516)
	(331,031)	(222,132)	1,687,029	(477,192)	656,674
<u>Other Change</u>					
Interest expense recognised in profit or loss (Note 33)	95,293	4,917	48,613	3,693	152,516
At 31 December	1,307,199	22,685	2,119,642	-	3,449,526

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****38. CASH FLOW INFORMATION (CONT'D)**

(c) The total cash outflows for leases as a lessee are as follows:-

	Audited			
	FYE 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
Interest paid on lease liabilities	87,039	64,977	70,659	95,293
Payment of lease liabilities	391,057	324,370	267,466	235,738
	<u>478,096</u>	<u>389,347</u>	<u>338,125</u>	<u>331,031</u>

(d) The cash and cash equivalents comprise the following:-

	Audited			
	FYE 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
Fixed deposit with a licensed bank	276,333	276,333	276,333	299,471
Cash and bank balances	6,790,851	2,444,321	4,983,453	4,608,408
Bank overdraft	(2,801)	(185,155)	(209,755)	-
Short-term investments with a financial institution	1,303,841	815,826	371,526	1,021,667
	<u>8,368,224</u>	<u>3,351,325</u>	<u>5,421,557</u>	<u>5,929,546</u>
Less: Fixed deposit pledged to a licensed bank	(276,333)	(276,333)	(276,333)	(299,471)
	<u>8,091,891</u>	<u>3,074,992</u>	<u>5,145,224</u>	<u>5,630,075</u>

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****39. RELATED PARTY DISCLOSURES****(a) Holding Company and Subsidiaries**

The holding company is disclosed in Note 2 to the combined and consolidated financial statements.

The subsidiaries as disclosed in Note 2 to the combined and consolidated financial statements.

(b) Significant Related Party Transactions and Balances

In addition to the related party transactions information disclosed in the statements of cash flows, the Group also carried out the following significant transactions with the related parties during the financial year:-

	Audited			
	FYE 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
<u>Holding Company:</u>				
Acquisition of investment in subsidiaries	(2,655,314)	-	(168,000)	-
Advances to	57,938	-	-	-
Advances from	(610,000)	-	-	-
Assignment of debt	4,194,265	-	-	-
Collection on behalf for	25,250	-	(2,176)	-
Dividend paid/payable	(500,000)	(2,625,000)	(1,500,000)	(637,500)
Management fee income	18,000	3,500	-	-
Payment on behalf for	117,845	125,925	30,000	-
Payment on behalf by	(11,300)	(17,280)	(15,569)	(9,779)
<u>Related Companies:-</u>				
Advances to	88,332	10,000	-	-
Assignment of debt	3,233,269	-	-	-
Collection on behalf for	(155,428)	-	-	-
Collection on behalf by	156,806	-	-	-
Management fee income	201	-	-	-
Payment on behalf for	27,314	117,230	232,354	-
Payment on behalf by	-	(4,994)	(93,037)	(64,844)
Purchases	(53,015)	-	-	-
Rental expense	(319,943)	(253,967)	(266,811)	(331,031)
Rental income	21,800	-	-	-
Sales	690,205	430	4,472	-
Share service revenue	-	-	831	-

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****39. RELATED PARTY DISCLOSURES (CONT'D)****(b) Significant Related Party Transactions and Balances (Cont'd)**

In addition to the related party transactions information disclosed in the statements of cash flows, the Group also carried out the following significant transactions with the related parties during the financial year (Cont'd):-

	← Audited FYE 31 December →			
	2022 RM	2023 RM	2024 RM	2025 RM
<u>Related Parties:-</u>				
Advances to	-	228,000	-	-
Backcharge of expenses	-	-	(2,040)	-
Management fee income	-	22,500	-	-
Payment on behalf for	85	80	-	-
Purchases	-	-	(88,000)	-
Sales	1,968	220,858	217,698	-
Write off	(223)	-	-	-
<u>Shareholder:-</u>				
Allotment of share capital	-	-	-	74,925
Dividend payable	-	(875,000)	(500,000)	(212,500)
Payment on behalf by	(11,387)	(8,701)	-	-
Purchases	(96,000)	(96,000)	-	-
Rental expense	(59,460)	(59,460)	(29,730)	-
<u>Director:-</u>				
Payment on behalf by	(848,403)	-	-	-
Disposal of equipment	80,006	-	-	-

The significant outstanding balances of the related parties together with their terms and conditions are disclosed in Notes 15, 16, 17, 18 and 27 to the financial statements.

The related party transactions described above were entered into in the normal course of business carried out based on negotiated terms and conditions and are mutually agreed with respective parties.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****39. RELATED PARTY DISCLOSURES (CONT'D)****(c) Key Management Personnel Compensation**

The key management personnel of the Group and of the Company include directors of the Company and certain members of senior management of the Group and of the Company.

The key management personnel compensation during the financial year are as follows:-

	Audited			
	FYE 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
<u>Directors of the Company</u>				
Short-term employee benefits:				
- salaries, bonuses, allowances and other benefits	1,167,482	1,519,561	1,793,818	1,370,638
Defined contribution benefits	186,076	228,320	285,550	241,499
	1,353,558	1,747,881	2,079,368	1,612,137
<u>Directors of the Subsidiaries</u>				
Short-term employee benefits:				
- fees	3,830	4,078	4,105	3,931
- salaries, bonuses, allowances and other benefits	762,216	1,169,501	1,266,044	1,709,573
	766,046	1,173,579	1,270,149	1,713,504
Defined contribution benefits	35,284	51,385	37,440	125,019
	801,330	1,224,964	1,307,589	1,838,523
Total directors' remuneration (Note 33)	2,154,888	2,972,845	3,386,957	3,450,660
<u>Other Key Management Personnel</u>				
Short-term employee benefits:				
- salaries, bonuses, allowances and other benefits	524,705	655,426	613,533	669,279
Defined contribution benefits	85,247	111,468	104,071	114,596
	609,952	766,894	717,604	783,875

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****40. FOREIGN EXCHANGE RATES**

	Audited FYE 31 December			
	2022 RM	2023 RM	2024 RM	2025 RM
Singapore Dollar	3.2740	3.4787	3.2878	3.1572
United States Dollar	4.3900	4.5900	4.4755	4.0610
Philippine Peso	0.0789	0.0829	-	-

41. OPERATING SEGMENTS

Operating segments are prepared in a manner consistent with the internal reporting provided to the directors as its chief operating decision maker in order to allocate resources to segments and to assess their performance on a yearly basis. For management purposes, the Group is organised into business units based on their products and services provided. In addition, the businesses are also considered from a geographical perspective.

The Group is organised into 6 main reportable segments as follows:-

- (a) IT consultation and project implementation solutions (networking, cybersecurity)
- (b) IT hardware and software products (outright sale and leasing)
- (c) IT managed services (includes technical support, maintenance services and managed security services)
- (d) Data analytics and business intelligence solutions
- (e) Cloud services
- (f) Investment holding

Inter-segment pricing is determined on a negotiated basis.

Segment profit

Segment performance is used to measure performance as the directors believes that such information is the most relevant in evaluating the results of certain segments relative to other entities that operate within these industries.

Segment assets

Segment assets information is neither included in the internal management reports nor provided regularly to the directors. Hence no disclosure is made on segment assets.

Segment liabilities

Segment liabilities information is neither included in the internal management reports nor provided regularly to the directors. Hence no disclosure is made on segment liabilities.

13. ACCOUNTANTS' REPORT
SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS
41. OPERATING SEGMENTS (CONT'D)

41.1 BUSINESS SEGMENTS (CONT'D)

	IT consulting and project implementation solutions RM	IT hardware and software products RM	IT managed services RM	Data analytics and business intelligence solutions RM	Cloud services RM	Investment holding RM	Elimination RM	Total RM
FYE 31 December 2022								
Revenue								
External revenue	16,289,886	30,762,778	3,103,550	629,019	26,861,631	40,501	-	77,687,365
Inter-segment revenue	2,702,735	4,814,512	22,657	228,265	1,394,332	6,861,213	(16,023,714)	-
	<u>18,992,621</u>	<u>35,577,290</u>	<u>3,126,207</u>	<u>857,284</u>	<u>28,255,963</u>	<u>6,901,714</u>	<u>(16,023,714)</u>	<u>77,687,365</u>
Results								
Segment profit	6,907,712	2,727,720	2,435,225	487,103	4,872,410	6,901,714	(7,061,971)	17,269,913
Other income								1,690,724
Selling and marketing expenses								(627,381)
Administrative expenses								(10,943,112)
Other expenses								(460,899)
Finance costs								(59,051)
Net impairment losses on financial assets								(351,709)
Combined profit before taxation								<u>6,518,485</u>
Income tax expense								<u>(1,228,106)</u>
Combined profit after taxation								<u>5,290,379</u>

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****41. OPERATING SEGMENTS (CONT'D)****41.1 BUSINESS SEGMENTS (CONT'D)**

	IT consulting and project implementation solutions RM	IT hardware and software products RM	IT managed services RM	Data analytics and business intelligence solutions RM	Cloud services RM	Investment holding RM	Elimination RM	Total RM
FYE 31 December 2023								
Revenue								
External revenue	16,505,285	22,029,994	3,253,598	893,350	32,504,433	26,000	-	75,212,660
Inter-segment revenue	1,004,747	3,709,685	46,821	129,640	2,469,649	7,614,957	(14,975,499)	-
	<u>17,510,032</u>	<u>25,739,679</u>	<u>3,300,419</u>	<u>1,022,990</u>	<u>34,974,082</u>	<u>7,640,957</u>	<u>(14,975,499)</u>	<u>75,212,660</u>
Results								
Segment profit	6,352,771	2,985,067	2,732,245	588,312	6,069,658	7,640,957	(7,754,028)	18,614,982
Other income								375,342
Selling and marketing expenses								(816,749)
Administrative expenses								(11,863,561)
Other expenses								(589,368)
Finance costs								(103,206)
Net impairment losses on financial assets								(170,066)
Combined profit before taxation								<u>5,447,374</u>
Income tax expense								<u>(1,105,524)</u>
Combined profit after taxation								<u>4,341,850</u>

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****41. OPERATING SEGMENTS (CONT'D)****41.1 BUSINESS SEGMENTS (CONT'D)**

	IT consulting and project implementation solutions RM	IT hardware and software products RM	IT managed services RM	Data analytics and business intelligence solutions RM	Cloud services RM	Investment holding RM	Elimination RM	Total RM
FYE 31 December 2024								
Revenue								
External revenue	19,165,813	29,553,993	3,787,734	2,702,988	39,324,064	5,122	-	94,539,714
Inter-segment revenue	1,326,237	4,452,045	164,489	56,125	3,630,220	7,485,263	(17,114,379)	-
	<u>20,492,050</u>	<u>34,006,038</u>	<u>3,952,223</u>	<u>2,759,113</u>	<u>42,954,284</u>	<u>7,490,385</u>	<u>(17,114,379)</u>	<u>94,539,714</u>
Results								
Segment profit	8,542,783	3,413,508	3,159,691	1,000,757	4,778,593	7,490,385	(7,646,855)	20,738,862
Other income								1,115,324
Selling and marketing expenses								(950,468)
Administrative expenses								(14,390,469)
Other expenses								(745,986)
Finance costs								(161,915)
Reversal of impairment losses on financial assets								215,586
Consolidated profit before taxation								<u>5,820,934</u>
Income tax expense								<u>(812,448)</u>
Consolidated profit after taxation								<u>5,008,486</u>

13. ACCOUNTANTS' REPORT
SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS
41. OPERATING SEGMENTS (CONT'D)

41.1 BUSINESS SEGMENTS (CONT'D)

	IT consulting and project implementation solutions RM	IT hardware and software products RM	IT managed services RM	Data analytics and business intelligence solutions RM	Cloud services RM	Investment holding RM	Elimination RM	Total RM
FYE 31 December 2025								
Revenue								
External revenue	19,677,742	35,714,822	3,788,756	3,972,457	49,009,703	-	-	112,163,480
Inter-segment revenue	928,312	5,976,442	(37,248)	40,026	2,625,468	8,312,586	(17,845,586)	-
	<u>20,606,054</u>	<u>41,691,264</u>	<u>3,751,508</u>	<u>4,012,483</u>	<u>51,635,171</u>	<u>8,312,586</u>	<u>(17,845,586)</u>	<u>112,163,480</u>
Results								
Segment profit	9,334,968	3,572,648	2,751,724	2,548,724	7,421,006	8,312,586	(8,799,933)	25,141,723
Other income								616,119
Selling and marketing expenses								(1,228,823)
Administrative expenses								(15,753,691)
Other expenses								(853,935)
Finance costs								(156,121)
Reversal of impairment losses on financial assets								161,050
								<u>7,926,322</u>
Consolidated profit before taxation								(1,120,831)
Income tax expense								<u>6,805,491</u>
Consolidated profit after taxation								

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****41. OPERATING SEGMENTS (CONT'D)****41.2 GEOGRAPHICAL INFORMATION**

Revenue is based on the country in which the customers are located.

Non-current assets are determined according to the country where these assets are located. The amounts of non-current assets do not include financial instruments.

	Revenue			
	FYE 31 December			
	2022 RM	2023 RM	2024 RM	2025 RM
Malaysia	67,982,010	60,904,198	75,246,013	87,702,180
Singapore	8,866,319	13,497,328	18,336,442	23,363,968
Philippines	43,164	-	-	-
Others*	795,872	811,134	957,259	1,097,332
	<u>77,687,365</u>	<u>75,212,660</u>	<u>94,539,714</u>	<u>112,163,480</u>

	Non-current Assets			
	FYE 31 December			
	2022 RM	2023 RM	2024 RM	2025 RM
Malaysia	3,198,006	4,041,187	6,437,288	6,796,280
Singapore	1,491,467	1,544,463	1,420,162	1,329,809
	<u>4,689,473</u>	<u>5,585,650</u>	<u>7,857,450</u>	<u>8,126,089</u>

The information on the disaggregation of revenue based on geographical region is summarised below:-

	At a Point in Time			
	FYE 31 December			
	2022 RM	2023 RM	2024 RM	2025 RM
Malaysia	60,722,821	52,261,848	62,255,152	72,762,126
Singapore	5,660,033	9,817,044	13,539,940	19,275,440
Philippines	43,164	-	-	-
Others*	726,158	782,580	800,524	812,287
	<u>67,152,176</u>	<u>62,861,472</u>	<u>76,595,616</u>	<u>92,849,853</u>

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****41. OPERATING SEGMENTS (CONT'D)****41.2 GEOGRAPHICAL INFORMATION (CONT'D)**

The information on the disaggregation of revenue based on geographical region is summarised below (Cont'd):-

	Over Time			
	FYE 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
Malaysia	6,750,821	7,486,575	10,791,538	12,134,517
Singapore	3,219,379	3,684,230	4,799,134	4,088,528
Others*	69,714	28,554	156,735	285,046
	<u>10,039,914</u>	<u>11,199,359</u>	<u>15,747,407</u>	<u>16,508,091</u>

	Other Sources			
	FYE 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
Malaysia	495,275	1,151,829	2,196,691	2,805,536

Note:-

* - Others include Brunei, Denmark, Korea, India, Indonesia, Canada, Czech Republic, Australia, Hong Kong, Japan, France, Thailand, Pakistan, United States and the United Kingdom.

41.3 MAJOR CUSTOMERS

During the financial years, there is no single customer that contributed 10% or more to the Group's revenue.

42. CAPITAL COMMITMENT

	Audited			
	At 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
Purchase of property, plant and equipment	-	-	-	1,743,709

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS**

The activities of the Group are exposed to a variety of market risks (including foreign currency risk, interest rate risk and equity price risk), credit risk and liquidity risk. The overall financial risk management policy focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Group.

43.1 FINANCIAL RISK MANAGEMENT POLICIES

The policies in respect of the major areas of treasury activity are as follows:-

(a) Market Risk**(i) Foreign Currency Risk**

The Group are exposed to foreign currency risk on transactions and balances that are denominated in currencies other than the respective functional currencies of entities within the Group. The currencies giving rise to this risk are primarily Singapore Dollar ("SGD") and United States Dollar ("USD"). Foreign currency risk is monitored closely on an ongoing basis to ensure that the net exposure is at an acceptable level. The Group also holds cash and cash equivalents denominated in foreign currencies for working capital purposes.

Any reasonably possible change in the foreign currency exchange rates at the end of the reporting period against the respective functional currencies of the entities within the Group does not have a material impact on the profit after taxation and equity of the Group and hence, no sensitivity analysis is presented.

(ii) Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group adopt a policy of obtaining the most favourable interest rates available and by maintaining a balanced portfolio mix of fixed and floating rate borrowings.

The fixed rate debt instruments of the Group are not subject to interest rate risk since neither carrying amounts nor the future cash flows will fluctuate because of a change in market interest rates.

The exposure to interest rate risk based on the carrying amounts of the financial instruments at the end of the reporting period is disclosed in Notes 28, 29 and 30 to the financial statements.

Interest Rate Risk Sensitivity Analysis

Any reasonably possible change in the interest rates of floating rate term loans at the end of the reporting period does not have a material impact on the profit after taxation and equity of the Group and hence, no sensitivity analysis is presented.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(a) Market Risk (Cont'd)****(iii) Equity Price Risk**

The Group does not have any quoted investments and hence, is not exposed to equity price risk.

(b) Credit Risk

The exposure to credit risk, or the risk of counterparties defaulting, arises mainly from trade and other receivables. The Group manage their exposures to credit risk by the application of credit approvals, credit limits and monitoring procedures on an ongoing basis. For other financial assets (including cash and bank balances), the Group minimise credit risk by dealing exclusively with high credit rating counterparties.

(i) Credit Risk Concentration Profile

The Group does not have any significant credit risk related to any individual customer or counterparty.

(ii) Maximum Exposure to Credit Risk

At the end of the reporting period, the maximum exposure to credit risk is represented by the carrying amount of each class of financial assets recognised in the statement of financial position of the Group after deducting any allowance for impairment losses (where applicable).

(iii) Assessment of Impairment Losses

The Group has an informal credit policy in place and the exposure to credit risk is monitored on an on-going basis through periodic review of the ageing of the receivables. The Group closely monitors the receivables' financial strength to reduce the risk of loss.

At each reporting date, the Group evaluate whether any of financial assets at amortised cost and contract assets are credit impaired.

The gross carrying amounts of financial assets are written off against the associated impairment, if any, when there is no reasonable expectation of recovery despite the fact that they are still subject to enforcement activities.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)**

43.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(b) Credit Risk (Cont'd)**(iii) Assessment of Impairment Losses (Cont'd)**

A financial asset is credit impaired when any of following events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred:

- (a) Significant financial difficult of the receivable;
- (b) A breach of contract, such as a default or past due event;
- (c) Restructuring of a debt in relation to the receivable's financial difficulty; or
- (d) It is becoming probable that the receivable will enter bankruptcy or other financial reorganisation.

The Group considers a receivable to be in default when the receivable is unlikely to repay its debt to the Group in full or is more than 150 days past due unless the Group have reasonable and supportable information to demonstrate that a more lagging default criterion is more appropriate.

Trade Receivables, Amount Owning by Holding Company, Related Companies and Related Parties (Trade Balances) and Contract Assets

The Group applies the simplified approach to measure expected credit losses using a lifetime expected credit loss allowance for all trade receivables and contract assets.

Inputs, Assumptions and Techniques used for Estimating Impairment Losses

To measure the expected credit losses, trade receivables (including related parties) and contract assets have been grouped based on shared credit risk characteristics and the days past due. The contract assets relate to unbilled work in progress and have substantially the same risk characteristics as the trade receivables for the same types of contracts. Therefore, the Group concluded that the expected loss rates for trade receivables are a reasonable approximation of the loss rates for the contract assets.

The Group measures the expected credit losses of certain major customers, trade receivables that are credit impaired and trade receivables with a high risk of default on individual basis.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(b) Credit Risk (Cont'd)****(iii) Assessment of Impairment Losses (Cont'd)**Trade Receivables, Amount Owing by Holding Company, Related Companies and Related Parties (Trade Balances) and Contract Assets (Cont'd)*Inputs, Assumptions and Techniques used for Estimating Impairment Losses (Cont'd)*

The expected loss rates are based on the payment profiles of sales over 12 months (2024 - 12 months, 2023 - 12 months, 2022 - 12 months) before the reporting date and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the trade receivables to settle their debts using the linear regressive analysis. The Group has identified the Gross Domestic Product ("GDP") and Consumer Price Index ("CPI") as the key macroeconomic factors of the forward-looking information.

There are no significant changes in the estimation techniques and assumptions as compared to the previous financial year.

Allowance for Impairment Losses

The reconciliations of allowance for impairment losses are as follows:-

	Non-credit Impaired RM	Credit Impaired RM	Total RM
<u>Trade Receivables</u>			
Audited			
FYE 31 December 2022			
Balance at 1 January	434,278	116,092	550,370
Acquisition of a subsidiary	-	28,377	28,377
Additions	-	397,476	397,476
Reversal	(45,767)	-	(45,767)
Balance at 31 December	388,511	541,945	930,456

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(b) Credit Risk (Cont'd)****(iii) Assessment of Impairment Losses (Cont'd)**

Trade Receivables, Amount Owing by Holding Company, Related Companies and Related Parties (Trade Balances) and Contract Assets (Cont'd)

Allowance for Impairment Losses (Cont'd)

The reconciliations of allowance for impairment losses are as follows (Cont'd):-

	Non-credit Impaired RM	Credit Impaired RM	Total RM
<u>Trade Receivables</u>			
Audited			
FYE 31 December 2023			
Balance at 1 January	388,511	541,945	930,456
Additions	24,357	161,180	185,537
Reversal	-	(959)	(959)
Written off	-	959	959
Balance at 31 December	412,868	703,125	1,115,993
Audited			
FYE 31 December 2024			
Balance at 1 January	412,868	703,125	1,115,993
Additions	60,398	-	60,398
Reversal	-	(275,984)	(275,984)
Balance at 31 December	473,266	427,141	900,407
Audited			
FYE 31 December 2025			
Balance at 1 January	473,266	427,141	900,407
Additions	244,286	-	244,286
Reversal	(126,672)	(278,664)	(405,336)
Balance at 31 December	590,880	148,477	739,357

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(b) Credit Risk (Cont'd)****(iii) Assessment of Impairment Losses (Cont'd)**

Trade Receivables, Amount Owing by Holding Company, Related Companies and Related Parties (Trade Balances) and Contract Assets (Cont'd)

Allowance for Impairment Losses (Cont'd)

The information about the credit exposure and loss allowances recognised for trade receivables and contract assets are as follows:-

	Gross Amount RM	Lifetime Individual Allowance RM	Lifetime Collective Allowance RM	Carrying Amount RM
FYE 31 December 2022				
Current (not past due)	5,968,429	-	(89,939)	5,878,490
Past due:				
- 1 to 30 days	2,746,302	-	(78,696)	2,667,606
- 31 to 90 days	3,041,794	(32,801)	(138,068)	2,870,925
- 91 to 150 days	177,854	(4,790)	(44,217)	128,847
Credit impaired	664,291	(5,008)	(536,937)	122,346
Trade receivables	12,598,670	(42,599)	(887,857)	11,668,214
Contract assets	593,194	-	-	593,194
	13,191,864	(42,599)	(887,857)	12,261,408
Trade receivables are represented by:-				
Trade receivables (Note 12)	12,542,252	(42,599)	(887,857)	11,611,796
Amount owing by holding company				
- trade balances (Note 15)	18,000	-	-	18,000
Amount owing by related companies				
- trade balances (Note 16)	16,906	-	-	16,906
Amount owing by related parties				
- trade balances (Note 17)	21,512	-	-	21,512
	12,598,670	(42,599)	(887,857)	11,668,214

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(b) Credit Risk (Cont'd)****(iii) Assessment of Impairment Losses (Cont'd)**

Trade Receivables, Amount Owing by Holding Company, Related Companies and Related Parties (Trade Balances) and Contract Assets (Cont'd)

Allowance for Impairment Losses (Cont'd)

The information about the credit exposure and loss allowances recognised for trade receivables and contract assets are as follows (Cont'd):-

	Gross Amount RM	Lifetime Individual Allowance RM	Lifetime Collective Allowance RM	Carrying Amount RM
FYE 31 December 2023				
Current (not past due)	4,770,379	-	(55,902)	4,714,477
Past due:				
- 1 to 30 days	3,542,331	-	(54,052)	3,488,279
- 31 to 90 days	4,180,040	(46,941)	(127,140)	4,005,959
- 91 to 150 days	532,183	(10,507)	(118,326)	403,350
Credit impaired	869,045	(2,124)	(701,001)	165,920
Trade receivables	13,893,978	(59,572)	(1,056,421)	12,777,985
Contract assets	959,718	-	-	959,718
	14,853,696	(59,572)	(1,056,421)	13,737,703
Trade receivables are represented by:-				
Trade receivables (Note 12)	13,893,478	(59,572)	(1,056,421)	12,777,485
Amount owing by holding company - trade balances (Note 15)	500	-	-	500
	13,893,978	(59,572)	(1,056,421)	12,777,985

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(b) Credit Risk (Cont'd)****(iii) Assessment of Impairment Losses (Cont'd)**

Trade Receivables, Amount Owing by Holding Company, Related Companies and Related Parties (Trade Balances) and Contract Assets (Cont'd)

Allowance for Impairment Losses (Cont'd)

The information about the credit exposure and loss allowances recognised for trade receivables and contract assets are as follows (Cont'd):-

	Gross Amount RM	Lifetime Individual Allowance RM	Lifetime Collective Allowance RM	Carrying Amount RM
FYE 31 December 2024				
Current (not past due)	7,017,310	-	(103,420)	6,913,890
Past due:				
- 1 to 30 days	5,045,692	-	(97,926)	4,947,766
- 31 to 90 days	3,041,719	-	(200,400)	2,841,319
- 91 to 150 days	387,011	-	(71,520)	315,491
Credit impaired	667,594	-	(427,141)	240,453
Trade receivables	16,159,326	-	(900,407)	15,258,919
Contract assets	1,784,835	-	-	1,784,835
Unbilled receivables	104,409	-	-	104,409
	18,048,570	-	(900,407)	17,148,163
Trade receivables are represented by:-				
Trade receivables (Note 12)	16,123,043	-	(900,407)	15,222,636
Amount owing by related parties				
- trade balances (Note 17)	36,283	-	-	36,283
	16,159,326	-	(900,407)	15,258,919

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(b) Credit Risk (Cont'd)****(iii) Assessment of Impairment Losses (Cont'd)**

Trade Receivables, Amount Owing by Holding Company, Related Companies and Related Parties (Trade Balances) and Contract Assets (Cont'd)

Allowance for Impairment Losses (Cont'd)

The information about the credit exposure and loss allowances recognised for trade receivables and contract assets are as follows (Cont'd):-

	Gross Amount RM	Lifetime Individual Allowance RM	Lifetime Collective Allowance RM	Carrying Amount RM
FYE 31 December 2025				
Current (not past due)	10,425,508	-	(139,290)	10,286,218
Past due:				
- 1 to 30 days	4,143,823	-	(83,317)	4,060,506
- 31 to 90 days	4,873,971	-	(149,332)	4,724,639
- 91 to 150 days	886,420	-	(163,520)	722,900
Credit impaired	558,434	-	(203,898)	354,536
Trade receivables	20,888,156	-	(739,357)	20,148,799
Contract assets	2,488,556	-	-	2,488,556
Unbilled receivables	189,450	-	-	189,450
	23,566,162	-	(739,357)	22,826,805

Trade receivables and contract assets that are individually determined to be impaired relate to debtors who are in significant financial difficulties and have defaulted on payments. These debtors are not secured by any collateral or credit enhancements.

13. ACCOUNTANTS' REPORT

SRKK AI BERHAD**NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)**

43.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(b) Credit Risk (Cont'd)

(iii) Assessment of Impairment Losses (Cont'd)

Trade Receivables, Amount Owed by Holding Company, Related Companies and Related Parties (Trade Balances) and Contract Assets (Cont'd)

Allowance for Impairment Losses (Cont'd)

Trade receivables and contract assets that are collectively determined to be impaired relate to expected credit losses measured based on the Group's observed default rates.

The changes in the allowance for impairment losses were impacted by the significant changes in gross carrying amounts of trade receivables and contract assets during the reporting period due to the growth of business in FYE 2025 resulted in increase of trade receivables and allowance for impairment losses respectively.

Other Receivables and Amount Owed by Related Parties (Non-trade Balance)

The Group applies the 3-stage general approach to measuring expected credit losses for its other receivables and amount owed by related parties.

Inputs, Assumptions and Techniques used for Estimating Impairment Losses

Under this approach, the Group assesses whether there is a significant increase in credit risk for receivables by comparing the risk of a default as at the reporting date with the risk of default as at the reporting date with that as at the date of initial recognition. The Group consider that there has been a significant increase in credit risk when contractual terms change or payments are delayed. Regardless of the assessment, a significant increase in credit risk is presumed if a receivable is more than 30 days past due in making a contractual payment.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)**

43.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(b) Credit Risk (Cont'd)

(iii) Assessment of Impairment Losses (Cont'd)

Other Receivables and Amount Owing by Related Parties (Non-trade Balance) (Cont'd)*Inputs, Assumptions and Techniques used for Estimating Impairment Losses (Cont'd)*

The Group use 3 categories to reflect their credit risk and how the loss allowance is determined for each category:-

Category	Definition of Category	Loss Allowance
Performing	Receivables have a low risk of default and a strong capacity to meet contractual cash flows	12-month expected credit losses
Underperforming	Receivables for which there is a significant increase in credit risk	Lifetime expected credit losses
Not performing	There is evidence indicating the receivable is credit impaired or more than 90 days past due	Lifetime expected credit losses

The Group measures the expected credit losses of receivables having significant balances, receivables that are credit impaired and receivables with a high risk of default on an individual basis. The remaining receivables are grouped based on shared credit risk characteristics and assessed on a collective basis.

Loss allowance is measured on either 12-month expected credit losses or lifetime expected credit losses, by considering the likelihood that the receivable would not be able to repay during the contractual period (probability of default, PD), the percentage of contractual cash flows that will not be collected if default happens (loss given default, LGD) and the outstanding amount that is exposed to default risk (exposure at default, EAD).

In deriving the PD and LGD, the Group consider the receivable's past payment status and its financial condition as at the reporting date. The PD is adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the receivable to settle its debts using the general approach. The Group has identified the Gross Domestic Product ("GDP") and Consumer Price Index ("CPI") as the key macroeconomic factors of the forward-looking information.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)**

43.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(b) Credit Risk (Cont'd)

(iii) Assessment of Impairment Losses (Cont'd)

Other Receivables and Amount Owing by Related Parties (Non-trade Balance) (Cont'd)*Inputs, Assumptions and Techniques used for Estimating Impairment Losses (Cont'd)*

There are no significant changes in the estimation techniques and assumptions as compared to the previous financial year.

Allowance for Impairment Losses

	Audited			
	At 31 December			
	← 2022	2023	2024	→ 2025
	RM	RM	RM	RM
At 1 January	14,512	14,512	-	-
Reversal (Note 31)	-	(14,512)	-	-
At 31 December	14,512	-	-	-

The allowance for impairment losses (determined on an individual basis) relates to credit impaired other receivables who are in significant financial difficulties and have defaulted on payments. No impairment losses are provided for the remaining other receivables because there have been no significant changes in their credit quality and the amounts are considered recoverable but with slower repayment records.

There has not been any significant change in the gross amounts of other receivables that impacted the allowance for impairment losses.

Fixed Deposit with A Licensed Bank, Cash and Bank Balances

The Group considers the licensed banks to be of low credit risks. In addition, some of the bank balances are insured by Government agencies. Therefore, the Group is of the view that the loss allowance is immaterial and hence, it is not provided for.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(b) Credit Risk (Cont'd)****(iii) Assessment of Impairment Losses (Cont'd)****Amount Owing by Holding Company and Related Companies (Non-trade Balances)**

The Group also applies the 3-stage general approach (see information on other receivables above) to measure expected credit losses for all inter-company balances.

Inputs, Assumptions and Techniques used for Estimating Impairment Losses

The Group measures the expected credit losses on an individual basis, which aligns with its credit risk management practices on the inter-company balances.

The Group consider loans and advances to holding company and related companies to be of low credit risks. The Group assumes that there is a significant increase in credit risk when the holding company and related company's financial position deteriorates significantly. This is because the Group is able to determine the timing of payments of the loans and advances are to be in default when the holding company and related companies are unable to pay when demanded.

For loans and advances that are repayable on demand, impairment loss is assessed based on the assumption that repayment of the outstanding balances is demanded at the reporting date. If the holding company and related companies do not have sufficient highly liquid resources when the loans and advances are demanded, the Group will consider the expected manner of recovery to measure the impairment loss; the recovery manner could be either through 'repayable over time' or a fire sale of less liquid assets by the holding company and related companies.

For loans and advances that are not repayable on demand, impairment loss is measured using techniques similar for estimating the impairment losses of other receivables, as disclosed above.

There are no significant changes in the estimation techniques and assumptions as compared to the previous financial year.

Allowance for Impairment Losses

Based on the assessment performed, the identified impairment loss was immaterial and hence, it is not provided for.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(b) Credit Risk (Cont'd)****(iii) Assessment of Impairment Losses (Cont'd)**Financial Guarantee Contracts

Corporate guarantees for borrowing facilities granted to a related company are financial guarantee contract.

Inputs, Assumptions and Techniques used for Estimating Impairment Losses

The Group closely monitors the related company's financial strength to reduce the risk of loss.

The Group consider there is a significant increase in credit risk when a related company's financial position deteriorates significantly. A financial guarantee contract is credit impaired when:

- (a) The related company is unlikely to repay its obligation to the bank in full; or;
- (b) The related company is having a deficit in equity and is continuously loss making.

The Group determines the probability of default of the guaranteed amounts individually using internal information available.

Allowance for Impairment Losses

All of the financial guarantee contracts are considered to be performing, have low risks of default and historically there were no instances where these financial guarantee contracts were called upon by the parties of which the financial guarantee contracts were issued to. Accordingly, no loss allowances were identified based on 12-month expected credit losses.

(c) Liquidity Risk

Liquidity risk arises mainly from general funding and business activities. The Group practises prudent risk management by maintaining sufficient cash balances and the availability of funding through certain committed credit facilities.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(c) Liquidity Risk (Cont'd)***Maturity Analysis*

The following table sets out the maturity profile of the financial liabilities at the end of the reporting periods based on contractual undiscounted cash flows (including interest payments computed using contractual rates or, if floating, based on the rates at the end of the reporting period):-

	Contractual Interest Rate %	Carrying Amount RM	Contractual Undiscounted Cash Flows RM	Within 1 Year RM	1 - 5 Year RM	Over 5 Years RM
FYE 31 December 2022						
<u>Non-derivative Financial Liabilities</u>						
Lease liabilities	5.52	1,365,495	1,527,926	389,346	1,138,580	-
Term loan	3.50	652,198	688,995	222,132	466,863	-
Trade payables	-	14,968,998	14,968,998	14,968,998	-	-
Other payables and accruals	-	1,758,776	1,758,776	1,758,776	-	-
Amount owing to holding company	-	260,515	260,515	260,515	-	-
Amount owing to related companies	-	261,757	261,757	261,757	-	-
Amount owing to related parties	-	4,260	4,260	4,260	-	-
Amount owing to directors	-	880,838	24,775	24,775	-	-
Amount owing to a shareholder	-	24,775	880,838	880,838	-	-
Bankers' acceptance	5.08	347,000	347,000	347,000	-	-
Bank overdraft	10.42	2,801	2,801	2,801	-	-
		20,527,413	20,726,641	19,121,198	1,605,443	-

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(c) Liquidity Risk (Cont'd)***Maturity Analysis (Cont'd)*

	Contractual Interest Rate %	Carrying Amount RM	Contractual Undiscounted Cash Flows RM	Within 1 Year RM	1 - 5 Year RM	Over 5 Years RM
FYE 31 December 2023						
<u>Non-derivative Financial Liabilities</u>						
Lease liabilities	5.52	1,041,125	1,138,580	355,011	783,569	-
Term loan	3.50	449,647	466,863	222,132	244,731	-
Trade payables	-	13,851,056	13,851,056	13,851,056	-	-
Other payables and accruals	-	1,519,336	1,519,336	1,519,336	-	-
Amount owing to holding company	-	1,115	1,115	1,115	-	-
Amount owing to related companies	-	21,165	21,165	21,165	-	-
Amount owing to directors	-	4,955	4,955	4,955	-	-
Amount owing to a shareholder	-	13,102	13,102	13,102	-	-
Bank overdraft	10.65	185,155	185,155	185,155	-	-
Financial guarantee contracts in relation to corporate guarantee given to a related company	-	-	1,733,199	1,733,199	-	-
		17,086,656	18,934,526	17,906,226	1,028,300	-

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(c) Liquidity Risk (Cont'd)***Maturity Analysis (Cont'd)*

	Contractual Interest Rate %	Carrying Amount RM	Contractual Undiscounted Cash Flows RM	Within 1 Year RM	1 - 5 Year RM	Over 5 Years RM
FYE 31 December 2024						
<u>Non-derivative Financial Liabilities</u>						
Lease liabilities	6.77	1,542,937	1,846,360	331,031	1,515,329	-
Term loan	3.50	239,900	244,695	244,695	-	-
Trade payables	-	16,620,916	16,620,916	16,620,916	-	-
Other payables and accruals	-	1,828,533	1,828,533	1,828,533	-	-
Amount owing to holding company	-	159,745	159,745	159,745	-	-
Amount owing to related companies	-	5,379	5,379	5,379	-	-
Bankers' acceptance	5.21	384,000	384,000	384,000	-	-
Invoice financing	5.08 - 5.09	473,499	473,499	473,499	-	-
Bank overdraft	10.65	209,755	209,755	209,755	-	-
		21,464,664	21,772,882	20,257,553	1,515,329	-

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)****(c) Liquidity Risk (Cont'd)***Maturity Analysis (Cont'd)*

	Contractual Interest Rate %	Carrying Amount RM	Contractual Undiscounted Cash Flows RM	Within 1 Year RM	1 - 5 Year RM	Over 5 Years RM
FYE 31 December 2025						
<u>Non-derivative Financial Liabilities</u>						
Lease liabilities	6.77	1,307,199	1,515,329	331,031	1,184,298	-
Term loan	3.50	22,685	22,759	22,759	-	-
Trade payables	-	17,341,320	17,341,320	17,341,320	-	-
Other payables and accruals	-	1,982,278	1,982,278	1,982,278	-	-
Bankers' acceptance	4.71 - 5.21	2,119,642	2,119,642	2,119,642	-	-
		22,773,124	22,981,328	21,797,030	1,184,298	-

During FYE 2023, the contractual undiscounted cash flows represent the outstanding credit facilities of a related company. The financial guarantees have not been recognised in the financial statements since their fair values on initial recognition were not material.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.2 CAPITAL RISK MANAGEMENT**

Capital structure is a combination of equity and debt used by an entity to finance its overall operations and growth. The objective of the capital management of the Group is to maintain an optimal capital structure and ensuring availability of funds in order to support its businesses and related shareholder value. To achieve this objective, the Group may make adjustments to the capital structure in view of changes in economic conditions, such as adjusting the amount of dividend payment, returning of capital to shareholders or issuing new shares.

The Group monitors and maintains a prudent level of total debt to total equity ratio to optimise shareholder value and to ensure compliance with debt covenants and regulatory, if any.

There was no changes in the approach to capital management during the financial year.

43.3 CLASSIFICATION OF FINANCIAL INSTRUMENTS

	Audited			
	At 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
Financial Assets				
<u>Fair Value Through Profit or Loss</u>				
Short-term investment with a financial institution	1,303,841	815,826	371,526	1,021,667
<u>Amortised Cost</u>				
Trade receivables	11,611,796	12,777,485	15,327,045	20,338,249
Other receivables	725,168	362,925	144,752	160,387
Finance lease receivables	103,214	71,644	114,691	1,246,456
Amount owing by holding company	217,277	2,396	-	-
Amount owing by related companies	270,863	150,145	-	-
Amount owing by related parties	42,313	-	36,283	-
Amount owing by a shareholder	25	25	-	-
Fixed deposit with a licensed bank	276,333	276,333	276,333	299,471
Cash and bank balances	6,790,851	2,444,321	4,983,453	4,608,408
	20,037,840	16,085,274	20,882,557	26,652,971

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.3 CLASSIFICATION OF FINANCIAL INSTRUMENTS (CONT'D)**

	Audited			
	At 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
Financial Liability				
<u>Amortised Cost</u>				
Term loan	652,198	449,647	239,900	22,685
Trade payables	14,968,998	13,851,056	16,620,916	17,341,320
Other payables and accruals	1,758,776	1,519,336	1,828,533	1,982,278
Amount owing to holding company	260,515	1,115	159,745	-
Amount owing to related companies	261,757	21,165	5,379	-
Amount owing to related parties	4,260	-	-	-
Amount owing to directors	880,838	13,102	-	-
Amount owing to a shareholder	24,775	4,955	-	-
Bankers' acceptance	347,000	-	384,000	2,119,642
Invoice financing	-	-	473,499	-
Bank overdraft	2,801	185,155	209,755	-
	19,161,918	16,045,531	19,921,727	21,465,925

43.4 GAINS OR LOSSES ARISING FROM FINANCIAL INSTRUMENTS

	Audited			
	At 31 December			
	2022	2023	2024	2025
	RM	RM	RM	RM
Financial Assets				
<u>Fair Value Through Profit or Loss</u>				
Net gains recognised in profit or loss	16,664	19,731	16,441	20,192
<u>Amortised Cost</u>				
Net (losses)/gains recognised in profit or loss	(357,243)	(183,729)	173,825	193,513
Financial Liability				
<u>Amortised Cost</u>				
Net losses recognised in profit or loss	(53,519)	(133,910)	(99,476)	(60,828)

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.5 FAIR VALUE INFORMATION**

The fair values of the financial assets and financial liabilities of the Group which are maturing within the next 12 months approximated their carrying amounts due to the relatively short-term maturity of the financial instruments or repayable on demand terms.

The following table sets out the fair value profile of financial instruments that are carried at fair value and those not carried at fair value at the end of the reporting period:-

	Fair Value of Financial Instruments Carried at Fair Value			Fair Value of Financial Instruments not Carried at Fair Value			Total Fair Value	Carrying Amount
	Level 1 RM	Level 2 RM	Level 3 RM	Level 1 RM	Level 2 RM	Level 3 RM	RM	RM
FYE 31 December 2022								
<u>Financial Asset</u>								
Short-term investment with a financial institution	-	1,303,841	-	-	-	-	1,303,841	1,303,841
<u>Financial Liability</u>								
Term loan:								
- fixed rate	-	-	-	-	600,519	-	600,519	652,198

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.5 FAIR VALUE INFORMATION (CONT'D)**

The following table sets out the fair value profile of financial instruments that are carried at fair value and those not carried at fair value at the end of the reporting period (Cont'd):-

	Fair Value of Financial Instruments Carried at Fair Value			Fair Value of Financial Instruments not Carried at Fair Value			Total Fair Value	Carrying Amount
	Level 1 RM	Level 2 RM	Level 3 RM	Level 1 RM	Level 2 RM	Level 3 RM	RM	RM
FYE 31 December 2023								
<u>Financial Asset</u>								
Short-term investment with a financial institution	-	815,826	-	-	-	-	815,826	815,826
<u>Financial Liability</u>								
Term loan:								
- fixed rate	-	-	-	-	423,674	-	423,674	449,647

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.5 FAIR VALUE INFORMATION (CONT'D)**

The following table sets out the fair value profile of financial instruments that are carried at fair value and those not carried at fair value at the end of the reporting period (Cont'd):-

	Fair Value of Financial Instruments Carried at Fair Value			Fair Value of Financial Instruments not Carried at Fair Value			Total Fair Value	Carrying Amount
	Level 1 RM	Level 2 RM	Level 3 RM	Level 1 RM	Level 2 RM	Level 3 RM	RM	RM
FYE 31 December 2024								
<u>Financial Asset</u>								
Short-term investment with a financial institution	-	371,526	-	-	-	-	371,526	371,526
<u>Financial Liability</u>								
Term loan:								
- fixed rate	-	-	-	-	232,420	-	232,420	239,900

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD
NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.5 FAIR VALUE INFORMATION (CONT'D)**

The following table sets out the fair value profile of financial instruments that are carried at fair value and those not carried at fair value at the end of the reporting period (Cont'd):-

	Fair Value of Financial Instruments Carried at Fair Value			Fair Value of Financial Instruments not Carried at Fair Value			Total Fair Value	Carrying Amount
	Level 1 RM	Level 2 RM	Level 3 RM	Level 1 RM	Level 2 RM	Level 3 RM	RM	RM
FYE 31 December 2025								
<u>Financial Asset</u>								
Short-term investment with a financial institution	-	1,021,667	-	-	-	-	1,021,667	1,021,667
<u>Financial Liability</u>								
Term loan:								
- fixed rate	-	-	-	-	22,560	-	22,560	22,685

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****43. FINANCIAL INSTRUMENTS (CONT'D)****43.5 FAIR VALUE INFORMATION (CONT'D)****(a) Fair Value of Financial Instruments Carried at Fair Value**

(i) The fair values above have been determined using the following basis:-

(aa) The fair values of short-term investment with a financial institution is determined by reference to statements provided by the respective financial institution, with which the investments were entered into.

(ii) There were no transfer between level 1 and level 2 during the financial year.

(b) Fair Value of Financial Instruments Not Carried at Fair Value

The fair values, which are for disclosure purposes, have been determined using the following basis:-

(i) The fair value of the term loans that carry fixed interest rates are determined by discounting the relevant future contractual cash flows using current market interest rates for similar instruments at the end of the reporting period. The interest rates used to discount the estimated cash flows is 9.15% (2024 - 9.15%, 2023 - 9.15%, 2022 - 8.90%)

44. SIGNIFICANT EVENTS DURING THE REPORTING PERIOD

(a) On 10 January 2022, the Company completed a restructuring exercise together with its holding company, Joel Resources. As part of the restructuring, the entire equity interest of SRKK Consulting Group, SRKK Computer and SRKK Selatan was transferred to the Company for a total purchase consideration of RM2,655,314 to be satisfied by cash. Following this, SRKK Consulting Group, SRKK Computer and SRKK Selatan are regarded as wholly-owned subsidiaries of the Company.

The acquisition of these subsidiaries is regarded as business combination for entities under common control and is accounted for using merger method of accounting.

(b) On 10 January 2022, the Company has acquired 100% equity interests of Integricity Technology for a purchase consideration of RM500,000.

(c) On 17 January 2024, the Company completed a restructuring exercise together with its holding company, Joel Resources. As part of the restructuring, the entire equity interest of SRKK Data was transferred to the Company for a total purchase consideration of RM168,000 to be satisfied by cash. Following this, SRKK Data is regarded as a wholly-owned subsidiary of the Company.

The acquisition of the subsidiary is regarded as business combination for entities under common control and is accounted for using merger method of accounting.

13. ACCOUNTANTS' REPORT**SRKK AI BERHAD****NOTES TO THE COMBINED AND CONSOLIDATED FINANCIAL STATEMENTS****44. SIGNIFICANT EVENTS DURING THE REPORTING PERIOD (CONT'D)**

- (d) On 18 August 2025, the Company has entered into a Sales and Purchase Agreement with Mediterranean Shipping Company (Malaysia) Sdn. Bhd. For the acquisition of the Office Units for a total purchase consideration of RM2,000,000. The purchase consideration is to be satisfied by a term loan facility of RM1,700,000 and a cash payment of RM300,000. The term loan facility with a tenure of 25 years has been approved by Public Bank Berhad on 20 August 2025.

45. SIGNIFICANT EVENT OCCURING AFTER THE REPORTING PERIOD

- (a) On 10 April 2026, the Company carried out subdivision of every 1 existing ordinary share ("Shares") into 22 subdivided Shares. Upon completion of the subdivision of Shares, the issued and paid-up share capital of the Company is RM100,000 comprising 220,000,000 Shares.

The subdivision of Shares does not have any financial impact to the Company.

- (b) On 4 May 2026, the Company has fully paid the purchase price upon full drawdown of term loan and completed the acquisition of the Office Units as disclosed in Note 44 (d) to the financial statements.

13. ACCOUNTANTS' REPORT

SRKK AI BERHAD

STATEMENT BY DIRECTORS

We, Yew Lip Sin and Alexander Lam Kei Kwong, being two of the directors of SRKK AI Berhad, state that, in the opinion of the directors, the combined and consolidated financial statements set out on pages 4 to 105 are drawn up in accordance with Malaysian Financial Reporting Standards ("MFRS"), IFRS Accounting Standards and the Prospectus Guidelines so as to give a true and fair view of the combined and consolidated financial position of the Group as of 31 December 2022, 31 December 2023, 31 December 2024 and 31 December 2025 and of their combined and consolidated financial performance and their combined and consolidated cash flows for the financial years ended 31 December 2022, 31 December 2023, 31 December 2024 and 31 December 2025.

Signed in accordance with a resolution of the directors dated **03 JUN 2026**



Yew Lip Sin



Alexander Lam Kei Kwong

13. ACCOUNTANTS' REPORT

SRKK AI BERHAD

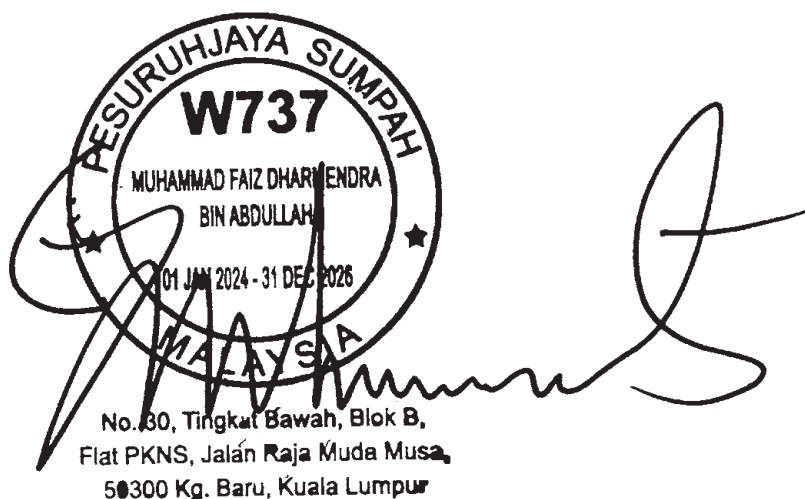
**STATUTORY DECLARATION
PURSUANT TO SECTION 251(1)(b) OF THE COMPANIES ACT 2016**

I, Phuah Kin Sze, MIA Membership Number: 46015, being the officer primarily responsible for the financial management of SRKK AI Berhad, do solemnly and sincerely declare that the financial statements set out on pages 4 to 105 are, to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the declaration to be true, and by virtue of the Statutory Declarations Act 1960.

Subscribed and solemnly declared by the abovementioned
Phuah Kin Sze
at Kuala Lumpur
in the Federal Territory
on this

03 JUN 2026

Before me




Phuah Kin Sze

14. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION



Crowe Malaysia PLT
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Date: 3 June 2026

The Board of Directors

SRKK AI Berhad

Unit 15-1, 15-2, 15-3, 15-3A, 15-5, 15-6, 15-7, Port Tech Tower
 Jalan Tiara 3/KU 01, Bandar Baru Klang
 41150 Klang
 Selangor.

Dear Sirs/Madams,

SRKK AI BERHAD

("SRKK AI" OR "THE COMPANY")

REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2025

We have completed our assurance engagement to report on the compilation of Pro Forma Consolidated Statements of Financial Position of SRKK AI and its subsidiaries (collectively known as the "Group") as at 31 December 2025 together with the accompanying notes thereon, for which we have stamped for the purpose of identification.

The Pro Forma Consolidated Statements of Financial Position have been prepared for inclusion in the Prospectus of SRKK AI in connection with the listing of the Company on the ACE Market of Bursa Malaysia Securities Berhad ("the Listing"). The applicable criteria on the basis of which the Board of Directors of SRKK AI has compiled the Pro Forma Consolidated Statements of Financial Position are set out in Section 3 of Appendix A, and in accordance with the Prospectus Guidelines issued by the Securities Commission Malaysia ("Prospectus Guidelines") and the Guidance Note for issuers of Pro Forma Financial Information issued by the Malaysian Institute of Accountants ("Guidance Note") and described in the notes to the Pro Forma Consolidated Statements of Financial Position.

The Pro Forma Consolidated Statements of Financial Position have been compiled by the Board of Directors of SRKK AI to illustrate the impact of the transactions as described in the Notes to the Pro Forma Consolidated Statements of Financial Position as at 31 December 2025 if these events have been occurred or the transactions have been undertaken throughout the financial year. As part of this process, information about the Group's financial position as at 31 December 2025 have been extracted by the Board of Directors of SRKK AI from the Accountants' Report of SRKK AI for the financial year ended 31 December 2025, which is audited by us.

THE BOARD OF DIRECTORS' RESPONSIBILITIES

The Board of Directors of the Company is solely responsible for compiling the Pro Forma Consolidated Statements of Financial Position on the basis as described in the Notes thereon to the Pro Forma Consolidated Statements of Financial Position and in accordance with the requirements of the Prospectus Guidelines.

14. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION



REPORTING ACCOUNTANTS' INDEPENDENCE AND QUALITY CONTROL

We are independent of the Company in accordance with the *By-Laws (On Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants *International Code of Ethics for Professional Accountants (including International Independence Standards)* ("IESBA Code") and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Our firm applies International Standard on Quality Management 1 (ISQM 1), *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or other Assurance or Related Services* Engagements issued by the International Auditing and Assurance Standards Board and adopted by the Malaysian Institute of Accountants and accordingly maintains a comprehensive system of quality management including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal regulatory requirements.

REPORTING ACCOUNTANTS' RESPONSIBILITIES

Our responsibility is to express an opinion, as required by the Prospectus Guidelines issued by the Securities Commission Malaysia, about whether the Pro Forma Consolidated Financial Statements of Financial Position has been compiled, in all material respects, by the Board of Directors of the Company on the basis as described in the Notes thereon to the Pro Forma Consolidated Statements of Financial Position and in accordance with the requirements of the Prospectus Guidelines.

We conducted our engagement in accordance with the International Standard on Assurance Engagements (ISAE) 3420, *Assurance Engagements to Report on the Compilation of Pro Forma Financial Information Included in a Prospectus*, issued by the International Auditing and Assurance Standards as adopted by the Malaysian Institute of Accountants. This standard requires that we plan and perform procedures to obtain reasonable assurance about whether the Board of Directors has compiled, in all material respects, the Pro Forma Consolidated Statements of Financial Position on the basis of the applicable criteria.

For purpose of this engagement, we are not responsible for updating or reissuing any reports or opinion on any historical financial information used in compiling the pro forma financial information, nor have we, in the course of this engagement, performed an audit or review of the financial information used in compiling the pro forma financial information.

The purpose of Pro Forma Consolidated Statements of Financial Position included in a Prospectus is solely to illustrate the impact of a significant event or transaction on unadjusted financial information of the entity as if the event had occurred or the transaction had been undertaken at an earlier date selected for purposes of the illustration. Accordingly, we do not provide any assurance that the actual outcome of the event or transaction would have been as presented.

14. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION



REPORTING ACCOUNTANTS' RESPONSIBILITIES (CONT'D)

A reasonable assurance engagement to report on whether the Pro Forma Consolidated Statements of Financial Position has been compiled, in all material respects, on the basis of the applicable criteria involves performing procedures to assess whether the applicable criteria used by the Board of Directors of SRKK AI in the compilation of the Pro Forma Consolidated Statements of Financial Position provides a reasonable basis for presenting the significant effects directly attributable to the events or transactions, and to obtain sufficient appropriate evidence about whether:

- The related pro forma adjustments give appropriate effect to those criteria; and
- The Pro Forma Consolidated Statements of Financial Position reflects the proper application of those adjustments to the unadjusted financial information.

The procedures selected depend on our judgement, having regard to our understanding of the nature of the Group, the events or transactions in respect of which the pro forma financial information has been compiled, and other relevant engagement circumstances.

The engagement also involves evaluating the overall presentation of the pro forma financial information.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

OPINION

In our opinion, Pro Forma Consolidated Statements of Financial Position of the Group has been compiled, in all material respects, on the basis as described in Notes thereon to the Pro Forma Consolidated Statements of Financial Position and in accordance with the requirements of the Prospectus Guidelines.

OTHER MATTER

This letter has been prepared solely for the purpose stated above, for inclusion in the Prospectus of SRKK AI in connection with the Listing. As such, this letter should not be used for any other purpose without our prior written consent. Neither the firm nor any member or employee of the firm undertakes responsibility arising in any way whatsoever to any party in respect of this letter contrary to the aforesaid purpose.

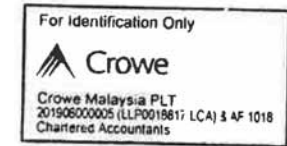
Yours faithfully

Crowe Malaysia PLT
201906000005 (LLP0018817-LCA) & AF 1018
Chartered Accountants

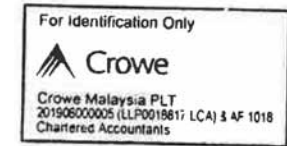
Kuala Lumpur

03 JUN 2026

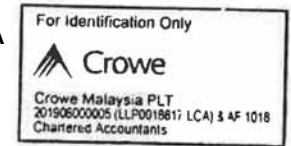
Chua Wai Hong
02974/09/2027 J
Chartered Accountant

14. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION**Appendix A**
SRKK AI BERHAD
PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2025

				Pro Forma I		Pro Forma II		Pro Forma III
		Statement of		After		After	Adjustments	After
		Financial	Adjustments	Adjustment	Adjustment	Pro Forma I	for	Pro Forma II
		Position	for Material	for Material	for Public	and Public	Utilisation	and Utilisation
		As At	Subsequent	Subsequent	Issue	Issue	of IPO Proceeds	of Proceeds
Note		31.12.2025	Events	Events	for Public			
		RM'000	RM'000	RM'000	Issue	RM'000	RM'000	RM'000
					RM'000			
ASSETS								
NON-CURRENT ASSETS								
Property, plant and equipment	7.1	5,554	2,000	7,554	-	7,554	-	7,554
Right-of-use assets		1,250	-	1,250	-	1,250	-	1,250
Finance lease receivable		775	-	775	-	775	-	775
Intangible asset		45	-	45	-	45	-	45
Development cost		333	-	333	-	333	-	333
Deferred tax assets		169	-	169	-	169	-	169
		8,126	2,000	10,126	-	10,126	-	10,126
CURRENT ASSETS								
Inventories		645	-	645	-	645	-	645
Finance lease receivable		471	-	471	-	471	-	471
Trade receivables		20,338	-	20,338	-	20,338	-	20,338
Other receivables, deposits and prepayments		1,248	(300)	948	-	948	-	948
Contract assets		2,489	-	2,489	-	2,489	-	2,489
Short-term investments with a financial institution		1,022	-	1,022	-	1,022	-	1,022
Current tax assets		609	-	609	-	609	-	609
Fixed deposit with a licensed bank		299	-	299	-	299	-	299
Cash and bank balances	7.2	4,608	-	4,608	20,480	25,088	(2,286)	22,802
		31,729	(300)	31,429	20,480	51,909	(2,286)	49,623
TOTAL ASSETS		39,855	1,700	41,555	20,480	62,035	(2,286)	59,749

14. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION**Appendix A**
SRKK AI BERHAD
PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2025 (CONT'D)

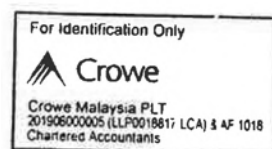
				Pro Forma I		Pro Forma II		Pro Forma III
		Statement of		After		After	Adjustments	After
		Financial	Adjustments	Adjustment	Adjustment	Pro Forma I	for	Pro Forma II
		Position	for Material	for Material	for Public	and Public	Utilisation	and Utilisation
		As At	Subsequent	Subsequent	Issue	Issue	of IPO Proceeds	of Proceeds
	Note	31.12.2025	Events	Events	RM'000	RM'000	RM'000	RM'000
		RM'000	RM'000	RM'000	RM'000	RM'000	RM'000	RM'000
EQUITY AND LIABILITIES								
EQUITY								
Share capital	7.4	100	-	100	20,480	20,580	(1,531)	19,049
Reserves		(103)	-	(103)	-	(103)	-	(103)
Retained profits	7.5	14,801	-	14,801	-	14,801	(755)	14,046
TOTAL EQUITY		14,798	-	14,798	20,480	35,278	(2,286)	32,992
NON-CURRENT LIABILITIES								
Lease liabilities		1,055	-	1,055	-	1,055	-	1,055
Term loans	7.3	-	1,681	1,681	-	1,681	-	1,681
Deferred tax liabilities		36	-	36	-	36	-	36
		1,091	1,681	2,772	-	2,772	-	2,772
CURRENT LIABILITIES								
Trade payables		17,341	-	17,341	-	17,341	-	17,341
Other payables and accruals		3,498	-	3,498	-	3,498	-	3,498
Contract liabilities		222	-	222	-	222	-	222
Lease liabilities		252	-	252	-	252	-	252
Term loans	7.3	23	19	42	-	42	-	42
Bankers' acceptance		2,120	-	2,120	-	2,120	-	2,120
Current tax liabilities		510	-	510	-	510	-	510
		23,966	19	23,985	-	23,985	-	23,985
TOTAL LIABILITIES		25,057	1,700	26,757	-	26,757	-	26,757
TOTAL EQUITY AND LIABILITIES		39,855	1,700	41,555	20,480	62,035	(2,286)	59,749

14. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION**Appendix A**

SRKK AI BERHAD
PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2025 (CONT'D)

			Pro Forma I		Pro Forma II		Pro Forma III
	Statement of Financial Position As At 31.12.2025	Adjustments for Material Subsequent Events	After Adjustment for Material Subsequent Events	Adjustment for Public Issue	After Pro Forma I and Public Issue	Adjustments for Utilisation of IPO Proceeds	After Pro Forma II and Utilisation of Proceeds
Number of ordinary shares in issue ('000)	10,000	210,000	220,000	64,000	284,000		284,000
Net assets (RM'000)	14,798		14,798		35,278		32,992
Net assets per share (RM)	1.48		0.07		0.12		0.12
Total interest-bearing borrowings (RM'000)	3,450		5,150		5,150		5,150
Gearing (Times)	0.23		0.35		0.15		0.16

14. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION



Appendix A

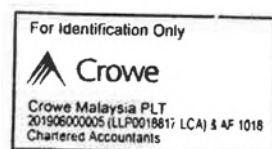
SRKK AI BERHAD NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2025

1. Abbreviation

Unless the context otherwise requires, the following words and abbreviations shall apply throughout this report:-

AI	: Artificial intelligence, a set of technologies that is designed to enhance IT solutions so that it can learn from experience, adjust to new inputs, and perform tasks such as problem-solving, decision-making, and language processing
Alex Lam	: Alexander Lam Kei Kwong, the Group's Promoter, Executive Director and Chief Strategy Officer, and a substantial shareholder
Bursa Securities	: Bursa Malaysia Securities Berhad
FYE	: Financial year ended
Five Loaves	: Five Loaves Sdn Bhd (Registration No. 200001030138 (532745-U)), the Promoter
Joel Resources	: Joel Resources Sdn Bhd (Registration No: 201901002706 (1312032 - U)), the Promoter
IPO	: Initial public offering comprising the Public Issue and Offer for Sale, collectively
IPO Price	: RM0.32 per IPO Share, being the price payable by investors under the Public Issue and Offer for Sale
IPO Shares	: The Issue Shares and/or Offer Shares
Issue Shares	: 64,000,000 new SRKK AI Shares, to be issued pursuant to Public Issue
Listing	: The admission of SRKK to the Official List and the listing and quotation of the entire enlarged issued share capital of SRKK AI of RM20,580,000 comprising 284,000,000 Shares on the ACE Market
Malaysian Public	: Malaysian citizens, companies, co-operatives, societies and institutions incorporated or organised under the laws of Malaysia
NA	: Net assets

14. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION



Appendix A

SRKK AI BERHAD NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2025

1. Abbreviation (Cont'd)

Unless the context otherwise requires, the following words and abbreviations shall apply throughout this report (Cont'd):-

Office Units	: New office units bearing address of Unit 10-1, 10-2, 10-3, 10-3A, 10-5, 10-6, 10-7 and 10-8, Level 10, Port Tech Tower, Jalan Tiara 3/KU1, Bandar Baru Klang, 41150 Klang Selangor, situated in Mukim Kapar, Daerah Klang, Negeri Selangor.
Offer for Sale	: Offer for sale by Selling Shareholders at the IPO Price
Offer Shares	: 13,000,000 existing Shares to be offered by the Selling Shareholders pursuant to the Offer for Sale
Promoters	: Joel Resources, Five Loaves, Yew Lip Sin, Yeoh Kai Hearn, Alex Lam and Yew Peng Fong, collectively
Pro Forma Consolidated SOFP	: Pro Forma Consolidated Statements of Financial Position
Public Issue	: 64,000,000 new SRKK AI Shares at the IPO Price
RM and sen	: Ringgit Malaysia and sen, respectively the lawful currency of Malaysia
Selling Shareholders	: Joel Resources and Five Loaves, collectively
SRKK AI or The Company	: SRKK AI Berhad Registration No: 202101023109 (1423409 - A)
SRKK AI Share(s) or Share(s)	: Ordinary share(s) in SRKK AI
SOC	: Security Operations Centre, a centralised location from which activities are performed to monitor, analyse, prevent and protect a network from cyberthreats and attacks
Yeoh Kai Hearn	: the Group's Promoter, Executive Director and Chief Operating Officer, and a substantial shareholder
Yew Lip Sin	: the Group's Promoter, Executive Director and Chief Executive Officer, and a substantial shareholder
Yew Peng Fong	: the Group's Promoter and Chief Commercial Officer

14. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

Appendix A

SRKK AI BERHAD
NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2025



2. Introduction

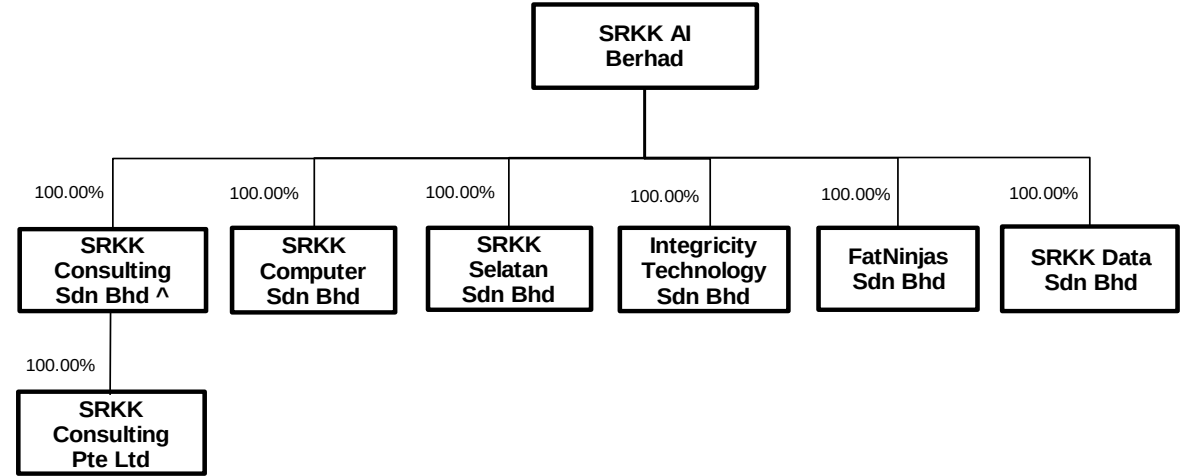
The Pro Forma Consolidated SOFP of the Group as at 31 December 2025 together with the notes thereon, for which the Board of Directors of the Company are solely responsible, have been prepared for illustrative purposes only for the purpose of inclusion in the Prospectus in connection with the Listing.

The Pro Forma Consolidated SOFP together with the notes have been prepared based on the assumption that the transactions as set out in Section 6 of the Pro Forma Consolidated SOFP were effected on 31 December 2025.

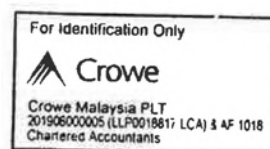
3. Pro Forma Group and Basis of Preparation

3.1 Pro Forma Group

The pro forma corporate structure of SRKK AI Group is as follows:-



14. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION



Appendix A

SRKK AI BERHAD

NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2025

3. Pro Forma Group and Basis of Preparation (Cont'd)

3.1 Pro Forma Group

Note:-

- ^ - SRKK Consulting has an 89.99%-owned subsidiary, Abas Business Solutions (M) Sdn. Bhd. ("Abas Business").

In January 2013, the Shah Alam High Court granted a winding-up order on Abas Business pursuant to a winding-up petition filed against Abas Business in October 2012. Subsequently, an official receiver has been appointed in April 2013.

The official receiver had on 11 July 2025 confirmed to the Solicitors of the IPO that they are in the process of dissolving Abas Business. The official receiver had initially informed that the dissolution process is expected to take approximately 7 months (i.e. by first half of 2026), including the official receiver's internal approval, issuance of a 21 days notice to its creditor, and an application to the court for a dissolution order under Sections 490 and 491 of the Act ("First Indication"). If no objections are received from the public, the court will proceed to dissolve Abas Business.

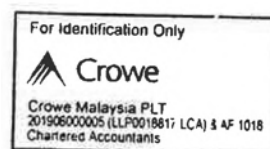
Additionally, Yew Lip Sin, on his own accord, had on 16 July 2025 provided a letter of undertaking to remit or procure the remittance of any payment(s) to the official receiver (if any), in order to facilitate the completion of the winding-up process of Abas Business. Accordingly, such payment(s), if required, shall not have any recourse to our Group.

The shareholders of Abas Business received a Notice of General Meeting of Contributories dated 17 April 2026, convening the first meeting of contributories on 4 May 2026 to, among others, obtain the views of creditors and contributories and to consider matters relating to the winding-up of Abas Business. Concurrently, the general meeting of the creditors was scheduled on the same date. Further to the first meeting attended by the contributories, the official receiver confirmed that the general meeting of the creditors has been adjourned in their absence, to 22 May 2026. Following the first meeting of contributories and the absence of the creditors in the adjourned meeting scheduled 22 May 2026, there were no objections received for the dissolution of Abas Business. As such, the official receiver will proceed to realise the assets of Abas Business, if any, adjudicate creditor claims, settle debts, and upon completion, apply to the court for a dissolution order under Sections 490 and 491 of the Act.

Although a proof of debt was filed by the creditors on 7 August 2015 for an amount of RM197,799.00, the official receiver had on 8 May 2026 confirmed to the Solicitors for the IPO that the absence of the creditors in the adjourned creditors meeting shall be treated as no-objection by the creditors to proceed with the dissolution of Abas Business.

Further to the First Indication and due to the time taken in progressing the requisite steps by the official receiver, the official receiver had on 22 May 2026 confirmed to the Solicitors for the IPO that the process for dissolution is expected to take an additional 3 months to be completed (i.e. by the third quarter of 2026).

14. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION



Appendix A

SRKK AI BERHAD

NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2025

3. Pro Forma Group and Basis of Preparation (Cont'd)

3.2 Accountants' Report and Audited Financial Statements

The Pro Forma Consolidated SOFP as at 31 December 2025 have been prepared based on the Accountants' Report of SRKK AI and the Audited Financial Statements of SRKK AI for the FYE 31 December 2025 in accordance with Malaysian Financial Reporting Standards ("MFRSs") and IFRS Accounting Standards ("IFRSs"), and in a manner consistent with the format of the financial statements and accounting policies of the Group.

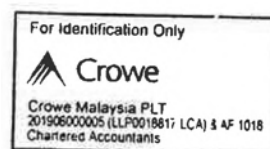
The Accountants' Report and Audited Financial Statements used in the preparation of these Pro Forma Consolidated SOFP was not subject to any audit qualification, modification or disclaimer. All amounts are presented in RM.

3.3 Applicable Criteria

- (a) The Pro Forma Consolidated SOFP of SRKK AI as at 31 December 2025, together with the accompanying notes thereon, has been prepared solely to illustrate the effect on the financial positions of SRKK AI as at 31 December 2025 as if events and transactions as set out in Sections 4 to 6 herein been implemented on 31 December 2025
- (b) The Pro Forma Consolidated SOFP of SRKK AI has been prepared for illustration purposes using the Accountants' Report and Audited Financial Statements as set out in Section 3.2 above which are prepared in accordance MFRSs and IFRSs and are not subject to any qualification, modification or disclaimer.
- (c) The Pro Forma Consolidated SOFP of SRKK AI has also been compiled in a manner consistent with the format of the audited financial statements and accounting policies of SRKK AI.
- (d) Material and appropriate adjustments have been made in the preparation of Pro Forma Consolidated SOFP of SRKK AI.

The Pro Forma Consolidated SOFP as at 31 December 2025 have been prepared for illustrative purposes only to show the effects of the transactions as set out in Section 4 to 6 of the Pro Forma Consolidated SOFP as at 31 December 2025 had the transactions been effected on 31 December 2025, and should be read in conjunction with the notes in this Section. Such information, because its hypothetical nature, does not give a true picture of the actual effects of the transactions or event on the financial information presented had the transaction or event occurred on 31 December 2025. Further, such information does not purport to predict the Group's future financial position.

14. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION



Appendix A

SRKK AI BERHAD NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2025

4. Material Subsequent Events Occurring After 31 December 2025

4.1 Acquisition of Level 10, Port Tech Tower through the drawdown of Term Loan

On 18 August 2025, the Company has entered into a Sales and Purchase Agreement with Mediterranean Shipping Company (Malaysia) Sdn. Bhd. For the acquisition of the Office Units for a total purchase consideration of RM2,000,000. The purchase consideration is to be satisfied by a term loan facility of RM1,700,000 and a cash payment of RM300,000. The term loan facility with a tenure of 25 years has been approved by Public Bank Berhad on 20 August 2025.

On 4 May 2026, the Company has fully paid the purchase price upon full drawdown of term loan and completed the acquisition of the Office Units.

4.2 Subdivision of SRKK AI Shares

On 10 April 2026, the Company carried out subdivision of every 1 existing Share into 22 subdivided Shares. Upon completion of the subdivision of SRKK AI Shares, the issued and paid-up share capital of SRKK AI is RM100,000 comprising 220,000,000 Shares.

The subdivision of SRKK AI Shares does not have any financial impact to the Pro Forma Consolidated SOFP of SRKK AI.

5. Listing Scheme

In conjunction with, and as an integral part of the Listing, the Company undertook the following:-

5.1 IPO

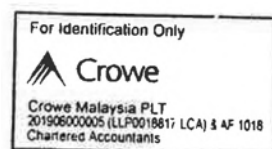
(a) Public Issue

Public Issue of 64,000,000 new SRKK AI Shares, representing approximately 22.53% of the enlarged number of SRKK AI Shares, at the IPO Price of RM0.32 per SRKK AI Share. The Issue Shares shall be allocated in the following manner:-

(i) Malaysian public via balloting

14,200,000 Issue Shares, representing approximately 5.00% of the enlarged number of issued Shares in SRKK AI will be made available for application by the Malaysian Public through a balloting process, of which at least 50.00% will be set aside for Bumiputera investors.

14. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION



Appendix A

SRKK AI BERHAD NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2025

5. Listing Scheme (Cont'd)

5.1 IPO (Cont'd)

(a) Public Issue (Cont'd)

(ii) Selected investors via private placement

32,760,000 Issue Shares, representing approximately 11.53% of the enlarged number of issued Shares in SRKK AI will be made available by way of private placement to selected investors.

(iii) Eligible directors, employees and persons who have contributed to the success of the Group ("Eligible Persons")

17,040,000 Issue Shares, representing approximately 6.00% of the enlarged number of issued Shares in SRKK AI will be made available for application by the Eligible Persons.

(b) Offer for Sale

Offer for sale of up to 13,000,000 Offer Shares by the Selling Shareholders, representing 4.58% of the enlarged number of issued Share in SRKK AI at the IPO Price of RM0.32 per SRKK AI Share.

The Company will not receive any proceeds from the Offer for Sale and the Offer for Sale will not have any financial impact to the Pro Forma Consolidated SOFP of SRKK AI.

(c) Listing on Bursa Securities

The admission of SRKK AI to the official list of Bursa Securities, and the listing and quotation of entire enlarged issued share capital of SRKK AI, comprising 284,000,000 SRKK AI Shares on the ACE Market of Bursa Securities upon completion of the IPO.

6. Pro Forma Adjustments to the Pro Forma Consolidated SOFP

The Pro Forma Consolidated SOFP as at 31 December 2025 have been prepared solely for illustrative purposes only to show the effects of the following transactions based on the assumption that they have been effected on 31 December 2025:-

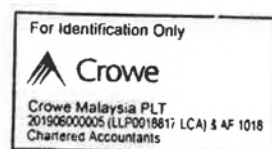
6.1 Pro Forma I

Pro Forma I incorporates the effects of the Material Subsequent Events as set out in Section 4.1 and Section 4.2 above respectively.

6.2 Pro Forma II

Pro Forma II incorporates the effects of the Pro Forma I and effect of the Public Issue as set out in Section 5.1(a) above.

14. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION



Appendix A

SRKK AI BERHAD

NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2025

6. Pro Forma Adjustments to the Pro Forma Consolidated SOFP (Cont'd)

6.3 Pro Forma III

Pro Forma III incorporates the effects of Pro Forma I, II and the utilisation of the proceeds from the Public Issue. The proceeds from the Public Issue will be utilised as follows:-

	RM'000	%	Estimated time frame for utilisation from the listing date
Strategic growth initiatives in AI: ^	4,000	19.53	Within 24 months
(a) Setting-up and launching of AI labs and AI academy			
(b) Develop our own data analytics and business intelligence solutions			
Geographical expansion by setting-up an IT advisory and consulting office in Jakarta, Indonesia ^	1,840	8.98	Within 24 months
Building a SOC ^	3,700	18.07	Within 24 months
Branding, marketing and promotional activities ^	1,800	8.79	Within 24 months
Working capital #	4,640	22.66	Within 24 months
Estimated listing expenses *	4,500	21.97	Within 1 month
Total	20,480	100.00	

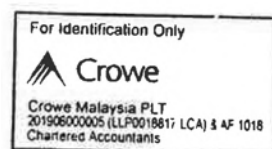
Notes:-

^ - As at the latest practicable date of the Prospectus of 21 May 2026, the use of proceeds for the above mentioned capital expenditures are not factually supportable by any purchase orders, sale and purchase agreements or contractual binding arrangements. Accordingly, the use of proceeds earmarked for these purposes are not adjusted in the Pro Forma III to the Pro Forma Consolidated SOFP and has remained as cash and bank balances.

- This proceeds for working capital purpose is not adjusted in the Pro Forma III to the Pro Forma Consolidated SOFP and has remained as cash and bank balances.

	RM'000
Total estimated listing expenses	4,500
Less: Listing expenses paid and has been charged to the profit or loss	(2,214)
Remaining estimated listing expense as of 31 December 2025	2,286

14. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION



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SRKK AI BERHAD

NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2025

6. Pro Forma Adjustments to the Pro Forma Consolidated SOFP (Cont'd)

6.3 Pro Forma III (Cont'd)

Notes (Cont'd):-

- * - The estimated listing expenses to be borne by SRKK AI comprise brokerage, underwriting and placement fees, professional fees and miscellaneous expenses.

Upon completion of the IPO, the remaining estimated listing expenses is RM2,286,000, of which estimated listing expenses of RM1,531,000 is assumed to be directly attributable to the IPO and as such the Public Issue will be debited against share capital of the Company and the remaining listing expenses of RM755,000 will be charged to the statement of profit or loss and other comprehensive income.

If the allocated proceeds are insufficient to fund the actual amount in relation to any of the categories as set out above, our Group intend to fund the shortfall from surpluses, if any from other categories in the following order of priority:

- (a) estimated listing expenses;
- (b) strategic growth initiatives in AI;
- (c) geographical expansion by setting-up an IT advisory and consulting office in Jakarta, Indonesia;
- (d) building a SOC;
- (e) branding, marketing and promotional activities; and
- (f) working capital.

Any further shortfall shall then be funded from our Group's internally generated funds and/or bank borrowings.

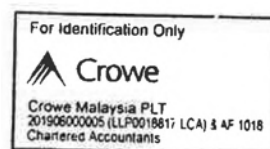
Conversely, any surplus from the IPO proceeds vis-à-vis the abovementioned purposes shall be used for general working capital of our Group. The exact breakdown of the general working capital is not determinable at this juncture, which will depend on our Group's operational needs at the relevant point in time.

7. Effects on the Pro Forma Consolidated SOFP

7.1 Property, Plant and Equipment

	Note	RM'000
As at 31 December 2025		5,554
Add: Acquisition of Level 10, Port Tech Tower	4.1	2,000
As per Pro Forma I, II and III		7,554

14. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION



Appendix A

**SRKK AI BERHAD
NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
AS AT 31 DECEMBER 2025**

7. Effects on the Pro Forma Consolidated SOFP (Cont'd)

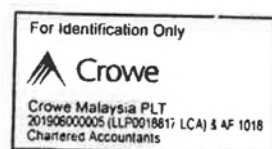
7.2 Cash and Bank Balances

	Note	RM'000
As at 31 December 2025		4,608
As per Pro Forma I		4,608
Add: Proceeds from Public Issue	5.1	20,480
As per Pro Forma II		25,088
<u>Utilisation of proceeds from Public Issue</u>		
Less: Estimated listing expenses	6.3	(2,286)
As per Pro Forma III		22,802

7.3 Term Loans

	Note	RM'000
<u>Non-current</u>		
As at 31 December 2025		-
<u>Changes in Capital Structure</u>		
Add: Drawdown of term loan	4.1	1,681
As per Pro Forma I, II and III		1,681
<u>Current</u>		
As at 31 December 2025		23
<u>Changes in Capital Structure</u>		
Add: Drawdown of term loan	4.1	19
As per Pro Forma I, II and III		42

14. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION



Appendix A

SRKK AI BERHAD

**NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
AS AT 31 DECEMBER 2025**

7. Effects on the Pro Forma Consolidated SOFP (Cont'd)

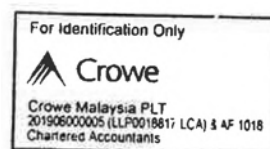
7.4 Share Capital

	Note	Number of Ordinary Shares '000	Amount of Share Capital RM'000
As at 31 December 2025		10,000	100
Pursuant to Subdivision of shares	4.2	210,000	-
As per Pro Forma I		220,000	100
Pursuant to Public Issue	5.1	64,000	20,480
As per Pro Forma II		284,000	20,580
<u>Utilisation of proceeds from Public Issue</u>			
Less: Estimated listing expenses	6.3	-	(1,531)
As per Pro Forma III		284,000	19,049

7.5 Retained Profits

	Note	RM'000
As at 31 December 2025		14,801
As per Pro Forma I and II		14,801
<u>Utilisation of proceeds from Public Issue</u>		
Less: Estimated listing expenses	6.3	(755)
As per Pro Forma III		14,046

14. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION



Appendix A

**SRKK AI BERHAD
NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
AS AT 31 DECEMBER 2025**

APPROVAL BY THE BOARD OF DIRECTORS

Approved and adopted by the Board of Directors of SRKK AI in accordance with a resolution dated **03 JUN 2025**

On behalf of the Board of Directors of SRKK AI,

A handwritten signature in black ink, consisting of a large 'V' shape followed by a series of loops and a long horizontal stroke.

Yew Lip Sin

A handwritten signature in black ink, featuring a stylized 'A' followed by a long horizontal stroke.

Alexander Lam Kei Kwong

15. ADDITIONAL INFORMATION**15.1 SHARE CAPITAL**

- (a) As at the date of this Prospectus, we only have one class of shares, namely, ordinary shares, all of which rank equally with one another.
- (b) Save for the Pink Form Allocations as disclosed in **Section 4.3.2** of this Prospectus,
 - (i) no person including Directors and employees of our Group has been or is entitled to be given or has exercised any option to acquire/subscribe for any shares or debentures, warrants, options, convertible securities or uncalled capital of our Company or our subsidiaries; and
 - (ii) there is no scheme involving the employees of our Group in the shares of our Company or our subsidiaries.
- (c) Save as disclosed in **Section 6.4** of this Prospectus, no shares, debentures, warrants, options, convertible securities or uncalled capital of our Group have been issued or are proposed to be issued as fully or partly paid-up, in cash or otherwise, within the 2 years immediately preceding the date of this Prospectus.
- (d) As at the date of this Prospectus, our Group does not have any outstanding convertible debt securities, options, warrants or uncalled capital.

15.2 CONSTITUTION

The following provisions are extracted from our Constitution and are qualified in its entirety by the provisions of our Constitution and by applicable law. Terms defined in our Constitution shall have the same meaning when used here unless they are otherwise defined herein or the context otherwise requires.

(a) Remuneration, voting and borrowing power of Directors**Directors' Remuneration****Clause 101 – Directors' remuneration**

Subject to the Act and the Listing Requirements, the fees of the Directors and any benefits payable to the Directors shall from time to time be determined by way of an ordinary resolution of the Company in a general meeting and such fees shall be divided among the Directors in such proportions and manner as the Directors may determine and in default of agreement equally, except that if a Director has held office for part only of the period in respect of which such fees are payable, such a Director shall be entitled only to that proportion of the fees as is related to the period during which he has held office PROVIDED ALWAYS that:-

- (i) salaries payable to executive Director(s) may not include a commission on or percentage of turnover;
- (ii) fees payable to non-executive Directors shall be a fixed sum and not by way of a commission on or percentage of profits or turnover;
- (iii) fees of Directors and any benefits payable to Directors shall be subject to annual shareholders' approval at a general meeting; and

15. ADDITIONAL INFORMATION

- (iv) any fee paid to an Alternate Director shall be agreed upon between himself and the Director nominating him and shall be paid out of the remuneration of the latter.

Clause 102 – Reimbursement of expenses

- (a) The Directors shall be entitled to be reimbursed for all travelling or expenses as may be incurred in attending meetings of the Directors or of any committee of the Directors or general meetings or otherwise howsoever in or about the business of the Company in the course of the performance of their duties as Directors. In addition to the foregoing, a Director shall be entitled to such reasonable fixed allowance as may be determined by the Directors in respect of any attendance at any meeting and/or the performance of any duty or other things required of him as a Director.
- (b) If any Director being willing shall be called upon to perform extra services or to make any special exertions in going or residing away from his usual place of business or residence for any of the purposes of the Company or in giving special attention to the business of the Company as a member of a committee of Directors, the Company may remunerate the Director so doing either by a fixed sum or otherwise (other than by a sum to include a commission on or percentage of turnover) as may be determined by the Board provided that in the case of non-executive Directors, the said remuneration shall not include a commission on or percentage of profits or turnover. In the case of an executive Director, such fee may be either in addition to or in substitution for any director's fees payable to him from time to time.

Clause 128 – Remuneration of chief executive, executive director, managing director

The remuneration of the chief executive, executive director, managing director or any person holding an equivalent position, shall, from time to time be fixed by the Directors and may be by way of salary or commission or participation in profits or otherwise or by any or all of these modes but such remuneration shall not include a commission on or percentage of turnover but it may be a term of their appointment that they shall receive a pension, gratuity or other benefits upon their retirement.

Voting and borrowing powers of Director**Clause 78 – Chairman's casting vote**

In the case of an equality of votes, whether on a show of hands or on a poll, the chairman of the meeting at which the show of hands takes place or at which the poll is demanded shall be entitled to a second or casting vote.

Clause 106 – Directors' borrowing powers

- (a) Subject to the Act and the Listing Requirements, the Directors may exercise all the powers of the Company to do all or any of the following for any debt, liability, or obligation of the Company or of any related party (as defined in Section 7 of the Act):
 - (i) borrow money;
 - (ii) mortgage or charge its undertaking, property, and uncalled capital, or any part of the undertaking, property and uncalled capital;

15. ADDITIONAL INFORMATION

- (iii) issue debentures and other securities whether outright or as security;
 - (iv) lend and advance money or give credit to any person or company;
 - (v) guarantee and give guarantees or indemnities for the payment of money or the performance of contracts or obligations by any person or company; and/or
 - (vi) secure or undertake in any way the repayment of moneys lent or advanced to or the liabilities incurred by any person or company; and otherwise to assist any person or of any related party (as defined in Section 7 of the Act).
- (b) The Directors shall not borrow any money or mortgage or charge any of the Company's or the subsidiaries' undertaking, property or any uncalled capital, or to issue debentures and other securities whether outright or as security for any debt, liability or obligation of an unrelated third party.

Clause 120 – Votes by majority and chairman of the meeting to have a casting vote

Subject to this Constitution, any question arising at any meeting of Directors shall be decided by a majority of votes of the Directors present and a determination by a majority of Directors shall for all purposes be deemed a determination of the Directors. In case of an equality of votes, the chairman of the meeting shall have a second or casting vote, except where at the meeting only two (2) Directors form a quorum, the chairman of the meeting at which only such a quorum is present, or only two (2) Directors are competent to vote on the question at issue shall not have a casting vote.

Clause 122 – Disclosure of interest

Every Director shall comply with the provisions of Sections 219 and 221 of the Act in connection with the disclosure of his shareholding and interests in the Company and his interest in any contract or proposed contract with the Company and in connection with the disclosure, every Director shall state the fact and the nature, character and extent of any office or possession of any property whereby whether directly or indirectly, duties or interests might be created in conflict with his duty or interest as a Director of the Company. A general notice in writing, which complies with Section 221(4) of the Act or its equivalent, given to the Board by any Director shall be deemed to be a sufficient declaration of interest in relation to the subject matter of the notice.

Clause 123 – Restriction on voting

Subject to the Act, a Director shall not participate in any discussion or vote in respect of any contract or proposed contract or arrangement in which he has directly or indirectly an interest and if he shall do so his vote shall not be counted. A Director shall, notwithstanding his interest, be counted in the quorum for any meeting where a decision is to be taken upon any contract or proposed contract or arrangement in which he is in any way interested.

15. ADDITIONAL INFORMATION**Clause 124 – Power to vote**

A Director may vote in respect of:

- (i) any arrangement for giving the Director himself or any other Directors any security or indemnity in respect of money lent by him to or obligations undertaken by him for the benefit of the Company; or
- (ii) any arrangement for the giving by the Company of any security to a third party in respect of a debt or obligation of the Company for which the Director himself or any other Director has assumed responsibility in whole or in part, under a guarantee or indemnity or by the deposit of a security;
- (iii) any contract by the Director himself to subscribe for or underwrite shares or debentures of the Company; or
- (iv) any contract or arrangement with any other company in which he is interested only as an officer of the Company or as a holder of shares or other securities in that company.

(b) Changes to Share Capital**Clause 56 – Power to increase capital**

Subject to the Act, this Constitution, the Central Depositories Act, the Rules, the Listing Requirements, any other relevant authority for the time being in force, and the conditions, restrictions and limitations expressed in this Constitution, the Company in a general meeting may from time to time, increase its share capital by the creation of new shares, such new capital to be of such amount and to be divided into shares of such respective amounts and to carry such rights or to be subject to such conditions or restrictions in regard to dividend, return of capital, voting or otherwise as the general meeting resolving upon such increase may direct.

Clause 57 – Issue of new shares to Members

Subject to any direction to the contrary that may be given by the Company in a general meeting and the Listing Requirements, all new shares or other convertible securities shall, before issue, be offered to such persons as at the date of the offer are entitled to receive notices from the Company of the general meetings in proportion as nearly as the circumstances admit, to the amount of the existing shares or Securities to which they are entitled. The offer shall be made by notice specifying the number of shares or Securities offered, and limiting a time within which the offer, if not accepted, will be deemed to be declined, and, after the expiration of that time, or on the receipt of an intimation from the person to whom the offer is made that he declines to accept the shares or Securities offered, the Directors may dispose of those shares or Securities in such manner as they think most beneficial to the Company. The Directors may likewise also dispose of any new shares or Securities which (by reason of the ratio which the new shares or Securities bear to the shares or Securities held by persons entitled to an offer of new shares or Securities) cannot, in the opinion of the Directors, be conveniently offered under this Constitution. Notwithstanding the above, the Directors shall not be required to offer any new ordinary shares for the time being unissued and not allotted and any new shares or other convertible securities from time to time to be created to the holders of the existing shares where the said shares or Securities are to be issued as consideration or part consideration for the acquisition of shares or assets by the Company.

15. ADDITIONAL INFORMATION

For the avoidance of doubt, where the approval of Members is obtained in a general meeting for any issuance of shares or convertible securities, including approvals obtained for implementation of a scheme that involves a new issuance of shares or other convertible securities to employees of the Company and its subsidiaries and approval obtained under Sections 75 and 76 of the Act, such approval shall be deemed to be a direction to the contrary given in general meeting which will render the pre-emptive rights above inapplicable.

In any case and in respect of any issuance of shares or convertible securities, the pre-emptive rights of Members are strictly as contained in the Constitution and accordingly, the provisions of Section 85 of the Act in respect of pre-emptive rights to new shares, shall not apply and the Company is not required to offer new shares or convertible securities in proportion to the shareholdings of the existing Members.

Clause 59 – Power to alter capital

Subject to the provisions of this Constitution and the Act, the Company may alter its share capital in any one or more of the following ways by ordinary resolution:

- (i) consolidate and divide all or any of its share capital, the proportion between the amount paid and the amount, if any, unpaid on each subdivided share shall be the same as it was in the case of the share from which the subdivided share is derived;
- (ii) convert all or any of its paid-up shares into stock and reconvert that stock into fully-paid shares;
- (iii) subdivide its shares or any of its shares, such that whatever is in the subdivision, the proportion between the amount paid and the amount, if any, unpaid on each subdivided share shall be the same as it was in the case of the share from which the subdivided share is derived; or
- (iv) cancel shares which at the date of the passing of the resolution in that behalf have not been taken or agreed to be taken by any person or which have been forfeited and diminish the amount of its share capital by the amount of the shares so cancelled.

Clause 60 – Power to reduce capital

The Company may by special resolution, reduce its share capital in any manner permitted or authorised under and in compliance with the Act and the Applicable Laws.

Clause 61 – Purchase by the Company of its own shares

The Company may, subject to it obtaining such approval from the relevant authorities (if required) and to its compliance with the Act, the Listing Requirements and the Applicable Laws, purchase its own shares. Any shares so purchased by the Company shall be dealt with in accordance with the Act, the Listing Requirements and all Applicable Laws. The provisions of Clauses 59 and 60 herein above shall not affect the power of the Company to cancel any shares or reduce its share capital pursuant to any exercise of the Company's powers under this Clause. The cancellation of shares purchased shall not be deemed to be a reduction of share capital within the meaning of the Act.

15. ADDITIONAL INFORMATION**(c) Transfer of securities****Clause 30 – Transfer in writing**

Subject to this Constitution, the Central Depositories Act and the Rules, any Member may transfer all or any of his Securities (except those Deposited Securities which are for the time being designated as securities in suspense) by an instrument in writing in the form prescribed and approved by the Exchange upon which the Company is listed on the Exchange. The instrument shall have been executed by or on behalf of the transferor and the transferee, and the transferor shall remain the holder of the Securities transferred until the transfer is registered and the name of the transferee is entered in the Record of Depositors.

Clause 31 – Transfers of Securities

Subject to the restriction imposed by this Constitution, the Listing Requirements, the Central Depositories Act and the Rules (with respect to transfer of Deposited Security), the transfer of any Deposited Securities shall be made by way of book entry by the Central Depository in accordance with the Rules and, notwithstanding Sections 105, 106 and 110 of the Act, but subject to Section 148(2) of the Act and any exemption that may be made from compliance with Section 148(1) of the Act, the Company shall be precluded from registering and effecting any transfer of such Deposited Securities.

Clause 32 – No restriction on the transfer of fully paid Securities

Subject to this Constitution, the Central Depositories Act and the Rules, there shall be no restriction on the transfer of fully paid Securities except where required by law.

Clause 33(a) – Refusal to register

The Central Depository may, in its absolute discretion, refuse to register any transfer of Deposited Security that does not comply with the Central Depositories Act and/or the Rules.

Clause 34 – Suspension of registration

Subject to the provisions of the Act, the Central Depositories Act, the Rules and the Listing Requirements, the registration of transfers of any Securities may be suspended at such times and for such periods as the Directors may from time to time determine PROVIDED ALWAYS that no part of the Register may be closed for such periods as the Directors may from time to time determine PROVIDED ALWAYS that it shall not be closed for more than thirty (30) days in any year. Any notice of intention to close the Register and the reason therefor shall be given to the Exchange. Such closure of the Register shall be at least fourteen (14) days (or such other period as prescribed by the Exchange from time to time) after the date of notification to the Exchange stating the purpose or purposes for the suspension. In this respect, the Company shall request the Central Depository, in accordance with the Rules, to issue the appropriate Record of Depositors.

15. ADDITIONAL INFORMATION**(d) Rights, preferences, and restrictions attached to each class of securities relating to voting, dividend, liquidation, and any special rights****Clause 6 – Class of shares**

The share capital of the Company is its issued share capital. The shares in the original or any increased capital may be divided into several classes, and there may be attached thereto respectively any preferential, deferred and/or other special rights, privileges, conditions and/or restrictions as to dividends, capital, voting and/or otherwise.

Clause 7 – Allotment of shares

Without prejudice to any special rights previously conferred on the holders of any existing shares or class of shares and subject to the provisions of this Constitution, the Act, any Applicable Laws, and to the provisions of any resolution of the Company, the Board may issue, allot or grant rights to subscribe for or otherwise dispose of such shares to such persons at such price, on such terms and conditions, with such preferred, deferred and/or other special rights and subject to such restrictions and at such times as the Board may determine but the Board in making any issue of shares shall comply with the following conditions:-

- (i) in the case of shares, other than ordinary shares, no special rights shall be attached until the same has been expressed in this Constitution and in the resolution creating the same;
- (ii) no shares shall be issued which shall have the effect of transferring a controlling interest in the Company without the prior approval of the Members in general meetings;
- (iii) every issue of shares or options to employees and/or Directors of the Company and/or its subsidiaries under an employee share option scheme shall be approved by the Members in general meeting;
- (iv) no Director shall participate in a scheme that involves a new issuance of shares or options unless the Members in a general meeting have approved the specific allotment to be made to such Director; and
- (v) except in the case of an issue of Securities on a pro-rata basis to all Members, or, pursuant to a back-to-back placement or a Dividend Reinvestment Scheme undertaken in compliance with the Listing Requirements, there shall be no issuance and allotment of Securities to a Director, major shareholder, chief executive or person connected with any Director, major shareholder or chief executive (hereinafter referred to as the “interested Director”, “interested major shareholder”, “interested chief executive” or “interested person connected with a Director, major shareholder or chief executive” respectively) unless the Members in a general meeting have approved of the specific allotment to be made to such aforesaid interested Director, interested major shareholder, interested chief executive or interested person connected with a Director, major shareholder or chief executive, as the case may be. In this Constitution, “major shareholder”, “chief executive”, “person connected with any Director, major shareholder or chief executive” and “Dividend Reinvestment Scheme” shall have the meaning ascribed thereto in the Listing Requirements.

15. ADDITIONAL INFORMATION**Clause 8 – Rights of preference shareholders**

Subject to the Act and the Listing Requirements, any preference shares may with the sanction of an ordinary resolution, be issued on the terms that they are, or at the option of the Company are liable, to be redeemed and the Company shall not unless with the consent of the existing preference shareholders at a class of meeting issue preference shares ranking in priority above preference shares already issued, but may issue preference shares ranking equally therewith. Preference shareholders shall have:

- (i) the same rights as ordinary shareholders as regards to receiving notices, reports and audited accounts and attending general meetings of the Company; and
- (ii) the right to vote at any meeting convened for the purpose of reducing the capital of the Company or on a proposal to wind up or during the winding up of the Company, or sanctioning a sale of the whole of the Company's undertaking, property or business, or where any resolution to be submitted to the meeting directly affects their rights and privileges, or when the dividend on the preference shares or part of the dividend is in arrears for more than six (6) months.

Clause 10 – Variation of class rights

Subject to Section 91 of the Act, if at any time the share capital is divided into different classes of shares, the rights attached to any class (unless otherwise provided by the terms of issue of the shares of that class) may, whether or not the Company is being wound up, be varied or abrogated with:

- (i) the consent in writing of the holders of not less than seventy-five per centum (75%) of the total voting rights of the Members in that class; or
- (ii) the sanction of a special resolution passed at a separate general meeting of the holders of the shares of that class. To every such separate general meeting, the provisions of this Constitution relating to general meetings shall mutatis mutandis apply, but so that the necessary quorum shall be at least two (2) persons holding or representing by proxy at least one-third of the number of the issued shares of the class (excluding any shares of that class held as treasury shares) and that any holder of shares of the class present in person or by proxy may demand a poll and shall be entitled on a poll to one (1) vote for every such share held by him. For adjourned meetings, the quorum is one (1) person present holding shares of such class. To every such special resolution, the provisions of Section 292 of the Act shall with such adaptations as are necessary, apply.

Clause 11 – Ranking of class rights

The rights conferred upon the holders of any shares or class of shares issued with preferred or other rights shall not, unless otherwise expressly provided by the terms of issue of such shares, as regards to participation in the profits or assets of the Company in some or in all respect be deemed to be varied by the creation or issue of further shares ranking *pari passu* therewith.

15. ADDITIONAL INFORMATION**Clause 42 – Person entitled may receive dividends etc**

Where the registered holder of any share dies or becomes bankrupt, his personal representative or the assignee of his estate, as the case may be, shall, upon the production of such evidence as may from time to time be properly required by the Directors in that behalf, be entitled to receive and may give a discharge for all dividends and other moneys payable in respect of the shares as the registered holder would have been entitled to if he had not died or become bankrupt, but he shall not be entitled to receive notice of or to attend or vote at any meeting, or, save as aforesaid, to exercise any of the rights and privileges of a Member, unless and until he shall have become a Member in respect of the shares.

Clause 54 – Rights of stock holders

The holders of stock shall, according to the amount of the stock held by them, have the same rights, privileges and advantages with regard to dividends, participation in assets on a winding up, voting at meetings of the Company and other matters as if they held the shares from which the stock arose, so that none of such rights, privileges or advantages (except participation in the dividends and profits of the Company and in the assets on winding up) shall be conferred by an amount of the stock which would not, if existing in shares, have conferred such rights, privileges or advantages.

Clause 79 – Voting rights

Subject to this Constitution and to any rights or restrictions for the time being attached to any class of shares by or in accordance with this Constitution, (a) in the case of a show of hands or (b) in the case of a poll, each Member, or holder of preference shares who has a right to vote, present in person or by proxy or by an attorney or by duly authorised representative shall have one (1) vote, and on a poll, every Member present in person or by proxy or attorney or representative shall have one (1) vote for each share he holds.

Clause 147 – Application of profits

The Directors may, if they think fit from time to time, pay to the Members such dividends as appear to the Directors to be justified by the profits of the Company. If at any time the share capital of the Company is divided into different classes, the Directors may pay such dividends in respect of those shares in the capital of the Company which confer on the holders thereof deferred or non-preferential rights, as well as in respect of those shares which confer on the holders thereof preferential rights with regard to dividend and provided that the Directors act bona fide, they shall not incur any responsibility to the holders of shares conferring any preferential rights for any damage that they may suffer by reason of the payment of dividend on any shares having deferred or non-preferential rights. The Directors may also pay half-yearly or at other suitable intervals to be settled by them, any dividend which may be payable at a fixed rate if they are of the opinion that the profits justify the payment.

15. ADDITIONAL INFORMATION**Clause 149 – Payment of dividends**

Subject to the rights of persons, if any, entitled to shares with special rights as to dividend, all dividends shall be declared and paid according to the amounts paid or credited as paid on the shares in respect whereof the dividend is paid, but no amount paid or credited as paid on a share in advance of call shall be treated for the purposes of this Constitution as paid on the share. All dividends shall be apportioned and paid proportionately to the amounts paid or credited as paid on the shares during any portion or portions of the period in respect of which the dividend is paid; but if any share is issued on terms providing that it shall rank for dividend as from a particular date, that share shall rank for dividend accordingly.

15.3 NO LIMITATION ON THE RIGHT TO OWN SECURITIES

There is no limitation on the right to own securities including limitation on the right of non-residents or foreign shareholders to hold or exercise their voting rights on our Shares.

15.4 PUBLIC TAKE-OVERS

During the last financial year and up to the LPD, there were no:

- (i) public take-over offers by third parties in respect of our Group's shares; and
- (ii) public take-over offers by our Group in respect of other companies' shares.

15.5 REPATRIATION OF CAPITAL, REMITTANCE OF PROFIT AND TAXATION**(i) Malaysia**

All corporations in Malaysia are required to adopt a single-tier dividend. All dividends distributed by Malaysian resident companies under a single-tier dividend are not taxable. Further, the Government does not levy withholding tax on dividend payment. Therefore, there is no withholding tax imposed on dividends paid to non-residents by Malaysian resident companies. There is no Malaysian capital gains tax arising from the disposal of listed shares.

Effective from 1 January 2022, generally, all types of foreign income (i.e., dividends) received in Malaysia by a resident in Malaysia is subject to tax. For the period from 1 January 2022 to 30 June 2022, foreign income received in Malaysia will be taxed at a rate of 3% at gross under the Income Tax Act 1967. Effective from 1 July 2022, foreign income received in Malaysia is subject to the prevailing tax rate.

Notwithstanding the above, the Income Tax (Exemption) (No. 6) Order 2022 ("**Exemption Order**") provides for exemption on foreign sourced dividend income received in Malaysia by, amongst others, a resident company incorporated under the Act for the period from 1 January 2022 to 31 December 2026. The exemption is given subject to the following qualifying conditions:

- (i) the dividend income has been subjected to tax in the country of origin;
- (ii) the highest tax rate (headline tax) in the country of origin is not less than 15%; and
- (iii) comply with the economic substance requirements.

15. ADDITIONAL INFORMATION

Reference can be made to the Technical Guidelines issued by the Inland Revenue Board of Malaysia on 29 December 2022 to determine whether the above conditions are met for the purposes of the exemption on foreign sourced dividend income received in Malaysia.

(ii) Singapore**(a) Exchange controls**

Subject to SRKK Singapore adhering to the applicable provisions of the Companies Act 1967 of Singapore ("**Singapore Companies Act**") and the constitution of SRKK Singapore, there are no significant restrictions on the remittance of profits, dividend and the return of capital by SRKK Singapore to SRKK Consulting. Under the laws of Singapore, SRKK Singapore may repatriate capital and/or remit profits to SRKK Consulting by way of:

- (i) share buy-backs;
- (ii) capital reduction;
- (iii) distribution of assets on a winding-up; and
- (iv) declaration of dividends.

(b) Dividend distribution and return of capital

Subject to the Singapore Companies Act, the constitution of SRKK Singapore, and the payment of applicable taxes under the laws of Singapore:

- (i) dividends may be paid only out of profits available for distribution. The constitution of SRKK Singapore provides for the declaration of dividends upon shareholders' approval by ordinary resolution in a general meeting, but any dividend declared must not exceed the amount recommended by the directors of SRKK Singapore. Save for the foregoing, there are no restrictions on payment of dividends to SRKK Consulting;
- (ii) the directors of SRKK Singapore may, from time to time, pay to SRKK Consulting such interim dividends as appear to the directors to be justified by the profits of SRKK Singapore; and
- (iii) capital may not be returned to the shareholder(s) of SRKK Singapore unless a share buy-back or capital reduction exercise is carried out.

(c) Withholding tax

Dividends received in respect of the ordinary shares of SRKK Singapore by either Singapore tax resident or non-Singapore tax resident taxpayers are not subject to Singapore withholding tax.

Singapore operates under the "One-Tier" Corporate Tax System ("**One-Tier System**"). Under this One-Tier System, the tax collected from corporate profits is the final tax and SRKK Singapore can pay tax exempt (1-tier) dividends which are tax exempt in the hands of its Singapore-tax resident shareholder(s), regardless of the legal form of its shareholder(s).

15. ADDITIONAL INFORMATION**15.6 MATERIAL CONTRACTS**

Save as disclosed below, we have not entered into any contract which are material (not being contracts entered into in the ordinary course of business) within the period covered by the historical financial information as disclosed in this Prospectus, up to the date of this Prospectus:

- (i) Sale and Purchase Agreement dated 18 August 2025 between Mediterranean Shipping Company (Malaysia) Sdn Bhd (as vendor) and SRKK (as purchaser) for the acquisition of Unit 10-1, 10-2, 10-3, 10-3A, 10-5, 10-6, 10-7 and 10-8 in Port Tech Tower for the purpose of supporting future expansion plans, for a purchase consideration of RM2.00 million, which was completed on 4 May 2026. The purchase consideration was satisfied by a combination of bank borrowings and internally generated funds;
- (ii) Share Sale Agreement dated 21 December 2023 between Joel Resources (as vendor) and SRKK (as purchaser) in relation to the acquisition of all ordinary shares in SRKK Data by SRKK from Joel Resources for a total cash consideration of RM168,000.00 which has been completed on 17 January 2024;
- (iii) Share Sale Agreement dated 10 January 2022 between Joel Resources (as vendor) and SRKK (as purchaser) in relation to the acquisition of all ordinary shares in SRKK Consulting by SRKK from Joel Resources for a total cash consideration of RM1,655,211.00 which has been completed on 10 January 2022;
- (iv) Share Sale Agreement dated 10 January 2022 between Joel Resources (as vendor) and SRKK (as purchaser) in relation to the acquisition of all ordinary shares in SRKK Computer by SRKK from Joel Resources for a total cash consideration of RM1,000,003.00 which has been completed on 10 January 2022;
- (v) Share Sale Agreement dated 10 January 2022 between Joel Resources (as vendor) and SRKK (as purchaser) in relation to the acquisition of all ordinary shares in SRKK Selatan by SRKK from Joel Resources for a total cash consideration of RM100.00 which has been completed on 10 January 2022;
- (vi) Share Sale Agreement dated 10 January 2022 between Alex Lam (as vendor) and SRKK (as purchaser) in relation to the acquisition of all ordinary shares in Integricity by SRKK from Alex Lam for a total cash consideration of RM500,000.00 which has been completed on 10 January 2022; and
- (vii) Underwriting Agreement.

15.7 DEPOSITED SECURITIES AND RIGHTS OF DEPOSITORS (GENERAL INFORMATION)

As our Shares are proposed for quotation on the Official List, such Shares must be prescribed as shares required to be deposited with Bursa Depository. Upon such prescription, holders of our Shares must deposit their Shares with Bursa Depository on or before the date fixed, failing which our Share Registrar will be required to transfer the Shares to the Minister of Finance, Malaysia and such Shares may not be traded on Bursa Securities.

Dealing in Shares deposited with Bursa Depository may only be effected by a person having a securities account with Bursa Depository ("**Depositor**") by means of entries in the securities account of that Depositor.

15. ADDITIONAL INFORMATION

A Depositor whose name appears in the Record of Depositors maintained by Bursa Depository in respect of our Shares shall be deemed to be our shareholder and shall be entitled to all rights, benefits, powers and privileges and be subject to all liabilities, duties and obligations in respect of, or arising from, such Shares.

15.8 CONSENTS

- (a) The written consents of the Principal Adviser, Sponsor, Placement Agent and Underwriter, Solicitors, Share Registrar, Company Secretaries and Issuing House for the inclusion in this Prospectus of their names in the form and context in which their names appear in this Prospectus have been given before the issue of this Prospectus, and have not subsequently been withdrawn.
- (b) The written consent of the Auditors and Reporting Accountants for the inclusion in this Prospectus of their names, the Accountants' Report and the Reporting Accountants' Report on the Pro Forma Consolidated Statements of Financial Position in the form and context in which they are contained in this Prospectus have been given before the issue of this Prospectus and have not subsequently been withdrawn; and
- (c) The written consent of the IMR for the inclusion in this Prospectus of its name and the IMR Report, in the form and context in which they are contained in this Prospectus has been given before the issue of this Prospectus and have not been subsequently withdrawn.

15.9 DOCUMENTS FOR INSPECTION

Copies of the following documents are available for inspection at the Registered Office of our Company during office hours for a period of 6 months from the date of this Prospectus:

- (a) our Constitution;
- (b) the IMR Report referred to in **Section 8** of this Prospectus;
- (c) the Reporting Accountants' Report on the Pro Forma Consolidated Statements of Financial Position as referred to in **Section 14** of this Prospectus;
- (d) the Accountants' Report as included in **Section 13** of this Prospectus;
- (e) the material contracts referred to in **Section 15.6** of this Prospectus;
- (f) the letters of consent referred to in **Section 15.8** of this Prospectus; and
- (g) the audited financial statements of our Company and Subsidiaries for the Financial Years Under Review.

15. ADDITIONAL INFORMATION

15.10 RESPONSIBILITY STATEMENTS

Our Directors, Promoters and Selling Shareholders have seen and approved this Prospectus. They collectively and individually accept full responsibility for the accuracy of the information. Having made all reasonable enquiries, and to the best of their knowledge and belief, they confirm there is no false or misleading statement or other facts which if omitted, would make any statement in this Prospectus false or misleading.

TA Securities, being our Principal Adviser, Sponsor, Placement Agent and Underwriter in relation to our IPO acknowledges that, based on all available information, and to the best of its knowledge and belief, this Prospectus constitutes a full and true disclosure of all material facts concerning our IPO.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE

THIS SUMMARY OF PROCEDURES FOR APPLICATION AND ACCEPTANCE DOES NOT CONTAIN THE DETAILED PROCEDURES AND FULL TERMS AND CONDITIONS AND YOU CANNOT RELY ON THIS SUMMARY FOR PURPOSES OF ANY APPLICATION FOR OUR ISSUE SHARES. YOU MUST REFER TO THE DETAILED PROCEDURES AND TERMS AND CONDITIONS AS SET OUT IN THE “DETAILED PROCEDURES FOR APPLICATION AND ACCEPTANCE” ACCOMPANYING THE ELECTRONIC PROSPECTUS ON THE WEBSITE OF BURSA SECURITIES. YOU SHOULD ALSO CONTACT THE ISSUING HOUSE FOR FURTHER ENQUIRIES.

Unless otherwise defined, all words and expressions used here shall carry the same meaning as ascribed to them in our Prospectus.

Unless the context otherwise requires, words used in the singular include the plural, and vice versa.

16.1 OPENING AND CLOSING OF APPLICATIONS

OPENING OF THE APPLICATION PERIOD: 10.00 A.M., 18 JUNE 2026

CLOSING OF THE APPLICATION PERIOD: 5.00 P.M., 25 JUNE 2026

Applications for the Issue Shares will open and close at the dates stated above.

In the event of any change to the dates or time for closing, we will advertise the notice of changes in a widely circulated daily English and Bahasa Malaysia newspaper in Malaysia.

Late Applications will not be accepted.

16.2 METHODS OF APPLICATIONS**16.2.1 Application for our Issue Shares by the Malaysian Public and Eligible Persons**

Application must accord with our Prospectus and our Constitution. The submission of an Application Form does not mean that the Application will succeed.

Types of Application and category of investors	Application Method
Applications by the Eligible Persons	Pink Application Form only
Applications by the Malaysian Public: (i) Individuals	White Application Form or Electronic Share Application or Internet Share Application
(ii) Non-Individuals	White Application Form only

16.2.2 Application by selected investors via placement

Types of Application	Application Method
Applications by selected investors	Our Placement Agent will contact the selected investors directly. They should follow the Placement Agent's instructions.

Selected investors may still apply for our Issue Shares offered to the Malaysian Public using the White Application Form, Electronic Share Application or Internet Share Application.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE**16.3 ELIGIBILITY****16.3.1 General**

You must have a CDS account and a correspondence address in Malaysia. If you do not have a CDS account, you may open a CDS account by contacting any of the ADAs set out in Section 12 of the Detailed Procedures for Application and Acceptance accompanying the electronic copy of our Prospectus on the website of Bursa Securities. **The CDS account must be in your own name. Invalid, nominee or third party CDS accounts will not be accepted for the Application.**

Only **ONE** Application Form for each category from each applicant will be considered and **APPLICATIONS MUST BE FOR AT LEAST 100 ISSUE SHARES OR MULTIPLES OF 100 ISSUE SHARES.**

MULTIPLE APPLICATIONS WILL NOT BE ACCEPTED UNLESS EXPRESSLY ALLOWED IN THESE TERMS AND CONDITIONS. AN APPLICANT WHO SUBMITS MULTIPLE APPLICATIONS IN HIS OWN NAME OR BY USING THE NAME OF OTHERS, WITH OR WITHOUT THEIR CONSENT, COMMITS AN OFFENCE UNDER SECTION 179 OF THE CMSA AND IF CONVICTED, MAY BE PUNISHED WITH A MINIMUM FINE OF RM1,000,000 AND A JAIL TERM OF UP TO 10 YEARS UNDER SECTION 182 OF THE CMSA.

AN APPLICANT IS NOT ALLOWED TO SUBMIT MULTIPLE APPLICATIONS IN THE SAME CATEGORY OF APPLICATION.

16.3.2 Application by the Malaysian Public

You can only apply for our Issue Shares if you fulfill all of the following:

- (i) You must be one of the following:
 - (a) a Malaysian citizen who is at least 18 years old as at the date of the application for our Issue Shares; or
 - (b) a corporation / institution incorporated in Malaysia with a majority of Malaysian citizens on your board of directors / trustees and if you have a share capital, more than half of the issued share capital, excluding preference share capital, is held by Malaysian citizens; or
 - (c) a superannuation, co-operative, foundation, provident, pension fund established or operating in Malaysia.
- (ii) You must not be a director or employee of the Issuing House or an immediate family member of a director or employee of the Issuing House; and
- (iii) You must submit Applications by using only one of the following methods:
 - (a) White Application Form; or
 - (b) Electronic Share Application; or
 - (c) Internet Share Application.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE

16.3.3 Application by Eligible Persons

The Eligible Persons will be provided with Pink Application Forms and letters from us detailing their respective allocation.

Eligible Persons may request for a copy of the printed Prospectus from our Company at no cost and are given an option to have the printed Prospectus delivered to them free of charge, or to obtain the printed Prospectus from our Company, the Issuing House, TA Securities, Participating Organisations of Bursa Securities and Members of the Association of Banks in Malaysia or Malaysian Investment Banking Association.

16.4 PROCEDURES FOR APPLICATION BY WAY OF APPLICATION FORMS

The Application Form must be completed in accordance with the notes and instructions contained in the respective category of the Application Form. Applications made on the incorrect type of Application Form or which do not conform **STRICTLY** to the terms of our Prospectus or the respective category of Application Form or notes and instructions or which are illegible will not be accepted.

The FULL amount payable is RM0.32 for each Issue Share.

Payment must be made out in favour of “**TIH SHARE ISSUE ACCOUNT NO. 826**” and crossed “**A/C PAYEE ONLY**” and endorsed on the reverse side with your name and address.

Each completed Application Form, accompanied by the appropriate remittance and legible photocopy of the relevant documents may be submitted using one of the following methods:

- (a) despatch by **ORDINARY POST** in the official envelopes provided, to the following address:

Tricor Investor & Issuing House Services Sdn Bhd
(Registration No. 197101000970 (11324-H))
 Unit 32-01, Level 32, Tower A
 Vertical Business Suite, Avenue 3
 Bangsar South, No. 8, Jalan Kerinchi
 59200 Kuala Lumpur

- (b) **DELIVER BY HAND AND DEPOSIT** in the drop-in boxes provided at Unit G-3, Ground Floor, Vertical Podium, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur, so as to arrive not later than 5.00 p.m. on 25 June 2026 or by such other time and date specified in any change to the date or time for closing.

We, together with the Issuing House, will not issue any acknowledgement of the receipt of your Application Forms or Application monies. Please direct all enquiries in respect of the White Application Form to the Issuing House.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE**16.5 PROCEDURES FOR APPLICATION BY WAY OF ELECTRONIC SHARE APPLICATIONS**

Only Malaysian individuals may apply for our Issue Shares offered to the Malaysian Public by way of Electronic Share Application.

Electronic Share Applications may be made through the ATM of the following Participating Financial Institutions and their branches, namely, Affin Bank Berhad, Alliance Bank Malaysia Berhad, AmBank (M) Berhad, CIMB Bank Berhad, Malayan Banking Berhad, Public Bank Berhad and RHB Bank Berhad. A processing fee will be charged by the respective Participating Financial Institutions (unless waived) for each Electronic Share Application.

The exact procedures, terms and conditions for Electronic Share Application are set out on the ATM screens of the relevant Participating Financial Institutions.

16.6 PROCEDURES FOR APPLICATION BY WAY OF INTERNET SHARE APPLICATIONS

Only Malaysian individuals may use the Internet Share Application to apply for our Issue Shares offered to the Malaysian Public.

Internet Share Applications may be made through an internet financial services website of the following Internet Participating Financial Institutions or Participating Securities Firms, namely, Affin Bank Berhad, Alliance Bank Malaysia Berhad, Malayan Banking Berhad, Public Bank Berhad, RHB Bank Berhad, CGS International Securities Sdn Bhd, Hong Leong Investment Bank Berhad, iFast Capital Sdn Bhd, Kenanga Investment Bank Berhad, Malacca Securities Sdn Bhd, Moomoo Securities Malaysia Sdn Bhd, TA Securities Holdings Berhad dan UOB Kay Hian (M) Sdn Bhd (formerly known as UOB Kay Hian Securities (M) Sdn Bhd). A processing fee will be charged by the respective Internet Participating Financial Institutions or Participating Securities Firms (unless waived) for each Internet Share Application.

The exact procedures, terms and conditions for Internet Share Application are set out on the internet financial services website of the respective Internet Participating Financial Institutions or Participating Securities Firms.

16.7 AUTHORITY OF OUR BOARD AND THE ISSUING HOUSE

The Issuing House, on the authority of our Board reserves the right to:

- (i) reject Applications which:
 - (a) do not conform to the instructions of our Prospectus, Application Forms, Electronic Share Application and Internet Share Application (where applicable); or
 - (b) are illegible, incomplete or inaccurate; or
 - (c) are accompanied by an improperly drawn up or improper form of remittance; or
- (ii) reject or accept any Application, in whole or in part, on a non-discriminatory basis without the need to give any reason; and
- (iii) bank in all Application monies (including those from unsuccessful / partially successful applicants) which would subsequently be refunded, where applicable (without interest), in accordance with **Section 16.9** below.

If you are successful in your Application, our Board reserves the right to require you to appear in person at the registered office of the Issuing House at any time within 14 days of the date of

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE

the notice issued to you to ascertain that your Application is genuine and valid. Our Board shall not be responsible for any loss or non-receipt of the said notice nor will it be accountable for any expenses incurred or to be incurred by you for the purpose of complying with this provision.

16.8 OVER / UNDER-SUBSCRIPTION

In the event of over-subscription, the Issuing House will conduct a ballot in the manner approved by our Directors to determine the acceptance of Applications in a fair and equitable manner. In determining the manner of balloting, our Directors will consider the desirability of allotting and allocating our Issue Shares to a reasonable number of applicants for the purpose of broadening the shareholding base of our Company and establishing a liquid and adequate market for our Shares.

The results of the allocation of our Issue Shares derived from successful balloting will be made available to the public at the Issuing House's website at <https://srmy.vistra.com> within 1 Market Day after the balloting date.

Pursuant to the Listing Requirements, we are required to have a minimum of 25.0% of our Company's share capital to be held by at least 200 public shareholders holding not less than 100 Shares each upon Listing and completion of our IPO. We expect to achieve this at the point of Listing. In the event the above requirement is not met, we may not be allowed to proceed with our Listing. In the event thereof, monies paid in respect of all Applications will be returned in full (without interest).

In the event of an under-subscription of our Issue Shares by the Malaysian Public, subject to the underwriting arrangements and reallocation as set out in **Sections 4.3.4(i) and 4.10** of our Prospectus, any of the abovementioned Issue Shares not applied for will then be subscribed by the Underwriter based on the terms of the Underwriting Agreement.

16.9 UNSUCCESSFUL / PARTIALLY SUCCESSFUL APPLICANTS

If you are unsuccessful / partially successful in your Application, your Application monies (without interest) will be refunded to you in the following manner.

16.9.1 For applications by way of Application Forms

- (i) The Application monies or the balance of it, as the case may be, will be returned to you through the self-addressed and stamped Official "A" envelope you provided by ordinary post (for fully unsuccessful applications) or by crediting into your bank account (the same bank account you have provided to Bursa Depository for the purposes of cash dividend / distribution) or if you have not provided such bank account information to Bursa Depository, the balance of Application monies will be refunded via banker's draft sent by ordinary / registered post to your last address maintained with Bursa Depository (for partially successful applications) within 10 Market Days from the date of the final ballot at your own risk.
- (ii) If your Application is rejected because you did not provide a CDS Account number, your Application monies will be refunded via banker's draft sent by ordinary / registered post to your address as stated in the NRIC or any official valid temporary identity document issued by the relevant authorities from time to time or the authority card (if you are a member of the armed forces or police) at your own risk.
- (iii) A number of Applications will be reserved to replace any successfully balloted Applications that are subsequently rejected. The Application monies relating to these Applications which are subsequently rejected or unsuccessful or only partly successful will be refunded (without interest) by the Issuing House as per items (i) and (ii) above (as the case may be).

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE

- (iv) The Issuing House reserves the right to bank into its bank account all Application monies from unsuccessful applicants. These monies will be refunded (without interest) within 10 Market Days from the date of the final ballot by crediting into your bank account (the same bank account you have provided to Bursa Depository for the purposes of cash dividend / distribution) or by issuance of banker's draft sent by ordinary/registered post to your last address maintained with Bursa Depository if you have not provided such bank account information to Bursa Depository or as per item (ii) above (as the case may be).

16.9.2 For applications by way of Electronic Share Application and Internet Share Application

- (i) The Issuing House shall inform the Participating Financial Institutions or Internet Participating Financial Institutions or Participating Securities Firms of the unsuccessful or partially successful Applications within 2 Market Days after the balloting date. The full amount of the Application monies or the balance of it will be credited without interest into your account with the Participating Financial Institution or Internet Participating Financial Institution or Participating Securities Firms (or arranged with the Authorised Financial Institutions) within 2 Market Days after the receipt of confirmation from the Issuing House.
- (ii) You may check your account on the 5th Market Day from the balloting date.
- (iii) A number of Applications will be reserved to replace any successfully balloted Applications that are subsequently rejected. The Application monies relating to these Applications which are subsequently rejected will be refunded (without interest) by the Issuing House by crediting into your account with the Participating Financial Institution or Internet Participating Financial Institutions or Participating Securities Firms (or arranged with the Authorised Financial Institutions) not later than 10 Market Days from the date of the final ballot. For Applications that are held in reserve and which are subsequently unsuccessful or partially successful, the relevant Participating Financial Institution will be informed of the unsuccessful or partially successful Applications within 2 Market Days after the final balloting date. The Participating Financial Institution will credit the Application monies or any part thereof (without interest) within 2 Market Days after the receipt of confirmation from the Issuing House.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE**16.10 SUCCESSFUL APPLICANTS**

If you are successful in your application:

- (i) Our Issue Shares allotted to you will be credited into your CDS Account.
- (ii) A notice of allotment will be despatched to you at your last address maintained with the Bursa Depository, at your own risk, before our Listing. This is your only acknowledgement of acceptance of your Application.
- (iii) In accordance with Section 14(1) of the SICDA, Bursa Securities has prescribed our Shares as Prescribed Securities. As such, our Issue Shares issued / offered through our Prospectus will be deposited directly with Bursa Depository and any dealings in these Shares will be carried out in accordance with the SICDA and Rules of Bursa Depository.
- (iv) In accordance with Section 29 of the SICDA, all dealings in our Issue Shares will be by book entries through CDS Accounts. No physical share certificates will be issued to you and you shall not be entitled to withdraw any deposited securities held jointly with Bursa Depository or its nominee as long as our Shares are listed on Bursa Securities.

16.11 ENQUIRIES

Enquiries in respect of the applications may be directed as follows:

Mode of application	Parties to direct the enquiries
Application Form	Issuing House Enquiry Services at telephone no. +603 - 2783 9299
Electronic Share Application	Participating Financial Institution
Internet Share Application	Internet Participating Financial Institution or Participating Securities Firms and Authorised Financial Institution

The results of the allocation of Issue Shares derived from successful balloting will be made available to the public at the Issuing House website at <https://srmy.vistra.com>, **one Market Day** after the balloting date.

You may also check the status of your Application at the above website, **five Market Days** after the balloting date or by calling your respective ADA during office hours at the telephone number as stated in the list of ADAs set out in Section 12 of the Detailed Procedures for Application and Acceptance accompanying the Electronic Prospectus on the website of Bursa Securities.